



With You, For the Change

ANNUAL REPORT

2018



SAVE WATER

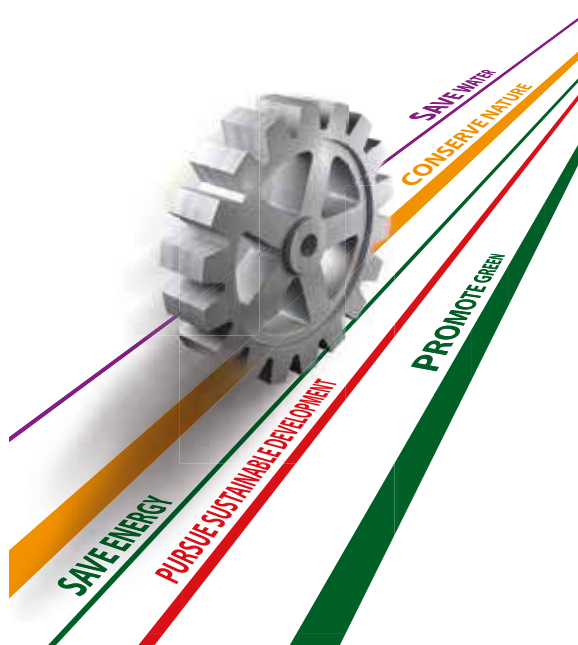
CONSERVE NATURE

PROMOTE GREEN

SAVE ENERGY

PURSUE SUSTAINABLE DEVELOPMENT

Annual Report 2018



রূপসী বাংলা

বাংলার মুখ আমি দেখিয়াছি, তাই আমি পৃথিবীর রূপ
 খুঁজিতে যাই না আর : অন্ধকারে জেগে উঠে ডুমুরের গাছে
 চেয়ে দেখি ছাতার মতো বড়ো পাতাটির নিচে ব'সে আছে
 ভোরের দয়েল-পাখি- চারিদিকে চেয়ে দেখি পল্লবের স্তূপ
 জাম-বট-কাঁঠালের-হিজলের-অশথের ক'রে আছে চুপ;
 ফণীমনসার ঝোপে শটি-বনে তাহাদের ছায়া পড়িয়াছে;
 মধুকর ডিঙা থেকে না জানি সে কবে চাঁদ চম্পার কাছে
 এমনই হিজল-বট-তমালের নীল ছায়া বাংলার অপরূপ রূপ

দেখেছিল; বেহুলাও একদিন গাঙুড়ের জলে ভেলা নিয়ে-
 কৃষ্ণা দ্বাদশীর জোৎস্না যখন মরিয়া গেছে নদীর চড়ায়-
 সোনালি ধানের পাশে অসংখ্য অশ্বখ বট দেখেছিল, হায়,
 শ্যামার নরম গান শুনেছিল-একদিন অমরায় গিয়ে
 ছিন্ন খঞ্জনার মতো যখন সে নেচেছিল ইন্দ্রের সভায়
 বাংলার নদী মাঠ ভাঁট-ফুল ঘুঙুরের মতো তার কেঁদেছিল পায় ।

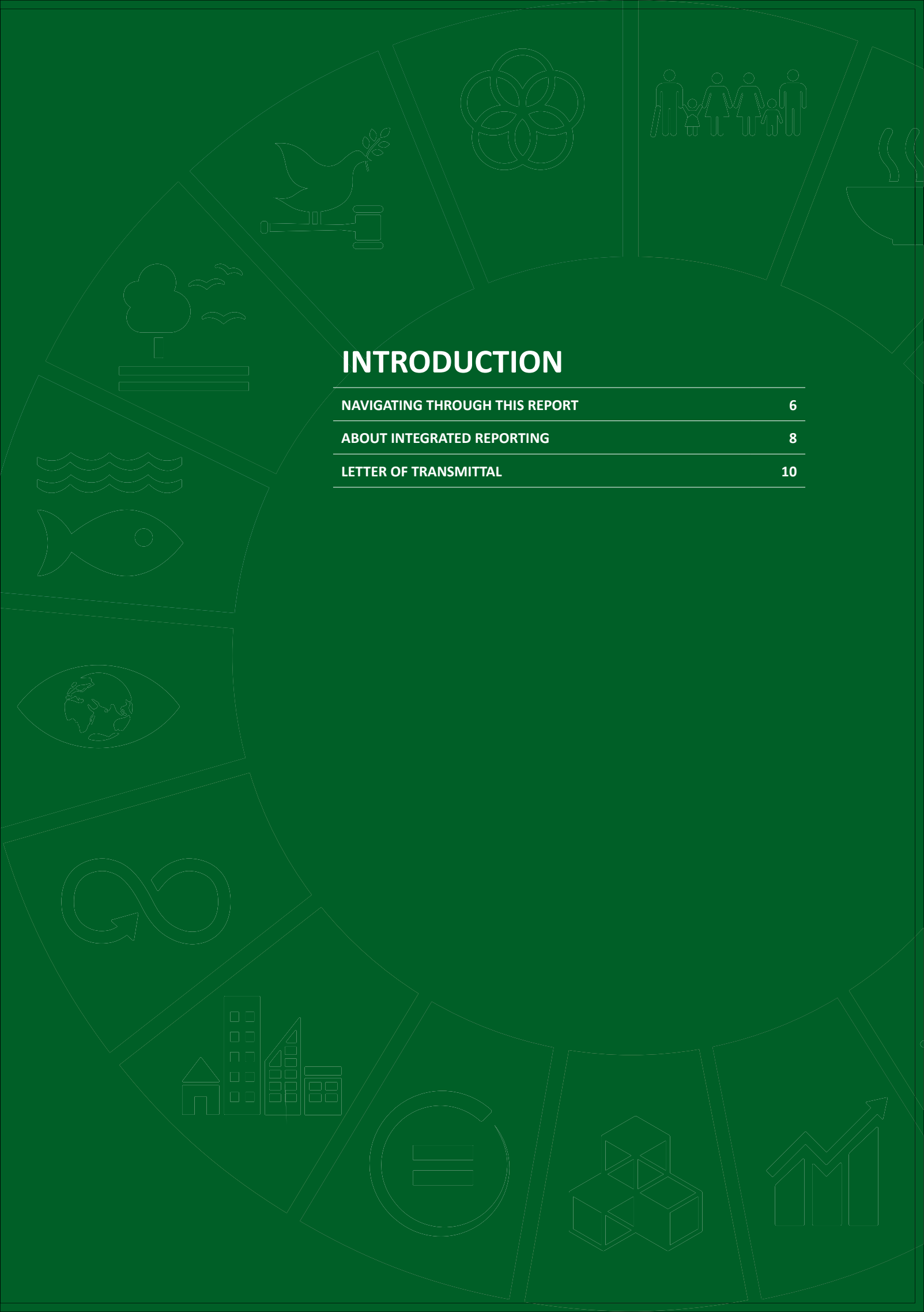
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INTRODUCTION

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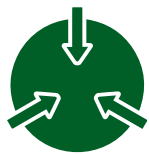


NAVIGATING THROUGH THIS REPORT

This report is designed to give an overview of BIFFL's organizational strategy based on its vision, mission and present situation based on the resources at its disposal. The contents of this report are meant to answer some key questions that demonstrate the Company's state of affairs, as follows:

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ABOUT INTEGRATED REPORTING

BIFFL's 2018 Annual Report has been presented as an 'Integrated Report' with the goal of elucidating how BIFFL has effectively managed its policies and actions consistently to add value to its stakeholders. It covers the activities BIFFL has undertaken to support the achievement of infrastructure development, economic prosperity, inclusive growth as well as social and environmental sustainability of the country for a better future.

OVERVIEW OF CONTENTS

General Information		Market Positioning & Strategy			Compliance
Company Philosophy	Corporate Information	Operating Environment & Stakeholders	Management Discussion	Strategic Plan	Reporting & Disclosures

SCOPE OF THE REPORT

In presenting the Integrated Report, we have referred to the guidelines issued by the Institute of Chartered Accountants of Bangladesh (ICAB) in the form of 'Integrated Reporting Checklist', which is consistent with the integrated reporting framework issued by the International Integrated Reporting Council (IIRC). In communicating the Company's operations and financial performance, financial information has been extracted from the Audited Financial Statements for the FY 2018 with relative comparative information. The financial statements consistently comply with the requirements of:

- Bangladesh Accounting Standards (BASs) and Bangladesh Financial Reporting Standards (BFRSs);
- The Companies Act 1994;
- The Financial Institution Act 1993;
- The Securities and Exchange Act 1993;

- Relevant rules and regulations of Bangladesh Bank;
- Requirements of our Development Partners; and
- Other applicable laws and regulations of the land. The disclosure of non-financial information has been extracted from internally-maintained records. The Sustainability requirements, as elaborated separately in our Sustainability Report, adhere to the guidelines issued by the Global Reporting Initiative (GRI)-G4 Framework.

Our corporate governance practice has been disclosed in line with guidelines of the Corporate Governance Code (CGC) issued by BSEC in 2018. Moreover, there have not been any significant changes to the scope, boundary and reporting basis since the last reporting date as of 31 December 2018.

Audit Report on Financial Statements	M/s. UHY Syful Shamsul Alam & Co, Chartered Accountants
Entity Credit Rating	Credit Rating Information and Services Limited (CRISL) Credit Rating Agency of Bangladesh (CRAB)
Comprehensive Inspection Report	Bangladesh Bank

basis as in the 2017 report in terms of the entities covered and measurement procedures used. Ratios used are comparable across the industry. The structure of the report, unlike previous years, has been changed to the integrated reporting style. It entails all material topics relating to business strategy, risk and areas of critical importance to our stakeholders and is arranged in a coherent manner in order to express the Company's agenda with clarity.

Availability of the Annual Report

The hard copy of the Annual Report is sent to all the shareholders, prior to holding the Annual General Meeting, giving due notice. Besides, for the benefit of all stakeholders, our report has been uploaded in the website <http://www.biffl.org.bd>

Statement on Integrity of the Integrated Report

I acknowledge the responsibility to ensure the integrity of the disclosure contained in this Integrated Report, which comprises the discussion, analysis and disclosures pertaining to stewardship of the Company, which should be read in conjunction with the audited financial statements. The annual report has been prepared in accordance with the IIRC's international reporting framework and addresses the material matters pertaining to the long-term sustainability of the Company and presents, to the best of my knowledge, the integrated performance of BIFFL and the impacts thereof.



S. M. Formanul Islam
Executive Director & CEO



LETTER OF TRANSMITTAL

Annual Report for the year ended 31 December 2018

Dear Sir(s):

We are delighted to present the Annual Report for the year 2018 of Bangladesh Infrastructure Finance Fund Limited (BIFFL).

BIFFL is a Non-Bank Financial Institution (NBFI) under the ownership of the Government of Bangladesh, represented by the Finance Division, Ministry of Finance. It finances infrastructure as well as eco-friendly projects to ensure sustainable economic growth of the country.

The Annual Report contains all material information of the functions and financial outcomes of the organization audited by the external auditors. The report also presents the Corporate Governance & Regulatory Compliance Status of the organization.

To the best of our knowledge, the report provides all information required by the regulators and under other applicable laws and regulations.

Best Regards.

Yours Sincerely,

S. M. Formanul Islam

Executive Director & CEO



ABOUT BIFFL

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CORPORATE MILESTONES

December 2018	Achieved paid-up capital of BDT2,108 Crore
December 2018	Obtained USGBC LEED Platinum Certification for Corporate Office
December 2018	Signed participation agreement with BB under “Refinance Scheme for Green Products/Initiatives”
Jan-Nov 2018	Approved SME, ICT, HR, Equity, Accounts, Treasury and ESMF Policies
19 November 2018	Signed MoU with BlueMount Capital to collaborate on raising global fund for BIFFL
4 October 2018	Successfully organized Green & PPP Convention and Expo 2018 in Dhaka and Chattogram
9 August 2018	Signed Master Facility Agreement with Bangladesh Bank under IPFF II
10 July 2018	Reached disbursement milestone of BDT20 Billion
June 2018	Started the process for issuing bonds
3 June 2018	Moved into new Corporate Office at Eskaton
25 November 2017	Organized BIFFL Green Convention & Expo 2017
14 January 2017	Approved BIFFL’s First 5- year Strategic Investment Plan (2017-2021)
11 December 2016	Arranged Green Brick Convention 2016
21 March 2016	Formed a Women Entrepreneur Development Unit (WEDU)
03 June 2014	Signed participation agreement with Bangladesh Bank to participate in the “Financing Brick Kiln Efficiency Improvement Project”
10 October 2013	Signed participation agreement with Bangladesh Bank to participate in the “Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector”
25 June 2012	Ministry of Finance nominates the dignitaries for the formation of an 11-member Advisory Board
01 February 2012	Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL
16 October 2011	Obtained license from Bangladesh Bank
20 April 2011	The first meeting of the BoD held at the Finance Division, Ministry of Finance
12 April 2011	Ministry of Finance approved the formation of the 8-member Board of Directors
11 March 2011	Incorporation of the company with highest paid up capital in the business history of the country (BDT16.0 billion/USD200 million)
29 July 2010	Cabinet meeting approved the formation of BIFFL, its Memorandum of Association and Article of Association



AWARDS AND RECOGNITION



18th ICAB National Award for the Best Presented Annual Reports 2017 under Public Sector Category (Second Prize)



17th ICAB National Award for the Best Presented Annual Reports 2016 under Public Sector Category (Third Prize)



Certificate of Merit for the Best Presented Annual Report Awards and SAARC Anniversary Awards for Corporate Governance Disclosures, 2016 under Public Sector Entities by SAFA



2nd Largest Tax Payer Recognition Award for the assessment year 2016-2017 under NBF1 Category by the NBR



3rd Largest Taxpayer Recognition Award for the assessment year 2017-18 under NBF1 Category by NBR



USGBC LEED Platinum Certification for Corporate Office, December 2018



OUR PHILOSOPHIES

Vision



Leading the promotion of national development by leveraging relative strength of public and private sector through financing infrastructure as well as sustainable development projects.

Mission



- To perform as a highly skilled financial institution by adopting the best international practices and maintaining highest standard of integrity and ethics in financing infrastructure as well as sustainable development projects;
- To encourage inclusive growth and protect the environment for sustainable development;
- To act as a catalyst in developing physical and social infrastructure where private sector participants can contribute alongside the public sector; and
- To provide for a vehicle for capital market development by exploring and utilizing different instruments to capture domestic and foreign investments in infrastructure sectors.

Goals



- To supplement achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects;
- To ensure adequate infrastructure development of the country through promotion of PPP;
- To cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and
- To bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

Objectives



- Creating depth in capital market by issuing public offering;
- Launching innovative financial products;
- Introducing infrastructure bonds as a long-term source of financing;
- Developing a vibrant infrastructure market from the perspective of both the investors and financiers;
- Achieving development goals while conserving nature; and
- Attracting private investment in long-term infrastructure projects by addressing the asset liability mismatch of existing bank finance.



CODE OF CONDUCT

The Code of Conduct sets-forth the rules and principles for the stakeholders i.e. Board of Directors, Board Committees, employees at all levels, business partners, service providers and customers of BIFFL to uphold and promote the interests of the Company.

BIFFL adopted the Code of Conduct as circulated by the Bangladesh Bank through DFIM Circular no.-04 dated 12 December 2017.

BIFFL employees should strictly adhere to the following:

- Display the highest standard of professionalism and commitment to ethics and integrity in their conducts;
- Behave in such a manner that will enrich the image, dignity and reputation of the Company;
- Discharge duties efficiently and faithfully towards protecting the best interests of the Company and its stakeholders;
- Refrain from disclosing confidential and sensitive information of the Company to unauthorized persons; and
- Act as one of the most compliant financial institutions.



CORE VALUES

Core values of BIFFL include the following:

- Ensure excellent working environment where the employees can perform to the best of their abilities;
- Maintain zero tolerance on corruption and sexual harassment in the office;
- Ensure no discrimination against gender, race, religion, color and nationalities;
- Provide equal opportunities for the employees;
- Maintain non-smoking environment in the office;
- Act as a tax-abiding citizen by contributing to the Government exchequers;
- Act as a social entity by participating in CSR activities;
- Nurture a culture of accountability and transparency in its business operations; and
- Conserve energy using best possible technologies and diligent management.



CORPORATE INFORMATION

BOARD OF DIRECTORS

Chairman

Mr. Abdur Rouf Talukder

Secretary, Finance Division, Ministry of Finance

Directors

Khandker Anwarul Islam

Senior Secretary, Bridges Division
Ministry of Road Transport and Bridges

Dr. Ahmad Kaikaus

Senior Secretary, Power Division
Ministry of Power, Energy and Mineral Resources

Mr. Nazrul Islam

Secretary, Road Transport and Highways Division
Ministry of Road Transport and Bridges

Mr. Abu Hena Md. Rahmatul Muneem

Secretary, Energy and Mineral Resources Division
Ministry of Power, Energy and Mineral Resources

Mr. Sajjadul Hassan

Secretary, Prime Minister's Office

Mr. Monowar Ahmed

Secretary, Economic Relations Division
Ministry of Finance

Mr. Md. Ekhlasur Rahman

Additional Secretary, Finance Division, Ministry of Finance

Mr. S. M. Formanul Islam

Executive Director and CEO, BIFFL

EXECUTIVE DIRECTOR & CEO

Mr. S. M. Formanul Islam

COMPANY SECRETARY

Mr. Mohammad Khan FCS

EXECUTIVE COMMITTEE

Chairman

Khandker Anwarul Islam

Members

Dr. Ahmad Kaikaus

Mr. Md. Ekhlasur Rahman

Mr. S.M. Formanul Islam

Secretary

Mr. Mohammad Khan FCS

AUDIT COMMITTEE

Chairman

Dr. Ahmad Kaikaus

Members

Mr. Abu Hena Md. Rahmatul Muneem

Mr. Md. Ekhlasur Rahman

Secretary

Mr. Mohammad Khan FCS

REGISTERED OFFICE

Level 03, Borak Unique Heights
117, Kazi Nazrul Islam Avenue
Eskaton Garden, Dhaka-1217, Bangladesh
IP Phone: +880 963 812 4335
FAX: +880-2-9348518

WEBSITE

www.biffil.org.bd

INCORPORATION

Company Registration No-C91370/11
March 21, 2011

LICENSED BY BANGLADESH BANK

October 16, 2011, DFIM (L)-32

SHARE CAPITAL

Authorized Capital: BDT10,000 Crore
Paid-up Capital: BDT2,108 Crore
Value per Share: BDT100 Each
Ownership: Government of Bangladesh (GoB)
Represented By: Finance Division, Ministry of Finance

AUDITORS

M/s. UHY Syful Shamsul Alam & Co.

Paramount Height (6th Floor)
65/2/1, Box Culvert Road
Purana Paltan, Dhaka-1000



ADVISORY BOARD

The Advisory Board is the apex body of BIFFL. It guides the Board in formulating strategic policies and guidelines for the Company. It also monitors the Company's performance towards achieving the mandated goals for supporting sustainable infrastructure development of the country. The Advisory Board comprises the following nine (9) members:



Mr. A H M Mustafa Kamal, FCA
The Honorable Minister
Ministry of Finance



Dr. Tawfi-E-Elahi Chowdhury
Advisor to the Honorable Prime
Minister for Ministry of Power,
Energy & Mineral Resources



Adv. Nurul Majid Mahmud Humayun
The Honorable Minister
Ministry of Industries



Mr. Obaidul Quader
The Honorable Minister
Ministry of Road Transport
& Bridges



Mr. Khalid Mahmud Chowdhury
The Honorable State Minister
Ministry of Shipping



Kazi M. Aminul Islam
Executive Chairman
Bangladesh Investment
Development Authority (BIDA)



Mr. Fazle Kabir
Governor
Bangladesh Bank



Dr. Zaidi Sattar
Chairman, Policy Research
Institute of Bangladesh



Dr. Mohammed Farashuddin
Former Governor
Bangladesh Bank



BOARD OF DIRECTORS

The Board of Directors of BIFFL is responsible for overall management of the Company including, but not limited to, (a) making policies; (b) overseeing management activities; (c) approving finance proposals; and (d) sourcing of fund for the Company.



Mr. Abdur Rouf Talukder
Secretary, Finance Division,
Ministry of Finance



Khandker Anwarul Islam
Senior Secretary, Bridges
Division, Ministry of Road
Transport and Bridges



Dr. Ahmad Kaikaus
Senior Secretary, Power Division,
Ministry of Power, Energy and
Mineral Resources



Mr. Nazrul Islam
Secretary, Road Transport and
Highways, Ministry of Road
Transport and Bridges



Mr. Abu Hena Md. Rahmatul Muneem
Secretary, Energy and Mineral Resources
Division, Ministry of Power, Energy and
Mineral Resources



Mr. Sajjadul Hassan
Secretary
Prime Minister's Office



Mr. Monowar Ahmed
Secretary,
Economic Relations Division,
Ministry of Finance



Mr. Md. Ekhlasur Rahman
Additional Secretary,
Finance Division, Ministry of Finance



Mr. S.M. Formanul Islam
Executive Director and
CEO, BIFFL



MESSAGE FROM THE CHAIRMAN ADVISORY BOARD



A H M Mustafa Kamal, FCA, MP

Minister of Finance

Government of Bangladesh and

Chairman, Advisory Board, BIFFL

On behalf of the Advisory Board of Bangladesh Infrastructure Finance Fund Limited (BIFFL), I would like to congratulate all Shareholders, Directors, development partners and employees of the company on its 8th Annual General Meeting for successfully completing another financial year.

I am pleased that BIFFL has become a pioneer in infrastructure financing in Bangladesh. Now that

Bangladesh has established itself as a middle-income country, we need to put more efforts into infrastructure development than ever before. In fact, in order to ensure continued growth and create an investment-friendly economic environment in Bangladesh, we have to build robust infrastructure all over the country. BIFFL is in a prime position to ensure that the progress continues, so that we can achieve our development goals 2021 and 2041.

Since its inception in 2011, BIFFL has been actively pursuing its mandate of accelerating economic growth of the country through financing much needed infrastructure. It has since then built up a strong presence in the market. In fact, in the last three years alone, BIFFL has invested Tk.3,000 crore in the infrastructure sector. I am happy to know that aside from its investments in Power, Connectivity and Sustainable development, BIFFL is supporting entrepreneurship, specially women entrepreneurship through its SME and Women Entrepreneurship Development units. Considering BIFFL's stellar performance so far, I believe that it will play a significant role in the nation's overall development.

Finally, I extend my thanks to the employees of BIFFL for their devotion to the company and the nation. Thank you all.

A H M Mustafa Kamal, FCA, MP

25 March, 2019

MESSAGE FROM THE CHAIRMAN



Mr. Abdur Rouf Talukder

Secretary, Finance Division
Ministry of Finance, Government of Bangladesh and
Chairman, Board of Directors, BIFFL

I am pleased to welcome you to the 8th Annual General Meeting of Bangladesh Infrastructure Finance Fund Limited (BIFFL). On behalf of the Board of Directors and Shareholders of BIFFL, I extend my compliments to all concerned for their efforts in the successful journey of BIFFL, thus far. I would like to express gratitude to all the members of the Advisory Board, Board of Directors and Shareholders of BIFFL for their leadership, cooperation, guidance and support in the smooth operations of the company in 2018.

One of the main accomplishments of the economy in FY2017-18 was a 7.86% economic growth, rising from 7.28% in the previous FY. Like past years, major boost of the national growth was from the industrial sector followed by the services sector. The year 2018 was a great year for BIFFL as its financials

indicate strong key performance parameters i.e. profitability, quality of assets, capital adequacy etc. In the fiscal year 2018, the profit after tax stood at Tk.82.83 crore as opposed to 80.41 crore in the previous year. Shareholder's equity increased by 3% (from Tk.2,264 crore to 2,332 crore). BIFFL's capital adequacy ratio is 182.91% against required 10% and the Company is in the green zone in the stress test conducted by Bangladesh Bank. In the last fiscal year, the interest income from term loan was Tk.74.82 crore, while in the reporting year BIFFL earned a total of Tk.113.22 crore as interest income. In the year 2018, BIFFL made direct contribution of Tk.64 crore by paying dividend to the Government and Tk.62 crore as income tax with provision for an additional Tk.14.85 crore to the national exchequer. The financial health of the Company remains stable as it holds a paid-up capital of Tk.2,108 crore, so far the largest in the industry in Bangladesh. BIFFL has flourished in the year 2018 in terms of manpower. With the introduction of the SME unit, Social & Environmental Unit and augmentation of other units through 29 fresh recruits, BIFFL has further strengthened its workforce to rise to the challenges it faces. BIFFL received awards from the Institute of Chartered Accountants of Bangladesh (ICAB) and South Asian Federation of Accountants (SAFA) for its comprehensive annual reports and is shaping up to do even better in the future. The successful organization of the BIFFL Green & PPP Convention & Expo 2018 in Bangladesh's two biggest cities with over 150 stall participants from home and abroad has been another feather in its cap. BIFFL has diversified its portfolio this year with investments in the RMG, Infrastructure, Auto Bricks, Power and various other sectors. Large clients include First Dhaka Elevated Expressway, Bangladesh Economic Zones Authority, JMI LPG, Samsung, GPH Ispat, M.M. Ispahani Limited, Asim Auto Bricks Limited etc. The newly introduced Women Entrepreneurship Development and Green Construction Materials Units have performed well in the competitive market. The SME unit is also

gathering momentum. Thanks to its development partners, BIFFL has leveraged and invested more than Tk.300 crore in energy efficient technology and sustainable development. Moving into its new LEED Platinum certified corporate office is another milestone that the Company can be proud of.

I would like to take this opportunity to thank our existing and prospective borrowers for putting their faith in BIFFL. I would also like to express my heartiest appreciation to all the employees of BIFFL for their sustained dedication. My sincere gratitude goes to all the regulatory bodies - Ministry of Finance, Bangladesh Bank, Registrar of Joint Stock Companies, Securities and Exchange Commission for their valuable guidance and support.

The year 2019 will be a turning point for Bangladesh in many ways. Bangladesh has graduated, ahead of schedule, to a middle-income country status in 2018. It will also continue its efforts towards achieving the sustainable development goals (SDGs) by 2030 as

well as vision 2040 of the Government. The results of this effort will hinge on factors such as accelerated resource mobilization, higher investments in infrastructure, skilled human resources and strong institutional set up. Infrastructure development will play a key role in this regard. I am confident that BIFFL and its employees will overcome these challenges with firm commitment and renewed enthusiasm. Hopefully, with all concerned parties in its side, this trend will be even better for BIFFL.

I wish continued success of BIFFL.



Mr. Abdur Rouf Talukder

Chairman, Board of Directors, BIFFL

DIRECTORS' PROFILE



Mr. Abdur Rouf Talukder

Secretary, Finance Division,
Ministry of Finance and
Chairman, BIFFL

Born in August 1964, in Dhaka, Mr. Abdur Rouf Talukder joined the Bangladesh Civil Service in 1988. He worked in a wide range of Government positions in his long and illustrious career. His specialization is in public finance and economic management. He is the only civil servant in Bangladesh who has experiences of working in the Finance Division in all positions starting as an Assistant Secretary and finally being elevated to the position of the Secretary. In the Finance Division, he has contributed in important areas like budgetary management, macroeconomic

management etc. He was instrumental in implementing Medium Term Budget Framework (MTBF) during 2005-06 and the new Budget and Accounting Classification System (BACS) in 2017-18. He is a passionate advocate of reform in Public Financial Management (PFM) including introduction of IT in PFM and one of the key contributors in drafting the Public Money and Budget Management Act, 2009. He also contributed to the introduction of payroll automation for the Government employees and EFT for pensioners.

Apart from his long career in the Finance Division, Mr. Talukder has worked in the Ministry of Industries, the Ministry of Food, and the Ministry of Information. He also worked in Bangladesh High Commission, Malaysia as the First Secretary (Commercial).

Mr. Talukder holds an M.Sc. in Development Management with major in Public Economic Management and Finance from the University of Birmingham, UK and an MBA from Institute of Business Administration (IBA) of the University of Dhaka. In addition, he attended many professional training courses specialized in public financial management. Some of the highlights are Financial Programming and Policies (FPP), IMF Institute, Washington DC, USA; Public Financial Management: Issues and Solutions, Crown Agents Training & Professional Development Center, London, UK; Fiscal Economics and Economic Management (FEEM), Financial Management Academy (FIMA), Dhaka; Information System Project Management Training, Civil Service College, UK etc.

He was appointed as the Chairman of BIFFL on 8 August 2018.



Khandker Anwarul Islam

Senior Secretary, Bridges Division,
Ministry of Road Transport and Bridges, and
Director, BIFFL

Khandker Anwarul Islam joined Civil Service in 1983 and worked in various capacities both at field and central levels. He worked as Upazila Magistrate, Upazila Nirbahi Officer (UNO), Additional Deputy Commissioner and Deputy Commissioner in-charge in the field administration. He also served as Director in National Sports Council, as Senior Assistant Secretary and Deputy Secretary in Parliament Secretariat, as Director in the Department of Relief and Rehabilitation and as Secretary in National Sports Council. He also discharged his duties as Joint Secretary and Additional Secretary in the Cabinet Division.

He worked in various Development Projects funded by the World Bank, UNFPA, ADB, CIDA, DGIS, UNDP and other development partners as DD, DPD, Project Director and National Project Director. Khandker Anwarul Islam earned his BSS (Hons) and MSS in Social Welfare from the University of Dhaka. He holds a Post Graduate Diploma in Development Planning. He successfully completed a number of foreign trainings in Project Management, HRD Skills for Functional Managers, Private Sector Seed Management etc.

He was appointed as a Director of BIFFL Board on 15 December 2011 and is currently serving as the Chairman of BIFFL's Executive Committee.



Dr. Ahmad Kaikus

Senior Secretary, Power Division, Ministry of Power, Energy and Mineral Resources, and
Director, BIFFL

Dr. Ahmad Kaikus joined the Administration Cadre of Bangladesh Civil Service on 21 January 1986. He worked at different levels of field administration such as Assistant Commissioner, Upazila Magistrate, and Upazila Nirbahi Officer. He also worked on deputation in several organizations that include Directorate of Accommodation, Department of Narcotics Control and Bangladesh Services Limited. At the ministerial level, Dr. Kaikus worked for the Ministry of Public Administration, Ministry of Post and Telecommunications, Economic Relations Division, Power Division and Bangladesh Energy and Power Research Council (EPRC).

Dr. Kaikus also worked as a part-time faculty at the Collin County Community College in Texas, USA and at the American International University- Bangladesh. He regularly attends as guest speaker at the Public Administration Training Centre, Bangladesh Civil Service Academy, and the University of Dhaka.

Dr. Kaikus has an unusual combination of civil service experience and high academic accomplishments with empirical research. His civil service career provided him with a unique opportunity to work in diverse places encompassing both rural and urban areas, regulatory and development agencies, and local government as well as ministerial positions. His academic and research background, on the other hand, made him well conversant of the development policy perspectives.

Dr. Kaikus received his Master of Arts degree in Development Economics from the Center for Development Economics, Williams College, Massachusetts, USA, and PhD in Public Policy and Political Economy from the University of Texas at Dallas, USA. His research focus covers interdisciplinary subjects such as governance, poverty, development, labour market, migration, etc.

He was appointed as a Director of BIFFL Board on 20 February 2017 and is currently serving as the Chairman of BIFFL's Audit Committee.



Mr. Md. Nazrul Islam

Secretary, Road Transport & Highways Division,
Ministry of Road Transport and Bridges, and
Director, BIFFL

Mr. Md. Nazrul Islam joined the Bangladesh Civil Service as an Administrative Cadre of 1984 Batch. He was born in 5th June 1959 in Sherpur District.

In his long career, he has served successfully at different level of the field administration such as

UpazilaNirbahi Officer (UNO) of several upozilas, Deputy Director of Department of Youth Development of Mymensingh, Chief Executive Officer of Netrokona District, Zonal Settlement Officer of Mymensingh, Director General of National Primary Education Academy, Chief Executive Officer of Dhaka North City Corporation (DNCC), Administrator of Dhaka South City Corporation (DSCC), Chairman of Bangladesh Road Transport Authority (BRTA) and Member, Planning Commission. Finally became the Secretary, Road Transport and Highway Division of MoRTBon 15 October 2017.

He was appointed as a Director of BIFFL Board on 7 November 2017.



Mr. Abu Hena Md. Rahmatul Muneem

Secretary, Energy and Mineral Resources Division,
Ministry of Power, Energy and Mineral Resources, and
Director, BIFFL

Mr. Abu Hena Md. Rahmatul Muneem is a highly accomplished civil servant with 32 years' experience in both central and field administration. Having a diverse administrative broad-based knowledge and experience, he joined the Bangladesh Civil Service (Administration) on 21 January 1986. He became the Secretary, Energy and Mineral Resources Division, Ministry of Power, Energy and Mineral Resources on 9 May 2018. He also was the Chairman (in the rank of Secretary) of Bangladesh Petroleum Corporation under the Energy and Mineral Resources Division.

Professionally, he worked in the field Administration as Upazila Nirbahi Officer (UNO), Additional District Magistrate, Charge Officer (Zonal Settlement Office) and Divisional Commissioner. During his responsibilities in the field administration, he played a pivotal role to steer the smooth implementation of Sustainable Development Goals (SDGs), Social Safety Network, Digital Bangladesh through ICT expansion, co-ordination among the different departments, monitoring local government activities, disaster management, fast-track and priority projects of Honourable Prime Minister. He also served in the central administration of the Ministry of Power, Energy and Mineral Resources, Ministry of Public Administration, Ministry of Home Affairs, Ministry of Civil Aviation and Tourism and other departments in different capacities. He has been actively involved in monitoring and overseeing the implementation of Vision 2021 and Vision 2041.

In his academic attainments, he realized his Bachelors and Masters degree in Geology from the University of Dhaka. Later on, he did his MBA (Finance) from the Northern University Bangladesh.

He was appointed as a Director of BIFFL Board on 28 May 2018.



Mr. Sajjadul Hassan

Secretary,
Prime Minister's Office, and
Director, BIFFL

Mr. Sajjadul Hassan joined the Bangladesh Civil Service under the 7th Batch in 1988 and held several key positions both in the field administration and in the Secretariat. He started his career as an Assistant Commissioner in Jamalpur District. Later, he worked at all levels of the field administration such as Assistant Commissioner (Land), Upazilla Nirbahi Officer, Additional Deputy Commissioner, Deputy Commissioner and Divisional Commissioner. As a Deputy Commissioner he served in Cox's Bazar and Sylhet and also worked as the Divisional Commissioner of Sylhet Division. Along with these positions, he worked in various capacities in the Ministry of Public Administration, Ministry of Agriculture and Ministry of Road Transport and Highways Division.

Mr. Hassan did his Bachelor of Science (BSc) and Master of Science (MSc) in Agricultural Economics from Bangladesh Agriculture University (BAU). He also holds an M.Sc. in Environment and Agriculture from the University of Western Sydney, Australia. In addition, he attended many professional training courses specialized in public administration and development. He has a couple of significant publications to his credit. His articles on 'Alternative Farming Systems' and 'Role of Women in Farm Decision Making' were published in reputed journals.

He was appointed as a Director of BIFFL Board on 6 February 2018.



Mr. Monowar Ahmed

Secretary,
Economic Relations Division,
Ministry of Finance, and Director, BIFFL

Mr. Monowar Ahmed joined the Economic Relations Division, Ministry of Finance on 25 October 2018 as the Secretary in-charge. Having joined the Bangladesh Civil Service in 1986 as a member of BCS Administrative Service 1984 Batch, he served in different Ministries and Divisions including Cabinet Division, Ministry of Public Administration, Ministry of Local Government, Rural Development and Cooperatives in various capacities. Mr. Ahmed's journey in ERD kicked-off in July 2006 as a Deputy Secretary. Immediately before taking the current assignment, he served in the same Division as an Additional Secretary and the founding Wing Chief of the newly established Development Effectiveness Wing.

During his career as a civil servant spanning over 32 years, Mr. Ahmed has garnered diversified experience, particularly in dealing with the issues pertaining to Paris Declaration on Aid Effectiveness, Accra Agenda for Action and Busan Partnership Agreement. Among the civil servants of the Government, he pioneered the activities regarding the Development Effectiveness and brought this issue into the policy discourse. He was involved with the preparation of Busan Partnership Agreement as an Alternate Sherpa from Bangladesh and was a member [alternate] of the Post-Busan Interim Group (PBIG) from Bangladesh. He was also involved with the preparation of Bangladesh Report on Paris Declaration Evaluation, OECD-DAC Survey, Harmonization Action Plan and Joint Cooperation Strategy. His involvement as member of Working Party on Aid Effectiveness and task team on Monitoring the Paris Declaration are considered as instrumental in steering the effective development cooperation related activities. He also worked as focal person on SDGs, Istanbul Program of Action (IPoA) and LDC Graduation.

At the Global arena, he acted as the Alternate Vice-Chair of IATI Governing Board and co-chaired the Global Partnership Initiatives on Results & Mutual Accountability with Switzerland. Currently, he has devoted his service towards localization of Development Effectiveness Principles at the country level. Apart from these, he is working as the Alternate Co-Chair of Global Partnership for Effective Development Cooperation (GPEDC). He obtained his Bachelors and Masters degrees from the Department of Economics, Jahangirnagar University. Later he pursued Masters in Administrative Science from the German University of Administrative Sciences, Speyer, Germany in 1998.

He was appointed as a Director of BIFFL Board on 23 December 2018.



Mr. Md. Ekhlasur Rahman

Additional Secretary, Finance Division,
Ministry of Finance, and
Director, BIFFL

Mr. Md. Ekhlasur Rahman joined in the Audit and Accounts Cadre in 1988 and served in different capacities. In 2006, he joined the Finance Division as a Deputy Secretary and is currently assuming the position of an Additional Secretary. Mr. Rahman is the Director of Bangladesh Development Bank Ltd. (BDBL) and also serving as the Chairman of its Audit Committee. He is also serving as a board member of Nuclear Power Plant Company Bangladesh Ltd., Bangladesh Cable Shilpa Ltd., Financial Reporting Council (FRC), Padma Oil Company Ltd. and SAARC Development Fund (SDF).

Mr. Rahman obtained his graduation and post-graduation degrees from the Department of International Relations, the University of Dhaka. He also obtained a post-graduate diploma in International Relations and Development from the Institute of Social Studies (ISS), The Hague, Netherlands. In 2000-2001, he obtained his MBA from the Maastricht School of Management (MSM), the Netherlands.

Mr. Rahman attended many professional training courses specialized in Public Administration and Public Finance Management such as Advance Course on Administration and Development from BPATC; Financial Programming and Policies, IMF Institute, Washington, D.C, USA; Managing at the Top (MAAT) Courses from Asian Institute of Technology (AIT) and Wolverhampton University, UK; Negotiation Skill and Public Management from Open University, Malaysia; Negotiation skills and Development Administration from Duke University, USA; Public Debt Management, UNITAR, Geneva, Switzerland; Public Debt Management from Tbilisi, Georgia; and Foreign Exchange Reserve Management from South Korea.

He was appointed as a Director of BIFFL Board on 6 February 2018.



Mr. S. M. Formanul Islam
Executive Director & CEO, BIFFL

Mr. S. M. Formanul Islam, a Lee Kuan Yew Fellow from Bangladesh, did his Master in Public Management (MPM) from the National University of Singapore (offered jointly with Harvard Kennedy School of Government) in 2014. Earlier, he completed his Master of Laws (LL.M) from Bond University, Australia in 2000, and Bachelor of Laws (LL.B) from Calcutta University, India in 1998.

Since June 2015, he has been working with Bangladesh Infrastructure Finance Fund Limited (BIFFL) as the Executive Director and CEO. Before joining BIFFL, he worked as the Deputy CEO at Infrastructure Development Company Limited (IDCOL), another non-bank financial institution owned by the Government of Bangladesh.

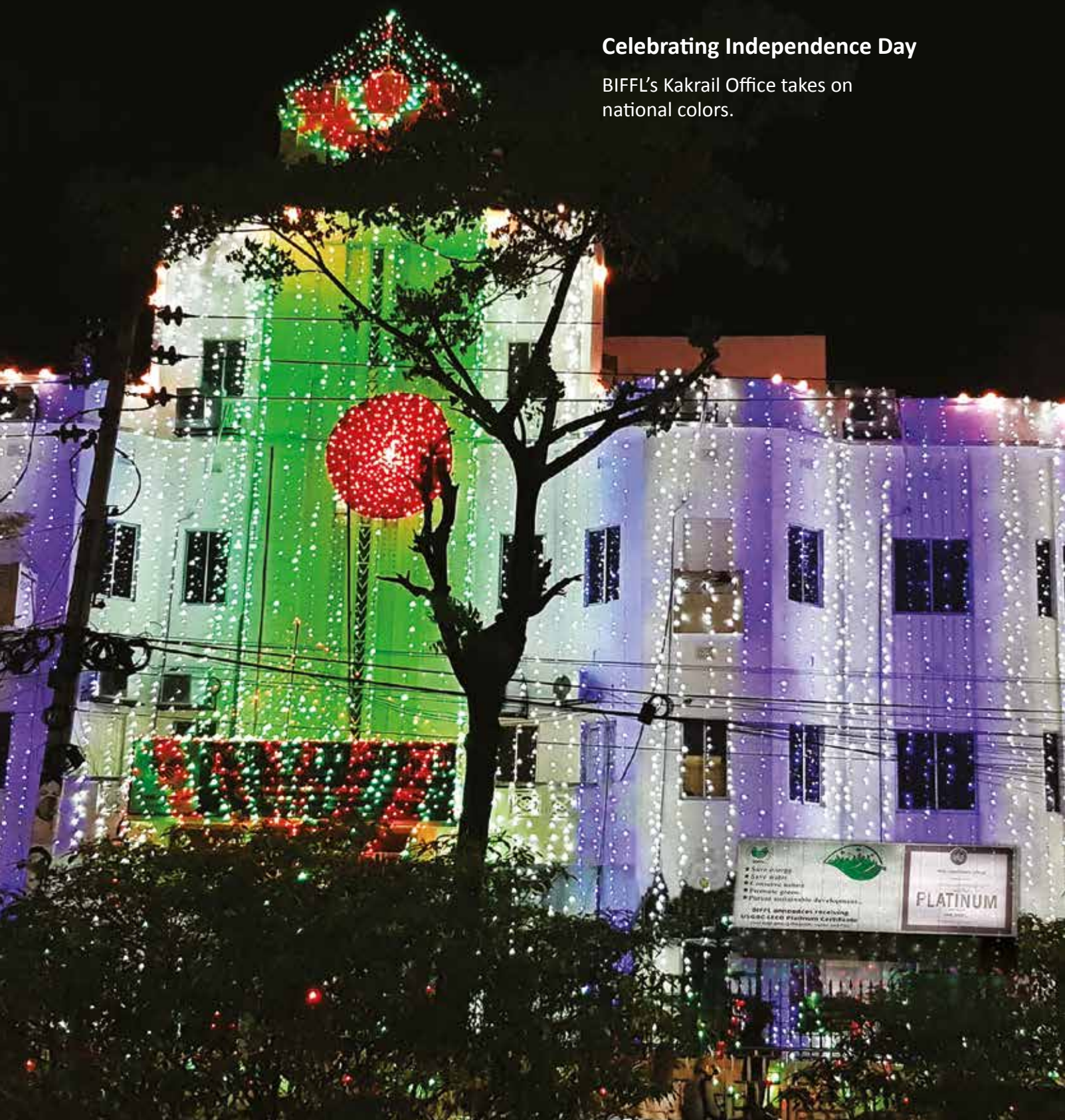
Mr. Islam has undertaken several trainings home and abroad on Project Finance and Implementation of Renewable Energy Programs from globally reputed institutions i.e. Institute of Public Private Partnership (IP3), U.S.A, International Development Law Organization (IDLO), Rome, Italy etc. He is a regular faculty of Project Finance training courses conducted by IDCOL as well as BIFFL.

He also taught Alternative Dispute Resolution (ADR), as a part-time Assistant Professor, at BRAC Law School in fall semesters for several years.

He was appointed as the Executive Director and CEO of BIFFL on 1 June 2015.

Celebrating Independence Day

BIFFL's Kakrail Office takes on national colors.





DIRECTORS' REPORT

With the reporting year ending on 31 December 2018, the Board of Directors has the pleasure to present the 8th Annual Report of Bangladesh Infrastructure Finance Fund Limited (BIFFL) together with audited financial statements which have been prepared in compliance with section 184 of the Companies Act, 1994, and regulations of Bangladesh Bank and other regulators applicable. The key financial results achieved in 2018 and other material developments/changes took place during January 2018 to March 2019 are discussed in this report aligning the major objective of the organization.

1. Strategic Pillar

The Vision 2021 and the Perspective Plan 2010-2021 of the Government of Bangladesh (GoB) have set development goals for Bangladesh by the end of 2021 to transform the socio-economic condition of the country from low-income economy to a middle-income economy. Along with higher per capita income, the Vision 2021 focuses on a development scenario with higher standard of living of the citizens, better education, social justice, equitable socio-economic environment, social security and sustainable development ensuring protection of environment and nature.

Undeniably, the country still lacks of adequate infrastructure in power and energy, communication as well as transportation facilities which affects the economy from realizing its growth potentials. The main reason for inadequate infrastructure is insufficient investment. Since 2007, Bangladesh has more people of working age than non-working, offering a great demographic dividend, and by 2040 this window of opportunity to accelerate economic growth might not be available any more. Now, about 65% of the population are of working age, between 15 and 64. Yet, Bangladesh is unable to exploit the full potential of the demographic dividend as it cannot create adequate number of jobs for the working-age population. It is expected that

infrastructure development will contribute a lot in economic growth and employment generation.

The GoB has prioritized Public Private Partnership (PPP) program as a key initiative for increasing investment in infrastructure and supporting the realization of Vision 2021 as well as Perspective Plan 2010-2021. In line with this, the GoB formed BIFFL to promote country's economic development by facilitating and encouraging private sector investment in infrastructure projects as a professional financial institution by adopting internationally accepted best practices and maintaining the highest level of moral and ethical standards.

Being established in 2011, BIFFL approved 61 financing proposals in sectors such as Power and Energy, Transport and Communication, Economic Zones, Green and Energy Efficient Projects and Healthcare. It disbursed BDT2,907 crore to 41 projects. According to its 5-Year Strategic Investment Plan (2017-2021), BIFFL has to invest about BDT13,751 crore by 2021 where the proposed investment allocation is 27% for the Power Sector, 21% for the Economic Zones, 12% for the Green and Renewable Projects, 23% for the Transportation and Communication, 8% for Tourism Infrastructure, 4% for the Social Infrastructure, 2% for the Women Entrepreneurs, and 4% for SME and other Infrastructure Projects. Considering the infrastructure financing requirement of the country till 2021, BIFFL's plan will account for only 2.22%.

2. Current World Economy

According to the United Nation's World Economic Situation and Prospects (WESP) 2018 report, Global growth is expected to remain at 3.0% in 2019 and 2020. In many developed countries, growth rates have risen close to their potential, while unemployment rates have dropped to historical lows. Among the developing economies, the East and South Asia regions remain on a relatively strong growth trajectory, amid robust domestic demand

conditions. Beneath the strong global headline figures, economic progress has been highly uneven across regions. Despite an improvement in growth prospects at the global level, several large developing countries saw a decline in per capita income in 2018. Even among the economies that are experiencing strong per capita income growth, economic activity is often driven by core industrial and urban regions, leaving peripheral and rural areas behind.

The short-term growth outlook for East Asia remains robust, bolstered by resilient domestic demand and accommodative policies in most economies. Private consumption remains the key driver of growth in East Asia, supported by healthy job creation, rising incomes, and moderate inflationary pressures. For several countries, including Bangladesh, Myanmar, Thailand and the Republic of Korea, consumer spending have been lifted by substantial increase in the minimum wages in 2018.

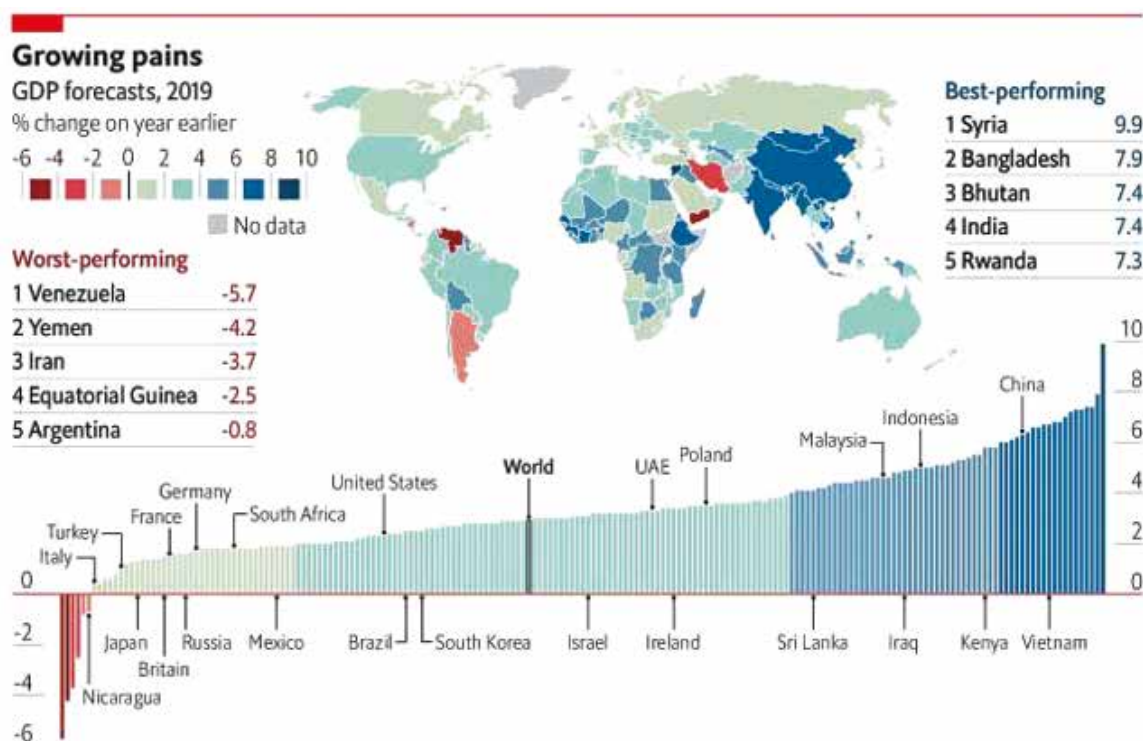
According to the WESP 2018 report, the regional growth is expected to accelerate to 7.1% in 2019, underpinned by strengthening investment and robust consumption. India is forecast to accelerate to 7.3% in FY 2018-19 as consumption remains robust and investment growth continues, Bangladesh is expected to slow to 7.0% in FY2018-19 as activity

is supported by strong private consumption and infrastructure spending. Pakistan's growth is projected to decelerate to 3.7% in FY2018-19, with financial conditions tightening to help counter rising inflation and external vulnerabilities. Sri Lanka is anticipated to speed up slightly to 4.0% in 2019, supported by robust domestic demand and investment boosted by infrastructure projects. Nepal's post-earthquake momentum is forecast to be moderate, and growth might slide to 5.9% in FY2018-19.

3. Economic Growth of Bangladesh

Earlier, in a country report on Bangladesh, published on 4 December 2018, the Economist Intelligent Unit (EIU) stated that growth of Bangladesh from the FY2018-19 to FY2022-23 will be driven mainly by strong increases in private consumption and gross fixed investment. The Gross Domestic Product (GDP) is expected to grow by 7.9% this year, making it the second-best performing economy in 2019. The EIU also forecasted that Bangladesh will experience a real GDP growth of 7.7% per year during the period, bolstered by increases in private consumption and investment.

Apart from Bangladesh, neighboring India will again be the fastest-growing big economy, maintaining its estimated 2018 rate of 7.4%, reports the Economist.



Source: Economist Intelligence Unit

Bangladesh has maintained an impressive track record on growth and development aspiring to be a middle-income country by 2021. According to an estimate of Bangladesh Bureau of Statistic (BBS), country's GDP growth was driven by strong domestic demand with support from robust credit growth, export and remittance inflows. Economic activities will remain buoyant in FY19.

4. Key Economic Challenges in 2019

Key economic challenges to improve in 2019 includes macroeconomic stability, revenue mobilization, reducing energy and infrastructure deficit, financial sector and trade reform, urban management, labor skill development, service sector development, higher education management and quality assurance etc. In spite of the political stability, reducing distortion in environment is also important for a sustainable growth.

Bangladesh will need to manage the urbanization process more effectively, as well as prepare for adaptation to climate change impacts.

Reference:

Perspective Plan of Bangladesh (2010-2021)

World's economic situation and prospect (WESP) 2018-19;

Monitory Policy Statement (Jan-Jun 2019)

www.worldbank.org/en/country/bangladesh/overview

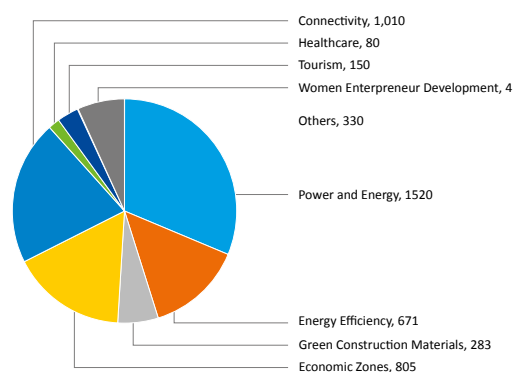
www.worldbank.org/en/news/press-release/2019/01/08/darkening-prospects-global-economy-to-slow-to-29%in-2019-as-trade-investment-weaken

5. BIFFL's Performance as of 2018

5.1 Sectoral Investment

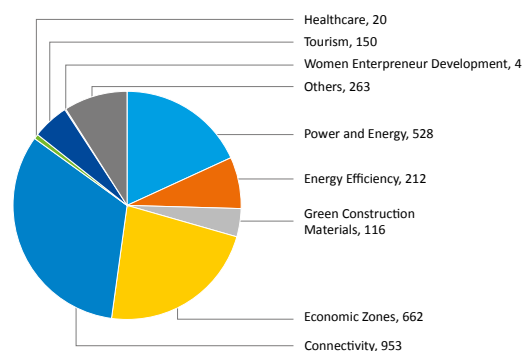
BIFFL's Board has approved 61 loan proposals amounting BDT4,853.19 crore in different sectors such as Power and Energy, Connectivity, Economic Zones, Healthcare, Tourism, Energy Efficiency and Green Construction Material projects.

Sector wise financing approval (in BDT Crore)



As on 28 February 2019, BIFFL financed BDT2,907.13 crore among the approved project as per requirement schedule of the projects.

Sector wise disbursement (in BDT Crore)



5.2 Outstanding Status

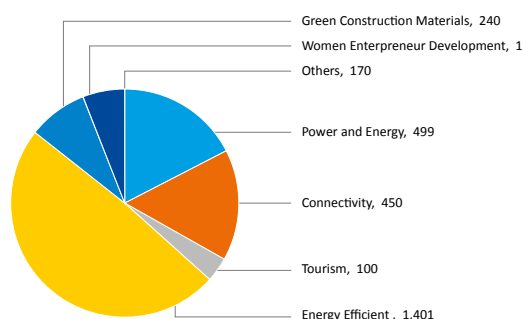
Among the financed projects by BIFFL most accounts are regular in repayment. As on 28 February 2019 BDT2,006.53 crore was loan outstanding.

Only one account named Computer Source Limited has become BL (bad and loss) in repayment of the investment in a commercial paper raised through a syndication of Banks and FIs. BIFFL management has filed cases under the Negotiable Instrument Act, 1881 and Artha Rin Adalat Ain, 2003. Both the cases are under trial.

5.3 Proposals in Pipeline

A number of projects BDT2,861 crore in different sectors are under consideration, as follows:

Pipe Line of Project Financing



Besides, in the sector of Green and Energy Efficiency, 8 projects of BDT617 are under consideration for financing. Under the WEDU (Women Entrepreneur Development Unit) 15 projects of BDT1.50 crore are under consideration.

5.4 Sources of Fund

The growth of Company's loan portfolio requires alternative sources of fund in the coming years. Out of the investment plan of BDT13,751 crore (2017-2021), BDT6,118 crore is expected to be financed from BIFFL's own sources and rest of the amount from the Development Agencies as secured/unsecured loans; through issuance of local/foreign currency bonds, through private equity placement and Initial Public Offering (IPO) of Shares, from Investment by strategic partner(s) and taking loans from the GoB. Meanwhile, the Company has started the process for issuance of Bond of BDT500 crore which is expected to be available by April 2019. At the same time, it is going to engage advisor for raising fund through private equity placement and IPO. As per recommendation of the Merchant Bankers, BIFFL has concentrated to expand its leverage and EPS (earning per share) to attract the potential investors.

BIFFL is also continuing discussion for sourcing additional finance from development partners i.e. JICA, ADB, KfW, World Bank and AFD etc. Again, JICA is considering supporting strengthening agricultural value chain towards sustainable growth through a project titled 'Agriculture Value Chain Improvement Project'. The project may include two components i.e. financial support and technical assistance. They are actively considering BIFFL as a potential implementing agency for the Project.

BIFFL is receiving development support from different development partners, as follows:

EE&CPFP

From the Energy Efficiency and Conservation Promotion Financing Project (EE&CPFP) under the Japanese ODA loan package, dated November 2014 between Japan and GoB, a total loan of JPY9,978 million or approximately USD95 million are equally available to both BIFFL and IDCOL. BIFFL received JPY574 million or approximately USD5.50 million for consultancy services as grant. This service could be used for 6 years. BIFFL would only bear the costs related to Administrative, VAT, Income tax etc.

IPFF-II project

The loan under Investment Promotion and Financing Facility (IPFF)-II is USD416.70 million, out of which the contribution from IDA (International Development Association) is USD356.70 million with a Scale-up Fund (SUF) of USD100 million. The remaining USD60 million is the responsibility of the GoB. BIFFL is a Participating Financial Institution to implement the project having a unique allocation of USD30 million for financing through innovative financial instruments.

PPIDF-3

A project review and consultation mission from the ADB visited Bangladesh from 28-29 January 2019 to conduct project review on 'Third Public-Private Infrastructure Development Facility (PPIDF-3)'. In terms of project structure, the ADB's US Dollar funds might be provided to BIFFL in equivalent local currency. The proposed loan amount is about USD100 million.

BIFFL has a vision to raise fund from international market and is looking for cooperation and support from globally reputed firms. In this connection, BIFFL recently signed a Memorandum of Understanding (MoU) with Blue Mount Capital (WA) Pty Ltd., which is an Australian registered corporate finance group providing corporate advisory support and traditional investment banking service and fund management facility for clients across Asia Pacific.

5.5 Financial Outcome

The company has completed its financial year-2018 and got the financial transactions audited by the external auditor as per applicable law and regulations shown below:

Parameters	2017 (in BDT crore)	2018 (in BDT crore)	Change in %
Total Asset	2,582	3,015	16.77%
Current Liabilities	318	683	114.78%
Capital/Shareholders Equity	2,264	2,332	3.00%
Total Revenue	165	200	21.21%
Total Operating Expenses	13	16	23.08%
Total Profit before Provision & Income Tax	152	185	21.71%
Provision of Loan Lease & Advances	8	25	212.50%
Provision for Income Tax	64	77	20.31%
Net Profit after Income Tax	80	83	3.75%
Earnings per Share (EPS)	3.81	3.93	4.00%

6. Dividend Declaration for 2018

In 2017, the net profit after tax and provision was BDT80.41 crore and the accumulated retained earnings was BDT65.13 crore (after statutory reserve). For 2017 BIFFL declared cash dividend of BDT15 crore and stock dividend of BDT49 crore to the Government. In 2018, BIFFL earned the net profit after (tax and provision) of BDT82.83 crore and the accumulated retained earnings stands at BDT67.40 crore as per the audited financial statement.

BIFFL had been issuing stock dividend from 2014 and the paid-up capital increased to BDT2,108 crore from BDT1,600 crore during last 7 years of operation. Due to increase of paid up capital the earning per share (EPS) had been reducing though net profits were increasing.

Pursuant to the provision of the Financial Institution Act 1993, Bangladesh Securities and Exchange Commission and in line with BIFFL's Strategic Investment Plan (2017-2021), the company is to raise its capital fund through private equity placement and initial public offering (IPO) where

the EPS (earning per share) is one of the vital determinants for attracting investors and getting approval from Bangladesh Securities and Exchange Commission for public issue. Without attractive EPS it might not be possible for issuing BIFFL's shares at a premium price. Some reputed merchant bankers (issue managers) in a meeting with BIFFL also advised to raise the EPS by increasing leverage of the company.

In view of the above, BIFFL's Board in its 73rd meeting recommended cash dividend of BDT20 crore only for 2018. The remaining BDT47.40 crore will be carried forward as retained earnings in the FY2019.

7. BIFFL's contribution to the Government Exchequer/National Treasury

In 2018, BIFFL deposited BDT62 crore to the Government Exchequer/National Treasury (BDT53 crore as advance tax against income and BDT8.99 crore as source tax deducted from bank deposit and income). Besides, the company deposited BDT53.78 lac as VAT. Notably, since 2011, BIFFL deposited about BDT600 crore to the National Treasury as Tax and it was awarded as one of the Largest Tax Payer in the last couple of fiscal years in Financial Institution category.

8. BIFFL's contribution to achieving SDGs

The 2030 Agenda comes at a time when Bangladesh has already kicked-off its journey towards an upper-middle income country by 2030 and a developed country by 2041. Bangladesh has incorporated priorities of Sustainable Development Goals (SDGs) in all its development policies. In this connection BIFFL was formed as a unique organization working for infrastructural development, Environment and Climate as well as Women empowerment which directly impact on poverty eradication, redressing gender disparity and sustainable development of the country through partnership between the private and public sector.

By financing infrastructure projects, BIFFL contributes to the achievement of SDG-8, SDG-9 and SDG-11. BIFFL has been working with different multilateral development partners for capacity development (Technical Assistance) for energy efficiency and conservation promotion, Infrastructure development and Agriculture value

chain improvement projects which reflect on achievement of SDG-11 (partnership for the goal). It already approved 20 projects of auto bricks (tunnel kiln) and energy efficient technology amounting about BDT1,000 crore which reflected on SDG. BIFFL formed a Women Entrepreneurs Development Unit (WEDU) in 2017 and finances the poor women entrepreneurs for economic development and growth which impact on their economic status, social empowerment and redressing gender disparity which reflects on achievement of SDG-5 (Gender Inequality).

9. Administrative and Human Resources function

Human resource (employees) is the most vital component to determine the success or failure of an organization. An organization's business function will not be complete without effective engagement of human resources which influences the organization's profitability, and their capacity cannot be substituted by machines. With this belief BIFFL recruits and engages talented officials

and proactive staff in order to maintain the organization's top class services. Currently, the number of employees is 85.

The Company has a plan to increase its staff strength matching the requirement driven by its growth.

The BIFFL Board and Management also attached importance to continuous development of professional skills, knowledge and expertise of employees through training (local and foreign), exposure and exchange programs.

In BIFFL, the gender ratio of male and female employees is 3:1 and the employee turnover is about 9%. In 2018, the net income per employee stands at BDT98.88 lac.

In 2018, BIFFL has shifted its corporate office to Borak Unique Heights (Level-3) at 117, Kazi Nazrul Islam Avenue, Eskaton Garden, Dhaka-1217, which has been certified as LEED platinum by USGBC (United State Green Building Council). BIFFL office is the first LEED Platinum certified office among the financial institutions in Bangladesh.

10. Shareholding Structure

Shareholders	Shares position at the end of year							
	2011	2012	2013	2014	2015	2016	2017	2018
Finance Division, Ministry of Finance (MoF)	159,999,984	159,999,984	159,999,984	159,999,984	193,999,984	200,999,984	205,899,984	210,799,984
Secretary, Finance Division, MoF	10	10	10	10	10	10	9	9
Secretary, Bridges Division Ministry of Road Transport and Bridges (MoRTB)	1	1	1	1	1	1	1	1
Secretary, Economic Relations Division, MoF	0	0	0	0	0	0	1	1
Secretary, Energy & Mineral Resource Division, Ministry of Power, Energy and Mineral Resources (MoPEMR)	1	1	1	1	1	1	1	1
Secretary, Power Division, MoPEMR	1	1	1	1	1	1	1	1
Secretary, Road Transport and Highways Division, MoRTB	1	1	1	1	1	1	1	1
Secretary, Prime Minister's Office	1	1	1	1	1	1	1	1
Additional Secretary, Finance Division, MoF	1	1	1	1	1	1	1	1
Total	160,000,000	160,000,000	160,000,000	160,000,000	194,000,000	201,000,000	205,900,000	210,800,000

11. Board of Directors

The Board of Directors of BIFFL comprises eight Government officials from different Ministries and a fulltime Executive Director & Chief Executive Officer. The Board makes the policy & guidelines, approves

the loan and monitors management functions. The CEO conducts the day to day business affairs of the Company under the supervision of the Board.

11.1 Existing Board of Directors

Sl	Name	Designation	Appointment
1	Mr. Abdur Rouf Talukder	Chairman	8-Aug-18
2	Khandker Anwarul Islam	Director	15-Dec-11
3	Dr. Ahmad Kaikaus	Director	20-Feb-17
4	Mr. Abu Hena Md. Rahmatul Muneem	Director	28-May-18
5	Mr. Md. Nazrul Islam	Director	7-Nov-18
6	Mr. Sajjadul Hassan	Director	6-Feb-18
7	Mr. Monowar Ahmed	Director	23-Dec-18
8	Mr. Md. Ekhlaur Rahman	Director	6-Feb-18
9	Mr. S. M. Formanul Islam	Executive Director	01-Jun-15

11.2 Change of Directors in 2018-2019 (up to March)

In order of the date of joining:

Sl.	Name	Designation	Appointment	Ceased
1	Mr. A.R.M Nazmus Sakib	Director	3-Nov-11	6-Feb-18
2	Khandker Anwarul Islam	Director	15-Dec-11	Continuing...
3	Mr. Suraiya Begum, ndc	Director	11-Apr-15	6-Feb-18
4	Mr. Nazimuddin Chowdhury	Director	14-Jan-16	28-May-18
5	Dr. Ahmad Kaikaus	Director	20-Feb-17	Continuing...
6	Mr. Md. Nazrul Islam	Director	7-Nov-18	Continuing...
7	Kazi Shofiqul Azam	Director	11-Sep-18	23-Dec-18
8	Mr. Mohammad Muslim Chowdhury	Director	7-Nov-18	8-Aug-18
9	Mr. Sajjadul Hassan	Director	6-Feb-18	Continuing...
10	Mr. Md. Ekhlaur Rahman	Director	6-Feb-18	Continuing...
11	Mr. Abu Hena Md. Rahmatul Muneem	Director	28-May-18	Continuing...
12	Mr. Abdur Rouf Talukder	Director	8-Aug-18	Continuing...
13	Mr. Monowar Ahmed	Director	23-Dec-18	Continuing...

11.3 Board Meeting and Attendance

In 2018, 12 Board Meetings were held. The attendances of the meeting from January 2018 to February 2019 are as follows:

Directors	No of Meeting	No of attendance	Presence (%)	No of absence	Remarks
Mr. A.R.M. Nazmus Sakib	1	1	100%	-	
Khandker Anwarul Islam	15	9	60%	6	Absent in 60 th , 65 th , 68 th , 69 th , 73 rd & 74 th meeting
Mr. Suraiya Begum, ndc	1	1	100%	-	
Mr. Nazimuddin Chowdhury	6	4	67%	2	
Dr. Ahmad Kaikaus	15	8	54%	7	Absent in 62 nd , 66 th , 67 th , 68 th , 71 st , 73 rd & 74 th meeting
Mr. Md. Nazrul Islam	15	6	40%	9	Absent in 61 st , 62 nd , 66 th , 67 th , 70 th , 71 st , 72 nd , 73 rd & 74 th meeting
Kazi Shofiqul Azam	12	10	83%	2	Absent in 60 th , 65 th meeting
Mr. Mohammad Muslim Chowdhury	8	8	100%	-	
Mr. Sajjadul Hassan	15	9	60%	6	Absent in 61 st , 62 nd , 65 th , 66 th , 73 rd & 74 th Meeting
Mr. Md. Ekhlaur Rahman	15	14	93%	1	Absent in 63 rd Meeting
Mr. Abu Hena Md Rahmatul Muneem	10	8	80%	2	Absent in 73 rd , 74 th meeting
Mr. Abdur Rouf Talukder	8	8	100%	-	
Mr. Monowar Ahmed	4	3	75%	1	Absent in 71 st meeting

11.4 Directors' Rotation in the 8th Annual General Meeting

Pursuant to the provision conferred in the section 91(2) of the Companies Act, 1994 and the regulation 79-83 of the schedule-I of the Companies Act 1994, the one third (1/3) of the Directors who are senior most in terms of the tenure of directorship in the Board would retire in the 8th AGM of BIFFL. The following Directors would retire in the ensuing AGM.

Name of Director	Designation	Date re-election
Mr. Nazrul Islam	Director	17-Nov-17
Mr. Sajjadul Hassan	Director	06-Feb-17
Mr. Ekhlaur Rahman	Director	06-Feb-17

11.5 Board Committees

The Board of Directors constituted two committees i.e. the Executive Committee and Audit Committee as sub-committees of the Board consisting of different Board members vide Board Meeting dated 19 August 2014. The Board also took note of formation of different committees like Management Committee, Risk Management Forum, Core Risk Committee, Purchase Committee, Tender Evaluation Committee etc.

12. Extension of Service of the Chief Executive Officer

The Chief Executive Officer (CEO) of BIFFL, Mr. S.M. Formanul Islam was appointed initially on 01-06-2015 for 3 years which was expired on 31-05-2018. Considering his performance, BIFFL's Board in its 64th meeting held on 07-05-2018 approved the extension his service for the next 3 years, up to 31-05-2021.

13. Audit of the Financial Statements for FY2018

The auditor, M/s. UHY Syful Shamsul Alam & Co. audited the financial statements and transaction papers for the FY2018 and submitted unqualified Audit Report.

14. Appointment of External Auditors

The Board in its 73rd Meeting recommended the reappointment of the firm for the year 2019.

15. Corporate Governance

BIFFL has been trying to follow BSEC Corporate Governance Guidelines in its operations. Besides, the Board emphasizes on transparency and accountability. A separate detailed report on Corporate Governance is included as part of the Annual Report.

16. Regulatory Compliance

BIFFL has complied with the provision of the Companies Act, 1994 and all rules and regulations of the regulators such as Registrar of Joint Stock Companies and Firms (RJSC), Bangladesh Bank, Bangladesh Securities and Exchange Commission, etc. during the FY2018. Under section 184 of the Companies Act, 1994 and BSEC Corporate Governance Guide lines, Condition-1.5, we report that:

1. The Financial Statements prepared by the Management of the company presents the Company's State of Affairs, Cash Flows and Changes in Equity;
2. Proper Books of Accounts of the Company are maintained;
3. Appropriate Accounting Policies have been consistently applied in preparation of the Financial Statements and the accounting estimates are based on the reasonable and prudent judgment;
4. International Accounting Standards (IASs), as applicable in Bangladesh, has been followed in preparation of the Financial Statements and any departure there has been adequately disclosed;
5. The system of financial control is sound in design and has been effectively implemented and monitored;

6. There is no significant doubt upon the Company's ability to continue as a Going Concern;
7. The key operating and financial data for the last 5 years is given succinctly;
8. The Board has recommended dividend for the year-2018;
9. During the year of 2018, 12 meetings were held, and the Directors have served the Board with their position;
10. The pattern of shareholding of BIFFL is fully government-owned as on 31 December 2018.

Acknowledgement

The Board of Directors of BIFFL takes this opportunity to express its heartiest appreciation and gratitude to the valued shareholders, borrowers and other stakeholders including there regulatory bodies, auditors, bankers, employees and business associates for their continued support and immense cooperation towards the success of the Company. The Board also expresses its deep gratitude to Bangladesh Bank, Bangladesh Securities and Exchange Commission, Registrar of Joint Stock Companies and Firms, National Board of Revenue and other regulatory bodies for their valuable guidance and advice extended to the Company from time to time. The Board pleasure to thank M/s UHY Syful Shamsul Alam, the Auditors of the company for the year-2018 for their efforts.

The Board believes that, BIFFL will be able to play a significant role in the national economy by contributing insustainable development of infrastructure while conserving the environment and nature.

For and on behalf of the Board of Directors,



Abdur Rouf Talukder
Chairman

CEO's REPORT



Mr. S. M. Formanul Islam, Executive Director & CEO, BIFFL

Dear all,

I have the honour to report to you that amid financial, economic and environmental challenges, BIFFL has completed another eventful year with remarkable success!

I, on behalf of BIFFL family, would like to have this opportunity to express my sincere gratitude to the Advisory Board, Board of Directors as well as Shareholders of BIFFL for their continued support, guidance, inspiration and trust in the management in running the Company smoothly. The young, energetic and multi-tasking employees of BIFFL deserve special mention for their challenging works, dedication and firm commitment towards achieving Company's goals with relative ease. Our borrowers and investment partners are the main drivers of the success. We believe in sustained relationship with mutual benefits and creating an enabling environment where all of us can thrive and contribute to the development of much needed

infrastructure of our country. We appreciate our borrowers and investment partners for approaching us for finances and advisory services. I would also like to request the potential project developers to give us an opportunity to join hands with you in developing infrastructure as well as sustainable development projects in the country.

Global economic outlook

The global economy in 2018 started with strong, synchronized growth. However, as the year progressed, the momentum faded and growth trends diverged. The US economy accelerated, while the economies of the Eurozone, the UK, Japan and China began to weaken. These divergent trends may persist in 2019. According to IHS Markit, a data and information services business, global growth will edge down from 3.2% in 2018 to 3.1% in 2019, and keep decelerating over the next few years.

One major risk in the coming year is the sharp drop-off in world trade growth, which fell from over 5% at the beginning of 2018 to nearly zero at the end. With anticipated escalation in trade conflicts, a contraction in world trade could drag down the global economy even more. At the same time, the combined effects of rising interest rates and surging equity and commodity market volatility indicates that financial conditions worldwide are tightening. These risks point to the increasing vulnerability of the global economy to further shocks, and the rising probability of a recession in the next couple of years.

Emerging markets may face a number of headwinds, including slow growth in advanced economies and world trade; stronger US dollar; tightening financial conditions globally; and rising political uncertainty in countries such as Brazil and Mexico. A few countries will be able to buck these trends, especially dynamic economies with low levels of debt, notably in Asia. According to the World Bank global economic prospect, South Asian economic growth is expected to accelerate to 7.1% in 2019, underpinned by strengthening investment and robust consumption. India is forecast to accelerate to 7.3% in FY2018-19 as consumption remains robust and investment growth continues, Bangladesh is expected to slow to 7% in FY2018-19 as activity is supported by strong private consumption and infrastructure spending.

(Source: World Economic Forum Annual Meeting)

Bangladesh economic review

Bangladesh achieved a remarkable GDP growth of 7.86% in FY2017-18, the highest ever in the history of the country's economy. The economy has an impressive track record of achieving steady growth of 6.3% on an average for more than a decade. Bangladesh's Gross National Income (GNI) per capita now stands at USD1,751 in FY2017-18, well above the USD1,242-mark, prerequisite for becoming a lower-middle income country from a least developed one *(Source: Bangladesh Bureau of Statistics -BBS)*.

According to London-based Economic Intelligence Unit (EIU), Bangladesh's GDP is expected to grow up

to 7.9%, making it the second-best performing major economy in 2019. In a country report, the EIU stated that Bangladesh will experience a real GDP growth of 7.7% per year during 2018-2023 period, driven mainly by strong increases in private consumption and gross fixed investments. The EIU forecasts that gross fixed investment and private consumption will grow up by an average of 9.9% and 10.6% per year, respectively, during the same period, from the averages of 9.3% and 6.3% in the preceding five-year. On a factor-cost basis, economic growth will continue to be driven by services and industry. In the next five years, EIU expects the current-account deficit to amount to the equivalent of 1.9% of GDP on an average, owing to increased imports of inputs for infrastructure development as well as oil.

The report predicts that the policy agenda for the upcoming five years will focus on incentives to encourage investment and improve security. The authorities will continue to accord a high priority in achieving the UN's Sustainable Development Goals and Government's expectation to transform Bangladesh into an upper- middle-income economy by 2021. As Bangladesh is set to graduate from "Least Developed Country" (LDC) status in 2024, it will steadily lose some forms of concessional aid, as well as the preferential market access that LDCs typically benefit from. Challenges might also emerge from rising inflation, subdued exports and remittance, rise in real interest rate, tightening financial market due to increased Government borrowing, devaluation of BDT and liquidity crisis etc.

Infrastructure development

Based on the current state of economic development, Bangladesh needs a strong focus on infrastructure to keep pace with its goals. Key infrastructure assets support industrial growth and create long-term benefits for the population of the country by providing better access to jobs and business opportunities. As such, there is no alternative to support the growth of infrastructure by taking every possible measure.

There is much room to grow in this sector, both in terms of physical and social infrastructure. In the Global Competitiveness Report 2018 by the World Economic Forum, Bangladesh ranked 99th among 137 countries considered. This was partly due to its score of 53 in terms of infrastructure. The country ranks 109th in the enabling environment component, putting it far behind other SAARC countries such as India, Sri Lanka, and Pakistan. The country must put stronger efforts to develop its infrastructure if it is to become an influential economy at the regional and global stage.

Keeping in line with its mandate, BIFFL has been working relentlessly to support different infrastructure projects throughout the country. BIFFL has participated in all major infrastructure projects being developed in the connectivity, power and energy, economic zones, energy efficient industry and tourism sectors. It has recently achieved the investment milestone of BDT20 billion, the majority of which catered to different infrastructure and energy efficient projects. With new and large-scale projects in transportation like the Dhaka Metro Rail and Dhaka Elevated Expressway being developed in the heart of the country, there is massive scope to work in the upcoming years in the infrastructure sector in Bangladesh. BIFFL hopes to partner in these and other large projects that will revolutionize commuting in and between major cities like Dhaka, Chattogram, Khulna, Sylhet, Rangpur etc; and plans to support projects that brings in modern amenities to those living in remote areas.

Our performance at a glance

In 2018, BIFFL experienced notable improvements in key financial fundamentals with its diversified products & services; promotion and awareness campaigns; inception of Shoilee (special financial scheme for women) and establishment of SME unit; and obtaining USGBC LEED Platinum Certificate for its Corporate Office.

As a consequence of initiatives taken in the previous year, we have been able to draw significant portion of fund under the Energy Efficiency and Conservation Promotion Project funded by JICA. We have been

able to approve BDT320 crore for 4 projects. BIFFL has also become a participating financial institution under the USD416 million IPFF-II project funded jointly by the World Bank and the Government. A special allocation of USD30 million has been made for BIFFL for investment in eligible infrastructure through innovative financing products such as equity, quasi equity, mezzanine financing, takeout financing, infrastructure bond and credit guarantee etc. Involvement with this project has mitigated our inability to extend foreign currency loan in eligible projects. We are also actively working with ADB, KfW, AFD and FMO for arranging more funds for infrastructure and sustainable development projects.

Major highlights of BIFFL in 2018 are financing few large infrastructure projects such as First Dhaka Elevated Expressway, Desh Energy Ltd., Ashuganj Power Station Co. Ltd., energy efficiency projects such as KSRM Billet Industries Ltd., Fair Electronics Ltd., Odyssey Craft (Pvt) Ltd., GPH Ispat Ltd., Seven Circle (Bangladesh) Ltd. and eight green brick projects out of which Dharmapur Ceramics Industries Ltd. and First Auto Bricks Ltd. have started commercial operation; whereas Makrail Auto Green Bricks Ltd. and Piya Auto Bricks Ltd. are at the final stage of construction. The company organised “BIFFL Green & PPP Convention and Expo 2018” in Dhaka and Chattogram. In addition to a national convention in the capital and a regional convention in Chattogram, a total of 150 stalls were established where around 100 participants from home and abroad showcased their technologies for energy efficiency and green construction materials projects.

With a view to supporting women in having access to affordable financial services, BIFFL has established Women Entrepreneurs Development Unit (WEDU) and signed participation agreement with the Bangladesh Bank for refinancing support. BIFFL has the commitment to promote inclusive growth of the society where women entrepreneurs can play a significant role towards achieving the country's development objectives.

BIFFL's long-term vision is to bring women entrepreneurs beyond micro level to larger scale business initiatives. Its aim is to remove the stereotype about women's incapacity to develop and run big businesses through encouraging women to explore unconventional business opportunities. Therefore, BIFFL's 'Shoilee' offers customized financing facilities as per business/project requirements for women entrepreneurs to give them an extra edge to succeed.

Caring for society & environment

BIFFL, as a responsible organisation, cares for the society and environment. It has taken necessary steps to go further with the sustainable development.

I am much delighted to inform you that in the previous years, we have set up a green office which has reduced 38.19% energy consumption as compared to conventional offices. We have achieved water saving by 44%. We segregate our wastes for recycling. We have also adopted green construction practices. Our space is designed to have more than 85% daylight and 30% fresh air which contribute to health and wellbeing of the employees.

We also encourage our clients to practice fairness and social justice to their stakeholders through appropriate policies and practices. We now have a strong Social and Environmental Unit that closely works with our clients to ensure a creditworthy, sustainable and fair environment. We have an Environmental and Social Monitoring Framework developed to direct our clients towards the proper management of their surroundings while implementing the projects. You will be delighted to know that we have updated our environmental and social commitment recently to achieve long-term sustainability. We are strongly committed to comply with the national and international environmental and social policies as well as the best practices. We encourage everyone connected with us aware of keeping a healthy environment for the future generation.

Awards and recognitions

1. Received the second prize from ICAB in its 18th ICAB National Award Ceremony for the Best Presented Annual Reports 2017 under Public Sector Category.
2. Obtained the 3rd Largest Taxpayer Recognition Award from NBR for the assessment year 2017-18 under NBF Category.
3. Achieved USGBC LEED Platinum Certification for its Corporate Office.

Financial position

BIFFL's total assets increased by 16.77% to an amount of BDT3,014 crore in 2018 compared to BDT2,582 crore in 2017. In 2018, leases, loans and advances increased to BDT1,698 crore compared to BDT1,072 crore in the previous year reflecting year to year growth of 58%.

Profitability: In 2018, the profitability indicators showed improvements posting net profit after tax of BDT82.83 crore compared to BDT80.41 crore in 2017 reflecting a year to year growth of 3%.

Dividend/Contribution to National Exchequer

BIFFL has been making consistent contribution to the National Exchequer. In 2018, it has contributed an amount of BDT63 crore as income tax and withholding tax and BDT15 crore as cash dividend.

The way forward

The 5-year Plan of BIFFL requires sourcing of a mix of both local and foreign currency fund worth BDT8,000 crore. We have a plan to source this amount over the period from the development partners, capital market, bond market and as loan from the Government. We have already engaged 2 Issue Managers for raising BDT500 crore through coupon bearing bonds and in the process of selecting another Issue Manager for raising BDT1,000 crore through IPO as well as private equity placement.

We believe both these initiatives will bring in certain depth and positivity in the emerging Bond Market as well as crippling Capital Market of the country.

The Financial Year 2018 was excellent! The year 2019 promises to be even better in terms of more investments in emerging PPP projects, more sourcing of funds from different development partners and adopting financial support for inclusive growth. We appreciate the able guidance from the Board and our regulators; trust shown by our borrowers and investment partners; and strong commitment of BIFFL team towards improving their skills and achievements. We are committed to gradual progress of the Company in all aspects of its operations.

A note of thanks

I would like to take this opportunity to express my sincere thanks to Hon'ble Prime Minister, Hon'ble Minister and others in the Ministry of Finance for their immense support and guidance throughout the year.

I would like to end my report by thanking all our valued development partners i.e., JICA, the World Bank, ADB, KfW, AFD and above all the Government of Bangladesh for their continuous support and guidance. I also wish to convey my deep gratitude to all of our partners, who form an extensive network of valuable business resources and ensure delivery of excellent performance. I appreciate our Board, which consists of resourceful members with diverse skills and experiences for its continued support, suggestions, supervision and guidance. Finally, my utmost gratitude goes to my fellow colleagues for their sincere efforts, team-work, dedication, commitment and their ability to adopt changes.

Finally, I would like to thank each and everybody who were instrumental in our journey last year and expect to have you with us all along!



S. M. Formanul Islam

Executive Director & CEO



PRODUCTS AND SERVICES

SECTORS FOR INVESTMENT

A. Infrastructure

- Power & Energy
- Transportation & Connectivity
- Port, Container Depot & Terminal
- Economic Zone & Industrial Park
- IT & Telecom
- Tourism & Hospitality
- Healthcare & Education

B. Sustainable Finance

- Utility-scale Solar Power
- Green Building
- Energy Efficient Technologies
- Waste Treatment & Recycling
- Waste Recycling
- Other innovation Green projects

C. Auto Brick and Construction Material

- Auto Bricks
- Non-Fired Bricks
- Green Construction Material

D. Women Entrepreneur Development

- Electronics
- RMG
- Food Seed Preservation and Marketing
- Bakery
- IT based activities
- LP gas business
- Telecommunication
- Warehouse and container service
- Cold Storage
- Laboratory
- Hospital, Clinic and Diagnostic Centre
- Call Centre
- Printing and Packaging
- Small amusement park
- Light engineering industry/workshop
- Boutiques
- Leather and leather products
- Education

- Transport and Communication
- Cable operators
- Community Centre
- Nakshi Kantha and handloom

PRODUCT AND SERVICES

1. Advisory Services

- Reviewing preliminary business plan/concept note prepared by project sponsors
- Conducting market research for the project
- Drawing full-fledged, sound business plan
- Devising an optimal financial structure/package
- Liaising and advising for necessary authority permissions

2. Financing Services

Considering the varying needs of the projects, BIFFL extends finances through 12 loan and equity products

A. Debt Financing

- Term Loan
- Working Capital Loan
- Bridge Financing
- Factoring
- Take Over
- Take Out
- Leasing
- Bond
- Commercial Papers

B. Equity Investment

- Ordinary Share
- Preference Share
- Mezzanine Financing

C. Loan Syndication

- Preparing project profile
- Designing financial model
- Assisting in securing onshore and offshore finance
- Joining in loan negotiation and documentation



VALUE ADDITION

Shareholders

At present, the Government holds 100% ownership of BIFFL. It is giving the highest importance to manage its assets and maximize profits by adopting sound governance practices as well as effective risk management structure.

Customers

BIFFL ensures quality investment by conducting thorough due diligence on every project and promotes innovative financing to support our clients in meeting their financing needs.

Fund Providers

The Government, Central Bank, Development Partners, Banks and FIs are our main fund providers. BIFFL ensures that the fund is used in the most efficient and productive ways for its stated purpose.

Regulators

Our regulators include RJSC, Bangladesh Bank, BSEC etc. BIFFL ensures compliance with all regulatory guidelines and directives through adopting best processes, practices and controls to ensure compliance with all applicable rules and regulations.

Employees

BIFFL is continuously developing its corporate culture in such a way that employees are trained, developed and empowered to work and achieve its business objectives. BIFFL is not only committed to

provide leadership and expertise which promotes excellence in work, built on competence, integrity, respect and professionalism, but also plays critical roles in achieving the business objectives through its focus on quality human resources. It values diversity and promotes equal treatment and opportunities in recruiting, remuneration, personnel development and advancement regardless of race, religion, political views, gender, age, nationality, language, sexual orientation, marital status, disability, etc.

Local Communities

BIFFL has the commitment to promote inclusive growth of the society through infrastructure development and sustainable as well as eco-friendly investment. It also provides financing to SME and women entrepreneurs who can play a significant role towards achieving the country's development goals.

Environmentally Interested Groups/Non-Government Organizations

While considering a project, we attach high importance on its social and environmental impact to make the project sustainable in the long-run. Green economy and eco-friendly measures are our foremost priority while considering any investment deal. BIFFL ensures that the provisions of its ESMF and guidelines of Development Partners are complied with by the borrowers. BIFFL's Corporate Office is PLATINUM certified under the LEED 2009 Commercial Interiors rating system of USGBC.



BUSINESS MODEL



KEY PARTNERS



Fund Providers



Government



Central Bank



Development Partners



Investors



Bank & FIs



Other Stakeholders



Shareholders



Employees



Customers



Regulators



Society



Environmental Groups



Media



KEY RESOURCES



Human Capital



Financial Capital



Intellectual Capital



IT Resources



Social Resources



Corporate Brand



KEY ACTIVITIES



Long-Term Project Financing



Financing Energy Efficiency & Conservation Projects



Financing Prioritized National Development Projects



Market Research and Development



Ensuring Financial Inclusion for Development



Advisory and Consultancy Services



Awareness Building and Policy Advocacy



CUSTOMER RELATIONS



Long-Term, throughout Project Life



Site Visits



Personal Assistance



Guide towards Proper Services



Awards & Recognition



Awareness & Training



CUSTOMER SEGMENTS

-  Public Sector Entities
-  Private Companies
-  PPP Projects
-  Small & Medium Enterprises
-  Women Entrepreneurs Scheme: SHOILEE



FINANCIAL SERVICES

-  Loan Products
-  Term Loan
-  WC Financing
-  Bridge Financing
-  Factoring
-  Takeover/Takeout Financing
-  Lease Financing
-  Bond Financing
-  Commercial Paper



EQUITY PRODUCTS

-  Ordinary Share
-  Preference Share
-  Mezzanine Financing
-  Convertible Debt



COST STRUCTURE

-  Interest Expense
-  Cost of Loan Losses
-  Operating Expenses
-  CSR



REVENUE STRUCTURE

-  Interest Income
-  Advisory Services
-  Fees and Commission

FINANCING MECHANISM

In the course of financing infrastructure projects, BIFFL emphasizes on Government's priority sectors and projects which are more closely related to national development. We assist the project proponents during implementation phases and even after project implementation, if needed. This unique nature of BIFFL has made many projects viable in the past.





MANAGEMENT AND EXECUTIVES



Management Committee (MANCOM)

Sitting (from left)

Ms. Mashruna A. Chowdhury FCA
Chief Financial Officer (CFO)

Mr. Mohammad Khan FCS
Company Secretary & Head of CCU

Mr. S.M. Formanul Islam
Executive Director & CEO

Mr. Md. Sagir Hossain Khan
Chief Operating Officer (COO)

Ms. Lamia Hossain
Unit Head, Green Construction Materials

Standing (from left)

Mr. Tanvir Warsi
Unit Head, Financial Relations

Mr. Md. Mizanur Rahman
Head of Credit Risk Management

Mr. Md. Sheikh Anower Sadat
Head of Project Finance

Mr. Md. Nisarul Kabir Siddiqui
Head of Treasury

Mr. Md. Abdul Aziz
Unit Head, Sustainable Finance

Mr. Mohabul Alam
Unit Head, IT & MIS



BIFFL Executives



Large Infrastructure



Sustainable Finance



Green Construction Materials



SME & Women Entrepreneurs Development



Credit Risk Management



Technical



Accounts & Finance



Treasury



Financial Relations



HR & Administration



Legal, Compliance & Corporate Affairs



IT & MIS



Office Support Staff

“ One Team One Dream Be the Best ”



ACTIVITIES IN 2018

BIFFL Green & PPP Convention & Expo 2018



BIFFL organized the 3rd BIFFL Green & PPP Convention & Expo 2018 during 4-7 October 2018 in Dhaka and Chattogram to raise awareness about sustainable development and highlight the key players in this sector. Mr. Abul Maal A Muhith MP, Honorable Minister, Ministry of Finance was the chief guest of the grand opening ceremony in Dhaka while Engineer Mosharraf Hossain MP, Honorable Minister of Housing and Public Works, inaugurated the Chattogram leg of events. Mr. Abdur Rouf Talukder, Chairman, BIFFL & Secretary, Finance Division; Mr. Rahamat Ullah Mohd. Dastagir, Additional Secretary, Power Division; Mr. Hitoshi Hirata, Chief Representative, JICA Bangladesh Office; Mr. AKM Abdullah, Senior Financial Sector Specialist, The World Bank were also present in the inauguration ceremony. Mr. Md. Ekhlashur Rahman, Additional Secretary, Finance Division chaired the inauguration event. The program was augmented by three seminars on investment opportunities in energy efficiency, PPP and green construction

material sectors, respectively. Many local and foreign businesses specializing in infrastructure and sustainable growth participated in the expo with 100 stalls in Dhaka and 50 stalls in Chattogram. An art competition for children as well as an essay competition on climate change for students was held during the convention & expo.

BIFFL AGM Approves Stock and Cash Dividends

7th AGM of BIFFL was held on 27 March 2018. In the meeting, the Shareholders approved the Audited Financial Statements for the FY2017 and declared Stock Dividend of BDT49 crore in the form of bonus shares leading the company's paid up capital to BDT2,108 crore, and Cash Dividend of BDT15 crore in favor of the Government of Bangladesh.

Mr. Mohammad Muslim Chowdhury, Secretary, Finance Division, presided over the meeting. Besides, Khandker Anwarul Islam, Senior Secretary;



Mr. Nazimuddin Chowdhury, Secretary, Energy Division; Dr. Ahmad Kaikaus, Secretary, Power Division; Mr. Md. Nazrul Islam, Secretary Roads & Highways Division; Mr. Kazi Shofiqul Azam, Secretary, ERD; Mr. Sajjadul Hassan, Secretary to the PMO; Mr. S.M. Formanul Islam, CEO, BIFFL; Mr. Mohammad Khan FCS, Company Secretary, BIFFL and other officials along with the external auditors of the company were present in the meeting.

Master Facility Agreement of IPFF-II Project

BIFFL has signed the Master Facility Agreement under IPFF-II Project with Bangladesh Bank on 09 August 2018. The \$416.70 million fund has been established by the GoB and the World Bank for infrastructure financing in Bangladesh. The Project has two main components - long-term infrastructure financing and technical assistance.



Governor of BB Mr. Fazle Kabir was the chief guest in the program. Mr. Ahmed Jamal, Deputy Governor of BB and Project Director of IPFF-II Project chaired the event. Mr. S. M. Formanul Islam, Executive Director & CEO of BIFFL and Mr. Ahmed Jamal, signed the agreement on behalf of their respective organizations. BIFFL and 11 other banks and financial institutions were enlisted in the first phase as PFIs under IPFF-II.

BIID Expo 2018

BIFFL participated in the 9th International Bangladesh Industrial Innovation and Development Expo & Dialogue (BIID) 2018 as a Trade Partner, aiming at attracting growth of green industries and raise awareness on environmental issues, technology and innovation. It took place during 1-4 March 2018 at Bangabandhu International Conference Centre.



Exchange between BIFFL and Suppliers of Green Brick Machineries

BIFFL has restructured its investment team and has formed a dedicated unit called “Green Construction Materials Unit” solely for projects in the energy efficient construction material sector. An introductory meeting between this newly formed unit and all machinery suppliers working in this industry took place on 15 March 2018 at BIFFL office. The participants shared their overall

activities in the Energy Efficient Construction Material (EECM) sector in Bangladesh, introduction of new technology or concept, etc.

ADB to Provide USD100m for Infrastructure Projects

The Asian Development Bank (ADB) is considering USD100 million for BIFFL to catalyze long-term infrastructure project finance. BIFFL will borrow the fund during 2019-2022 period.

BIFFL Officials Tour Europe



Meeting with various Development Partners

A group of BIFFL and government officials, including the CEO, Mr. S. M. Formanul Islam, participated in a study tour to Europe from 25 August to 04 September 2018 under JICA's technical assistance program. The group visited reputed institutions



like KfW, FMO, AFD, EBRD and FZOEU and attended meetings with concerned officials. All development partners showed keen interest to support BIFFL's initiatives.



BIFFL CEO Mr. S. M. Formanul Islam receiving 3rd Largest Taxpayer award from Honorable Finance Minister Abul Maal A Muhith



BIFFL received 2nd Prize for Best Presented Annual Report 2017 in 18th ICAB National Award Ceremony

Financial Closing Ceremony of Phoenix Ceramic & Auto Bricks Ltd.

BIFFL completed structured financing arrangement of BDT350 million for Phoenix Ceramic & Auto Bricks Limited, an energy efficient automated brick manufacturing project based on tunnel kiln technology at Fatikchari, Chattogram. A financial closing ceremony was arranged on 25 March 2018 at the project site. Chairman and Managing Director of Phoenix Ceramic & Auto Bricks Limited, Executive Director & CEO of BIFFL, senior officials from Bangladesh Commerce Bank Limited (BCBL), representatives from ADB and local government representatives were present at the ceremony.



Cooperation Agreement between BIFFL and China CO-INNOVO

To ensure the green development in the infrastructure industry in Bangladesh and to set up automatic brick and tiles production lines, a memorandum of cooperation was signed between BIFFL and China Building Materials Federation to promote the specific cooperation with the support of China Brick & Tile Industrial Association. The signing took place on 07 April 2018 at China Co-

Innovo's office in Beijing. China Co-Innovo Co., Limited was a representative entrusted by China Bricks & Tiles Industrial Association to set up overseas joint offices in countries along the Belt and Road. The agreement includes provision for collaborating in various aspects, such as technical, financial and advisory to encourage the expansion of environment-friendly technologies in building materials industry in Bangladesh.

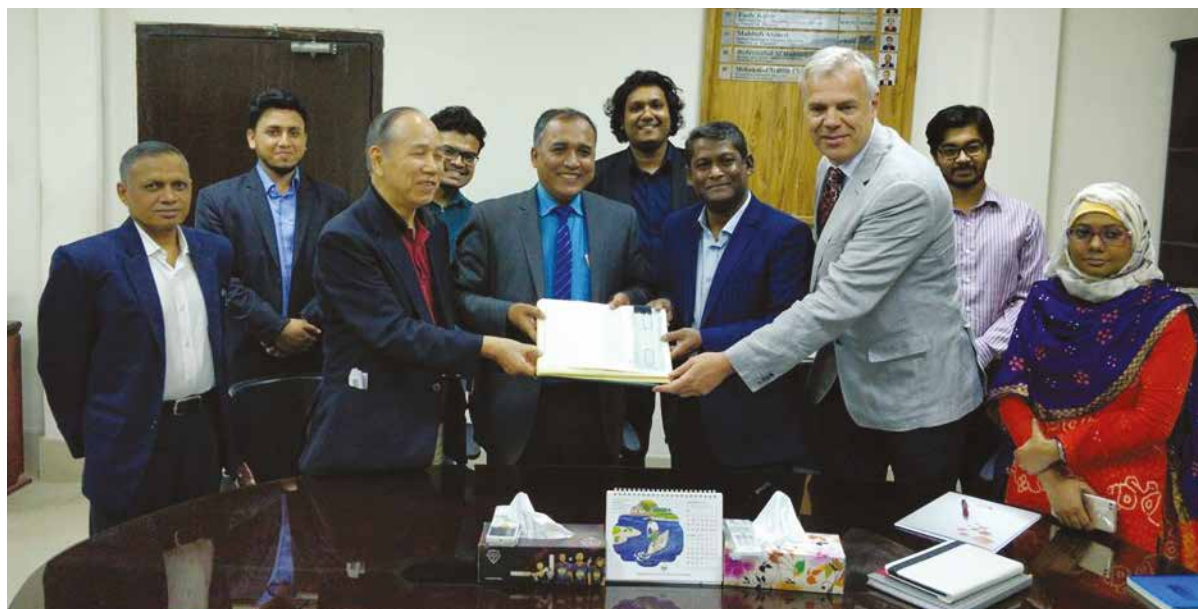
BIFFL Signs Agreement with Aman Spinning Mills Limited

BIFFL signed an agreement on 7 Feb 2018 with Aman Spinning Mills Ltd. (ASML) to extend finance under 'Energy Efficiency and Conservation Promotion Financing Project (EE&CPFP)' funded by JICA. Mr. S. M. Formanul Islam, Executive Director & CEO, BIFFL and Mr. Tahrin Aman, Managing Director, ASML signed the agreement on behalf of their organizations.



Mr. Md. Helal Uddin, Chairman, SREDA and Additional Secretary, was present in the event as the chief guest. Mr. Manzur Morshed, Director, Energy Audit, SREDA and Ms. Mari Iwata, representative from MRI/JICA were also present as special guests.





BIFFL Engages Consultants

BIFFL has signed a 6-year contract with a consortium of consultants comprising Japan Development Institute (JDI), Energy Institute Hrvoje Pozar (EIHP), Croatia and Young Consultants, Bangladesh to provide technical assistance under JICA's EECPPF. The agreement was signed on 20 May 2018.

Cluster Finance at Jamdani/Muslin Industry

BIFFL disbursed cluster loan of BDT1,57,00,000 to 157 women of Jamdani/Muslin industry at Rupganj, Narayanganj for developing this sector, under the Small Enterprise Refinance Scheme of Bangladesh Bank. The Women Entrepreneur Development Unit of BIFFL organized a disbursement program at BIFFL's own premises on 12 August 2018. Mr. S. M. Formanul Islam, Executive Director and CEO of BIFFL handed over the cheques.



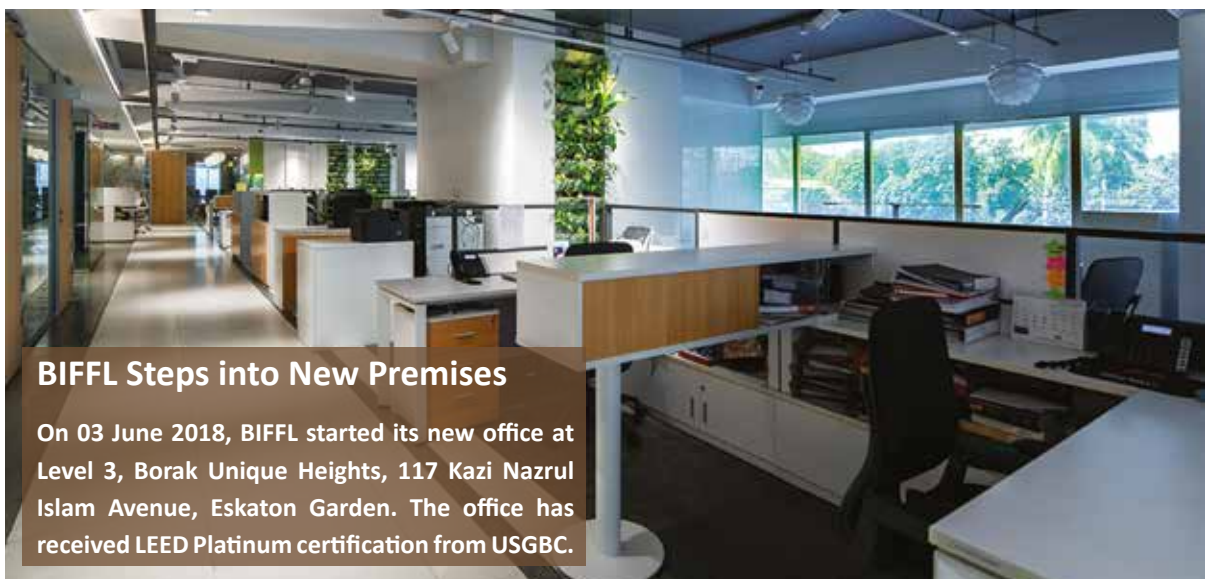
Disbursement Ceremony of Cluster Finance at Jamdani/Muslin industry



Prize-giving ceremony of BIFFL Essay Competition 2018



Little artists participating in BIFFL Art Competition in Chattogram



BIFFL Steps into New Premises

On 03 June 2018, BIFFL started its new office at Level 3, Borak Unique Heights, 117 Kazi Nazrul Islam Avenue, Eskaton Garden. The office has received LEED Platinum certification from USGBC.



CORPORATE SOCIAL RESPONSIBILITY

Blood Donation Program on National Mourning Day



BIFFL, on the occasion of “National Mourning Day” organized a voluntary blood donation program on 12th August 2018 at its head office premises. BIFFL officials and staff as well as number of other donors participated in the blood donation program.

BIFFL Honors Shooters

On 18 May 2018, BIFFL honored Mr. Abdullah Hel Baki and Mr. Shakil Ahmed for winning silver medals in Men’s 10m Air Rifle event and Men’s 50m free pistol event respectively in the 21st Commonwealth Games 2018, Gold Coast, Australia. The COO of Bangladesh Shooting Sport Federation (BSSF) Mr. Mushtaque Wazi, Ms. Subrina Sultana, Gold Medalist in Commonwealth Games, South Asian Games and Mr. Dilu Khandaker, Sports Editor, Channel 24, attended the event as special guests. Mr. S.M. Formanul Islam, ED and CEO, BIFFL, presided over the program.



Iftar at BERDO

On 02 June 2018, BIFFL arranged an Iftar Mahfil for resident blind students at the Blind Education & Rehabilitation Development Organization.



BIFFL Distributes Relief to Flood Victims

On 16 September 2018, as part of its corporate social responsibility (CSR) activities, BIFFL gave away relief goods (basic food stuff) to 500 families marooned by the flood in Fatikchhari and Hathazari of Chattogram.



Blanket Distribution Program

BIFFL arranged for blanket distribution among destitute and homeless people in the Dhaka City as a part of its CSR activities. Mr. S.M. Formanul Islam, Executive Director & CEO, BIFFL, Mr. Md. Sagir Hossain Khan, Chief Operating Officer, Mr. Mohammad Khan, Company Secretary and other Officials of BIFFL attended the program.



Blanket distribution through Bangladesh Bank



BIFFL extended financial assistance to cancer patient Mr. Syed Mohammad Kawsar Hossain, Deputy Secretary, Finance Division



BIFFL inaugurated a voluntary donation platform 'Manush Manusher Jonno' in front of its Kakrail office. The platform was opened with contribution from BIFFL's officials. BIFFL also provides pure drinking water to passers-by through a tap installed on the outer wall of its Kakrail office.



OPERATION ENVIRONMENT AND STAKEHOLDER ANALYSIS

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MACROECONOMIC ASPECTS AFFECTING BIFFL

	Influencing Factors and Overview	BIFFL's Approach
Political	Stable political environment has a positive impact on financial as well as economic development of a country.	- BIFFL adjusts its internal guidelines and projections as per the directives provided by Bangladesh Bank. - BIFFL also prioritize sectors that the Government attached priority for economic development of the country.
Economic	- Investment-GDP ratio increased to 31.23% in FY2017-18, from 30.51% in previous fiscal year. The Consumer Price Index (CPI) inflation rate in FY2017-18 was 5.78% at national level, which was 5.44% in FY2016-17. Satisfactory domestic production, favourable domestic environment, low budget deficit and prudent monetary policy coupled with low fuel and commodity prices in the international markets contributed to subdue inflation level. - The government expenditure as percentage of GDP has been increased gradually. Government expenditure increased to 14.27% in FY2017-18 from 13.60% in FY2016-17. The utilisation of ADP allocation was 95% in FY2017-18. Currently, the larger portion of ADP is financed from domestic sources. A slight reduction has been occurred in Aid flow in FY2017-18 compared to the previous fiscal year. - Fiscal policy by government includes changes in different components of yearly budget like tax rates, interest waivers, refinancing facilities which affect the overall economic activities of the country as well as the performance of BIFFL. - Infrastructure projects are likely to increase by number and amount as the government is taking initiatives to implement mega projects on priority basis to achieve the Vision-2021 and SDG goal 2030. - Increased competition in the financial sector, declining lending rates, liquidity crisis etc. can negatively affect the performance of BIFFL.	- BIFFL takes prompt strategic action on interest rates, business volume, strategic shift on business focus etc. to adjust with the changing economic condition. - BIFFL pursues its core business growth in infrastructure and energy efficient industries. It is also putting forth resources in Women Entrepreneur and SME sector to capitalize on emerging opportunities ranging from massive investment to the smaller scale investments. This enables BIFFL to be the support of the Government's Vision-2021 and SDG 2030. - As a highly customer responsive organization, BIFFL continued to identify ways of expanding its product offerings and services to cater to wider customer needs. - BIFFL's strong and intelligent 'Investment Department' monitors the infrastructure development trend on a regular basis to gather and disseminate economic and business information. This enables BIFFL to respond to the market trend in a prompt manner.
Social	- Region or community-based lending institutions still exist and they charge very high interest rates. - Growing GDP and per capita income driven by the economic progress have paved the way for better social conditions and quality of life for society.	BIFFL can be the substitute for region or community-based lending institutions who charge very high interest rates through its service oriented Women Empowerment and SME programs.

Influencing Factors and Overview	BIFFL's Approach
	They can bring about the social advancement through enlightening and empowering potential people who have the courage to change the social stereotypes but lack capital. BIFFL empowers these people with confidence and motivations to change the social status of the country. • Numerous CSR initiatives were initiated for the betterment of society beyond commercial boundaries. Internally, BIFFL continued to adopt sound human resource practices to nurture our valued staff. • Being a people-oriented company, BIFFL remained receptive to people's needs as a socially responsible corporate and a caring employer. • BIFFL emphasized on the importance of creating customer awareness and building customer relationships. So, BIFFL always consider and look for areas with high potential but lower access to financial services for its business operation region.
Technological • Role that ICT plays in creating operational efficiency and generating Management Information Systems (MIS) for effective decision making has become vital for BIFFL.	• Required updates were made to the core ICT system to make it more effective and meet user requirements and also to accommodate rapidly changing demands of the industry. • Additional MIS reports were developed on a periodic basis to cater to information needs of key divisions, for decision-making. • BIFFL is at the final stage of installing Core Financial Solutions (CFS) using customized software to keep up with the market.
Environmental • Green concept initiative in project financing has a long term effect on both environment and economy of the country and helps in cost reduction as well. • According to a 2018 Asian Development Bank (ADB) report, the country produces 22.71 billion pieces of bricks a year. In doing so, a World Bank report says, the brick kiln sector consumes 3.5 million tonnes of coal and 1.9 million tonnes of firewood, emitting 9.8 million tonnes of greenhouse gas annually. During the dry season, 58% of the total air pollution in Dhaka city is caused by the brickfields, shows DoE data. • As per the seventh five-year plan, the government is to stop the use of topsoil in brickfields by 2020.	• BIFFL has a dedicated department which works with the 'Green Brick' projects to comply with the green concept. • BIFFL has decided to finance 100 green brick projects by 2021. It has been working with all concerned to develop a commercially viable green brick sector in Bangladesh.
Legal • BIFFL is regulated by the FI act 1994 and other periodic guidelines provided by Bangladesh Bank from time to time.	• Apart from FI Act 1994 and other prescribed guidelines, BIFFL also follows the instructions regarding bank rates, repo & reverse repo and statutory reserve requirements mentioned in monetary policy statements published semi-annually by Bangladesh Bank.



MARKET FORCES AND COMPETITIVE LANDSCAPE

Analysis of the various market forces provides a starting point for formulating strategy and understanding the competitive landscape in which a company operates. For the benefit of our stakeholders, the existing market forces are broken down to show their impact on BIFFL and our strategic actions in the near future as well as in the long run.

Industry Forces Analysis

Competitive rivalry: Moderate

Influencing Factors	BIFFL's Strategic Approach
Number of competitors: The Bangladesh financial services industry is marked by high level of competition with 59 scheduled banks and 34 NBFIs operating in the country. However, most of these FIs are not direct competitors of BIFFL as most of them do not finance infrastructure projects. BIFFL also plays a significant role in financing sustainable and energy efficient projects. Switching cost: As there are many local and foreign service providers, the switching cost is low. In most cases, infrastructure financing involves larger amount of loan for a longer tenor. If a customer opts to switch in the middle of a long-term commitment, switching cost is significant as most Banks and FIs will demand compensation in the form of early settlement fees. However, switching cost is low for short term loans. Quality of Products and Services: Even though BIFFL provides specialized financial products and services, there are few local as well as foreign organizations comparable in terms of service quality.	☐ Focus on relationship building among existing client base and channel resources towards finding new opportunities. ☐ Develop and use innovative financing instruments that cater to the varying needs of infrastructure sector. ☐ Explore different avenues to capture domestic and foreign investment. ☐ Give emphasis on innovative value creation ideas to outplay the competitors. ☐ Build capacity through training, exposure and adopting best market practices.

Supplier power: Moderate

Influencing Factors	BIFFL's Strategic Approach
BIFFL is an NBFi and our major supplier comprises the Government, different multi-lateral financial institutions, institutional investors in bond etc. A key factor in the determination of bargaining power is the control over interest rates and our cost of funds. The Central Bank as well as the Government and Development partners have significant control over the rates at which we can source our funds or invest. Various other organizations operate as our vendors for several miscellaneous activities, such as arranging events, advertising and marketing. However, they are responsible only for a small part of our total cost structure.	☐ Focus on a diversified pool of fund from local as well as foreign institutions. ☐ Develop sustainable relationship with bilateral and multilateral agencies. ☐ Offer competitive interest on bond and good relationship with investors for better negotiations of borrowing rates. ☐ Proper selection of vendors to ensure smooth supply of materials.

Buyer power: Moderate

Influencing Factors	BIFFL's Strategic Approach
Giving larger loan is becoming difficult due to liquidity crisis, longer tenor, higher risks etc. Consequently, buyer power is comparatively low for infrastructure financing. However, for borrower with smaller funding needs, buyer power is increasing as the number of banks and FIs are increasing with different types of deposits and investment opportunities. Increased competition has forced many organizations to adopt aggressive growth strategies for their loan portfolio and subsequently started a price war by reducing margin which increased borrower power.	☐ BIFFL will be able to increase lending rates on the existing loan in case of a likely increase in interest rates portfolio as the majority of the portfolio is of a floating nature. ☐ Arrange sustainable and diversified sources of funds for future loan growth. ☐ Strategic emphasis on diversifying the existing portfolio. ☐ Deliver uncompromising services to retain customers and maintain sustainable relationship with borrowers and investment partners.

Threat of substitute products: Low

Influencing Factors	BIFFL's Strategic Approach
Infrastructure financing has very few alternatives due to larger fund commitment for longer tenor. For larger loan, BIFFL has little threat of substitute offerings from the competitors. However, many borrowers are now considering financing from foreign sources. BIFFL is playing a leading role in sustainable and energy efficient project financing. For small and SME products there exists a high threat of substitute products. As, BIFFL has very little exposure in SME financing, this sector is not a threat for us.	☐ Continue to update the technological platform, embrace breakthrough technology and process upgrades to stay ahead of competition and be the first to address new opportunities offered through technology and policy incentives. ☐ Analyse macroeconomic environment to understand the financing requirements, price structure, product features, and performance of different sectors. ☐ Ensure maximum satisfaction to retain the Company's trusted customers.

Threat of new entrants: Low

Influencing Factors	BIFFL's Strategic Approach
Even though the financial sector is crowded, there is still possibility of a few more contenders joining in the near future. However, the new local competitors' chances of entering the infrastructure financing sector is low. Involvement of different foreign financing agencies is also increasing day by day. Threat of new entrants largely depends on decisions made by the Government, be it in terms of granting new licenses or varying the scope of services provided and/or operating procedures of financial and non-financial institutions. In the long-run however, the industry is assumed to see consolidation in the face of exceeding an optimum number of institutions.	☐ Maintain strategic relationship with policy implementing agencies, other Government organizations, and multilateral development banks. ☐ Continue efforts in the process of improvement to ensure long-term competitiveness and sustainability.



ENTITY ANALYSIS

Key Competencies	Reinforcing our enterprise further
The BIFFL Brand	
Seven years of impeccable track record as a diligent, proactive and customer centric financial service provider	Investment in fostering Brand Value of BIFFL is to continue.
High prominence among local brand	Continue to sustain our image in the community by continuing as a caring, responsible, transparent and trust-worthy operator while supplementing the image through engaging in community services through our volunteer based community service platform “ Manush Manusher Jonno ” and other social welfare initiatives.
Customer Centricity	
Customers’ need or aspiration based products and quality service standards	Cornerstone will be on sustained revolution in products and services designed to cater to the latent needs and aspirations of the new niches developed through market study, customer survey and observing the trend.
Swift decision-making (lowest loan TAT in the industry)	Retaining the upscale office management software and MIS to launching a centralized operations system; focus will be to automate all manual processes to increase mobility of relationship managers through offering app based platform to manage and document customer interactions.
Transparent and ethical	Continue to maintain ZERO Tolerance for any unethical Behaviour (Sexual Harassment and Corruption). Relentlessly providing training programs for new recruits on our code of ethics and values.
Training, counselling and business facilitation services	Launch new non-financial services and expand the horizon for existing business facilitation services.
Infrastructure	
World-class core office management software	Commit to have secured and efficient software to deliver effective customer services.
USGBC Leed Platinum Certificate	BIFFL office space has been certified PLATINUM under the LEED 2009 Commercial Interiors rating system with a total of 90 points. Continue to have environment friendly green infrastructure facilities.
Corporate Governance and Compliance	
Stringent regulatory obedience	BIFFL will abide by the law of the land in both letter and spirit.
Participative and dynamic manner towards regulatory and industry reform initiatives	BIFFL will continue to collaborate with regulators, peers and other industry participants and adopt best practices.
Respectable, experienced and professional Board of Directors	

Quality Human Resources

Dedicated, Competent and empowered human resources	Continue investing in people as they are the principal driving force of the company.
Focused on continuous training and development	Continue need-based training programs and promote leadership from within.
Highest levels of integrity	Educate new employees on BIFFL's moral codes, values and ethics.
A winning culture fostered through years of embracing best-in-class practices	Continue to innovate and improve; continue to uphold the culture of trying new things without the fear of failure.

Strong Financial Footing

Solid capital base	Foster to utilize capital in an organized manner to provide maximum shareholder return as well as assuring sustainability of the profit.
Professional & Proper fund management	Commitment to follow proper fund management practices, utilize bonding to minimize risk factors.
Sound and steady ROA and ROE	Focusing on superior financial results and maintaining shareholder returns.

Scope for improvement	Addressing our weaknesses
Dependence on own capital; No private sector equity or debt (fully owned by Ministry of Finance, Government of Bangladesh)	Continue to issue bond to attract private sector funding and blend foreign and private sector fund to finance several development projects of the country to foster long term economic growth. Focus on Public Private Partnership (PPP) to collaborate with Government as well as private sector to become a major development partner of the country.
Portfolio concentration in Infrastructure Development.	BIFFL continues to bring innovation in the product suite and carefully find new niche markets to enter into. To address customer needs properly, BIFFL has introduced Women Entrepreneur Development Unit (WEDU), Green Construction Materials (GCM), Sustainable Finance Unit (SFU) and Small & Medium Enterprise (SME) unit to meet diversified needs. WEDU is to focus especially on women to empower them. GCM is to focus on environment friendly infrastructure development. SFU is to deploy capital in environment friendly projects. SME is to focus on small & medium enterprise financing to create jobs and assets for the borrowers.
Portfolio concentration in Dhaka (Limitation of having no branch outside Dhaka)	Conscious, strategic effort is in place to expand the geographic coverage and reduce portfolio concentration in Dhaka. A liaison office is being considered to be established in Chittagong.



STAKEHOLDER ENGAGEMENT

Stakeholders are people/communities who may - directly or indirectly, positively or negatively – affect or be affected by the outcomes of BIFFL’s initiatives and the decisions. Multi-stakeholder consultation in policy and strategy development and review is vital to ensure that policies reflect international best practices and incorporate the opinions and needs of those they intend to support. The participation process builds understanding and ownership of the policies and eases implementation.

At BIFFL, we work in the belief that stakeholder relationships are critical for BIFFL to be able to play a positive role in the society. Engagement with our stakeholders enables us to gain insight, to sharpen our decision-making process and improve our capacity to generate shared values. Identification of stakeholders is the key to understand their expectations out of the Company and, as such, helps pave the way towards fulfilling those expectations and delivering consistent values. The stakeholder ecosystem of BIFFL can be broadly divided into two categories: the core stakeholder group comprising shareholders, borrowers, suppliers and employees and the other stakeholders including regulators, the local community and the environmentally-interested groups.

Stakeholder Engagement Mechanism

Shareholders

Management Philosophy: Ensuring long term shareholder values and upholding the rights of the shareholders and supporting a broader shareholder constituency to ensure their Wealth Maximization.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Shareholder relations forums	P	- Shareholder satisfaction regarding BIFFL’s financial position - Shareholder views on key governance and policy matters	- Maintaining a consistent bottom line - Ensuring sustainable return on investment
General meetings	A/P		
Annual Report	A	- Return on equity - Strategy and continuity - Financial performance	- Engaging in greater transparency and responsible stewardship - Maintaining BIFFL’s reputation and credibility
Interim Financial Statements	Q		
Disclosures and announcements	P	- Return on equity - Strategy and continuity - Financial performance	- Engaging in greater transparency and responsible stewardship - Maintaining BIFFL’s reputation and credibility
Corporate Website	24/7		
EC meeting, Audit Committee meeting and Board meeting.	P	- Return on equity - Strategy and continuity - Financial performance	- Engaging in greater transparency and responsible stewardship - Maintaining BIFFL’s reputation and credibility
Meetings and consultations	P		
CSR activities	R		Safeguarding asset quality
A – Annually P – Periodically Q – Quarterly R – Regularly 24/7 – 24 hours 7 days			

Development Financial Institutions (Investors)

Management Philosophy: Engaging Development Financial Institutions (Investors) as partners of BIFFL not a mere creditor

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
General meetings	P	• Transparency	• Green Loan Initiative launched to incentivize energy efficient property projects.
Annual Report	A	• Building a responsible culture	
Interim Financial Statements	P		
Investor presentation	P	• Sustainable business performance and growth	• Engaging in greater transparency and responsible stewardship.
Meetings and consultations	P	• Responsible lending and investment	
One-to-one discussions	P		• Sharing project Pipeline and loan status.
General correspondence	P		
Technical Assistant (TA)	P	• Financial inclusion and access to products and services	
Corporate Website	24/7		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

This **Stakeholder Engagement Assessment Matrix** gives a brief overview of how BIFFL identifies and manages its stakeholders considering the impact of BIFFL on stakeholders and the impact of each stakeholders on the activities of BIFFL.

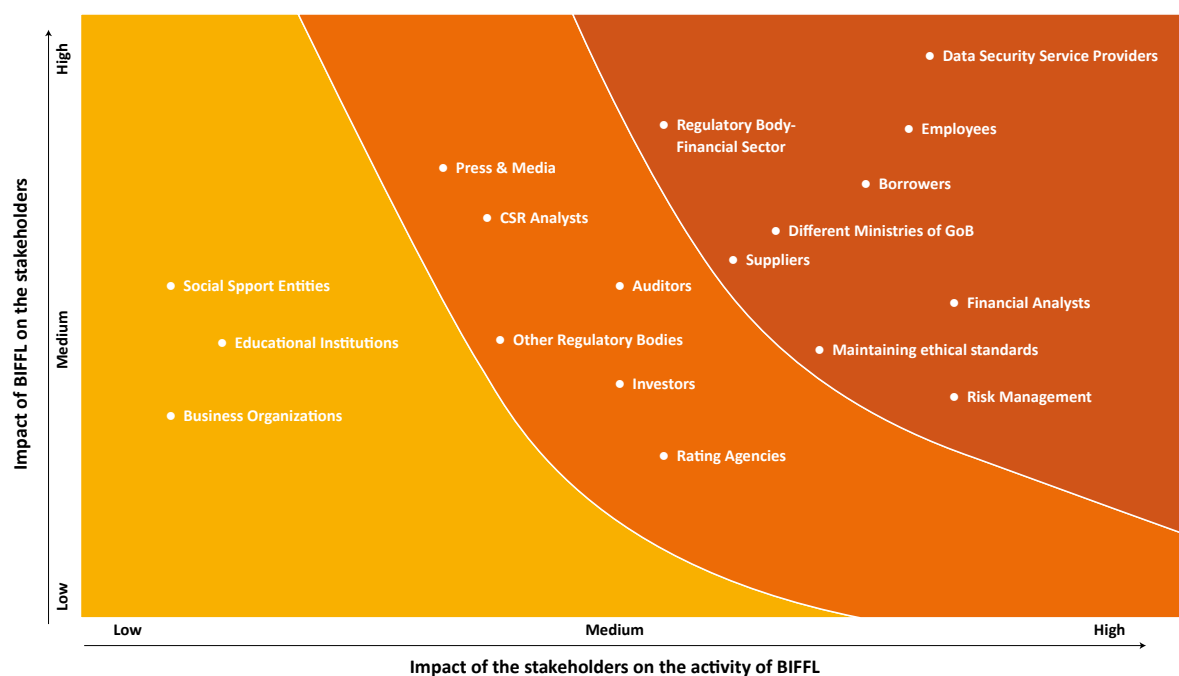


Figure: Stakeholder engagement assessment matrix

Employees

Management Philosophy: Commitment to create a conducive environment for the employees to develop and reach their potential, both professionally and personally

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	• Ethical employment practices	• Competitive rewards and benefits to attract best talent in the market
Grievance-handling procedure	R	• Career development opportunities	• Promote greater diversity and inclusion
Business unit level meetings	R	• Employee communications & feedback	• Develop from within through training & development
Corporate Website	24/7	• Rewards / recognition	• Encourage greater engagement
Intranet	R	• Employee wellbeing	• Performance-based incentives
Memorandums / Directives	P	• Work-life balance	• Effective handling of grievance
Training	P	• Gender equality	• Maintain high standards of occupational health & safety
Internal circulars	R	• No-discriminatory work place	• Ensure employees' welfare
Get-togethers / Events	P	• Nonsmoking environment	• Foster a sense of belonging
CSR activities	P		
Online groups	24/7		
Retreat	A		
Newsletters	Q		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Borrowers

Management Philosophy: Uphold the borrowers' right to demand a stable and progressive borrowing environment which provides a superior service platform and promotes their choice / convenience

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	• Customer service	• Maintain service excellence
One-on-one feedback from customers who visit BIFFL	R	• Satisfaction on existing products	• Effective complaint resolution
Customer surveys conducted via traditional or non-traditional research techniques	P	• Need for innovations and customized solutions	• Continuous introduction of innovative products which promote greater customer convenience
Social media interactions	24/7	• Communication methods	• Effective marketing and communication
Customer complaint handling Mechanism	R	• Awareness promotions	• Better market share
Corporate Website	24/7	• Timely and relevant information on products and services	
Correspondence	R	• Customer benefits and rewards	
		• Loyalty recognition	

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Suppliers and Service Providers

Management Philosophy: Striking the right balance between cost and quality and promoting ethical and transparent sourcing practices

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Interactions through the purchasing policy	R	- Developing strategic partnerships - Promoting transparent and ethically responsible business practices - Continuous communication with suppliers & service providers - Regular reviews on quality of goods and services	Engaging in fair and equitable Procurement
Feedback evaluations	P		Supplier Risk Assessment Mechanism
Meetings	P		Contractual agreements to promote sustainable procurement
Visits to supplier workshops / offices	R		Local sourcing Maintenance of a suppliers & service provider register
Written communications (letters & e-mails)	R		
Reviews & assessments	24/7		
A – Annually P – Periodically Q – Quarterly R – Regularly 24/7 – 24 hours 7 days			

Government Institutions

Management Philosophy: Ensure compliance with all legal and regulatory requirements

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Policy directives / circulars, guidelines and operating instructions	R	- Policy decisions affecting the financial sector - Submission of returns - Taxes paid to the Government	Compliance with regulations
Meetings and forums	P		Rectification actions on supervisory concerns
Press releases	R		On-time submission of statutory returns and statutory payments
Periodic and one-off returns	P		Response and contribution at meetings / forums and to initiatives of the regulators
On-site and off-site supervision	R/AW		Micro, Small & Medium Entrepreneurs lending & Women Entrepreneurship Development
Memorandums / Directives	R		Supporting the Non-Conventional Renewable Energy sector
Training	R		Help investors to make better investment decisions
A – Annually P – Periodically Q – Quarterly R – Regularly 24/7 – 24 hours 7 days As & When Required			

Community

Management Philosophy: Working with global and local mandates which safeguard the environment and promote community empowerment

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Feedback forms / environment grievance handling mechanism	P	- Community capacity building - Community empowerment	Socially-responsive transformative CSR model
Discussions with local government representatives	P	- Social welfare of communities - Environmental degradation	- Community engagement - Employee volunteerism
Discussion with other organizations, community and opinion leaders on community development efforts	P	Preservation of local culture	Become a catalyst for change
Media-based forums	R		
CSR activities	24/7		
A – Annually P – Periodically Q – Quarterly R – Regularly 24/7 – 24 hours 7 days			



MATERIAL ASPECTS FOR STAKEHOLDERS

According to the GRI Sustainability Reporting Standards (GRI Standards) the materiality for reporting is identified by the engagement of the Stakeholders throughout the economic and financial sphere, countrywide. By using the GRI Guidelines, reporting organizations disclose their most critical impacts— be they positive or negative— on the **environment**, **society** and the **economy**. They can generate reliable, relevant and standardized information with which to assess opportunities and risks, and enable more informed decision-making – both within the business and among its stakeholders. As the Guideline goes, the ‘Materiality’ recognize the reportable subjects and the subjects itself that is identified is considered as the ‘Aspects’. At BIFFL the culture is to value the issues raised by stakeholders during the engagement process. Through the process a number of Material Aspects were found which are detailed as following:

1. Economy

- Economic Performance
- System Efficiency

2. Environment

- Materials
- Energy
- Biodiversity
- Emission
- Waste
- Compliance

3. Social

- Equal Rights
- Labour
- Treatment
- Child labour
- Personal Development
- Grievance Mechanism
- Encouragement

Checklist Delineating the Sphere of the Material Aspects

The following checklist will detail out how BIFFL considers the Material Aspects and their influence on the performance of BIFFL from both the inner and outer sphere-

Category	Identified Material Aspect	Why This Is Material?	Inside the Organization	Outside of the Organization
Economy	Economic performance	Competitiveness, better customer relationship and well inspection of projects enable long-term profitable growth. A financially strong company can shoulder responsibility for the environment, take care of its employees, monitor its funds, meet customer expectations, and produce excellent value to its shareholders.	Yes	Yes
	System efficiency	Better energy efficiency reduces the use of primary energy and the environmental impacts of energy production and use. We encourage energy-efficient projects while evaluating projects.	Yes	Yes

Category	Identified Material Aspect	Why This Is Material?	Inside the Organization	Outside of the Organization
Environment	Materials	Many of our large infrastructural projects use large volumes of fuels in electricity and heat production and LP Gas processing.	Yes	Yes
	Energy	Many of our large infrastructural projects use large volumes of fuel and other energy sources, like hydropower, in electricity and heat production.	Yes	Yes
	Biodiversity	Hydropower production, electricity distribution and fuel procurement can have an impact on local biodiversity. Also fossil fuel-based energy production may weaken local biodiversity particularly in residential areas in Bangladesh.	Yes	Yes
	Emission	Fuel combustion in electricity and heat production generates emissions into the air. Statutory limitations target emissions in Bangladesh.	Yes	Yes
	Waste	Project we deal with is oftentimes of such nature that it creates a huge amount of waste. This can pose a threat to our country.	Yes	Yes
	Compliance	Compliance with legislation in Bangladesh forms the foundation of our social operating license. Also compliance of Foreign Funding Sources like, JICA, WB is required to be maintained.	Yes	N/A
Social	Equal Rights	We value diversity and we promote equal treatment and opportunities in recruiting, remuneration, personnel development and advancement, regardless of race, religion, political views, gender, age, nationality, language, sexual orientation, marital status, or disability. We happily and confidently declare “One Team, Big Dream; Be the Best!”	Yes	Yes
	Labour	Collaboration between the employees and the employer is based on local legislation, agreements and BIFFL’s Code of Conduct.	Yes	N/A
	Child labour	BIFFL has a higher level of exposure to this issue ratified by the International Labour Organisation’s (ILO) Convention on the minimum age and the worst forms of child labour.	Yes	Yes
	Personal Development	We are one of the most lucrative employers in Bangladesh. We aspire to be a desired employer that attracts and engages employees at all levels. That requires us to responsibly take care of our workforce to develop their personal skills to give it back to the development of our country.	Yes	N/A
	Grievance Mechanism	Our operations are guided by BIFFL’s values, the Code of Conduct and the Supplier Code of Conduct. A grievance mechanism offers stakeholders a channel for reporting possible misconduct.	Yes	N/A
	Encourage-ment/ Training	We aim to create interesting career and development opportunities to continuously advance personal professional skills and know-how. It is important to us to secure the expertise required to implement the strategy.	Yes	N/A

“ In business, the idea of measuring what you are doing, picking the measurements that count like customer satisfaction and performance... you thrive on that ”

- Bill Gates

MANAGEMENT DISCUSSION AND PERFORMANCE ANALYSIS

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REVIEW OF FINANCIAL PERFORMANCE

Being a unique organization in terms of its vision, area of operations and funding mix, BIFFL continued to perform in a positive trend in 2018, supported by increasing disbursement of long-term loans. In achieving such loan disbursement growth, we prioritize financing long-term infrastructural projects which are sustainable, energy efficient and

overall environment-friendly. Besides, being directly involved with implementation of PPP projects of our country, we also promote sustainable private sector initiatives in collaboration with different development partners. Our long-term nature of funding sources has put us in an advantageous position to finance such long-term projects.

Notably, while explaining our key performance indicators and comparing those with industry benchmarks, we have considered our long-term nature of investments and sources of funding.

BIFFL's strong performance in 2018 is evident by huge growth in loan disbursement, Net Interest Income (NII) and Gross Operating Revenue. It disbursed BDT626 crore in 2018 and ROE was 4%.

We continued to create value to our shareholders by way of:

23.14%	22.64%	58.38%
Growth of revenue	Growth of EBITDA	Growth of Loans & Advances
3%	183%	22.19%
Return on Assets (ROA)	Capital Adequacy Ratio	Growth of CAR
BDT3.93	3.01%	3.26%
Earnings Per Share	Increase in EPS	Market Share in terms of Total Assets

BIFFL's Performance against the Industry

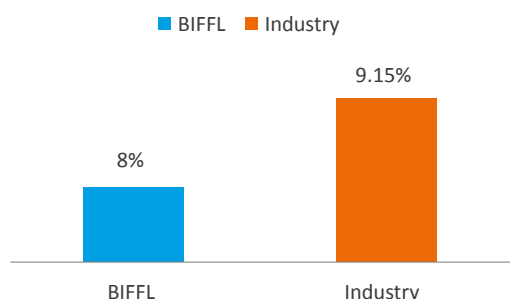
BIFFL continued keeping pace outperforming the industry in 2018 in terms of growth of different performance and financial position measures.

Total Asset

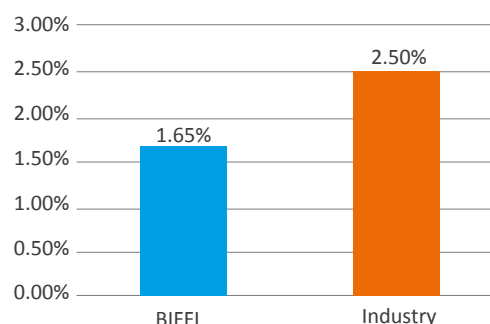
From the year 2014 to June 30, 2018, asset base of NBFI industry grew at a Cumulative Average Growth Rate (CAGR) of 9.15%. At the same time,

BIFFL asset base grew at a CAGR of 8%. At the end of 2018, BIFFL's total assets is BDT3014.8 crore. BIFFL is sustainably maintaining its asset growth. Market share in terms of total assets is also growing. At the end of 30 June 2018 company holds 3.26% (Bangladesh Bank Annual Report 2017-18) of the total assets of NBFI Industry which was 2.98% on 30 June 2017.

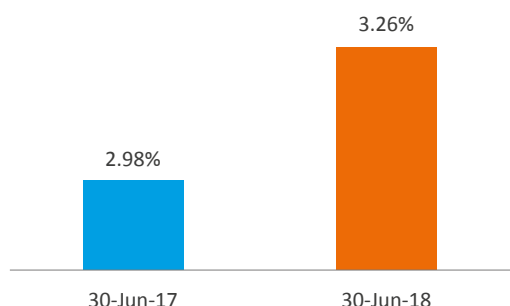
Total Assets Growth



ROE Comparison



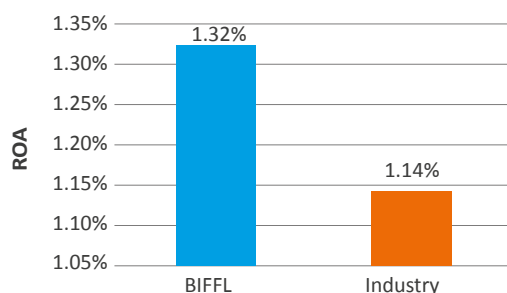
Market Share



Return on Assets (ROA)

BIFFL's ROA at the end of first half of 2018 was 1.32% compared to 1.14% of industry ROA. It outperformed the industry in terms of ROA. BIFFL's ROA at the end of 2018 was 3%. BIFFL maintained average ROA above the industry for the last five years.

ROA Comparison



Return on Equity (ROE)

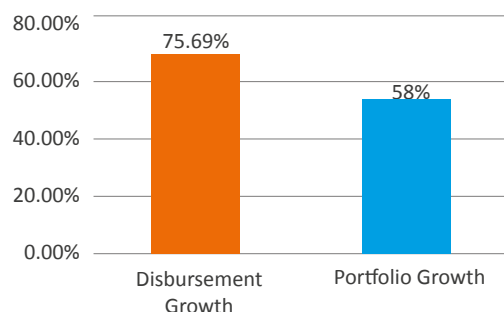
BIFFL's ROE for 2018 was 4%. BIFFL's ROE at the end of first half of 2018 was 1.65% against the industry ROE of 2.5%. This relatively low ROE is mainly due to low value of BIFFL's equity multiplier resulted from our unique sources of funding compared to other entities operating in the industry. BIFFL's capital structure is heavily dominated by equity capital.

Key Developments in 2018

Our 2018's financial results reflect both the benefits of strategic actions taken over the past few years and the impact of strategic actions and restructuring which were continued in the reporting year.

Corporate loans and advances were our strength for a number of years. Considering current business trends, risks and profitability, we tend to focus more on long-term loan in different sectors. Like 2017, we continued to reap the benefits of our strategic tilt as long-term loans grew by 75.69% and respective portfolio by 58%.

Disbursement Growth and Portfolio Growth



We focused meticulously on human resource as one of our major strategies. Recruitment of quality resources continued in 2018. We invested a lot to improve the quality of the existing employees in the form of both local and foreign trainings and exposures. Employee motivation is visible in BIFFL by means of competitive compensation package, increment and performance bonus, family gatherings, annual retreats, social events and so on. A well-defined succession plan has been introduced in BIFFL. A three-four level backup and career path has been introduced. BIFFL encourages leadership and provides for ample opportunities for its employees to march forward.

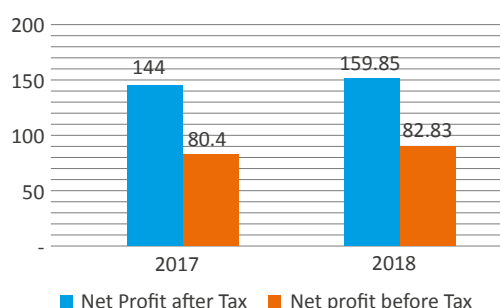
Analysis of our Financial & Operational Performance

Profitability Position

In 2018, the profitability indicators showed improvements posting net profit after tax of BDT82.83 crore compared to BDT80.41 crore in 2017 reflecting a year-to-year growth of 3%. We were focusing more on our primary line of business and 2018's financials show the results.

Particular	in BDT crore		Y-Y Growth	
	2017	2018	Amount	%
Net profit before tax	144	159.85	15.50	11%
Net profit after tax	80.41	82.83	2.42	3%

Profit before and after Tax (in BDT Crore)



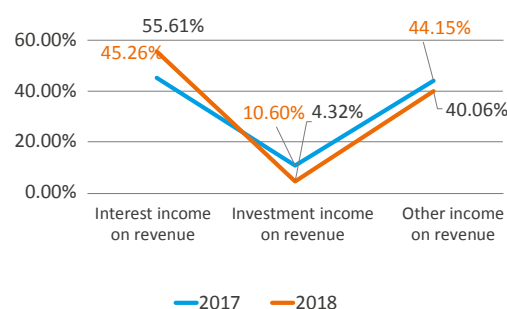
Revenue Position

Where the industry is facing numerous challenges in growing up revenue lines, BIFFL has succeeded in reaching BDT203.59 crore revenue with 23% growth over the last year's BDT165.34 crore. BIFFL is expecting a continued growth in revenue and profit in coming years with new PPP and private projects financing in a different.

In our boosting revenue, core contributor was interest income. In 2018, interest income contributed 55.61%, investment income 4.32% and other income 40.06%, respectively, in total revenue.

Particular	Percentage (%)	
	2017	2018
Interest income on revenue	45.26	55.61
Investment income on revenue	10.60	4.32
Other income on revenue	44.15	40.06
Total	100.00%	100.00%

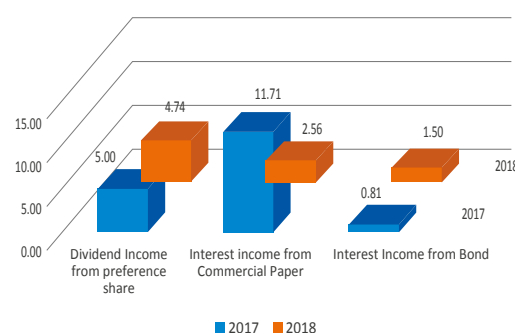
Revenue Growth %



In 2018, BIFFL's income from bonds increased by 85.44% whereas, it experienced 5.19% and 78.12% negative growth in investment income from preference shares and commercial papers. Overall, income from investment increased by 2.14% in this year.

Particular	in BDT crore		Y-Y Growth	
	2017	2018	Amount	%
Dividend Income from preference share	5.00	4.74	(0.26)	-5.19%
Interest income from Commercial Paper	11.71	2.56	(9.15)	-78.12%
Interest Income from Bond	0.81	1.50	0.69	85.44%
Total Investment Income	17.52	8.81	(8.72)	2.14%

Investment Income (in BDT crore)

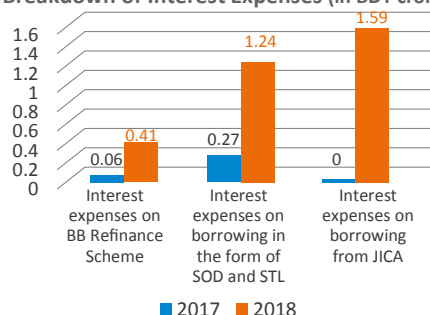


Interest Expenses

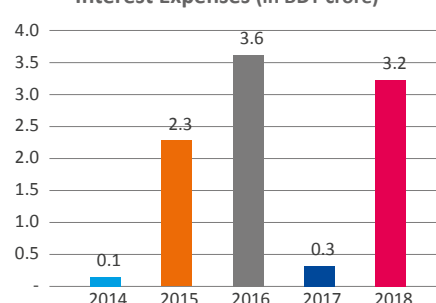
In 2018, interest expenses increased by 1,082% by BDT2.92 crore from BDT0.32 crore to BDT3.24 crore in 2017. This high growth rate of interest expense is due to injection of new funds from development partners like JICA.

Particular	in BDT crore		Y-Y Growth	
	2017	2018	Amount	%
Interest expenses on BB Refinance Scheme	0.06	0.41	0.35	616%
Interest expenses on borrowing in the form of SOD and STL	0.27	1.24	0.97	366%
Interest expenses on borrowing from JICA	-	1.59	1.59	100%
Total interest expenses	0.32	3.24	2.92	1082%

Breakdown of Interest Expenses (in BDT crore)



Interest Expenses (in BDT crore)



Though financial expenses have increased, the amount is still very small in relation to the size of the company. It also indicates a positive trend in leveraging its equity base.

Operating Expenses

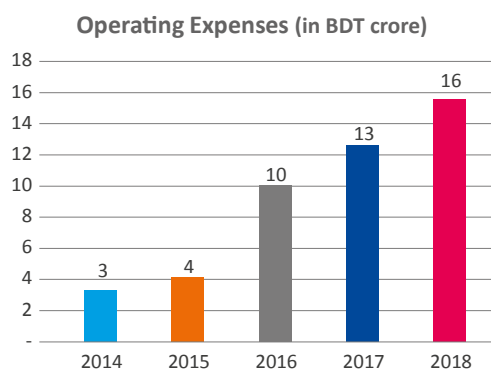
Operating expenses was BDT15.57 crore in 2018 compared to BDT12.58 crore in 2017 which reflects Company's increased operating activities and investment in human resources.

Particular	in BDT crore		Y-Y Growth	
	2017	2018	Amount	%
Salary and allowances	3.90	4.75	0.85	22%
Rent, taxes, insurance, electricity etc.	0.37	0.59	0.22	60%
Legal expenses	0.07	0.13	0.06	83%
Postage, stamp, telecommunication etc.	0.16	0.17	0.02	10%
Stationery, printing, advertisement etc.	0.50	1.46	0.97	195%
Managing Director's salary and allowances	0.96	1.03	0.07	7%
Directors' fees	0.13	0.13	0.01	7%
Auditors' fees	0.01	0.04	0.02	207%
Depreciation and repairs of company's assets	3.88	4.09	0.20	5%
Other operating expenses	2.61	3.18	0.57	22%
Total operating expenses	12.58	15.57	2.99	618%

The main expense growth contributors were:

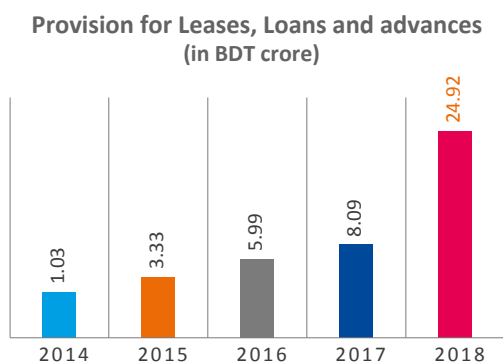
- Staff related cost increased by 22%, comprising -
 - Growth in number of employees to 85 in 2018 from 55 in 2017.
 - Incentives provided to employees in line with strong financial performance in 2018.
- Rent, insurance and electricity expenses increased by 60% along with 5% rise of depreciation and repairs of company's assets due to restructuring and extension of head office premises.
- Bigger business dealings and number of clients, greater number of staffs raised cost of stationery, printing, advertisement by 195% and legal expenses by 83%.
- Other expenses increased by 22% in the year 2018 compared to 2017. Major contributors were office maintenance, IT maintenance, training expenditure, CSR expenses, project site supervision expenses, travelling allowance and conveyances.

- Auditor's fees increased by 207% in 2018 mainly due to special audit for bond issuance in addition to statutory audit fees.



Provision for Leases, Loans and Advances

Provision for leases, loans and advances increased over the last five years along with the growth in loan portfolio. Most of the provisioned amount in 2018 is general provision against loans disbursed. However, portion of the amount is related to only classified loan of BIFFL.



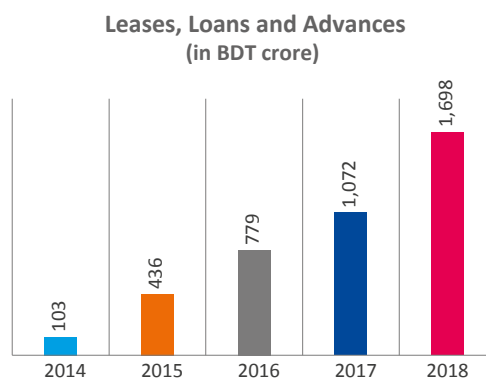
Analysis of our Financial Position

Leases, Loans and Advances

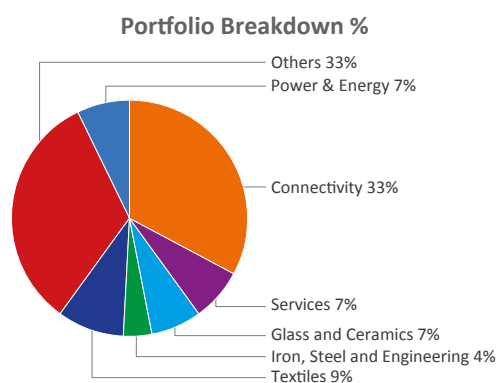
In 2018, leases, loans and advances increased to BDT1,698 crore compared to BDT1,072 crore in the previous year reflecting year to year growth of 58%. We were focusing financing on different sectors like textiles, garments and accessories, transport, steel and engineering, power and energy, electronics and electrical, plastic, food and beverage, glass and ceramics, services and other sectors.

Particular	In BDT crore		Y-Y Growth	
Year	2017	2018	Amount	%
Leases, loans and advances	1,072	1,698	626	58%

Our loans and leases portfolio have experienced a steady growth over the last five years. In 2014, loans & leases portfolio was only BDT103 crore. However, within a span of 5 years, it reached approx. BDT1,700 crore.



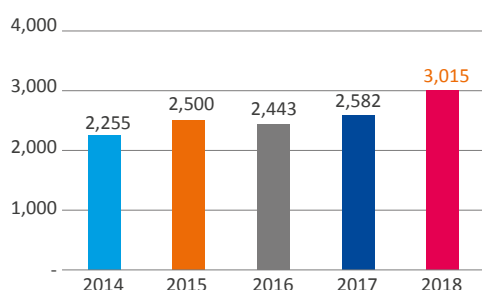
Major portion of share of the leases & loans portfolio has been invested in connectivity in line with BIFFL's vision of financing infrastructure development. Currently, it is also focusing on investing in power and energy sector or more specifically green and renewable energy. Other important sectors are textile, glass and ceramics, steel and engineering etc.



Total Assets

Total assets of BIFFL has increased by 8% over the last five years. However, much of this growth was achieved in 2018 when the growth rate was 16.75%. In 2014, total assets were 2,255 crores. At the end of the year our total assets stood at BDT3,015 crore.

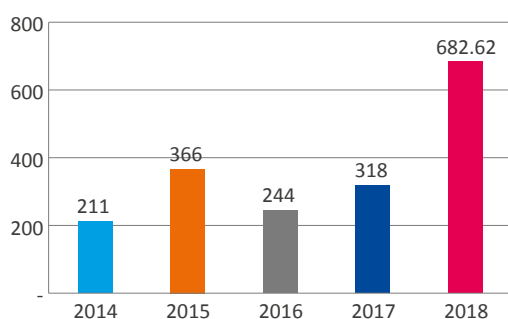
Total Assets (in BDT crore)



Total Liabilities

In 2018, total liabilities has doubled. The increase in total liabilities is mainly due to injection of JICA fund. However, liability portion is still quite low compared to equity capital. Before 2018, most part of this liability consisted of different operational liabilities and short-term fund arrangement with different banks.

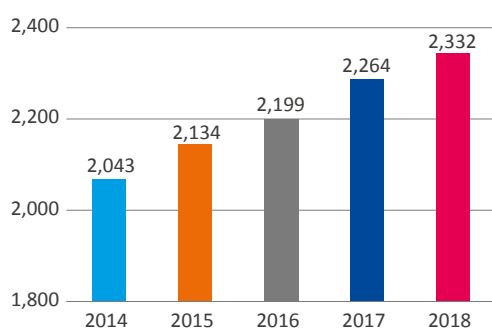
Total Liabilities (in BDT crore)



Equity Capital

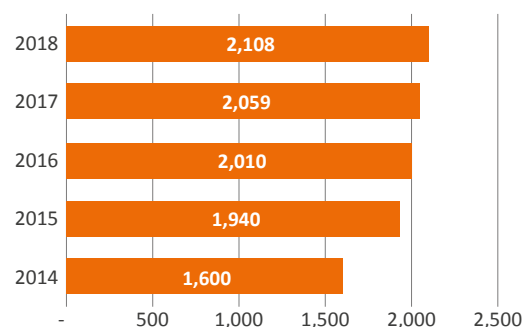
Over the last five years, the equity capital of BIFFL has increased by almost BDT300 crore. This increment is from retained earnings over the last five years. At the end of 2018, the amount of common equity capital was BDT2,332 crore.

Total Equity (in BDT crore)



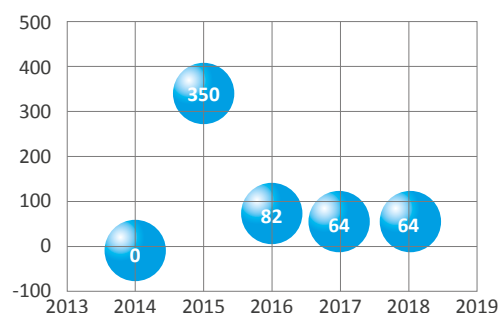
Paid up capital at the end of 2014 was BDT1,600 crore which stood at BDT2,108 crore at the end of 2018.

Paid up Capital (in BDT crore)

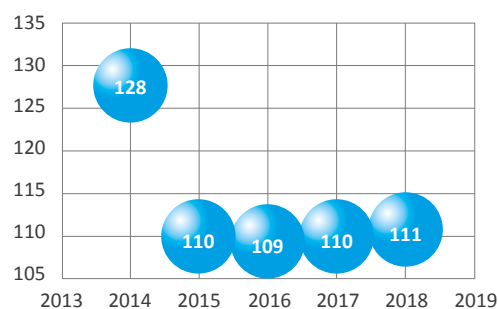


In 2017 and 2018 the amount of dividend payment were BDT64 crore for each year. Net assets value per share of BIFFL is in an increasing trend from 2016. At the end of 2018 NAV per share was BDT111, BDT1 higher than previous year.

Dividend (in BDT crore)



Net Assets Value (NAV) per Share

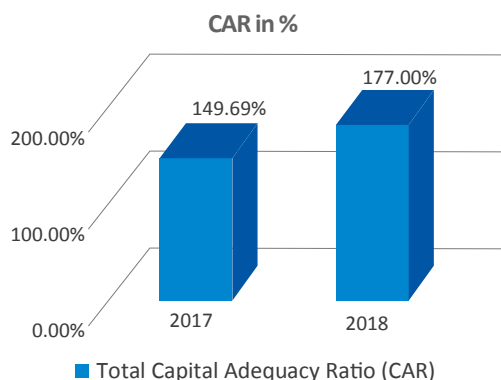


Capital and Capital Adequacy

BIFFL remains well capitalized, with all capital adequacy ratios (CAR) well above the Basel II minimum regulatory capital requirements. Required CAR is 10% where, in 2018 BIFFL had 177% compared to 149.69% in 2017. Total capital

increased by 3.19% in 2018 with an amount of BDT2,350.50 crore and BDT2,277.85 crore in 2017.

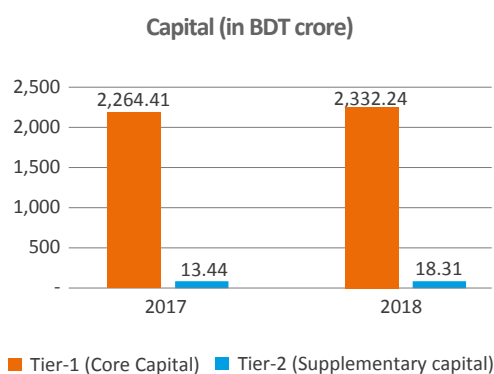
Balance sheet was well positioned with our Basel II CAR at 177%. CAR is substantially well above regulatory requirement of 10% after 58.38% growth of leases, loans and advances portfolio.



Particular	In BDT crore		Y-Y Growth	
	2017	2018	Amount	% of total capital
Tier 1 (Core Capital)	2,264.41	2,332.24	67.83	2.98%
Tier 2 (Supplementary Capital)	13.44	18.31	4.87	0.21%
Total eligible capital	2,277.85	2,350.55	72.70	3.19%

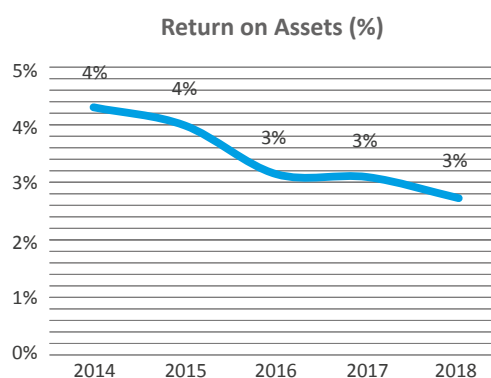
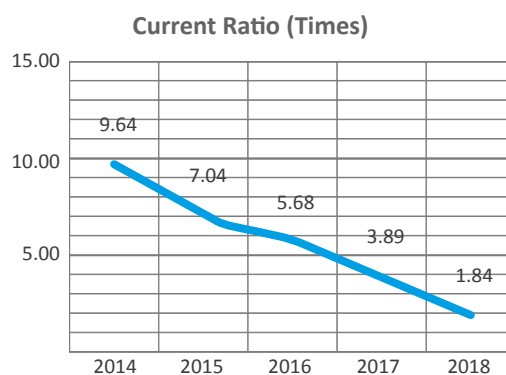
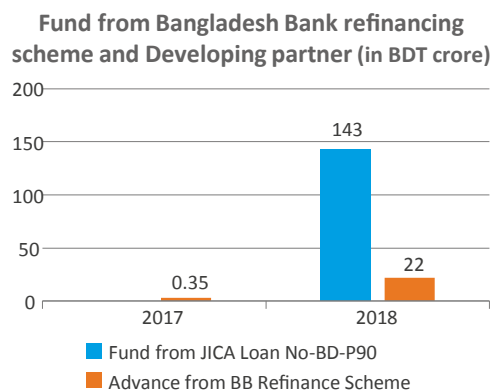
Increase in CAR was due to less risk weighted assets. In 2018, our risk weighted assets were 13% lower than 2017.

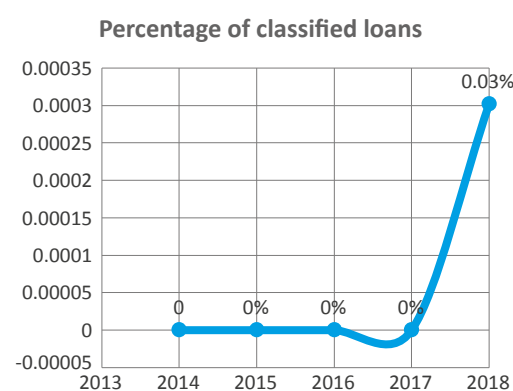
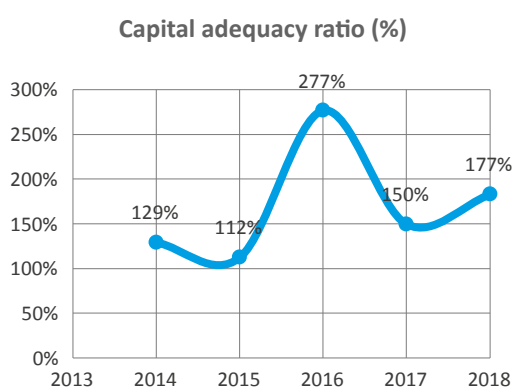
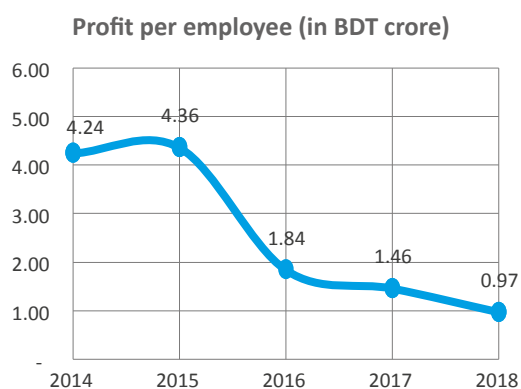
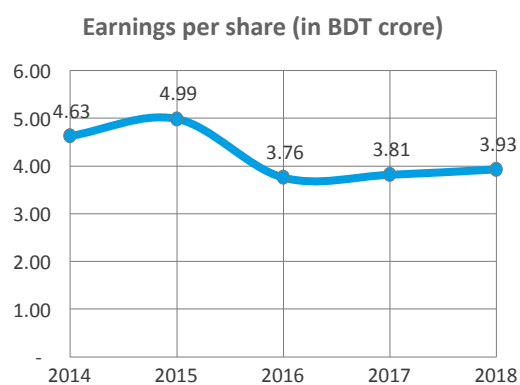
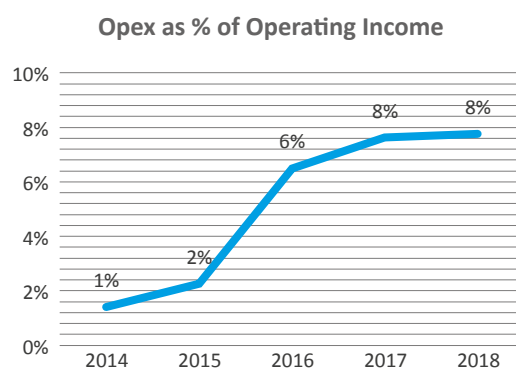
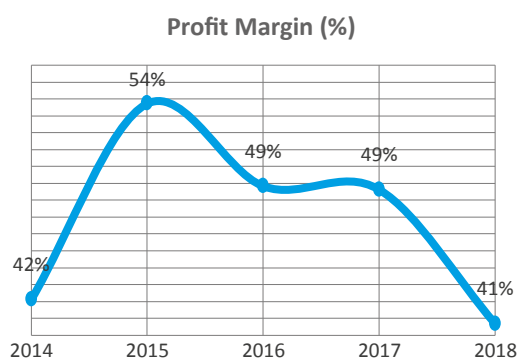
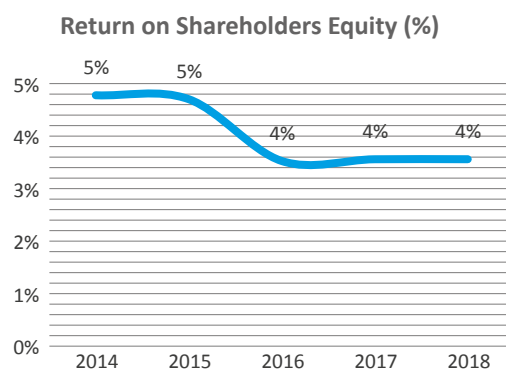
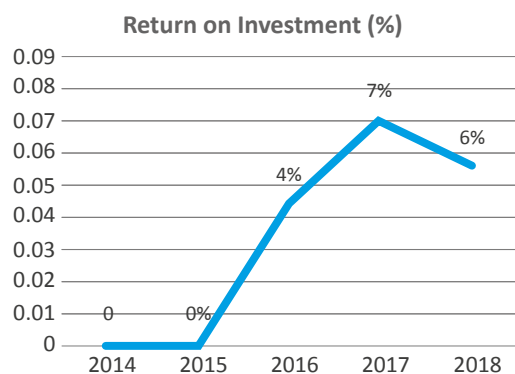
BIFFL received an amount of BDT143.34 crore from JICA and liquidity level remained sound with increasing statutory liquid assets and cash reserve resulting in positive liquidity coverage ratio which was well above the regulatory requirement.



Fund from Bangladesh Bank Refinancing Scheme and Multilateral Agency

In addition to BDT143 crore from JICA, BIFFL has received BDT22 crore from Bangladesh Bank under its Refinancing Scheme compared to BDT0.35 crore in 2017.





Horizontal Analysis

For the last 5 years

Balance Sheet

Particulars	2014	2015	2016	2017	2018
PROPERTY AND ASSETS					
Cash	100%	113%	125%	88%	72%
Cash in hand	100%	75%	2679%	563%	665%
Balance with Bangladesh Bank	100%	113%	124%	88%	72%
Balance with others Banks and Financial Institutions	100%	88%	57%	47%	39%
Inside Bangladesh	100%	88%	57%	47%	39%
Outside Bangladesh	-	-	-	-	-
Money at call and short notice	0%	0%	0%	100%	0%
Investment	0%	0%	100%	100%	100%
Government Securities	-	-	-	-	-
Others Investments	0%	0%	100%	100%	100%
Lease, loans and advances	100%	422%	754%	1038%	1643%
Lease portfolio, term finance, short term loan, etc.	-	-	-	-	-
Fixed assets including land, Building, Furniture and Fixtures	100%	125%	4701%	4235%	4864%
Other assets	100%	192%	156%	182%	221%
TOTAL PROPERTY AND ASSETS	100%	111%	108%	115%	134%
LIABILITY AND SHAREHOLDERS' EQUITY					
Liabilities					
Borrowings from Bangladesh Bank ,Other Banks and Financial Institutions	0%	100%	0.59%	0.46%	329%
Term deposits	-	-	-	-	-
Other liabilities	100%	138%	115%	150%	207%
TOTAL LIABILITIES	100%	173%	115%	150%	323%
Shareholders' Equity	100%	104%	108%	111%	114%
Paid up capital	100%	121%	126%	129%	132%
Share premium	-	-	-	-	-
Statutory reserve	100%	123%	140%	158%	177%
General reserve	-	-	-	-	-
Fair value measurement reserve	-	-	-	-	-
Retained earnings	100%	24%	18%	18%	19%
Non controlling interest	-	-	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	100%	111%	108%	115%	134%

Horizontal Analysis

For the last 5 years

Profit and Loss Account

Particulars	2014	2015	2016	2017	2018
Operating income					
Net interest	100%	264%	602%	1192%	1760%
Interest income	100%	294%	645%	1170%	1770%
Less: Interest expenses on deposits & borrowings	100%	1545%	2447%	218%	2186%
Income from investment	0%	0%	100%	157%	79%
Commission, exchange and brokerage income	-	-	-	-	-
Other operational income	100%	74%	47%	32%	36%
Total operating income	100%	80%	67%	71%	87%
Operating expenses					
Salary and allowances	100%	118%	215%	329%	401%
Rent, taxes, insurance, electricity etc.	100%	983%	1216%	852%	1365%
Legal and professional fees	100%	373%	903%	244%	446%
Postage, stamp, telecommunication etc	100%	61%	473%	347%	382%
Stationary, printing, advertisement	100%	96%	252%	140%	412%
Managing directors salary and allowances	100%	92%	149%	157%	169%
Director's fees and expenses	100%	294%	610%	596%	639%
Audit fees	100%	120%	181%	209%	640%
Depreciation, repairs and maintenance	100%	102%	475%	720%	758%
Other expenses	100%	154%	458%	597%	727%
Total operating expenses	100%	127%	307%	385%	476%
Net operating income	100%	79%	63%	67%	81%
Provision for loans/investments	100%	322%	580%	783%	2413%
Provision for investments, leases, loans and advances	100%	322%	580%	783%	2413%
Profit before tax and reserve	100%	78%	61%	64%	70%
Provision for tax made during the year	100%	59%	47%	49%	59%
Net profit after tax	100%	103%	79%	82%	85%
Earning per share (EPS)	100%	103%	79%	82%	85%

Vertical Analysis

For the last 5 years

Balance Sheet

Particulars	2014	2015	2016	2017	2018
PROPERTY AND ASSETS					
Cash	0.21%	0.21%	0.24%	0.16%	0.11%
Cash in hand	0.00%	0.00%	0.00%	0.00%	0.00%
Balance with Bangladesh Bank	0.21%	0.21%	0.24%	0.16%	0.11%
Balance with others Banks and Financial Institutions	88.28%	70.38%	46.47%	36.41%	25.98%
Inside Bangladesh	88.28%	70.38%	46.47%	36.41%	25.98%
Outside Bangladesh	0.00%	0.00%	0.00%	0.00%	0.00%
Money at call and short notice	0.00%	0.00%	0.00%	0.23%	0.00%
Investment	0.00%	0.00%	10.26%	9.67%	5.19%
Government Securities	0.00%	0.00%	0.00%	0.00%	0.00%
Others investments	0.00%	0.00%	10.26%	9.67%	5.19%
Lease, loans and advances	4.58%	17.44%	31.89%	41.51%	56.31%
Fixed assets including land, building, furniture and fixtures	0.03%	0.03%	1.21%	1.03%	1.02%
Other assets	6.91%	11.94%	9.93%	10.98%	11.40%
TOTAL PROPERTY AND ASSETS	100%	100%	100%	100%	100%
LIABILITY AND SHAREHOLDERS' EQUITY					
Liabilities					
Borrowings from Bangladesh Bank, Other Banks and Financial Institutions	0.00%	2.99%	0.02%	0.01%	8.16%
Term deposits	0.00%	0.00%	0.00%	0.00%	0.00%
Other liabilities	9.37%	11.65%	9.97%	12.29%	14.48%
TOTAL LIABILITIES	9.37%	14.64%	9.99%	12.31%	22.64%
Shareholders' Equity	90.63%	85.36%	90.01%	87.69%	77.36%
Paid up capital	70.96%	77.61%	82.28%	79.74%	69.92%
Share premium	-	-	-	-	-
Statutory reserve	3.93%	4.35%	5.08%	5.43%	5.20%
General reserve	-	-	-	-	-
Fair value measurement reserve	-	-	-	-	-
Retained earnings	15.73%	3.40%	2.65%	2.52%	2.24%
Non controlling interest	-	-	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	100%	100%	100%	100%	100%

Vertical Analysis

For the last 5 years

Profit and Loss Account

Particulars	2014	2015	2016	2017	2018
Operating income					
Net interest	2.70%	8.85%	23.77%	45.06%	54.02%
Interest income	2.76%	10.08%	26.06%	45.26%	55.61%
Less: Interest expenses on borrowings	0.06%	1.23%	2.29%	0.20%	1.59%
Income from investment	0.00%	0.00%	7.03%	9.39%	4.32%
Commission, exchange and brokerage income	0.00%	0.00%	0.00%	0.00%	0.00%
Other operational income	97.24%	89.92%	66.91%	44.58%	40.06%
Total operating income	99.94%	98.77%	97.71%	99.03%	98.41%
Operating expenses					
Salary and allowances	0.51%	0.75%	1.61%	2.36%	2.34%
Rent, taxes, insurance, electricity etc.	0.02%	0.23%	0.33%	0.22%	0.29%
Legal and professional fees	0.01%	0.06%	0.17%	0.04%	0.07%
Postage, stamp, telecommunication etc	0.02%	0.01%	0.13%	0.09%	0.08%
Stationary, printing, advertisement	0.15%	0.18%	0.56%	0.30%	0.72%
Managing directors salary and allowances	0.26%	0.30%	0.57%	0.58%	0.50%
Director's fees and expenses	0.01%	0.03%	0.08%	0.08%	0.07%
Audit fees	0.00%	0.00%	0.01%	0.01%	0.02%
Repairs, maintenance and depreciation	0.23%	0.29%	1.62%	2.35%	2.01%
Other expenses	0.19%	0.36%	1.27%	1.58%	1.56%
Total operating expenses	1.41%	2.22%	6.35%	7.61%	7.65%
Net operating income	99%	96.55%	91.36%	91.42%	90.76%
Provision for loans/ investments	0.00%	1.78%	3.78%	4.89%	12.24%
Provision for investments, leases, loans and advances	0.51%	1.78%	3.78%	4.89%	12.24%
Profit before tax and reserve	98.02%	94.76%	87.57%	87.31%	78.52%
Provision for tax made during the year	55.98%	41.03%	38.73%	38.67%	37.83%
Provision for tax made during the year	55.98%	41.03%	38.73%	38.67%	37.83%
Net profit after tax	42.04%	53.74%	48.84%	48.63%	40.68%

KEY OPERATING AND FINANCIAL HIGHLIGHTS

Amount in BDT

Particulars	2014	2015	2016	2017	2018	Growth of 2018 over 2017 (%)	5-year CAGR (%) / Average
Financial Performance							
Long Term Investment	-	-	855,544,789	747,603,687	1,313,443,964	75.69%	11%
Short Term Investment	-	-	1,650,000,000	1,750,000,000	250,000,000	(85.71%)	(38%)
Loan Portfolio	1,033,064,192	4,358,268,450	7,790,365,136	10,719,748,885	16,977,708,408	58.38%	101%
Power & Energy	1,032,872,562	1,281,890,477	270,054,602	244,962,850	1,176,563,047	380.30%	3%
Transport & Communication	-	120,000,000	3,800,000,000	3,200,000,000	5,683,422,222	77.61%	162%
Services	-	-	518,692,706	1,202,611,111	1,226,668,940	2.00%	24%
Glass and Ceramics	-	-	102,481,875	467,547,146	1,104,177,287	136.16%	81%
Iron, Steel and Engineering	-	-	-	800,000,000	736,657,322	(7.92%)	(2%)
Textiles	-	-	-	664,378,185	1,444,541,904	117.43%	21%
Others	191,630	2,956,377,973	3,099,135,953	4,140,249,593	5,605,677,686	35.39%	1208%
Total Assets	22,547,534,907	24,996,275,061	24,430,253,970	25,822,384,167	30,148,654,129	16.75%	8%
Total Liabilities	2,113,276,818	3,659,653,932	2,440,217,844	3,178,240,743	6,826,216,328	114.78%	34%
Total Equity	20,434,258,089	21,336,621,129	21,990,036,126	22,644,143,424	23,322,437,802	3.00%	3%
Net Current Assets	20,370,324,675	17,587,867,571	11,406,612,423	9,163,271,367	6,521,420,677	(28.83%)	(25%)
Operational Performance							
Interest Income from Leases, Loans and Advances	63,961,291	188,049,291	412,661,561	748,241,004	1,132,242,764	51.32%	105%
Total Revenues	2,316,585,568	1,865,373,080	1,583,574,404	1,653,372,411	2,035,884,783	23.14%	(3%)
Operating Income	2,315,103,116	1,842,463,329	1,547,302,192	1,650,140,401	2,003,473,349	21.41%	(4%)
Operating Expenses	32,706,686	41,495,144	100,571,797	125,801,396	155,707,083	23.77%	48%
Financial Expenses	1,482,452	22,909,751	36,272,212	3,232,010	32,411,434	902.83%	116%
Provision for Loan Lease and Advances	10,330,778	33,250,490	59,936,697	80,858,449	249,241,429	208.24%	122%
Profit Before Provision & Tax	2,282,396,430	1,800,968,185	1,446,730,395	1,524,339,005	1,847,766,266	21.22%	(5%)
Net Profit before Tax	2,272,065,652	1,767,717,695	1,386,793,698	1,443,480,556	1,598,524,837	10.74%	(8%)
Net Profit After Tax	975,346,500	1,002,363,040	773,414,997	804,107,298	828,294,378	3.01%	(4%)
EBITDA	2,286,384,273	1,825,517,861	1,497,942,604	1,564,365,401	1,918,575,286	22.64%	(4%)
Financial Ratios							
Current Ratio (Times)	9.64	7.04	5.68	3.89	1.84	(52.73%)	(25%)
Return on Assets (%)	4%	4%	3%	3%	3%	(11.77%)	(3%)
Return on Investment (%)	-	0%	4%	7%	6%	(19.72%)	6%
Return on Share Holders Equity (%)	5%	5%	4%	4%	4%	0.01%	0%
Profit Margin (%)	42%	54%	49%	49%	41%	(16.35%)	(4%)
Opex as % of Operating Income	1%	2%	6%	8%	8%	1.94%	5%
Earnings Per Share (BDT)	4.63	4.76	3.67	3.81	3.93	3.01%	2%
Profit Per Employee (BDT)	4.24	4.36	1.84	1.46	0.97	(33.35%)	(15%)
Capital Adequacy Ratio (CAR)	129%	112.48%	276.71%	149.69%	177%	18.24%	(11%)
% Classified Loans	-	-	-	-	0.03%	-	-
Equity Statistics							
Number of Shares (No.)	160,000,000	194,000,000	201,000,000	205,900,000	210,800,000	2.38%	1%
Paid Up Capital (BDT)	16,000,000,000	19,400,000,000	20,100,000,000	20,590,000,000	21,080,000,000	2.38%	1%
Share Holders Equity (BDT)	20,434,258,089	21,336,621,129	21,990,036,126	22,644,143,424	23,322,437,802	3.00%	1%
Dividend (BDT) **	-	3,500,000,000	820,000,000	640,000,000	640,000,000	0.00%	(6%)
Net Assets Value (NAV) per Share	128	109.98	109.40	109.98	110.64	0.60%	0%

** In 2015 BIFFL paid dividend BDT350 crore for the year 2011 to 2014

HIGHLIGHTS AS REQUIRED BY BANGLADESH BANK

SI No.	Key Indicators	Amount in Taka	
		31-Dec-18	31-Dec-17
1	Paid-up capital	21,080,000,000	20,590,000,000
2	Total capital	23,322,437,802	22,644,143,424
3	Capital surplus	22,178,014,972	21,256,829,837
4	Total assets	30,148,654,129	25,822,384,167
5	Total leases, loans and advances	16,977,708,408	10,719,748,885
6	Percentage of classified loans against total leases, loans and advances	0.03%	0.00%
7	Profit after tax and provision	828,294,378	804,107,298
8	Amount of classified loans during current period	5,126,319	-
9	Provision kept against classified loans	517,200	-
10	Interest earning assets	26,372,426,533	22,679,638,725
11	Non-interest earning assets	3,776,227,595	3,142,745,443
12	Return on investment (ROI)	6%	7 %
13	Return on assets (ROA)	3%	3 %
14	Income from investment (BDT)	88,050,697	175,222,608
15	Earnings per share (EPS)	3.93	3.81
16	Net income per share (Taka)	3.93	3.81

VALUE ADDED STATEMENT

The value added statement appended below is the details of total value addition by Bangladesh Infrastructure Finance Fund Limited (BIFFL) and distribution thereof. The distribution of value reveals how the company contributed for socio-economic development by paying salaries and allowances to the employees, dividend to the shareholders (Government), taxes to the Government and retention of some amounts for growth and expansion.

	2018		2017		2016		2015
	Taka	%	Taka	%	Taka	%	Taka
Value addition							
Operating income	2,035,884,783		1,653,372,411		1,583,574,404		1,865,373,080
Cost of borrowing	(32,411,434)		(3,232,010)		(36,272,212)		(22,909,751)
Provisions	(249,241,429)		(80,858,449)		(59,936,697)		(33,250,490)
Operating expenses excluding salary expenses and depreciation	(59,517,228)		(40,416,710)		(51,065,781)		(20,317,059)
	1,694,714,693		1,528,865,242		1,436,299,714		1,788,895,780
Distribution of Value Addition							
To Employees as salaries and allowances	57,792,269	3%	48,590,300	3%	34,566,019	2%	19,538,160
To Government as Income Tax	768,477,974	45%	641,851,639	42%	606,429,852	42%	765,585,884
To Shareholders (Government) as Dividend	200,000,000	12%	640,000,000	42%	640,000,000	45%	820,000,000
Value retained for expansion and future growth							
Value retained in business	628,294,378	37%	164,107,298	11%	133,414,997	9%	182,363,039
Deferred Tax	1,752,486	0%	(2,478,381)	(0%)	6,948,849	0%	(231,228)
Depreciation	38,397,587	2%	36,794,386	2%	14,939,997	1%	1,639,925
Amount Distributed	1,694,714,693	100%	1,528,865,242	100%	1,436,299,714	100%	1,788,895,780
Number of employees at the end of the year	85		55		42		22
Value created per employee	19,937,820		27,797,550		34,197,612		81,313,445
Number of shares	210,800,000		205,900,000		201,000,000		194,000,000
Value created per share (Taka)	8.04		7.43		7.15		9.22

STATEMENT ON CONTRIBUTION TO GOVERNMENT EXCHEQUER

Government is one of the most important stakeholders of BIFFL. It plays a critical role in economic and technological advancement of the country. As a responsible and ethical entity, BIFFL makes consistent contribution to the Government Exchequer. For the year ended 31 December 2018, BIFFL contributed to the Government Exchequer an amount of BDT78 crore composed of income tax, withholding tax and VAT and cash dividend.

Amount in Taka			
Forms of Contribution	2018	2017	2016
Income Tax:	626,410,466	401,906,989	819,646,450
Payroll tax	3,501,643	3,228,043	2,205,800
Advance corporate tax	619,980,669	397,143,090	816,773,044
Tax on payment to suppliers, vendors, service providers etc.	2,928,155	1,535,856	667,606
Value Added Tax (VAT):	5,378,349	3,806,467	3,639,402
VAT on payment to suppliers, vendors, service providers etc.	5,378,349	3,806,467	3,639,402
Dividend:	150,000,000	150,000,000	120,000,000
Cash dividend	150,000,000	150,000,000	120,000,000
Total contribution to Government Exchequer	781,788,816	555,713,456	943,285,852



CONTRIBUTION TO ACHIEVEMENT OF SDGs



A resolution titled 'Transforming our World: the 2030 Agenda for Sustainable Development' was adopted by the UN General Assembly on 25 September 2015, heralding the commencement of yet another 15-year cycle of global development goal following the footsteps of Millennium Development Goals (MDGs) for 2000-15. This post 2015 global agenda contains 17 Sustainable Development Goals (SDGs) and 169 targets, which reflects the scale and ambition of the global community seeking to realize human rights, gender equality and empowerment of all. The SDG agenda is a plan of action for the people, planet and collective prosperity by seeking to strengthen global peace and larger freedom at the same time eradicate poverty in all its forms and dimensions.

The 2030 Agenda comes at a time when Bangladesh has already kicked-off its journey towards an upper-middle income country by 2030 and a developed country by 2041. Bangladesh has incorporated priorities of SDGs in all its development policies. The Government has adopted an inclusive approach to development so that the poorest and the most

vulnerable section of the society can be integrated into its national development efforts. As the country moves ahead, challenges in several areas, including in resource mobilization and data management, will have to be addressed. Bangladesh is confident to set the example of a leading SDGs achiever.

BIFFL is a unique organization working for infrastructure development, environment and climate as well as women empowerment which directly impact on poverty eradication, redressing gender disparity and sustainable development of the country in partnership between the private and public sector.

Infrastructure Development

BIFFL was formed to facilitate the long-term infrastructure projects which are crucially needed for country's development towards achieving middle-income status. For establishment of infrastructures in connectivity, power and energy, development of economic zones, BIFFL financed about BDT2,000 crore by 2018. Besides, a good

number of projects are under consideration to finance. By financing infrastructure, BIFFL contributes to the achievement of SDG-8, SDG-9 and SDG-11 in particular.

Partnership for Capacity Development Program

BIFFL has been working with different multilateral development partners such as JICA, the World Bank, ADB, KFW and AFD for capacity development (Technical Assistance) for energy efficiency and conservation promotion, infrastructure development and agriculture value chain improvement projects which reflect on achievement of SDG-11.

Environment & Climate

BIFFL believes in sustainable development protecting the environment and nature. In line with this, the organization has been working to promote environment-friendly green construction materials in development works. The Company has been organizing 'Green and PPP Convention and Expo' from 2016 which created huge impact on awareness of the mass people, business entrepreneurs, media and the policy makers of the country about green technologies and energy efficiency.

BIFFL has already approved 20 auto bricks projects and energy-efficient technology amounting about BDT1,000 crore and financed 12 projects of about BDT313 crore, respectively. Besides, 8 more auto bricks projects requiring BDT617 crore are under consideration. Such green initiatives of BIFFL contributes a lot to the environment and climate which reflects on achievement specially of SDG-6, SDF-7, SDG-13, SDG-14 and SDG-15.

Women Empowerment

BIFFL has been working on women empowerment and redressing gender disparity. In this connection, BIFFL formed WEDU in 2017 and is financing women entrepreneurs for economic development and growth. Meanwhile, the organization financed 25 individual women entrepreneurs. Besides, it provided cluster-finance to 157 women entrepreneurs in 'Jamdani Palli' at Rupganj, Narayanganj and 85 women crab farmers in Rampal, Bagerhat.

Through WEDU, BIFFL has been contributing a lot on the development of the poor women entrepreneurs which impact on their economic status, social empowerment and redressing gender disparity which reflects on achievement of SDG-5 (Gender Inequality).

BIFFL has been working for sustainable development of the country in line with the perspective plan 2010-2021 and the 7th five-year plan of Bangladesh. In this connection, the performance of the organization contributes to the achievement of SDG 2030.

Reference

1. World Bank, 2007. World Development Report 2008
2. Financial Express, Published: 06 Dec 2016, 21:50:36
3. Financial Express, Published: Mon, 10 July 2017
4. United Nations Framework Convention on Climate Change (UNFCCC), Paris. un, 2015b.
5. Global Sustainable Development Report, 2015 edition. UN, 2016,
6. Article on SDG, Bangladesh by Dr. Helal Uddin Ahmed, retired Additional Secretary and former Editor of Bangladesh Quarterly.
7. <https://sustainabledevelopment.un.org/?page=view&nr=164&type=230>



KEY RESOURCES OF BIFFL

Financial Capital:

- Shareholder's Equity: BDT2,332 crore
- Total Asset: BDT3,014 crore
- Consolidated Fund Under Management: BDT1,854 crore
- Dividend Paid so far: BDT560 crore
- Net Profit (2018): BDT83 crore

Human Capital:

- Total Employees: 85
- Investment per Employee: BDT21.81 crore
- Earning per Employee Ratio: BDT0.97 crore

Manufactured Capital:

- BIFFL is a fully govt. owned organization and facilitates public initiatives taken by govt., Public-Private Partnership and Private Sector initiatives
- Focused on conserving nature
- LEED PLATINUM Certified Office

Intellectual Capital:

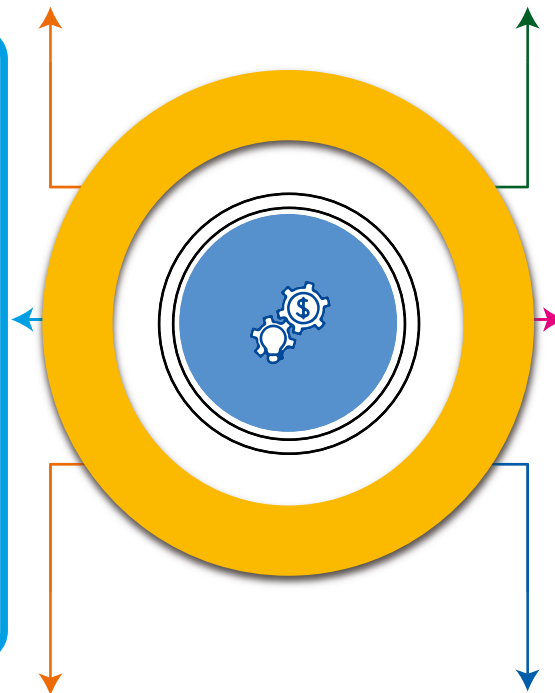
- Study tour in Europe
- Foundation course in GCBCL and BLFCA
- Green Learning Workshop (USGBC LEED)
- Seminar on ADB's New Procurement Policy
- BIBM Annual Banking Conference-2018

Social and Relationship Capital:

- Stakeholder engagement
- Voluntary contributions towards Corporate Social Responsibility (CSR)
- Committed towards sustainability
- Blood Donation Program on National Mourning Day
- BIFFL Honours Shooters; Mr. Abdullah Hel Baki and Mr. Shakil Ahmed
- BIFFL Distributes Relief to Flood Victims on 16 September 2018
- Blanket distribution among destitute and homeless people in the Dhaka City

Natural Capital:

- Green Financing
- Green Brick Projects
- Energy Efficiency





FINANCIAL CAPITAL

BIFFL, owned by the Government, is the largest NBFi in Bangladesh with authorized and paid up capital of BDT10,000 crore and BDT2,108 crore, respectively. BIFFL receives funds from several development partners such as JICA, ADB, the World Bank etc. BIFFL has access to refinancing funds from Bangladesh Bank to finance green projects. The fund is sourced to address the need of infrastructure development vis-à-vis insufficient investment in the particular sector, with a view to promoting an attractive environment for sustainable private investment.



Material Aspects	Highlights	Strengths and Opportunities	Challenges
- Portfolio BDT625.79 crore - Net Profit Growth BDT2.42 crore - Value Addition BDT169.47 crore	- Portfolio Growth of 58.38% - NP Growth of 3% - NPL Ratio 0.03% - Cost to income ratio 1.94%	- Lower level of operational cost - Talented and adept workforce - Increasing exposure to the market - Increasing exposure to the foreign funds	- 34 NBFIs, greater competition - Low barrier to entry in the market - Marketing excellence needed to introduce BIFFL - Low regional exposure.

Key Financial Highlights

Particulars	2017	2018	Growth
Financial Performance (BDT):			
Long Term Investment	747,603,687	1,313,443,964	75.69%
Leases Loans & Advances	10,719,748,885	16,977,708,408	58.38%
Total Assets	25,822,384,167	30,148,654,129	16.75%
Total Liabilities	3,178,240,743	6,826,216,328	114.78%
Total Equity	22,644,143,424	23,322,437,802	3.00%
Operational Performance (BDT):			
Total Revenues	1,653,372,411	2,035,884,783	23.14%
Operating Income	1,650,140,401	2,003,473,349	21.41%
Operating Expenses	125,801,396	155,707,083	23.77%
Financial Expenses	3,232,010	32,411,434	902.83%
Provision for Loan Lease and Advances	80,858,449	249,241,429	208.24%
Profit Before Provision & Tax	1,524,339,005	1,847,766,266	21.22%
Net Profit before Tax	1,443,480,556	1,598,524,837	10.74%
Net Profit After Tax	804,107,298	828,294,378	3.01%



MANUFACTURED CAPITAL

1. Ownership



BIFFL is a fully Government-owned organization focusing on supporting infrastructure development, which can take place in three ways through:

- I. public initiatives taken by the Government agencies like BEZA and Roads & Highways department etc.;
- II. PPP implemented by the private sector; and
- III. private sector initiatives.

BIFFL's policy is to support all three models of infrastructure developments.

2. Source of Funding



Another uniqueness of BIFFL is its source of funding. Its source of fund is mostly long-term that allows it to finance long-term infrastructure projects. In financing such long-term projects, we take calculated risks in investments like preference shares, bonds and commercial papers to ensure projects' ability to raise the required financing. Such risks are taken based on project's viability and higher ROI.

3. Steps for conserving nature



One requirement for ensuring sustainability is efficiency and conservation. We not only finance a development project but also ensure efficient use of the projects' output to reduce pollution and conserve the nature. BIFFL leverages the market for commercial banks by way of offering low rate of interest and thereby increasing borrower's repayment capacity. We believe that a project's outcome will not be environment-friendly if its construction materials are also not environment-friendly.

4. LEED Platinum certified office



BIFFL promotes a befitting environment for sustainable investment and upholds the true essence of green financing in every possible aspect. Alongside its commendable efforts towards environment-friendly investment policy, BIFFL is committed to contrive such a work space for its employees which would be green and at the same time environmentally sound. In accordance with this resolution, BIFFL decided to go for USGBC LEED certification under the commercial interior category for its corporate office. BIFFL puts together a highly efficient team to execute the project incorporating an Integrated Project Delivery (IPD – Team Process) methodology. With the help of the collective efforts of Design Consultant (ARCHVISTA), Green Building Consultant (360 Degree Total Solutions) and Project Contractor (INSIGNIA Studio), it has been possible to execute the plan and BIFFL takes the pleasure in being the first Government-owned organization to bag the prestigious and highly coveted LEED PLATINUM (highest possible category) certificate.



EE&C: A Better Solution for Nature

When applying for the loan to BIFFL, the proponents of EE&C submit energy consumption and production data for existing equipment and estimation figures for the new energy efficient equipment. Under some assumption provided by SREDA we calculate the theoretical energy conservation figures with those data. Theoretical energy saving data for the ongoing EE&C projects are listed in the following table:

Energy Savings	CO ₂ Reduction	475,236 MWh/Year BDT387.23 crore/Year	282431.5 t-CO ₂ /Year

Notes: 1 MWh = BDT8,150 (source: 2017 Electricity tariff for medium voltage general purpose, flat rate)

The calculation shows that a total of 54 MW of energy will be saved by the EE&C projects funded by BIFFL in a year. In monetary terms, the value of the energy conservation will be BDT387 crore. Total CO₂ reduction per year will be 2,82,431.5 ton.

Objectives of EE&C Financing

Encourage the use of EE&C technology in Bangladesh	Contribution to the sustainable development	Reduce power demand-supply gap	Contribute to the reduction of Greenhouse Gas emissions

Features of the Loan

Total Available Fund	USD50 million
Amount Threshold	Maximum BDT100 crore (USD12.5 Million) Minimum BDT0.5 crore (USD62.5 Thousand)
Interest Rate	4% p.a. (standard minimum)
Tenure of Loan	Depending on project cash flow
Grace Period	Depending on project need
Eligibility	As set forth by SREDA from time to time

EECPFP Phase II

The next phase of EECPFP will start within this year. The major features of the fund are:

Agreement in July 2019	USD100 million for BIFFL	4-5% p.a. interest	Increased eligible machinery	EE home appliances

EECPFP Implementation Challenges for BIFFL



BIFFL was initially at a formative stage



Lack of awareness in the market



High price of EE machinery



Lack of technical knowledge



Profitable businesses not complying with environmental laws



Arranging fund for remaining project cost

Activities to Overcome Challenges

Awareness at Micro & Macro level	Promote EE related programs	Design viable finance schemes for EE	Technical capacity building	Partnership with stakeholders
Arranging Seminars & Expos	Sourcing fund mix	Engage consulting team	Cooperation with regulators	Exploring Other Sources

Investment in Green Construction Materials Contribution in Carbon Reduction

Brick making is one of the largest sources of greenhouse gas emissions in Bangladesh estimated to produce 6 million tons of CO₂ annually. 90% of existing brick kilns is based on 150 year-old technology that is highly energy intensive and emits huge carbon. A study conducted by BUET shows that a traditional brick kiln consumes 24 tons of coal a year and emits some 1500 tons of CO₂, making it one of the worst greenhouse gas emitters in the country. Most brick kilns in Bangladesh are highly polluting since they use crude technology and low-quality coal for fuel.

To replace these air polluting traditional brick kilns, BIFFL so far invested in 16 green brick projects based on environment friendly tunnel kiln technology which will contribute in the reduction of greenhouse gas emissions. In addition, the new technologies use the heat generated for drying of the bricks instead of letting them out, thereby reduce environmental impact. It is estimated that 1 modern kiln can replace about 8 conventional brick kilns. According to this calculation, BIFFL's investment is equivalent to replacing 128 conventional brick kilns which will reduce emission of 192,000 tons of CO₂ in a year.

“ We do not inherit the Earth from our ancestors;
we borrow it from our children ”

– Native American Proverb

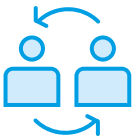


HUMAN CAPITAL

At BIFFL, “Human Capital” is considered as a key element in improving the assets, since it is a sustainable competitive advantage and increases the employees’ efficiency to accelerate the achievement of the organization’s goals. BIFFL strongly believes that human capital plays an important role in people’s development, improving the life and income, increasing knowledge, skill, and production capacities, economic growth and reducing poverty which facilitates the achievement of SDG 2030. In this present world, where knowledge and communication

with customers have gained increasing importance, human capital, which shows the volume of knowledge, technical skills, creativity, and experience of the organization, gains great importance, thus human resource is considered as productive assets not costly assets. BIFFL attracts, develops and retains employees by ensuring equal opportunity, training and development opportunities, attractive remunerations and fringe benefits etc. That is why BIFFL has become a great place to work where people can excel in their performance with joy and pride.

 BIFFL's Code of Conduct	Rigorous Training and Workshops (BIFFL always concentrates on continuous development of all the employees)	Equal Opportunity, Career Progression and Diversity (All employees are treated equally and fairly, not disadvantaged by prejudices or bias)	Employee Engagement (Birthday celebrations, family day, Annual Retreat, iftar party, children’s art competitions, Pohela Boishakh and Happy New Year celebration)	Awards and Recognition (Monetary/ Non-monetary; (acknowledgement in company newsletter or team meetings))
	Work-Life Balance (Encouraged to leave work issues at work and home issues at home)	Competitive Remuneration and Benefits (Revised HR Policy to revise the salary structure)	Human Rights, and Safety (Achieved LEED green building certification from USGBC)	Succession Planning (Managing resourcing strategy, HR demand/ supply analysis, HR planning and auditing, skills analysis)

 BIFFL's Human Capital at a Glance				
	Total Employee	Permanent Employee	Contractual Employees	Female Employee
	85	71	14	23



INTELLECTUAL CAPITAL

BIFFL, as a learning organization, chooses the investment in individuals, because people are valuable human capital with different qualities. Over the last couple of years, BIFFL strengthens the knowledge and awareness of leadership through training programs and recognizes the contribution of training towards enhancing efficiency and profitability. It hires attitude and then trains them

for skill. Accordingly, BIFFL always concentrates on continuous development of all the employees of the Company so that they can develop new skills as well as sharpen their own skills. Every year, BIFFL's HRD facilitates good number of learning opportunities for the employees. As a result, profitability per employee has been one of the highest in the industry for years.



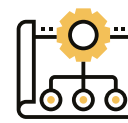
Human

- Employee excellency ensures employees with technical know-how
- Excellent academic knowledge and past experience to deal in
- Vast amalgamation of experienced people from different sectors in the business arena



Structural

- Common spirit of the firm, 'One Team, Big Dream. Be the Best!'
- Entertain best-in-the-sector cultural practice to ensure an aesthetic work environment
- Well adept internal database management system to ensure uninterrupted work experience



Relational

- Well recognized brand among the banks and NBFIs available in this sector
- Well maintained relation base among the other players in the sector
- Strong relation with the regulatory bodies ensures higher compliance
- Good customer relation ensures better performance of the portfolio

“ Relativity applies to physics, not ethics ”

- Albert Einstein



SOCIAL AND RELATIONSHIP CAPITAL

Social and relationship capital refer to the cooperative relationships with our customers, clients, capital providers, regulators and other stakeholders that we create, develop and maintain to remain commercially and socially relevant, and operate as a responsible corporate citizen. At BIFFL, this capital is the cooperative and supportive relationships we share with all concerned in our

business ecosystem. BIFFL's social and relationship capital also enable it to create new business opportunities and contribute to the development of other forms of capital. In other words, it is social and relationship capital provides itself with the opportunity to operate as a leading NBF in the country.

Key Stakeholders Targeted	How we engage	BIFFL's Sustainable Business Objectives
Customers	- Website - Print media - Annual General Meeting - Faster service - Dedicated departments - Customer relationship teams	- Provide quality product/ service that meets absolute needs of customers - Careful management of operations so as to protect customer interest especially of depositors
Regulators	- Statutory reporting - Meetings as and when required - Emails - Letters - Verbal communication	Ensure compliance with all regulatory guidelines and directives
Employees	- Training programs - Employee days (Corporate night, Pohela Boishakh, Pohela Falgun etc.) - Sports and recreational activities - Celebration of Women's Day - Annual Retreat	- Continuously encouraging employees and working towards creating a healthy, ethical and supportive work environment - Nurturing human capital to ensure sustained collaboration with the Company
Local Communities	- CSR initiatives - Website - Social media page - Marketing events - Seminars and workshops	- Adding value to the society - Conducting business without causing disruptions in the society
Environmentally interested groups/ Non- Government Organizations	- Green project financing - CSR initiatives - Training programs, seminars and workshops to involve more in environment friendly initiatives	- Conducting business without harming the environment

Experience Sharing



Mr. Paban Chowdhury
Executive Chairman
Bangladesh Economic Zones Authority

BEZA was established in 2010 with the goal of increasing Foreign Direct Investment through facilitation of numerous public and private Special Economic Zones (SEZ) in different areas of the country.

Bangabandhu Sheikh Mujib Industrial City (BSMIC) is situated by the Karnaphuli near Chattogram Port. So far, it is the largest SEZ in Bangladesh and is expected to create 150,000 jobs. The economic zone is drawing attention from multinational corporations like Wilmar-Adani, China's Zhejiang Jindun Holding for investment. In collaboration with BEZA, Meghna Group established the country's first operational private SEZ Meghna Economic Zone in March 2018. BEZA is also helping China Harbour Engineering to set up a China Industrial Zone on 750 acres of land for Chinese investors.

BIFFL has a longstanding investment relationship with BEZA. BIFFL has invested BDT610 crore for the BSMIC, Sabrang and Srihatta Economic Zones of BEZA. BIFFL has been there to support these projects long before any other bank was willing to do so. BEZA plans to fully support the process of achieving Foreign Direct Investment and export portfolio diversification targets in the shortest possible time. I am certain that BIFFL will be with BEZA in this journey.

I am confident that BIFFL will flourish in the financial market of Bangladesh and wish it great success in the future.

Experience Sharing



Mr. Montchai Musicabud
Managing Director
First Dhaka Elevated Expressway

The First Dhaka Elevated Expressway (FDEE) is Bangladesh's first elevated expressway project, which will connect the Shahjalal International Airport with Kutubkhali via Mohakhali, Tejgaon and Kamalapur of Dhaka, Bangladesh. It is one of the largest infrastructure projects taken up by the incumbent government to ease traffic congestion in the capital. It will be 46.73 km (153,300 ft) long including the connecting roads and will cost around BDT122 billion (USD1.6 billion). This Public Private Partnership (PPP) project has been declared as a First Priority project by the Honourable Prime Minister of the Government of Bangladesh. The expressway is expected to reduce the traffic congestion problem in Dhaka significantly and ease the lives of Dhaka-dwellers. This was the first foray of Italian-Thai Development PLC in Bangladesh and the company has later started working on the Dhaka Mass Rapid Transit Development Project.

BIFFL has been with the First Dhaka Elevated Expressway project from the very beginning. BIFFL has been a perfect financial partner in all respects. It has so far provided BDT661 crore for construction of the elevated expressway. Their participation as a financier has been essential for the development of the project. I hope BIFFL will see even more success in the days ahead.



LARGE INFRASTRUCTURE UNIT

Infrastructure is the lifeblood of any country's economic development. Keeping in line with that, it has become a core priority of the Government's ambitious strategy to boost the nation's economic progress.

BIFFL was established to expedite the country's economic growth by facilitating large-scale infrastructure and Public Private Partnership (PPP) projects. Turning this mandated goal into a reality is what the Large Infrastructure Unit is working for. This is the largest unit in BIFFL based on portfolio size and operations.

This unit deals primarily with Power and Energy, Transportation and Communication, Economic Zones, Tourism and Healthcare sectors. It works with not only PPP projects, but also other large-scale infrastructure projects. Due to the short to mid-term funds available in the local market and the extremely long-term requirements of large-scale infrastructure projects, there is often a mismatch between what a project needs and what financiers can provide. The large infrastructure unit seeks to bridge this gap by providing longer tenors for loans based on the cash flow generation of projects.

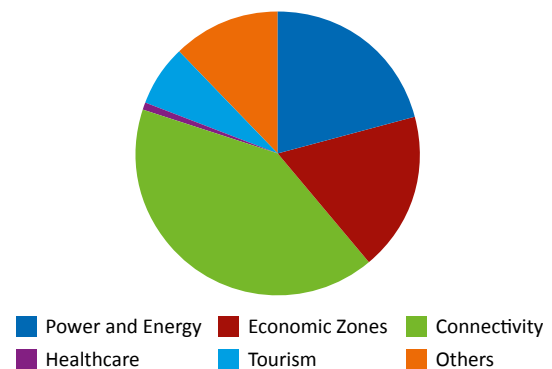
The Unit also plans to incorporate new sectors in their portfolio in the upcoming years and offer more innovative financial products to cater to specific project needs. It currently has access to financing opportunities such as the IPFF-II fund from the

World Bank and refinancing schemes from the ADB. It plans to establish new affiliations with other multilateral organizations for low-rate and long-term funds.

Investments

Large Infrastructure Unit has around 41% exposure to connectivity and communication projects, 21% to power projects, and 18% to economic zones. So far, it has got approval for investment of BDT1,010 crore in the connectivity sector, BDT1,520 crore in power and BDT560 crore in economic zones.

Sector-wise Disbursement



In 2018, the unit approved projects amounting over BDT1,000 crore. In 2018, it has focused heavily on the power sector, financing 11 projects, amounting BDT838 crore.



PPP Seminar 2018

To raise awareness about PPP investment opportunities in the country, the unit arranged a one-day seminar on the “Prospects and Challenges of PPP in Bangladesh” in October 2018. The seminar took place at the Hall of Fame in Bangabandhu International Convention Centre (BICC), Dhaka. The seminar was moderated by Mr. S. M. Formanul Islam, Executive Director and CEO of BIFFL. Mr. Syed Afsor H. Uddin, CEO of PPP Authority Bangladesh was the keynote speaker. He delivered a presentation on the issues around PPP development in Bangladesh. The event also contained a sector presentation on the connectivity in Bangladesh.

This was followed by a panel discussion. The panelists included distinguished individuals working in the field of Large Infrastructure, PPP and Finance: Mr. Navidul Huq, Managing Director of Desh Energy Ltd., Mr. Mahbub Jamil, Head of Structured Finance of The City Bank Ltd., Mr. Thamaka Thimbiripola, Country Manager of Raj Lanka Power Company Ltd., Mr. Nazmul Haque, Director (Investment) and Head of Advisory of IDCOL, Mr. Ahmed Shaheen, DMD of Corporate Banking in Eastern Bank Ltd., Mr. Irteza A Khan, MD and CEO of Meridian Finance Ltd., and Mr. Obaidur Rahman, General Manager, Finance and MIS of Max Infrastructure Ltd.

Notable Projects



First Dhaka Elevated Expressway



Bangladesh Technosity Ltd.



Ace Alliance Power Ltd.

Experience Sharing



Mr. Tahrin Aman
Managing Director
Aman Spinning Mills Limited

Aman Spinning Mills Limited is an ISO 9001:2015 (QMS) & ISO 14001:2004 (EMS) certified company. It completely believes on product differentiation and sustainable strategy. It holds maximum certification in the country in regards of operational excellence.

In the fashion world demand of sustainable yarn is increasing day by day and as a leading sustainable yarn producer ASML had planned to expand its production capacity to meet the increasing demand in the market.

To facilitate the expansion project with low cost fund we found “Energy Efficiency and Conservation Promotion Financing project” provided by JICA through BIFFL. While we were working with BIFFL on due diligence on this financing we feel the taste of partnership with their highly professional and dynamic team.

Presently ASML is a highly energy efficient factory with the latest technology machinery from Japan and Germany. We are planning further to open another unit to meet the increase demand in the market for diversified and sustainable yarn.



SUSTAINABLE FINANCE UNIT (SFU)

Sustainable financing is investing to grow while minimizing the negative impact on the environment. BIFFL is investing being environmentally responsible and trying to save the natural resources of the planet. Our Vision is to be the market leader in Energy Efficiency Financing by Introducing diverse green financing product. We want to promote Green and Energy Efficient Technologies as much as possible through developing awareness. Our aim is to make our society Sensible and Sustainable.

Financing Area

- Renewable Energy
- Energy Efficiency Technology
- Green Building
- Waste Treatment & Recycling

Year in review

1. Investment

2018 has been a very eventful year for the sustainable finance unit, with yearly disbursement doubled to BDT134.45 crore, from BDT67.28 crore in 2017.



Green Banking loan book currently stands at BDT253.95 crore. Our total approved amount in Green Banking till date is BDT1,046.68 crore. This has mainly been a result of BIFFL's role as a leading institution for promoting green and energy efficient initiatives regardless all the intense competition in this space, with few notable Banks enjoying access to larger sources of low-cost funds for Green Finance purposes. In light of the matter, it is in our agenda to re-strategize our Green Banking efforts and reinvigorate our stance in this category.

2. Legacy Continuation on Awareness Building



As part of its national awareness campaign for sustainable development of the country BIFFL organized "BIFFL Green Brick Convention 2016" on 11 December 2016 at Lakeshore Hotel followed by a panel discussion. The purpose of this convention was to raise awareness about environment-friendly Auto Brick manufacturing in Bangladesh. Dr. A. Atiq Rahman, Executive Director, Bangladesh Center for Advanced Studies was the Keynote Speaker in the program. Mr. Abul Maal A. Muhith, M.P., the then Honourable Minister, Ministry of Finance was present as the chief guest; Country Director, Asian Development Bank; Governor, Bangladesh Bank were the special guests in the ceremony. Several Green Brick projects was inaugurated at the event. The attendees also included potential entrepreneurs interested in the green bricks sector, officials from different financial institutions, manufacturers and suppliers of machineries and consultants.

Being encouraged by the success of "BIFFL Green Brick Convention 2016" and recognizing the importance of such events in promoting the use of green technologies for sustainable development, BIFFL has decided to make it an annual event with wider scopes. Accordingly, in 2017 BIFFL organized the "BIFFL Green Convention & Expo 2017" that included an EXPO during 25-27 November 2017 in a bid to raise awareness about sustainable development.



Inauguration of BIFFL Green Convention & Expo 2017

Continuing the legacy in 2018 BIFFL organized the “ BIFFL Green & PPP Convention & Expo 2018” from 4 to 7 October, 2018 in Dhaka and Chattogram with a broader area and vision. BIFFL aims to blend two of its main mandates: Sustainable Finance and Public-Private Partnership to reach wider audience and diverse sectors.



Inauguration of BIFFL Green & PPP Convention & Expo 2018

To increase awareness on sustainable and energy efficient technologies as well as green business, BIFFL organized “Green Brick Conventions 2016” in December 2016 and “BIFFL Green Convention & Expo-2017” in November 2017, and both of which were highly successful events. In 2018 BIFFL

organized the “ BIFFL Green & PPP Convention & Expo 2018” from 4 to 6 October, 2018 in Dhaka and from 5 to 7 October, 2018 in Chattogram. BIFFL wants to blend two of its main mandates: Sustainable Finance and Public-Private Partnership to reach wider audience and diverse sectors.

Dhaka Event

The event in Dhaka included 01 convention and 03 plenary discussions as follows:

1. Energy Efficiency & Green Building-Two new frontiers towards sustainability in Bangladesh.
2. Prospects & Challenges of PPP in Bangladesh.
3. Green Construction Materials- A Must for Green Growth.

The event featured relevant experts, development partners, bankers, regulators and users. The forum offer a platform to showcase organization to a wide variety of audiences and stakeholders. BIFFL is looking forward to building a great partnership with participating organizations in their efforts to encourage Energy Efficient Technologies and Public Private Partnership projects in the business landscape of Bangladesh.

Chattogram Event

In the Chattogram event there were 50 stalls showcasing their product. The event included Art Competition for Children focusing on the environment and environmental issue. The focus of the event was to connect the new generation to the environment concept from the very start.

❖ Participation Convention & Expo

Year	Exhibition
2017	• BIFFL participated in “8th BIID Expo 2017” at BICC. The purpose of the expo focused the sustainability, environmental protection, renewable energy,
	• BIFFL participated in “17th National Renewable Energy & Green Expo 2017” at University of Dhaka Campus. The event title of the expo was ‘Long Term Planning for Renewable Energy in Bangladesh 2017-2050’
2018	• BIFFL participated in “9th BIID Expo 2018” at BICC. The objective of that expo was to showcase the development of green industries and raise awareness on issues of environment protection.
	• BIFFL participated in “18th National Renewable Energy & Green Expo 2018” at Nawab Ali Chowdhury Senate Bhaban, University of Dhaka. The Theme of the Expo was Sustainable Energy Management (Power Generation Distribution, Utilization Industrial Linkage, Opportunities and Challenges).
	• BIFFL participated in a three-day power and energy fair at ICCB. The fair was focused on the Power & Energy Sector of Bangladesh.

Stakeholder Management

a. Awareness building

For awareness building BIFFL organized some Convention & Expo, and trainings.

❖ Organized Convention & Expo

- In 2016 BIFFL organized a “Green Brick Convention”. The purpose was to provide information about the environment friendly green brick to the public.
- In 2017 BIFFL organized a “BIFFL Green Convention & Expo”. This event was aimed at providing a good idea about the green project to the public.
- In 2018 BIFFL organized a “BIFFL Green & PPP Convention & Expo”. The main objective of the expo was to give the relevant information about PPP & Green project in Bangladesh.

❖ Training & Capability Building

- BIFFL arranged a workshop for the employee of NBFIs & Banks about Green Brick Sector.
- BIFFL also arranged a seminar with the Brick Consultant and the Brick Supplier at BIFFL’s Kakrail Office.

❖ Advertisement

- In 2018, BIFFL Promoted the 2nd International Conference on Green Architecture which is organized by Green Architecture Cell (GrACe).
- BIFFL takes regular promotional activities to promote green products.

b. Regulators (DoE, BB, SREDA)

- BIFFL discussed with Department of Environment about how to develop the Environment of Green Brick Sector.
- BIFFL is working with Bangladesh Bank for refinancing the Green Project.
- Sustainable and Renewable Energy Development Authority (SREDA) is working with BIFFL in EE&C Project as a consultant.
- BIFFL requested to the Ministry of Industries for declaring the brick sector as an industry.

3. Entrepreneurs & Associations

- In 2018 BIFFL organized a conference with new entrepreneur for sharing the essential information.
- In 2018 BIFFL organized seminar with some Association like Bangladesh Knitwear Manufacturers and Exporters Association (BKMEA), Bangladesh Garment Manufacturers and Exporters Association (BGMEA), Chittagong Chamber of Commerce & Industry (CCCI), Metropolitan Chamber of Commerce and Industry (MCCI), Bangladesh Agro-Processors Association (BAPA), Bangladesh Textile Mills Association (BTMA), Bangladesh Auto Re-Rolling & Steel Mills Association (BARSMA) regarding Promotion of Energy Efficiency and Conservation Promotion Financing Project of BIFFL.



Discussion with CCCI

4. Guiding the sponsors

- BIFFL is giving the advisory services to their client for becoming the project viable and ultimately successful.



Meeting with BKMEA

5. Sourcing fund

BIIFL is already receiving fund from Bangladesh Bank (BB), Asian Development Bank (ADB), Japan International Cooperation Agency

(JICA). BIFFL is in talks with some other foreign development partner like The World Bank (WB), KfW Bankengruppe (KfW), Netherlands Development Finance Company (FMO), Agence Française de Développement (AFD) etc. to raise more fund for green financing.

Value Creation by Sustainable Finance

Value Creation for the stakeholders is a better management goal than strict financial measures of performance. The first step in achieving an organization-wide focus on value creation is understanding the sources and drivers of value creation within the industry, company, and marketplace. Sustainable Finance Unit (SFU) of BIFFL understands what creates value to focus capital and talent on the most profitable opportunities for growth. The aim of us is to add value to the related parties through our endeavours. SFU aims to improve its Human capital, its operational excellence, talent management and innovation driven sustainability to create value.

The major resources that we have to add value to our stakeholders are- human Capital, business partners and technology and intellectual property. Through this resources, SFU is continuously updating the strategic priorities which are at the centre of the Value Creation Process. Through the process we are creating value for our customers, employees, investors, and society. Our approach is as follows:

- ✓ Identifying important stakeholders across core activities;
- ✓ Communicating directly through meetings, calls, and email dialogue;
- ✓ Collecting and providing different views and feedback; and

- ✓ Integrating the feedback into our sustainability strategy.

Value Creation model of SFU consists of

Human Talent- Our employees are competent, capable, and engaged, and they combine these qualities with a strong motivation to innovate.

Financial Capital- Available funding for energy efficient machineries, green building, WTP, ETP, Solar projects, etc.

Business Partners- Our partners provide us with expertise, materials, and services, thereby enabling us to deliver integrated services for our customers.

Technology- Putting the energy efficient and green technology into the economy and industry.

Connecting Generations

BIFFL is aiming to connect the generations to the environment and sustainable finance by particular initiatives taken throughout the year. The Convention and Expo helps disseminating knowledge and information among the sponsors, technology providers, suppliers, financiers, regulators and other stakeholders. We try to connect the future leaders and future generations as well. The events follows Art Competition for children, Essay Competition for students helps inclusive awareness building.

BIFFL has a dedicated SFU and a Green Construction Materials Unit (GCMU), mandated for investing in and promoting Green and Energy Efficient Projects. Through these units BIFFL provides soft loan and organizes awareness building campaigns among the stakeholders. The SFU and GCMU of BIFFL have already made significant mark in sustainable financing in the country.



Green Convention & Expo for Businessess



Essay Competition for Students



Art Competition for Children

Experience Sharing



Dr. B N Dulal

LLB, LLM, PHD

Chairman, First Auto Bricks Ltd.

I have sincere congratulations and greetings to all the directors and members of BIFFL for passing a successful year of BIFFL.

I'm a lawyer in the profession. In 2002, the Department of Environment has issued an advertisement on daily newspaper for established environment-friendly modern technology brick project to protect the environment. Then I was attracted to the brick industry. I started trying since 2003. In 2006, I developed Rex Auto Bricks Limited, it was Hybrid Hoffman Kiln (HHK). After conducting 10 years of business, I take initiative to establish the tunnel kiln. In 2017, I installed the first Auto Bricks Limited in Paralinagar, Palash, Narshingdi. And using robots (automatic), we started manufacturing bricks in June 2018. BIFFL is an example of low-interest and easy-to-use loans for setting up air pollution free bricks industry. By implementing the government's vision 2021, BIFFL has brought about a lot of progress in the country's infrastructure development and national progress in protecting the environment. BIFFL has provide itself as a strong financial institution to provide financial support for infrastructure development by providing easy loans.

It is noteworthy that if BIFFL provides environmentally friendly brick industries with a simpler, long-term loan, then many other entrepreneurs will be encouraged to produce environmentally friendly bricks. I would like to thank BIFFL with special attention to protect the environment in future with your help.



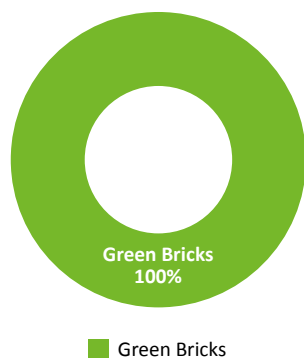
GREEN CONSTRUCTION MATERIALS UNIT

Commencement of green construction materials financing	Formation of dedicated unit	% of overall portfolio
2014	December 2017	6.4%
Asset Portfolio	Touchpoint	Total Disbursement
BDT266.35 crore	BIFFL Kakrail Office	BDT115.8 crore
Average ticket size	Number of Approved Projects	Target number of projects to be financed by 2021
BDT16.65 crore	16	100

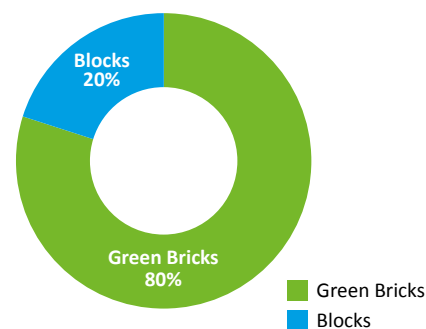
Areas of investment

1. Automated brick manufacturing projects (tunnel kiln and more advanced technology based);
2. Non-fired brick and block projects; and
3. Any other construction materials project, i.e., glass, cement, steel, ceramics, plastic using environment-friendly technology.

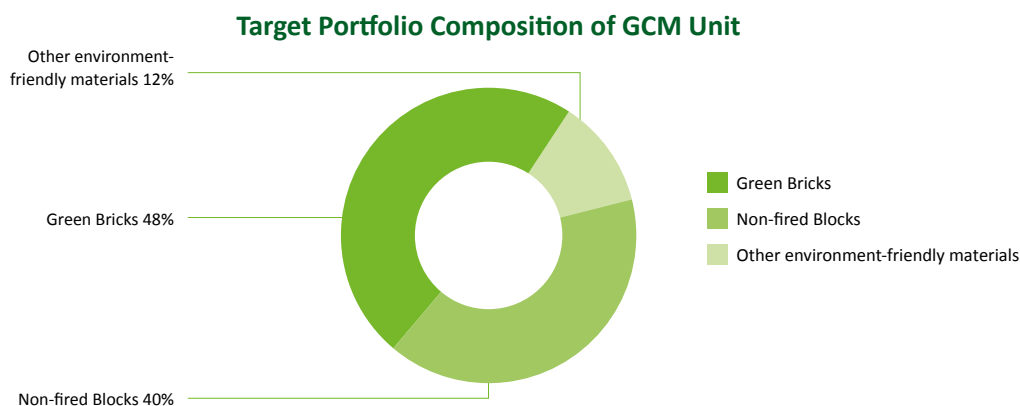
Current Portfolio Composition



Target Composition of Green Brick and Block Projects



Target Portfolio Composition of GCM Unit



Unit Overview

Recognising the importance of investment in green construction material sector, BIFFL established a dedicated unit in December 2017 which is the first of its kind in Bangladesh. Now, BIFFL is the forerunner in financing green construction materials projects. The organization is persistently working for the development of this sector as this is one of the technologically under-developed sectors. BIFFL is also working continuously for increasing awareness regarding use of green construction materials. To recognize green brick making sector as an industry, it is also working with the Government for necessary policy development. Green brick projects using environment-friendly tunnel kiln technology is one of the main focused area of BIFFL.

BIFFL's Commitment

By becoming eligible for graduation from LDC in 2018, Bangladesh has taken its status to a new

height. In achieving such status, Bangladesh has an impressive economic growth rate in recent decades. In order to attract foreign investment, the infrastructure development sector in Bangladesh is going through a tremendous growth, which is likely to continue for another 15-20 years. All these indicate that the demand for bricks will continue to increase in the coming decades, as brick is the predominant construction material (60%) of the country. Traditional brick fields contribute to 58% of Dhaka city's air pollution (Source: DoE Annual Report 2017). However, there are greener alternatives, such as tunnel kiln based technology and non-fired blocks. These are industry level manufacturing facilities requiring large capital investment and advanced technology. The benefits of this eco-friendly brick making facilities are:



ZERO USE OF TOP
SOIL



NO AIR
POLLUTION



ENERGY AND FUEL
EFFICIENT



EFFICIENT USE OF
LAND



SAFE WORK
ENVIRONMENT



ZERO USE OF
FIREWOOD



ROUND THE YEAR
PRODUCTION



HIGH QUALITY
BRICKS

Vision: BIFFL has a vision to support 100 eco-friendly brick projects by 2021 among which 80 will be fired brick projects and 20 non-fired brick projects.

Achievement: BIFFL has already approved 16 eco-friendly brick projects in 13 districts in which total annual production will be approximately 47 crore pieces of bricks. Among these 16 projects, 3 projects are producing bricks commercially. BIFFL has also organized 3 national level conventions in 3 consecutive years to promote green bricks.

Key Highlights in 2018

Financing Support

- Financial closure of Phoenix Ceramic and Auto Bricks Ltd.;
- First Auto Bricks Ltd. & Dharmapur Ceramics Industries Ltd. have gone into commercial production; and
- Dharmapur Ceramics Industries Ltd. and First Auto Bricks Ltd. received refinancing facility from ADB.

Capacity Enhancement

- Four officials were recruited for GCMU.

External stakeholder engagement

- Arranged “Green & PPP Convention & Expo 2018” for raising awareness among the stakeholders.
- Arranged an opinion exchange program between the technology providers for green construction materials suppliers and BIFFL.
- Arranged Green Brick Study tour for 5 Officials from March 29 to April 07, 2018 in China. The team visited machinery manufacturing facilities, Labs and green brick manufacturing facilities of four renowned technology solution providers.
- Signed memorandum of cooperation between BIFFL and China Building Materials Federation for collaboration on the following:
 - To promote the specific cooperation with the support of China Brick & Tile Industrial Association; and
 - To support various aspects, such as technical, financial and advisory to encourage the expansion of environment-friendly technologies in building materials industry in Bangladesh.

Approach to Business

Unique Client Approach: The unit has historically tried to provide tailored solutions and support to client group leveraging fast decision-making process with a view to becoming a growth partner rather than a financial partner.

Diversified Portfolio: The unit’s focus has always been towards financing diversified green construction materials projects in order to mitigate concentration risks and ensure sustenance of a quality credit portfolio.

High Workplace Standards & Governance

Responsibility: Regulatory compliance and accountability has always been the guideline in maintaining relationships and interactions with both internal and external stakeholders.

Strong Resource Base: As per HR policy, the unit has recruited and retained well-qualified resources from reputed business schools.

Strategic alliances: Operational efficacy and knowledge leadership has enabled the unit to create alliances with other banks, NBFIs and developmental organizations to ensure full-fledged & cost-effective financing solutions for clients.

Transparency: It is ensured at all levels – from employees ensuring proper communication with customers & other stakeholders to offering product features, pricing and other documentary terms and conditions that are transparent with simple interpretation.

Risk concerning the business

- Since the technology is new, capacity development has to take place at a much faster rate;
- Access to institutional financing is not easy for this type of projects;
- Technology transfer from developed countries is not smooth as this sector has not been recognized as a formal sector;
- Incentive regarding Income Tax, VAT or import duty is not available; and
- The market is not regulated in terms of product standard and quality.



REPORT ON GREEN BANKING

Areas of Investment

1. Energy Efficient Technologies
2. Green Construction Materials
3. Utility-scale Solar power
4. Green Buildings
5. Waste Treatment & Recycling facilities

A. Services

1. Advisory Services
2. Project Finance/ Refinance
3. Fund Arrangement

B. Approval and Disbursement Status

a. Energy Efficiency & Green Industry

Name of the Project	Project Location	BIFFL Sanction (BDT crore)	BIFFL Disbursement (BDT crore)
Odyssey Craft (Pvt.) Ltd.	Dhamrai, Dhaka	130.04	110.28
Aman Spinning Mills Ltd.	Savar, Dhaka	40.00	37.70
Roshawa Cotton Mills Ltd	Sreepur, Gazipur	125.00	-
M. M. Ispahani Limited	Pahartali, Chittagong	55.00	51.00
Bandhab Tex Limited	Panchdona, Narsingdi	12.50	-
Seven Circle (Bangladesh) Limited	Char Mirpur, Kaligonj, Gazipur	150.00	-
GPH Ispat Limited	Sitakunda, Chittagong	150.00	-
Raw Tech Limited	Masterbari, Mymensingh	22.50	-
Fair Electronics Ltd.	Narsingdi	1.05	1.05
Total		536.09	200.03

b. Green Brick Projects:

Name of the Project	Project Location	BIFFL Sanction (BDT crore)	BIFFL Disbursement (BDT crore)
Makrail Auto Green Bricks Ltd.	Modhukhali, Faridpur	25.40	24.37
Dharmapur Ceramic Bricks Industries Ltd.	Ashulia, Dhaka	27.10	25.78
First Auto Bricks Ltd.	Polash, Narshingdi	10.00	9.27
Asim Auto Bricks Industry Ltd.	Mirjapur, Tangail	20.00	18.38
ANB Auto Bricks Ltd.	Madargonj, Jamalpur	22.64	-
Phoenix Ceramic & Auto Bricks Ltd.	Bhuspur, Chittagong	31.00	18.88
Piya Auto Bricks Ltd.	Mirsharai, Chittagong	15.00	2.25
Usa Agro and Auto Bricks Ltd.	Dumki, Patuakhali	10.00	-
Nowhata Auto Bricks Ltd.	Poba, Rajshahi	11.00	5.26
KB Auto Bricks Ltd.	Dera, Sunamganj	20.00	11.00
Shore Auto Bricks Ltd.	Terokhada, Khulna	20.00	-
Eco Ceramic Industries Ltd.	Sirajdikhan, Munshiganj	20.00	-
Total		232.14	115.19

4. Awareness and Promotions

c. Refinancing Schemes

BIFFL is offering soft loans from 4 different refinance schemes:

A. Energy Efficiency and Conservation Promotion Financing Project (Phase 1&2)

- a. Source of Fund: JICA, Amount: USD150 million; Interest Rate: 4%-5%, (yet to be finalized).

- b. Featured Areas: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telco Industry, Green Building and Home Appliance.

B. Refinance Scheme for Green products/ Initiatives

- a. Source of Fund: Bangladesh Bank, Amount: BDT200 crore, Interest rate: 8%-9%, subject to tenor.
- b. Featured Areas: Solar Energy, Bio Gas, Wind Energy, Waste Treatment & Recycling, Energy Efficiency, Green Building, Green Bricks and other construction materials, etc.

C. Financing Brick Kiln Efficiency Improvement Project

- a. Source of Fund: ADB /BB, Amount: USD50 million; Interest Rate: Up to 10%
- b. Featured Areas: Tunnel kiln-based Auto Bricks only

D. Refinancing Status

a. Energy Efficiency and Conservation Promotion project, JICA

- I. NOC Received from SREDA: Four Projects.
- II. Project Pipeline: Through market development and awareness building, BIFFL has developed a robust pipeline of projects with an expected eligible energy efficient machinery value of BDT1,275 crore.

Because of huge market demand as well as potential, JICA is actively considering Phase-II of the existing facility with larger amount.

b. Financing Brick Kiln Efficiency Improvement Project, ADB

- I. Received Refinance: Two projects
- II. Approval Stage: Three projects
- III. Preliminary Selection Stage: Two projects are waiting for preliminary selection from Bangladesh Bank.

- IV. Pipeline: BIFFL has 4 more Tunnel Kiln based green Brick Projects to be submitted for refinancing under this scheme.

E. Syndication Financing

- a. As the lead arranger, BIFFL has recently successfully completed financial closure of Phoenix Ceramic & Auto Bricks Ltd.
- b. BIFFL is arranging BDT204 crore for Odyssey Crafts (Pvt.) Ltd, a fully compliant RMG Industry. The syndication facility is divided into two tranches where BDT187 crore has already been arranged.
- c. To ensure fast implementation, BIFFL arranged Club Deal to many of its projects namely Roshawa Cotton Mills Limited, M.M. Ispahani Limited, Seven Circle (Bangladesh) Limited etc.
- d. BIFFL is working as the lead arranger and agent for two Green Brick projects totaling an amount of approx. BDT88 crore where BDT53 crore needs to be raised for Hexagon Technologies Limited and BDT35 crore for Shore Auto Bricks Limited.

F. Sector Specific Environmental Policies

Strategies are being formulated to design specific policies for different environment sensitive sectors.

G. Green Strategic Investment Planning

BIFFL has a five-year investment plan for sustainable finance sector which was adopted in 2016. According to the plan, an amount of BDT1,648 crore will be invested in the period of 2017-2021 in this sector. Year-wise investment plan is BDT300 crore in 2018, BDT315 crore in 2019, BDT345 crore in 2020 and BDT403 crore in 2021.



SMALL AND MEDIUM ENTERPRISE (SME) UNIT

BIFFL aims at participating in the national development endeavors by allowing Small and Medium Enterprises access to the capital required for their expansion and growth. It wants to ensure inclusion in terms of not just providing capital to the enterprises who have less bargaining power to claim capital from the financial market, it also wants to provide access in terms of geographic inclusion through wider coverage of its operation areas. BIFFL believes that this will make countrywide development activities more symmetric and ensure geographic equality.

The SME Goal

The goal that has been kept in mind while forming the SME Unit is to be a crucial stakeholder of the SMEs which goes beyond just being a financier. BIFFL wants to contribute in the betterment of the SMEs by supporting, financing and developing these enterprises.



“..... **Supporting, Financing and Developing** owners of **Small and Medium Enterprises in Bangladesh**”

The SME Journey

BIFFL has approved SME policy in October 2018. The goal of the SME department is to support, finance and develop small and medium enterprises in Bangladesh.



Financing Window

In terms of financing SME projects, BIFFL will use both the refinancing window of Bangladesh Bank and its own fund. BIFFL is undergoing the process to enter two different refinancing agreements with Bangladesh Bank under which Bangladesh Bank will refinance the SME projects financed by the institution.

Refinancing under
SME Programmes from
Bangladesh Bank

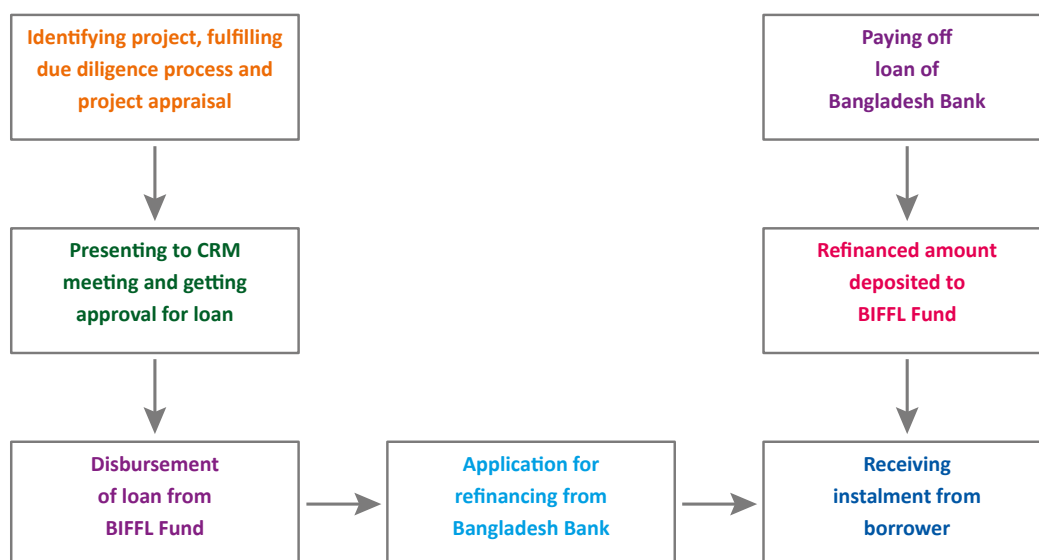
Refinancing under Financial
Inclusion from Bangladesh
Bank

Own fund of BIFFL

Financing Mechanism

The mechanism of this department is to identify the relevant business concerns and then conduct due diligence to prepare a loan proposal. SME proposals are approved by CRM committee headed by the Executive Director & CEO upto BDT2.5 crore. If the loan amount exceeds BDT2.5 crore, it has to be approved by the Board of Directors. After the disbursement from BIFFL, an application is sent to Bangladesh Bank for refinancing.

The whole financing process is as follows:



Eligible Sectors

- Electronics
- RMG
- LP gas

- Printing and packaging
- Leather and leather products
- Transport and communication

- Community centre
- Hospital, clinic and diagnostic centre
- Cable operators

- Bakery
- IT-based activities
- Food seed preservation and marketing

- Boutiques
- Light engineering industry
- Warehouse and container service



WOMEN ENTREPRENEURS DEVELOPMENT UNIT (WEDU)

BIFFL started the WEDU in September 2017 with the goal of supporting, financing and developing women entrepreneurs in Bangladesh. The unit started financing under the product name “Shoilee.” It has disbursed first loan in January, 2018 and reached BDT4 crore in a year.

Lending Policy

Product Name	Eligibility	Interest Rate	Collateral	Loan Limit
BIFFL Shoilee	Women entrepreneur having 51% or more shareholding	Bank rate + Maximum 4%	<=BDT25 Lac-Personal Guarantee >BDT25 Lac-Other Suitable security Collateral	BDT50 Lac

Under this program, the women owning at least 51% shares in any business can apply for the loan from BIFFL. BIFFL does not demand any mortgage security for the loan up to BDT25 lac. The interested women entrepreneurs can apply only with the reference of personal guarantor. However, for the loan of more than BDT25 lac, the borrower will need to provide mortgage as collateral. The loan amount cannot be more than BDT50 lac per borrower.

Funding Status

Current refinancing status	Disbursement up to March 2019
BDT2.55 crore	BDT4.96 crore
Refinancing/Disbursement Ratio	
51%	

Sector-wise Borrower Status

WEDU has clustered 157 borrowers in Rupganj and 85 borrowers in Bagerhat for the cluster financing in Jamdani and crab farming sector, respectively. These two are the largest sectors sharing half of the investment under WEDU. Beside these, WEDU has financed 25 single projects in total.

Jamdani Palli

157 persons



Service

03 persons



Trading

18 Persons



Manufacturing

04 persons



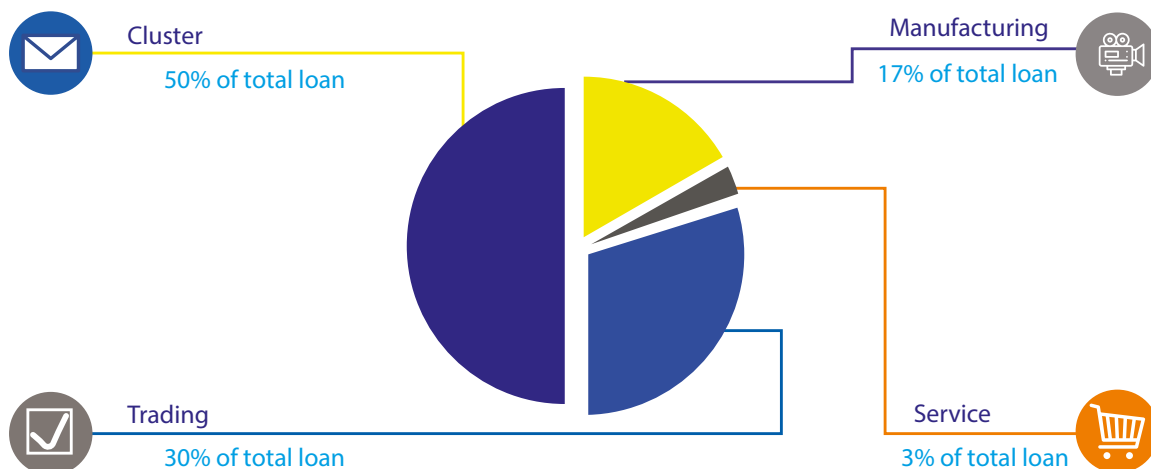
Crab

85 persons



Sector wise Lending Status

In the loan portfolio of WEDU, the highest share is held by cluster finance segment. Trading segment holds 30% of the total investment while manufacturing segment holds 17% of the total investment. The remaining 3% share is held by the service sector.



Cluster Finance: An Innovative Financing Solution

Cluster Finance #1: Jamdani Palli

Jamdani Palli encompasses many areas like Noyapara, Kazipara, South Ruposhi, South Noyapara and East Borabo. These areas are located at Rugganj thana in Narayanganj district. The life of the people of this Palli is centered around weaving. Each house has at least one loom which was not enough for living. Again, if the wheel of loom did not rotate, the wheels of life would have stopped. In the absence of cash, the weavers of this region could not hire the workers. Since it was being tough for them to manage two meals a day, the other primary human rights were near to dream for them. Even two years ago that was a general picture of this place.





In the meantime, BIFFL brought 157 women to become self-reliant through a loan with low interest rate. Our team visited the Jamdani Palli several times and discussed with women entrepreneurs about their difficulties in this sector and how to remove the problems they face. Most of them did not have their own looms and required capital for smooth operation of their small business. So, BIFFL decided to finance them for establishing their own loom and removing other financial problems they face; like hiring assistants (skilled & semi-skilled), for purchasing thread etc. BIFFL made a cluster of this Jamdani Palli and extended an amount of BDT1,00,000 as loan to each borrower.



So far, Jamdani Palli has been one of the most successful projects of WEDU. Just in a year, the image of this place has radically changed. Today, every house in this Palli spends busy time in weaving Jamdani Saree. As the income has increased, the living standard of the people of this area is also increasing day by day. Earlier, where all the hard work was done by themselves, the weavers now can hire workers to help them. They have no longer any liability to moneylender or need to sell their products through any third party at a lower price. Their income has increased from BDT2 lac to BDT3.5 lac per annum.

Empowering Women and Transforming Their Lives through Extending Credit: Stories of Sabitun and Naznin



Naznin and Sabitun are two of the many borrowers from Jamdani Palli who received soft loans from BIFFL. The two ladies have expressed their gratitude to BIFFL for helping them creating their own identity. The following are excerpts from a conversation BIFFL had with them:

BIFFL: How has the loan from BIFFL helped you in your business?

Naznin: Previously, I had only one loom. With the loan from BIFFL, I have installed two additional looms which have increased my income by two times.

Sabitun: The loan by BIFFL has helped me install one additional loom. After I have installed the additional loom, my income increased by around 15%-20%. The profitability of the business has soared up which I can reinvest or save.

BIFFL: Have the loan made any significant impacts in your life?

Naznin: Obviously. Now, I can bear the educational expenses of my children easily which was not possible before. I hope to make better arrangements for their education in coming days from the income I generate from these newly installed looms.

Sabitun: Yes. The loan actually improved my financial and social condition. I can now save money for the future of my family. Further, the capacity to buy necessary things for my family has increased too.

BIFFL: How is your experience with the loan disbursement process of BIFFL?

Naznin: I am personally very happy with the loan disbursement process. The thing that has been most favorable for me is the low cost (i.e. 8.5%) of the loan.

Sabitun: The people involved with the loan disbursement process have been very cooperative. We are satisfied with the way they have dealt with the loan disbursement.

In this way, the image of a whole area has changed by a small effort from BIFFL. The women of this Jamdani Palli have shown that women in this country can create a brilliant example of change if they receive necessary help. BIFFL is proud to be a partner of this change.

Cluster Finance # 2: Crab Farming

BIFFL is also financing in crab farming for developing our economic growth. The WEDU team visited different villages in Khulna and Bagerhat districts like as Bhaga, Malidangha, Rampal several times. The team talked with the women who are working directly in crab farming and know their problems. Then BIFFL made a cluster of 34 people in first phase and 51 people in second phase for crab farming. In November 2018, it financed BDT31 lac to women entrepreneurs of crab sector.



In continuity of women development, BIFFL also contributes in boutiques, parlor, farming and many more sectors. BIFFL has also been approached by many women from service sectors for loan.



TREASURY OPERATIONS

In banking business, movement or transformation of the components in the balance sheet is an ongoing process which has an effect on the profitability and overall strength of an FI. BIFFL's Treasury plays an important role by identifying and measuring those risks and minimizing or hedging those risks using various financial tools for stabilizing the balance sheet and maximizing profit. Therefore, in the process, treasury operates through the integrated efforts of money market, FX, and ALM to achieve the desired goal.

Money Market & Fixed Income

Money market remained illiquid all through 2018. Our money market and fixed income desk was very active throughout the year and in view of the falling term structure, invested fresh fund laddering methods to maintain SLR at optimum level. Recognizing the investment opportunity in other money market products, treasury extracts advance money from holding with some capital gain realization based on duration rather than waiting for maturity. Treasury ensured optimum duration of investment and brought the investment position down and shifted the portfolio to placement with Bank/FIs due to demand for money in inter-bank transactions.

Asset Liability Management

BIFFL successfully maintained all ALM regulatory requirements within limits. Throughout the year, changes in market liquidity and interest rates exposed the FIs to the risk of losing money. ALM has therefore become a key financial and risk management discipline that managed both on/off balance sheet position to maintain a risk reward profile for creating stakeholders' value. Treasury's primary objective was to mitigate the balance sheet gap in cost effective manner, maximizing NII, and managing Basel II liquidity standards of LCR, NSFR, leverage which have also become key

concern of management and regulators around the world. Throughout the year, treasury took proactive approach and remained a strong hand of ALCO for asset liability position, commitment of FI, market liquidity, and transfer pricing rate for profit centers. BIFFL's balance sheet is now in sustainably strong position and ready for an excelled take-off.

Key Strengths

- Highest Paid-up capital among all NBFIs;
- Strong management focus and support for growth of the treasury business;
- Trading culture anchored on rigorous regulatory compliance and risk management based dealing discipline;
- Adapting to the changing regulations and compliance requirements and structuring the products accordingly; and
- Strong relationship with customers and regulators.

Treasury Priorities for 2019

In the context of current market scenario with cautious movement of regulators and narrowing market liquidity along with wider scope of openness of Bangladesh economy, treasury is prepared for big leap forward for risk addressed expansion of its business horizon in a holistic approach through combined efforts of treasury and other business units. Accordingly, the necessary actions have been sorted out to accomplish the Company's vision:

- grow the business as per budget;
- recruit a treasury product sales team to strengthen BIFFL's market reach;
- focus on the growth of the treasury business;
- ensure the highest levels of compliance to mitigate risks; and
- introduce FX operations.



MAKING INFORMATION TECHNOLOGY (IT) AN ENABLER OF BUSINESS

The Information Technology (IT) has been playing a dynamic role in the financial sectors over the last few years. We may call it “smartening of everything.” Consequently, our organization is adopting new technologies to conduct innovative banking in the industry. Over the year, BIFFL re-architected its technical infrastructure to be modern, resilient and scalable. We are continuously transforming our platform through application programming interfaces that enable us to automate business and ensure better sustainability.

Strategic goals

- Implementing advanced but proven technologies in line with developing trends through ongoing evaluations ensuring cost effectiveness and business reliability;
- Ensuring all technology solutions and policies applicable to all standards and security mandates such as-Bangladesh Bank ICT Guidelines for confidentiality, integrity and availability of all electronic data;
- Centralizing all technology supports to minimize costs and time;
- Implementation of security information and event management solution to monitor security threats;
- Security assessment and remediation of IT infrastructure; and
- Implementation of a real-time online web-based portal to make an effective platform for interactions between customers, business partners, employees and other stakeholders.

Premeditated Plans

New workplace with fully automated IT infrastructures

A new infrastructure was built in BIFFL’s new corporate office that will enable future growth across the enterprise. Operation from new IT center will improve business dynamism and responsiveness. Our well-planned design helps us get international certificate and recognition.

Cyber Security Initiatives

Data theft is a buzzing phenomenon primarily caused by system administrators and office workers with access to technology such as database servers, desktop computers and a growing list of hand-held devices capable of storing digital information, such as USB flash drives, iPods and even digital cameras. The dynamic management of BIFFL has realized the importance of network and cyber security and they have approved an ICT Security Policy which complied with all the constituent requirements of Bangladesh Bank.

Ultimate Financial Solutions

BIFFL is deploying a scalable, robust and functionally rich financial application precisely designed to cater to the processing of very large volumes of transactions on-line in real time and to provide an effective platform for interactions among customers, business partners, employees and other stakeholders. It also supports sophisticated multi-currency and multiple branch environment.

Core strength of the solution	Major Components
● Central database, robust security	● Customer Information File (CIF)
● Open platform, n-tier architecture	● Accounts
● Web based system	● Credit/Investment
● Conventional, off-shore banking	● Treasury back & front office reconciliation
● Extensive parameterized	● Regulatory compliance



FINANCIAL RELATIONS UNIT (FRU)

FRU liaises with other banks/financial institutions, Government and development partners in order to arrange funds for its borrowers under syndication, club financing, co-financing, refinancing, bridge financing etc. as required for the projects.

Syndication

Loan syndication has always been an important part of the financial landscape of Bangladesh to diversify risks by sharing and to tackle capital and exposure limit constraints while financing large projects. BIFFL partners with peer banks/FIs for the projects of its borrowers in most of the cases becoming either the lead arranger or participating lender. In 2018, BIFFL successfully completed financial closure of a number of milestone transactions for projects like a zero-discharge energy efficient RMG manufacturing factory, an energy efficient textile project and a handful environment-friendly green brick manufacturing projects.

Development Partners

Government's Seventh Five Year Plan (2016-2020) addresses the need for financing to develop country's infrastructure. Although the Government has been encouraging private sector participation keeping PPP at the core of its infrastructure development strategy, Bangladesh is facing about USD9-10 billion long-term financing gap every year. The nature of financing requirement for large scale infrastructure projects vis-à-vis augmentation of BIFFL's loan portfolio demands alternative financing solutions from development partners i.e. JICA, the World Bank, ADB, KfW, AFD etc. BIFFL is already in the process of having/has access to the following development partners' loans:

JICA

Phase 1

Under the Japanese ODA loan package, GoB and Government of Japan have signed an agreement on Energy Efficiency and Conservation Promotion

Financing Project (BD-P90) of JPY13,098 million financed by JICA out of which JPY9,978 million is available to BIFFL for refinancing the eligible projects. Besides, BIFFL will receive JPY574 million as TA for 6 years as grant. SREDA as an agent for GoB will be providing technical support. In 2018, BIFFL has already facilitated several energy efficient projects through refinancing a total of BDT126 crore under this scheme. Besides, a handful of projects approved in this category awaits disbursement of over BDT320 crore.

Phase 2

Because of fast utilization of JICA's Phase-1 fund, JICA is now considering additional funding named "Energy Efficiency and Conservation Promotion Financing Project Phase -2". JICA is considering a total of JPY 19000 million fund where 50% of that fund is allocated for BIFFL. The fund is expected to be available by 2019 for the end users.

IPFF-II

As an eligible Participating Financial Institution, BIFFL is going to have access to long-term Infrastructure Financing Component (USD403.7 million) under IPFF-II of the World Bank for on-lending and investment in support of long-term infrastructure projects by private sector investors. In addition to conventional debt, this component will support leveraging the market through innovative and diverse financial instruments. BIFFL will be playing the lead role to develop the innovative instruments and pilot the same based on market responses to utilize an indicative amount of USD30 million allocated for this purpose. Besides, BIFFL is also entrusted with the responsibility for creating, promoting and developing innovative infrastructure finance instruments utilizing the tentative allocation of USD2 million under TA Component. Currently, BIFFL is in the process of obtaining refinance for a PET recycling project and a number of grid-tied solar power projects through conventional debt segment of IPFF-II.



ADB

BIFFL is also working with ADB to avail proposed infrastructure finance support facility for Bangladesh, a sovereign facility to expand availability of long-term funds for infrastructure development with a focus on PPP modality. The proposed project envisages a USD100 million long-term credit line to BIFFL for re-lending to eligible sub-projects structured through PPP modality. The fund is expected to be available by third quarter of 2019.

Others

Beside ADB and the World Bank, BIFFL is also in discussion with KfW, AFD and FMO to leverage its portfolio by making available sustainable and long-term financial solutions in the backdrop of Bangladesh's long-term financing gap of USD9-10 billion every year.



BIFFL's GREEN OFFICE

A Green Milestone

BIFFL has a vision to promote an attractive environment for sustainable investment and uphold sustainable development and green financing. To align itself with this goal, BIFFL committed to create a world standard green office space.

After months of continued efforts by a multi disciplinary team, BIFFL finally moved into its new green office on 03 June 2018. The design is

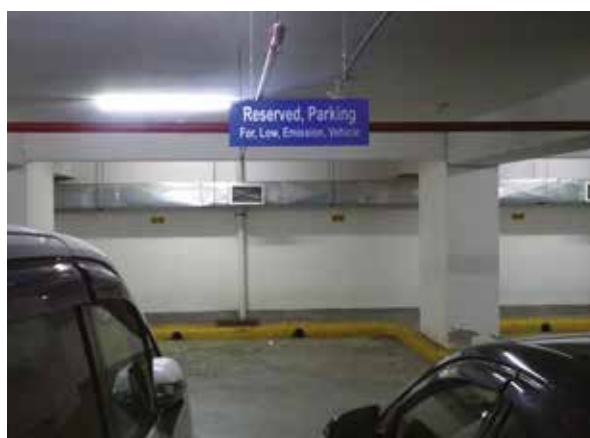
compliant with ASHRAE, IESNA, ANSI, ASTM, EPA, EPACT, IGCC, SCAQMD standards.

The office is USGBC LEED Platinum Certified and ensures a healthy, sustainable, low-carbon emitting plastic free work environment for BIFFL's employees. The office space saves 38% resources compared to conventional structures.

Health	Sustainability	Reduced Carbon Emission	Plastic Free Life
We used low VOC emitting paints, sealant and wax free tiles	We used LED light and task light, reducing lighting LPD by 38%	We reduced our parking spaces to minimum	We do not use disposable bottle, plate, cup or straw
We used no composite wood and Agri-fiber products and performed complete flush out before occupancy	We work in daylight, 85% of our spaces lit by daylight	We installed bicycle stand, car pool and low emission vehicle parking	We buy in bulk
Low emitting furniture and seating	We created a centralized printing section with energy star equipment	We arranged for change and shower room for bike riders	We avoid packaging
Water Efficiency		Natural Environment	
We save 44% potable water (1,70,000 liter/year)		We enjoy 30% fresh air indoor	
We used low flow water fixtures, sensor-controlled urinals and closets		Our vertical garden is a pleasant addition providing more oxygen indoor	
We used native and adaptive plants		We have views to the outside from all spaces	



Green Work Space







HUMAN RESOURCES

At BIFFL, “Human Capital” is considered as a key element in improving the overall health of the Company. It ensures sustainable competitive advantage and increases the employees’ efficiency to accelerate the achievement of the organization’s goals. BIFFL strongly believes that Human Capital plays an important role in employee’s development; improving the life and income; increasing knowledge, skill, and capacities, economic growth; and reducing poverty which facilitates the achievement of SDG 2030. In this present world where knowledge and communication with customers have gained increasing importance, human capital, which shows the volume of knowledge, technical skills, creativity, and experience of the organization, gains great importance, thus human resource is considered as productive assets not costly assets. BIFFL attracts, develops and retains employees by ensuring equal opportunity, training and development opportunities, attractive remunerations and fringe benefits etc. As a result, BIFFL has become a great place to work where people excel their performance with fun and pride.

Code of Conduct and Ethical Guidelines

BIFFL has an Employees’ Service Rules adopted by the Board in line with the guidelines of the Bangladesh Bank. The rules provide for a Code of Conduct and Ethical Guidelines for the employees. As per the ‘Code of Conduct and Ethical Guidelines’ for BIFFL employees, all have to maintain the Code of Conduct and demonstrate the highest ethical standards. These are the core values of BIFFL. Employees must follow and nurture. Ethical guidelines, behavioural patterns of the employees and what the employees should do and what they should not, are elaborately incorporated in the rules. BIFFL manages its employees putting into practice its Employees’ Service Rules. BIFFL’s core behaviours encourage employees to speak up and have open conversations. BIFFL’s Code of Conduct, Compliance Standards, and Policies guide our day-

to-day decisions, actions and behaviours and govern our business. Any known or suspected incidents of illegal/ unacceptable/undesirable conduct such as women harassment, corruption and forgery etc are viewed with zero tolerance.

Training & Development

BIFFL, as a learning organization, chooses the investment in individuals, because people are valuable human capital with different qualities. Over the last couple of years, BIFFL strengthened the knowledge and awareness of leadership through training program and recognizes the contribution of training towards enhancing efficiency and profitability. It hires attitude then train for skill. Accordingly, BIFFL always concentrates on continuous development of all the employees of the Company, so that they can develop new skills as well as sharpen their available skill sets. Every year BIFFL Human Resources facilitates good number of learning opportunities for the employees. As a result, the employee profitability has been one of the highest in the industry for years.

Particulars	No. of participants in 2018	No. of training programs in 2018
Home	23	28
Abroad	13	5

Equal Opportunity, Career Progression and Diversity

BIFFL ensures equal opportunity for all employees. They are treated equally and fairly. They are not disadvantaged by any prejudices or bias. We do not have discrimination on the grounds of gender, age, racial origin, religious affiliation, disability or marital status. Employment decisions are taken on the basis of an individual’s ability to do a particular job. BIFFL evaluates performance of the potential employees on the ground of their capacity, experiences and potentials.

Employee Engagement

Throughout 2018, BIFFL arranged a number of events, including Annual Retreat, Orientation Program, Pohela Boishakh, Iftar Party, Corporate Nights, Employee Birthday Celebrations, Children's Art Competitions, Happy New Year Celebrations and sports events that help in creating stronger

employee bonding and engagement. BIFFL also arranged various team-building sessions that enhance employee alignment and the sense of ownership towards the BIFFL's objectives while building a collaborative environment that respects teamwork and fellowship.



Annual retreat

Work Life Balance

BIFFL believe work life balance can play a vital role for the positive employee- employer relationship. When employees feel a greater sense of control and ownership over their own lives, they tend to have better relationships with management and are able to leave work issues at work and home issues

at home. Balanced employees tend to feel more motivated and less stressed out at work. Thereby, it increases BIFFL's productivity and reduces the number of conflicts among co-workers and management.



Orientation program of new recruits

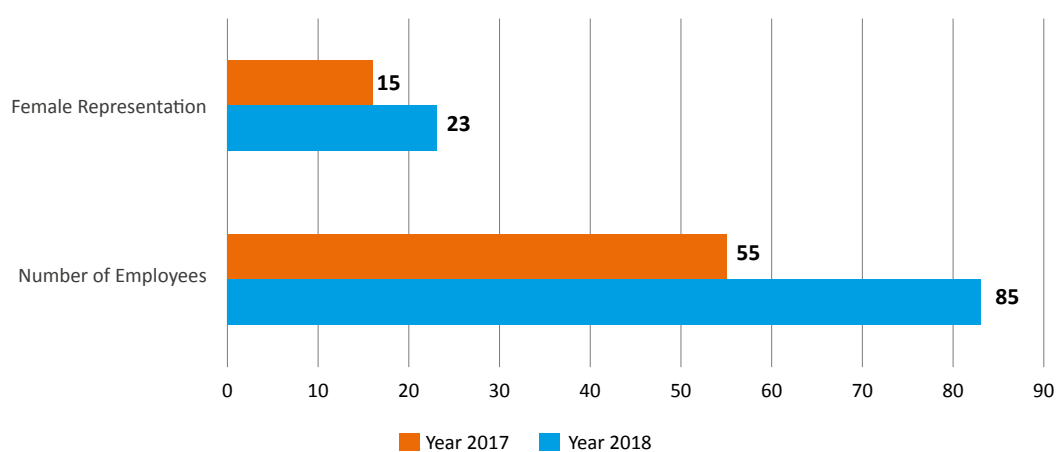
Human Resource Analysis

Head Count		
Employee	2018	2017
Permanent Employee	55	28
Contractual Employee	8	11
Support Staff	22	16

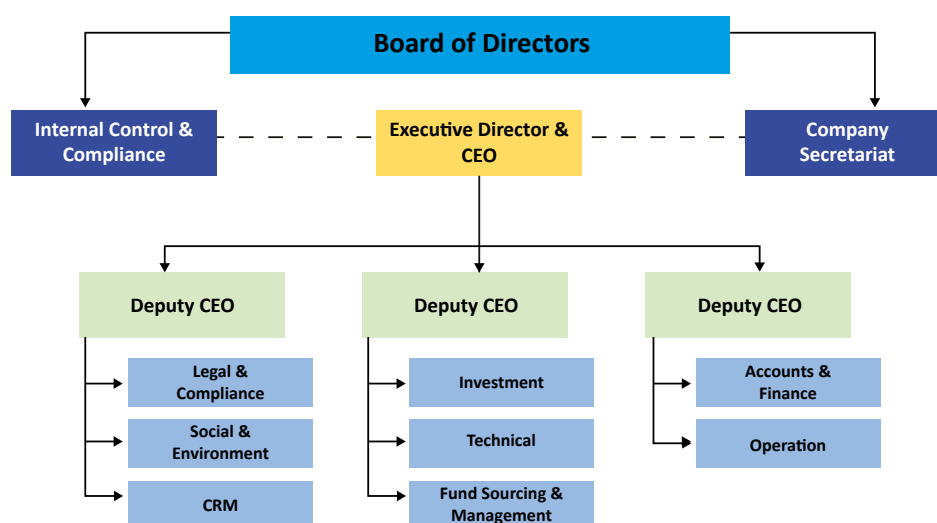
Female representation and percentage (%)

Particulars	2018	2017
Number of Employees	85	55
Female Representation	23	15
In %	27	27

Female Representation in BIFFL



BIFFL's Organogram



Remuneration and Benefits

In terms of facilitating employees with the competitive package to maintain the centre of excellence we are fully compliant with regulatory bodies. We have market driven salary package which includes fringes benefits as short term benefits and provident funds, gratuity as long-term benefits. In addition, we also offer soft loans to employee like Employee House Building Loan, Car Loan and Loan Against Provident Fund. BIFFL offers satisfactory financial and nonfinancial benefits for the employees to ensure a better life style, such as:

- Attractive compensation package
- Festival and incentive bonus
- Fair promotion policy
- Annual increment
- Career growth opportunities
- Training and workshop (home and abroad)
- Employee friendly work environment
- Health care facilities
- Loan facilities at a privileged rate
- Retirement benefits, e.g., provident fund, gratuity fund and
- Leave fare assistance

Succession Planning

Our succession planning sits inside a very much wider set of resourcing and development processes and that is why we call it 'succession management' which includes management resourcing strategy, aggregate analysis of demand/supply (human resource planning and auditing), skills analysis, the job filling process, and management development including graduate and high-flyer programs. HR plays a key role with each of these processes. BIFFL focuses on hiring the right person for the right position and also concentrates on the proper development and motivation of the personnel. HR and Administration Department, in consultation with other departments, forecasts the future manpower requirements. The objective of BIFFL is to recruit

the dynamic people who are best suited for the particular job. We also meet our HR requirements through job rotations and job changes. Besides this, the Company places high emphasis on strategy for retention of good performers as well.

Human Rights and Safety

Healthy employees are productive and sustainably engaged in their workplace. We always comply with internal workplace health and safety policies. Our office is the first Government owned entity which has recently achieved LEED Platinum certification from USGBC. We encourage mothers to give more time to their childrens– we allow them proper maternity leave. We will be opening shortly a day care centre for the employees who went recently in maternity leave.

Reward and Recognition

BIFFL uses reward and recognition to express appreciation for employee's hard work, dedication and contribution to the Company. There are many levels of reward and recognition, to ensure both small contributions as well as the larger ones. Rewards and recognition may be monetary (bonuses) or non-monetary. Reward and recognitions encourage employee to excel performance. Moreover, the employee feels that his/her contribution is valued by the organization. Rewards and recognition have many uses, but in general they help:

- shape employee behaviour and work ethic;
- give employees the opportunity to share in the benefits of their work; and
- make employees feel like an integral part of the company.

We have different reward categories:

- Best Employee Award: Once in a year
- Best Team Award: Once in a year
- Lunch with Executive Director & CEO: Weekly basis



SOCIAL AND ENVIRONMENTAL RESPONSIBILITIES

Environment means the natural world that plays a significant role for our existence on the planet. However, the environmental pollution has become one of the biggest threats for Earth which is affecting our lives and posing bigger danger for our future generations. Nowadays, the world is experiencing huge technological advancement as well as infrastructure development which are also to some extent leading to environmental degradation besides their benefits for the society. We should stop polluting and destroying our natural resources to ensure sustainable living conditions for us as well as generations to come. Every person on our planet should take a little step to save our environment from pollution.



Our approach towards Environmental and Social compliance

BIFFL is committed to protect environment and adopt eco-friendly measures in all aspects while considering any investment projects. For this purpose, BIFFL adopted its Environment and Social Monitoring Framework (ESMF) in 2014 that details the agreed policies, guidelines, and procedures to be integrated into the implementation of BIFFL's projects.

BIFFL recognizes the significance of environmental health, safety and social (E&S) safeguards and primarily focuses on environmental and social aspects during project financing.



ENVIRONMENTAL ASPECTS	SOCIAL ASPECTS
 Air Pollution	 Involuntary Resettlement
 Water Pollution	 Impacts on Indigenous People
 Soil Contamination	 Impacts on Cultural Heritage
 Impact on Biodiversity	 Occupational Health and Safety Measures
 Waste Management	 Disturbance to Community Movement
 Noise Generation	 Child Labour

BIFFL has also established a full-fledged social and environmental unit comprising of a full time professional and several consultants.

Practice of BIFFL to ensure the environmental and social safeguards includes but not limited to the following:

- Emphasizes on promoting green and environmentally friendly technologies;
- Comply with the BB ESRM Guidelines for Banks and Financial Institutions as well as guidelines of development partners;
- Consciously adopts ethical and sustainable measures for a safer and greener tomorrow;
- Maintain a general and sector specific environmental due diligence checklist to formulate environmental risk rating;

- Incessantly improve its activity and operation through reducing the E&S impacts;
- Exhorts its clients to implement environmentally friendly processes and enthusiastically manage E&S risk arising from the client's business operations;
- Initiate the awareness building activities for leaving an exemplary environment and society for the future generations; and
- Participate in different CSR activities.

Our business model is one that looks beyond the "short term economic value" to one of "long term social and environmental value". Some of the practices of BIFFL towards environment and society are shown in the pictures below:



"BIFFL Green Brick Convention 2016" to raise awareness about environment friendly Auto Bricks manufacturing in Bangladesh.



The Honorable Minister of Housing and Public Works, Engineer Mosharraf Hossain inaugurating the Chattogram leg of BIFFL Green & PPP Convention & Expo 2018



BIFFL and Ministry of Finance Signing of an agreement for implementing "Energy Efficiency Conservation Promotion Funds" under JICA financing on 10 April 2017



BIFFL arranged a seminar on Energy Project Finance on 28 January 2019



On 8 January 2019 BIFFL & Bangladesh Bank signing a participation agreement between the two organisation under the BB's "Refinance Scheme for Green Products/Initiatives"



BIFFL signed a 'Letter of Collaboration' with Future Carbon Energy Services, working in Energy Efficiency and Carbon Management program under the UNFCCC Kyoto Protocol Agreement in 2017

Green office management

Beside the project's environmental management, BIFFL is also conscious about the indoor environment of the office and ensures provision for a safe, healthy and green working environment for its employees. For this purpose, the management of BIFFL has adopted the following green initiatives:

- use of energy saving LED lights;
- high efficiency VRF system;
- installation of daylight sensor;
- separate energy metering;
- individual task light;
- installation of low flow water fixture;

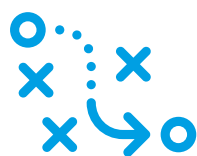
- use of green materials;
- double low e-glass to reduce heat and noise;
- indoor gardens; and
- segregation of waste for recycling purpose.

By the above means we have reduced energy consumption by 38.19% compared to conventional office and achieved water saving of 44%. Our office space is designed to have more than 85% daylight and more than 30% fresh air to contribute to health and wellbeing of the employees. Now, our office is USGBC LEED Platinum certified.



BIFFL Green Office





STRATEGY AND RESOURCE ALLOCATION

SWOT Analysis

INTERNAL FACTORS	
STRENGTHS	WEAKNESSES
• Government ownership • Strong Board of Directors • Visionary management • Target oriented employees • Large capital base • Diverse and long-term sources of fund • Cost leader in the market • Close relations with Government bodies and development partners • Niche market intervention	• Lowly leveraged capital structure • Limited treasury functions • Low geographical coverage • Less familiar brand among the potential stakeholders
EXTERNAL FACTORS	
OPPORTUNITIES	THREATS
• Constant Growth of GDP & target of 8% GDP p.a. • Government Vision to achieve middle income country status • Government plan to implement PPP Projects throughout the country • Sourcing funds for sustainable projects from development agencies • 7th 5 years plan for infrastructure projects and its implementation • Raising Fund from Capital Market through issuance of Share and Bond • Investment in Economic Zones & connectivity projects • Investment in Power generation and distribution to generate 12,584 MW electricity • Investment in health and tourism industry • Technical and financial support of the Development Partners • Innovation of new instruments and expansion of new technology	• Slow awarding and implementation of PPP projects • Increase of interest rate in the financial markets • Sponsor's inability to implement projects on schedule • Contagion effect of national or international financial crisis • Political unrest • Volatility of Capital Market

Strategic Response to Potential Threats

Based on the potential threats that have been indicated above, BIFFL has the following strategic responses against each threat:

- The Company is committed to work with PPPA to address issues related to delayed implementation of PPP projects. BIFFL is actively engaged in providing innovative financial solutions for complex and lengthy projects.
- In the presence of higher market interest rates, BIFFL can switch its focus towards high-risk with high-return projects since it has such a high risk-appetite which few banks or financial institutions have at the moment.
- From time to time, BIFFL will arrange workshops and discussions which will bring together policy makers, project sponsors, suppliers, financiers, and other stakeholders so that they can have open platforms to raise and address issues related to implementation of projects.
- To cushion itself from any negative impacts arising from political unrest of the country, BIFFL will carefully process loan proposals from politically exposed persons and will maintain higher standards while conducting due diligence
- BIFFL has a strong equity capital base and is not listed in the stock exchange; hence it will be less

exposed to volatility in capital market. BIFFL is rather focusing on securing foreign funds from international development agencies.

Short-term Objectives

- Establish BIFFL as a full-fledged financial institution;
- Establish brand image and nurture a good corporate culture;
- Build trust among different stakeholders of the financial market;
- Simplify operational procedures and strengthen corporate governance; and
- Engage experienced professionals and development partners.

Implementation of short-term objectives

- Arrange necessary supports from Government and multilateral agencies to establish BIFFL as a full-fledged financial institute;
- Ensure quality investment by conducting thorough due diligence on every project and promote innovative financing to support our clients in meeting their financing needs;
- Implement CFS to conduct real time transactions. Commit to have secured and efficient software to deliver effective customer services;
- Arrange necessary legislative supports for completing the process of IPO (Initial Public Offering);
- Put the highest importance on managing its assets and maximize profits by adopting sound governance practices as well as effective risk management structure;
- Ensure compliance with all regulatory guidelines and directives through adopting best processes, practices and controls;
- Continue participating in CSR activities like as blood donation program, blanket distribution, donation to a prime minister's relief fund, distribution of relief to flood victims etc; and
- Provide advisory services to its clients to make the projects viable and ultimately successful.

Mid-term Objectives

- Increase institutional capacity;
- Support adequate infrastructure development to meet up the growing demand of the economy;
- Ensure long-term financing sources from capital market within the next 5 years;
- Become a regional financial power;
- Enhance exposure in the financial market by financing diverse sectors and become the leader in infrastructure financing by 2021; and
- Develop a vibrant infrastructure market from the perspective of both the investors and financiers.

Implementation of mid-term objectives

- Raise funds of BDT1,500 crore issuance of infrastructure bonds, debentures and shares etc. and help build a dynamic capital market;
- Recruit the best talents of the country by ensuring competitive recruitment process and providing them adequate training facilities and a conducive workplace;
- Disburse more than BDT1,100 crore in Green & renewable energy sector by 2021 supporting environment-friendly and innovative projects like ETP, polyester staple fibre projects, green building & Construction and food processing projects etc.;
- Create a new unit focusing only on PPP projects and collaborate with Government as well as private sectors to become a major development partner of the country; and
- Build a loan portfolio of BDT9,000 crore by 2021 prioritizing the sectors that expedite the growth of the economy like power & energy, transportation & communication, economic zone and green & renewable energy etc.

Long-term Objectives

- Become a brand in infrastructure financing;
- Help in achieving SDGs (Sustainable Development Goals) while conserving nature;
- Help build a sound financial market to foster long-term stability of the economy;
- Become a partner of choice, an employer of choice and a centre of excellence;

- Integrate with global financial market and become a global financial power;
- Ensure implementation and operations of PPP projects;
- Attract private investments in long-term infrastructure projects by addressing the asset liability mismatch of existing bank finance; and
- Maintain a healthy relationship among existing client base and channel resources towards finding new opportunities.

Implementation of long-term objectives

- Prioritize the sectors that trigger the growth of the economy and contribute to poverty alleviation;
- Build up institutional capacity, ensure professional excellence, adopt most advanced technology and global best practices.
- Penetrate in the global market by issuing bonds and shares in the international market;

- Increase geographical coverage to serve maximum population of the country;
- Focus on arranging long-term and sustainable funding sources by collaborating with local and foreign development partners;
- Develop and use innovative financing instruments and explore different avenues of money market and capital market to ensure proper mobilization and utilization;
- Put emphasis on developing the industrial sectors and help attract domestic and foreign investment;
- Attach high importance on its social and environmental impact to make the project sustainable in the long-run. Green economy and eco-friendly measures are our foremost priority while considering any investment deal; and
- Arrange seminars, conventions & expos to exhibit the prospects and necessity of environment-friendly construction and engage development partners for long-term funding sources.



RISK MANAGEMENT

STATEMENT ON RISK MANAGEMENT

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STATEMENT ON RISK MANAGEMENT

The importance of infrastructure for ensuring sustainable economic development and thereby, the amelioration of the socio-economic condition of millions of people cannot be overemphasized. The country has been failing to realize its full growth potential due to high transaction costs, mainly, arising from inadequate and inefficient infrastructure. One of the main reasons for such infrastructure-related shortcomings has been insufficient investment. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has established BIFFL and attached priority to materialize Public Private Partnership (PPP) concept in right earnest for delivering its multipronged benefits to the national economy. Conceptually, Public-Private Partnership (PPP) project is a contract between the public sector and private sector, which requires new investments by the private partners i.e. money or technology or expertise /time or reputation, which transfers some key risks to the private sector (design/ technology, construction/ installation, availability, demand etc., in which payments are made in exchange of performance for the purpose of delivering a service traditionally provided by the public sector.

With a continued average economic growth nearly 7% in the last ten years (2008-2018), Bangladesh now proudly stands as an emerging trade and investment destination. The steady growth in export business, hard-working labor force and committed entrepreneurs supported by the pro-business, pro-investment policies of the Government are leading Bangladesh towards the line of global business competency. The country's unequivocal position for peace and harmony, regional stability, cooperation, economic development through international and regional trade with its trade partners and an increasing flow of remittance by expatriate Bangladeshis living across the world have helped the country achieve and retain the impressive economic status. In FY 2017-18, GDP growth was 7.86 % and it is expected to grow around 8.25% in the FY 2018-19. A strong domestic demand, high export

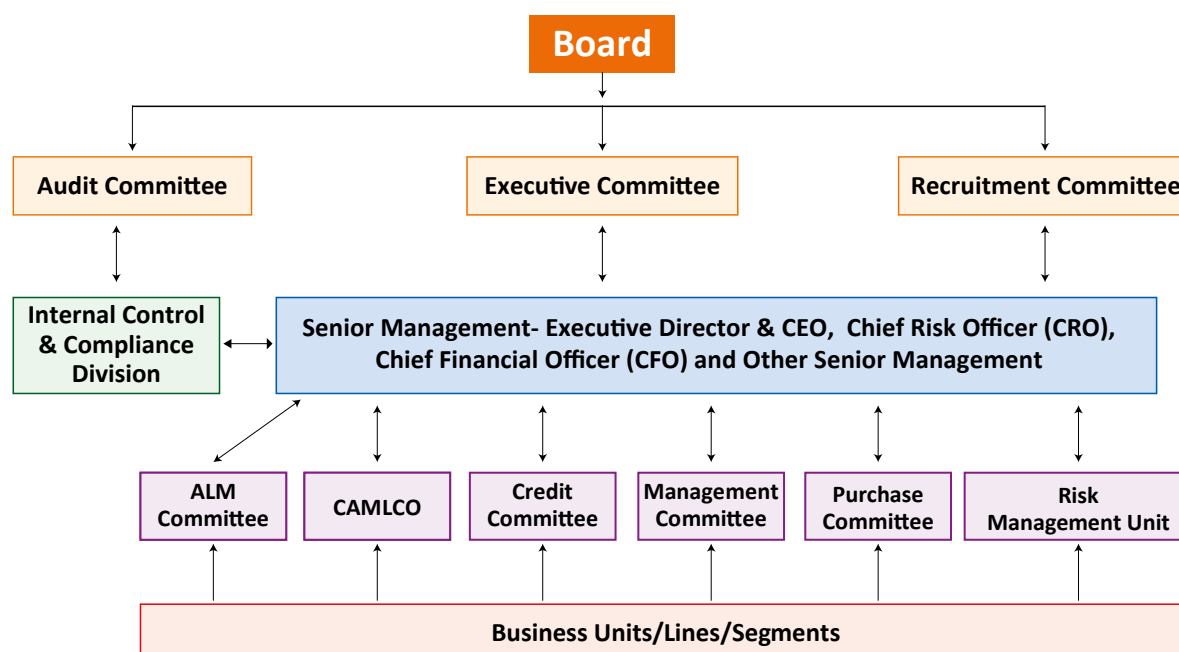
growth and continued expansion of infrastructural facilities attributed to the accomplishment of accelerated growth. Bangladesh will continue to engage its efforts to achieve the SDG goals which will hinge on several factors such as accelerated resource mobilization, higher investment, efficiency in infrastructure implementation, skilled human resources and strong institutional set up.

Risk Management

BIFFL believes that effective risk management is of primary importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in- and the risks those activities generate- must be consistent with BIFFL's underlying commitment to the principles of and in line with BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the firm will operate, including capital strength and earnings power. In BIFFL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized and if possible, eliminated to protect capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy. BIFFL evaluates and rewards employees with specific consideration to their risk behaviors, including transparency, communication and escalation of concerns.

Risk Management Structure

Risk management procedures are approved, monitored, and mitigated at various stages of BIFFL with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Division and Risk Management unit. The hierarchy of BIFFL risk management infrastructure is as under:



Board of Directors

The Board oversees and approves all major risk management policies and parameters considering market condition, regulatory requirements and lessons learned in the past. While setting forth policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations but protecting against downside risk from potential loss or foregone income and to protect interest of shareholders.

Executive Committee (EC) of the Board

EC of the Board is responsible to oversee that the management and its committees are operating within approved limits and authorities and that all major risks are managed and mitigated effectively while potential and actual losses arising from risks are within the acceptable limits. EC also approves all credit proposals except the large loan proposals, administrative proposals and major purchases as recommended by the Credit Committee, Management Committee and Purchase Committee respectively.

Audit Committee (AC) of the Board

AC independently monitors all activities of operations involving credit risks, operational risks and market risks through Internal Control & Compliance Division (IC&CD) of BIFFL. Risk based

audit plan for IC&CD is approved by the Committee and its implementation is monitored on a regular basis to ensure that all risk factors are adequately addressed and any deviation is quickly corrected to ensure sustainable operation of BIFFL.

Risk Management Framework

BIFFL is a highly dedicated Financial Institution of Bangladesh conducting business in a professional manner by adopting the internationally accepted best practices upholding the ethical values and maintaining transparency in all activities. BIFFL believes in sustainable growth which is ensured through appropriate trade-off between risk and return.



Risk Identification, Assessment and Analysis

Risk analysis unit identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper on quarterly basis and conduct periodic Stress Testing.

In addition, the Credit Risk Management Committee (CRMC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to mitigate associated risks. CRMC reviews the Due Diligence of the individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the projects.

An independent Credit Risk Management (CRM) Department is in place at BIFFL to check all compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify the risks involved in financing individual project. This is done at BIFFL at pre-sanction and post sanction stage of loan. This assists management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL requires credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating Agency approved by Bangladesh Bank. This report is scrutinized by CRM and CRMC to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL is going to establish Internal Control and Compliance Division (IC & CD) to address operational risk. IC & CD ensures that an appropriate framework exists to identify, assess and manage operation risk. However, internal control measures

are in place at BIFFL to mitigate operational risks under Board Audit Committee.

The Asset Liability Management Committee (ALCO) of the Company regularly meets to assess the prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control interest rate risk.

Risk Reporting and Communication

After assessment of risks inherent at different divisions of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum (RMF).

Plan Actions

RMF recommends some specific action plans for mitigating the identified risks to be implemented by the head of different divisions with a given timeline. Furthermore, risks are properly communicated to the Board of Directors by Board Audit Committee.

Implementation of Plan Action

In line with guideline of Bangladesh Bank for comprehensive risk management of the Bank, the Risk Management Division has been carrying out the following activities:

- a) All regulatory compliances related to Basel II;
- b) All regulatory compliances related to Stress Testing;
- c) All regulatory compliances related to CAMELS Rating of Bangladesh Bank; and
- d) All regulatory compliances related to comprehensive Risk Management Rating including preparation of Risk Management Paper in line with the Bangladesh Bank's reporting format and informing the Board/ Risk Management Committee about major findings of Risk Management Paper for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed, and that appropriate controls and responses are in place. Board Audit Committee and IC & CD are to carry out

regular audits of policy and standards, compliance and standard performance are reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

Risk Management Process

A well-structured and proactive Risk Management system is in place at BIFFL to address the risk relating to Credit, Market, Liquidity, and Operation. BIFFL has different committees for risk management and internal control. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices. In addition, as part of the industry's best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as per guideline of managing core risk of financial institutions issued by Bangladesh Bank time to time. Through our risk management framework, we manage enterprise-wide risk, with the objective of maximizing risk-adjusted returns while remaining within our tolerance. As a part of this framework, the Board has approved a set of principles that describe the risk management culture we wish to sustain:

Balancing Risk and return

- We manage our risks to build a sustainable franchise, in the interests of all our stakeholders;
- We only take Risks within our risk tolerances and risk appetite, and where consistent with our approved strategy; and
- We manage our risk profile to maintain a low probability of an unexpected loss event that would materially undermine the confidence of our investors.

Conduct of business

- We demonstrate that we are here for good through our conduct and are mindful of the reputational consequences of inappropriate conduct;
- We seek to achieve good outcomes for clients, investors and the markets in which we operate while abiding by the spirit of laws and regulations; and

- We treat our colleagues fairly and with respect.

Responsibility and accountability

- We take individual responsibility to ensure risk-taking is disciplined and focused, particularly within our area of authority; and
- We make sure risk-taking is transparent, controlled and reported in line with the risk management framework, within risk appetite and Risk tolerance boundaries and only where there is appropriate infrastructure and resource.

Anticipation

- We seek to anticipate material future risks, learn lessons from events that have produced adverse outcomes and ensure awareness of known risks.

Competitive advantage

- We seek to achieve competitive advantage through efficient and effective risk management and control.

We have identified a comprehensive suite of risk factors which covers the broad range of risks our businesses are exposed to. Several risk factors have the potential to affect the results of our operations or financial condition but may not necessarily be deemed as top or emerging risks. However, they inform the ongoing assessment of our top and emerging risks which may result in our risk appetite being revised. The principal risks associated with business and ways of mitigations are described in the below:

Credit Risk Management

Credit risk is one of the most significant risks that BIFFL faces as an institution. As a result, BIFFL has a well-established framework in place for managing credit risk across all businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level as well as at the company-wide level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including 'watch lists', portfolio review, updated risk ratings and classification triggers. Credit Risk Management, as one of the core risks, is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and

to ensure that approved processes are followed, and appropriate due diligence are carried out in appraisal and subsequent approval of new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk management as it helps the BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities. Risk Management Committee is responsible to review the credit rating of the borrower annually.

Credit risk for counterparty arises from an aggregation of the following

- Financial Risk
- Business/Industry Risk
- Management Risk
- Security Risk
- Relationship Risk

Each of the above mentioned key risk areas need to be evaluated and aggregated to arrive at an overall risk grading measure.

a) Evaluation of Financial Risk:

Risk that counterparties will fail to meet obligation due to financial distress. This typically entails analysis of financials i.e. analysis of leverage, liquidity, profitability & interest coverage ratios. To conclude, this capitalizes on the risk of high leverage, poor liquidity, low profitability & insufficient cash flow.

b) Evaluation of Business/Industry Risk:

Risk that adverse industry situation or unfavorable business condition will impact borrowers' capacity to meet obligation. The evaluation of this category of risk looks at parameters such as business outlook, size of business, industry growth, market competition & barriers to entry/exit. To conclude, this capitalizes on the risk of failure due to low market share & poor industry growth.

c) Evaluation of Management Risk:

Risk that counterparties may default as a result of poor managerial ability including experience

of the management, its succession plan and team work.

d) Evaluation of Security Risk:

Risk that the bank might be exposed due to poor quality or strength of the security in case of default. This may entail strength of security & collateral, location of collateral and support.

e) Evaluation of Relationship Risk:

These risk areas cover evaluation of limits utilization, account performance, conditions/covenants compliance by the borrower and deposit relationship.

Credit Strategy

A sound credit strategy is crucial for improving an organization's investment capacity as well as maximizing its profitability. The following general policy governs the credit strategy of BIFFL:

- a) BIFFL will finance projects within the geographic boundary of the People's Republic of Bangladesh as well as overseas, subject to prior approval of the Board and following due process as required by the concerned authorities;
- b) BIFFL will comply with all applicable Laws and Regulations;
- c) Projects processed through PPP Authority under the PPP Act 2015 will be given preference for financing;
- d) BIFFL will approve credit facilities primarily to Clients who are involved in business activities having successful track record of profitable business growth;
- e) At all times, the policy of "Know Your Customer (KYC)" and his/her credit standing will be considered as the foremost requirement in processing loan applications;
- f) BIFFL's investment/lending decisions shall primarily be based on merit of individual proposals analyzed from legal, financial, technical, marketing, social, environmental, economic, and management points of view. Prime consideration will be the debt service capability of the proposal out of fund generated from business operations. Security coverage shall depend on the factors like financial

- viability, past history of profitable operations, business goodwill, credit worthiness etc. of the proposal/promoters. Additional security in the form of mortgage of land, building, machinery and other fixed assets, lien of FDR, sponsor's existing business cash flow etc. may be obtained in appropriate cases; In addition to the project cash flows, BIFFL should explore the possibility of creating a security structure of the sponsor's existing business' cash flows;
- g) BIFFL shall also support projects/investments related to innovative ideas, social, community and infrastructure development;
 - h) BIFFL shall give priorities to projects wherein the developer has been identified through a competitive bidding process. Projects where there hasn't been a competitive process for selection of the developer, necessary statutory/ administrative approvals and clearances from relevant government agency/ authority would be required for considering the same;
 - i) BIFFL will not engage in name lending based only on the general reputation of the Borrower; and
 - j) BIFFL will render total satisfaction to the customers through high standard of prompt customer services.

Eligibility Criteria

In order to be eligible for funding from BIFFL, a project shall meet the following eligibility criteria:

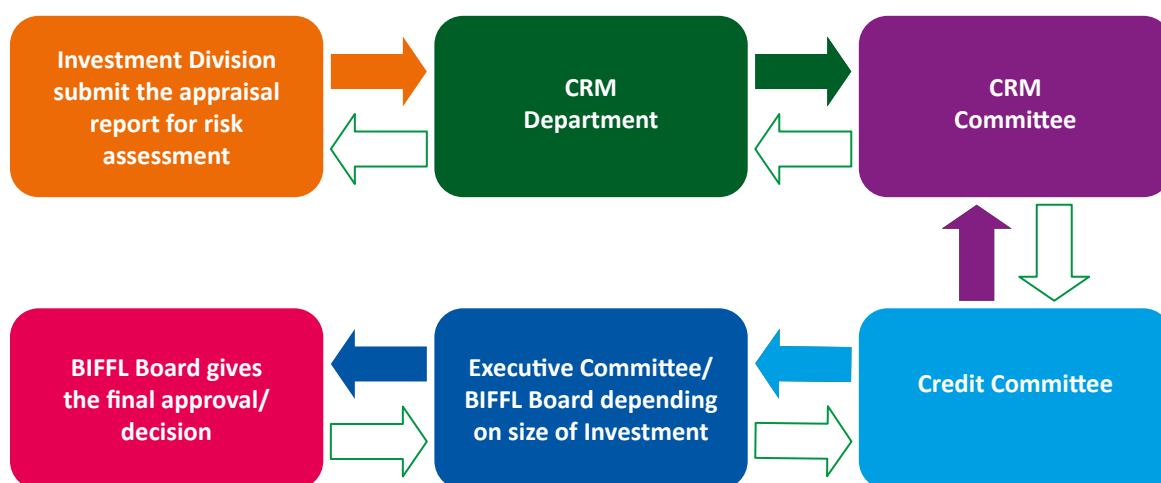
- a) BIFFL shall consider only those projects for financing which will withstand the viability test from the commercial and socio-economic viewpoints. Viable projects may also include those projects that will become viable after receiving "Viability Gap Financing (VGF)" from the Ministry of Finance, Government of the People's Republic of Bangladesh, as per approved "Guidelines of Viability Gap Financing for PPP Projects";
- b) Subject to the availability of fund, BIFFL will lend up to 40% of the total project cost or USD100 million whichever is lower for a single project;
- c) Any "For-Profit" or "Not-For-Profit" entity legally registered in Bangladesh or abroad at the time of submission of proposal(s) in response to Request for Qualification (RFQ) or Unsolicited Proposal(s) will be eligible to apply for BIFFL financing. However, at the time of contract signing, the foreign entity is required to be registered as a legal entity in Bangladesh;
- d) The project shall be implemented (i.e. developed, financed and operated for the project term) by:
 - i. **Public Sector Company**, with 51% or more of the subscribed and paid-up equity owned and controlled by the GoB, jointly or severally;
 - ii. **Private Sector Company**, with 51% or more of the subscribed and paid-up equity owned and controlled by the private sector;
- e) A Private Sector Company not selected through a competitive bidding process would be eligible for direct lending by BIFFL only after the necessary statutory/ administrative approvals and clearances from relevant government agency/ authority have been obtained provided that-
 - The service to be provided by the infrastructure project is regulated and non-monopolistic in nature;
 - The project is being set up under an agreement with the Government or a public sector undertaking; and
 - Total lending for such private projects does not exceed 25% of the lending program of BIFFL in any Fiscal Year (FY).
- f) Projects should be an integral part of the GOB's priority plan for the relevant sector/sub-sectors;
- g) To ensure sponsor's commitment to the project, equity should represent not less than 20% of the total project cost;
- h) Projects should meet GOB and BIFFL's Environmental and Social Assessment Criteria; and
- i) The economic rate of return of the project should be at least 12%.

In case BIFFL management needs any clarification regarding eligibility of a project, the same may be referred to the Board for appropriate directions.

Credit Approval Process

BIFFL Board of Directors has the overall authority and responsibility for management of risks. The Board decides the risk management policies of BIFFL. The Credit Committee is a subcommittee including CEO and senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The Credit Risk Management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the Credit Committee. Nevertheless, the credit proposal is clearly stated that all instructions and

guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now two stages depending on the size of the loan which are Executive Committee and/or BIFFL Board. The Executive Committee (EC) is a committee including CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of Credit Committee. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.



Flow Chart: Credit Approval Process

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the BIFFL Board of Directors to overcome any adverse impact on the BIFFL's return. According to risk-return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a-vis the world.

Credit Risk Grading (CRG)

Credit risk grading is a valuable tool for credit risk management as it helps the Banks & financial institutions to understand various dimensions of risk involved in different credit transactions. The

aggregation of such grading across the borrowers, activities and the lines of business can provide better assessment of the quality of credit portfolio of a bank or a branch. The credit risk grading system is vital to take decisions both at the pre-sanction stage as well as post-sanction stage.

Functions of Credit Risk Grading

Well-managed credit risk grading systems promote bank safety and soundness by facilitating informed decision-making. Grading systems measure credit risk and differentiate individual credits and groups of credits by the risk they pose. This allows bank management and examiners to monitor changes and trends in risk levels. The process also allows bank management to manage risk to optimize returns.

Use of Credit Risk Grading

- The Credit Risk Grading matrix allows application of uniform standards to credits to ensure a common standardized approach to assess the quality of individual obligor, credit portfolio of a unit, line of business, the branch or the Bank as a whole.
- As evident, the CRG outputs would be relevant for individual credit selection, wherein either a borrower or an exposure/ facility is rated. The other decisions would be related to pricing (credit-spread) and specific features of the credit facility. These would largely constitute obligor level analysis.
- Risk grading would also be relevant for surveillance and monitoring, internal MIS and assessing the aggregate risk profile of a Bank. It is also relevant for portfolio level analysis.

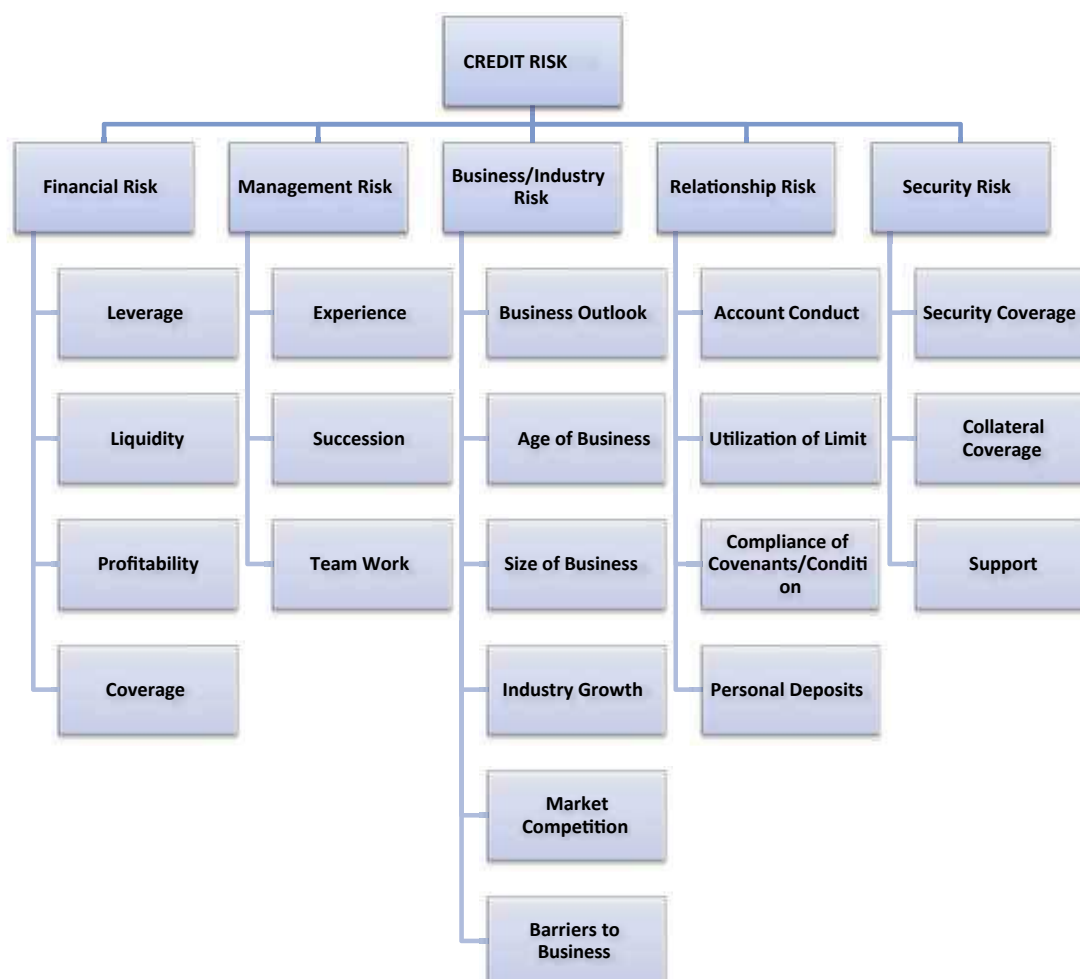
Number and short name of grades used in the CRG

The proposed CRG scale consists of 8 categories with short names and numbers are provided as follows:

GRADING	SHORT NAME	NUMBER
Superior	SUP	1
Good	GD	2
Acceptable	ACCP	3
Marginal/Watchlist	MG/WL	4
Special Mention	SM	5
Sub standard	SS	6
Doubtful	DF	7
Bad & Loss	BL	8

Credit Risk Matrix

These are the major risk components that are evaluated and aggregated in order to arrive at an overall risk grading measure.



Market Risk Management

Market risk encompasses funding and liquidity risk, interest rate risk and price risk, each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury Unit of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk Management

Adequate liquidity and sources of funding are essential to BIFFL's businesses. Funding and liquidity risks arise from several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings and political and economic conditions.

BIFFL has no exposure in Capital Market yet and therefore it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury Unit in collaboration with Accounts and Finance Division manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in terms of its assets and liabilities. But it exposes liquidity risk of converting its fixed deposit into cash at reasonable price on time. The Treasury Unit manages the liquidity risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL.

Operational Risk Management

Operational risk is the potential loss arising from the failure of company's systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay in performance of the works. Operational risk is the risk of loss, whether direct or indirect, to which the Bank is exposed due to inadequate or failed internal processes or systems, human error, or external events. Operational risk includes legal and regulatory risk, business

process and change risk, fiduciary or disclosure breaches, technology failure, financial crime and environmental risk. It exists in some form in every Bank business and function. Operational risk can not only result in pecuniary loss, but also regulatory sanctions and damage to the reputation. BIFFL is very successful at managing operational risk with a view to safeguarding client assets and preserving shareholder value.

Reputational Risk Management

Reputational risk is the risk that negative publicity regarding BIFFL's conduct, business practices or associations, whether true or not, will adversely affect its revenues, operations or customer base, or require costly litigation or other defensive measures. BIFFL finances projects that enhance our economic activities that bring change in the people's lives. BIFFL does not involve in any controversial business venture that may damage the reputation of the company.

Environmental Risk Management

Environmental risk is a facilitating element of credit risk arising from environmental issues. These can be due to environmental impacts caused by and / or due to the prevailing environmental conditions. These increase risks as they bring an element of uncertainty or possibility of loss in the context of a financing transaction. The overall purpose of Environmental Risk Management is to understand and manage risks that arise from environmental concerns. This brings a focus on planning and implementing policies and procedures to mitigate environmental risks.

The specific purposes are:

- To examine the environmental issues and concerns associated with potential business activities proposed for financing;
- To identify, evaluate and manage the environmental risks and the associated financial implications arising from these issues and concerns; and
- To enhance the credit risk appraisal process.

Compliance Risk Management

Compliance risk is defined as the current or prospective risk of legal sanction and/or material financial loss that an organization may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of the best practice as well as from the possibility of incorrect interpretation of laws or regulations. The guidelines articulate the respective roles of the board, senior management and compliance function units in managing compliance risks and also require formulation of a written compliance risk management policy.

BIFFL has always fostered a compliance oriented culture. Senior management has constantly stressed the need to do business in a compliant manner. In general, compliance risk management is embedded in the day to day to business processes and practices of the company.

Potential risks

- a. Potential financial loss;
- b. Serious regulatory implications (revocation of license, imprisonment, possibility of fines/penalties from regulators);
- c. Potential/actual damage to reputation;
- d. Major corporate governance failure;
- e. Customer dissatisfaction;
- f. Loss of business opportunities.

Plan of action to mitigate potential compliance risks

- a. Understand applicable rules and regulations and keep up to date;
- b. Communicate new rules and regulations to concerned departments and help them in adoption of the same;
- c. Communicate the required reports/statements to regulators within the stipulated time period;
- d. Maintain cordial relations with the regulators, customers and other stakeholders;
- e. Act as a liaison between management and regulators;
- f. Arrange for in-house trainings and attend out-of-house trainings on new developments in the financial sector; and

- g. Develop checklists for applicable rules and regulations and ensure compliance of the concerned departments, like through DCFCLs.

The Internal Control & Compliance (ICC) Department of BIFFL was formed and started the operation from 2016. Since then, the department is monitoring the reporting of various departments to Bangladesh Bank and other regulatory authorities. The department also ensure the compliance of relevant laws, regulations, directives of different regulators and its own policies.

Risk Management Committee

BIFFL Risk Management Committee consists of 10 senior management personnel who have years of experience in the financial service industry. The committee is headed by the Executive Director and CEO.

Roles and Responsibilities of RMC

The roles and responsibilities of BIFFL Risk Management Committee have been framed in line with the provisions of BRPD Circular No. 11 dated 27 October 2013 and other best practices and standards. Some important roles and responsibilities are highlighted below:

- Risk Management Committee identifies and analyses the risk of the portfolio of the company and formulates regulations to control the risks and guides the management in implementing the regulations. This committee also reviews the risk management policy time to time and modifies the same when needed.
- BIFFL has its own risk management infrastructure which is guided by the Board of Directors and governed by senior management personnel of the company. In order to ensure compliance to financial regulations and manage different risks involved in business, BIFFL has formed several management committees namely Audit Committee, Executive Committee, ALM Committee, CAMLCO, Credit Committee, Internal Control and Compliance Division, Management Committee, Risk Management Unit etc. and these management meetings are held regularly, and the actions taken or topics discussed in the meetings are reported to Bangladesh Bank.

- Risk management committee reviews the business, economic and market variables on a regular basis and compare the results with the existing credit and risk management policy and proposes to the Board of Directors if any adjustment is required.
- RMC analyses the loan proposals and reviews the financials of the company with the credit policy of the company. Before approving any loan proposal, the Board of Directors considers the legal, economic, social and environmental impact of the projects and prioritizes the projects that are consistent with the mission and vision of the company.
- RMC reviews the risk management paper every month and assesses the Sector-wise, Product-wise and Location-wise loan distribution data as well as stress test data and takes initiatives in the meeting to take necessary actions to ensure lending practices consistent with the existing credit policy.
- RMC also analyses the situation world economy and the perspective of Bangladesh economy

and discusses potential business opportunity and devise strategies to invest in the new or untapped market.

Financial Reporting

BIFFL maintains proper accounting practices in recording transactions. Adequate books of accounts e.g. account statements, loan register etc. are maintained and updated regularly. The financial statements are also prepared following the Bangladesh Financial Reporting Standards (BFRSs) and relevant circulars of the Bangladesh Bank. BIFFL maintains transparency in the conduct of business and protects the confidential information at the same time.

BIFFL regularly reports to Bangladesh Bank following the regulatory requirements and submits the financial reports in due time. Bangladesh Bank and BIFFL Risk Management Committee recommend action plans to concerned department for mitigating identified risk areas and follow-up the implementation of previous recommendations. Some of the major reports are:

Name of the Report	Frequency
Risk Management Report	Monthly
Loan/Lease Reschedule Statement	Monthly
Interest Rate for Deposit & Lending	Quarterly
Loan/Lease Write off Statement	Quarterly
Sector Wise Loan/Lease	Quarterly
CP Reporting	Quarterly
Loan Lease Classification	Quarterly
Recovery of Loan/Lease/Business Activity	Quarterly
NBFI-3	Quarterly
Industrial Loan and Advances	Quarterly
Collateral- Security Database	Quarterly



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STATEMENT ON NON-PERFORMING LOAN (NPL) MANAGEMENT

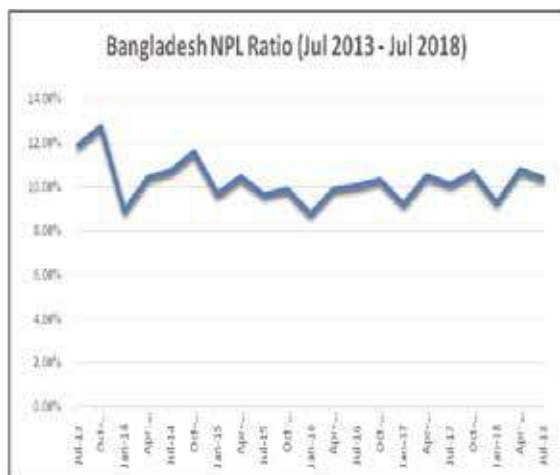
Management of Non-Performing Loan (NPL)

NPL to Total Loan is the single most important ratio which should be kept as low as possible in order to maintain sound health of a financial institution. The following steps are the core building blocks related to the development and implementation of an NPL strategy:

- Assessing the operating environment, including internal NPL capabilities, external conditions impacting NPL workout and capital implications.
- Developing the NPL strategy, including targets in terms of development of operational capabilities (qualitative) and projected NPL reductions (quantitative) over the short, medium and long-term time horizons.
- Implementing the operational plan, including any necessary changes in the organizational structure.
- Fully embedding NPL strategy into the management processes of the organization, also including a regular review and independent monitoring.

Industrial Trend of NPL

Bangladesh's NPL Ratio stood at 10.4 % in Jun 2018, compared to the ratio of 10.8 % in the previous quarter. The ratio reached an all-time high of 28.0 % in Mar 2003 and a record low of 6.1 % in Dec 2011.



The asset of NBFIs increased substantially by 17.82% to BDT84,107 crore in December 2017 which was BDT71,387 crore in December 2016. At the end of June 2018, total assets of NBFIs increased to BDT87,030 crore.

NBFIs are investing in different sectors of the economy, but their investments are mostly concentrated in industrial sector. Among the total investment made by NBFIs 44.2% was in industry sector, 18.18% in real estate, 15.87% in trade and commerce, 3.81% in merchant banking, 2.91% in agriculture, 1.95% in margin loan and remaining 13.08% was in other sectors at the end of June 2018.

In December 2017, all NBFIs' total investment in capital market was BDT2,126 crore which was BDT2,055 crore in December 2016. Investment in capital market accounted for 2.53% of the total assets of all NBFIs. As of 30 June 2018, NBFIs total investment in capital market stood at BDT1,856 crore.

Total deposits of the NBFIs increased to BDT46,798 crore (64.41% of total liabilities) in December 2017 from BDT38,243 crore (63.05% of total liabilities) in December 2016 showing an overall growth of 22.37%. At the end of June 2018, total deposit of NBFIs increased to BDT4,801 crore.

Total liability of the industry increased to BDT72,595 crore in December 2017 from BDT60,646 crore in December 2016 while equity increased to BDT11,512 crore compared with BDT10,744 crore during the same period showing an overall increase in liability by 19.7% and equity by 7.15%. At the end of June 2018, total liability and equity increased to BDT76,204 crore and BDT10,826 crore respectively.

NPL at BIFFL

- BIFFL is engaged in financing Infrastructure Development but tries to lower its NPL ratio as much as possible. Till FY2018 NPL ratio of BIFFL was only 0.03%.
- Relentless effort of all the BIFFL team members including Investment Divisions, Credit Risk

Management Division, Credit Administration and Monitoring and Recovery under close supervision of Executive Director and CEO and effective oversight of the Board of Directors towards keeping NPL at minimum level.

Written Off Loans

In Financial Year 2018, the total amount of NPL at BIFFL was BDT5,126,319.44 which was only 0.03% of the total loan portfolio. BIFFL hasn't written off any loan so far but BIFFL will write-off loans that consistently remain as bad/loss category.

The guidelines established by Bangladesh Bank for CIB reporting, provisioning and write-off of bad and doubtful debts, and suspension of interest should be followed in all cases. These requirements are the minimum, and BIFFL adopts much stringent provisioning/ write-off policies. Regardless of the length of time, once a facility is past due, provisions

is made against the actual and expected losses at the time they are estimated. The approval to take provisions, write-offs or release of provisions/ upgrade of an account is restricted to the Board of Directors based on recommendation from the Recovery Unit.

The RU should determine the Force Sale Value (FSV) for accounts grade 6 or worse. Force Sale Value is generally the amount that is expected to be realized through the liquidation of collateral held as security or through the available operating cash flows of the business, net of any realization costs. Any shortfall of the Force Sale Value compared to total facility outstanding is fully provided for once an account is downgraded to grade 7. Where the customer is not cooperative, no value should be assigned to the operating cash flow in determining FSV.

Following formula is applied in determining the required amount of provision:

1	Gross Outstanding	XXX
2	Less (i) Cash margin held or Fixed Deposits/SP under lien (as per the eligibility criterion)	(XXX)
	(ii) Interest in Suspense Account	(XXX)
3	Facility Value (For which provision is to be created before considering estimated realizable value of other security/ collateral held)	XXX
4	Less: Estimated salvage value of security/collateral held	(XXX)
	Net Facility Value	XXX

Our Strategies to Manage NPL

Firm specific variables are more important in explaining NPL than macroeconomic variables. This indicates bad management is responsible for increase in NPL. BIFFL has always engaged its efforts towards reduction and prudent management of NPL through systematic, proactive and focused approach. BIFFL follows these two steps in controlling NPL flow:

Elaborate Credit Monitoring Policies and procedures: BIFFL's NPL management is governed

by comprehensive Credit Policy and its application in selection in probable borrowers. Underwriting criteria, models, policies and NPL Management procedures are continuously checked and reviewed in comparison to actual performances.

Early Alert System: The main goal of Early Alert system is to identify problematic borrowers for immediate attention and remediation, with the goal of preventing those loans to become NPL. It provides scopes for taking precautions before making any loan a bad loan.



NPL Management Strategy

Incentive Program for NPL Recovery

BIFFL introduces incentive programme to encourage Recovery Unit to bring down the Non-Performing Loans (NPLs). The table below shows an indicative incentive plan for RU:

Recovery as a % of principal plus interest	Recommended incentive as % of net recovery amount	
	If CRG 7-8	if written off
76% to 100%	1.00%	2.00%
51% to 75%	0.50%	1.00%
20% to 50%	0.25%	0.50%

Special Asset Management Division

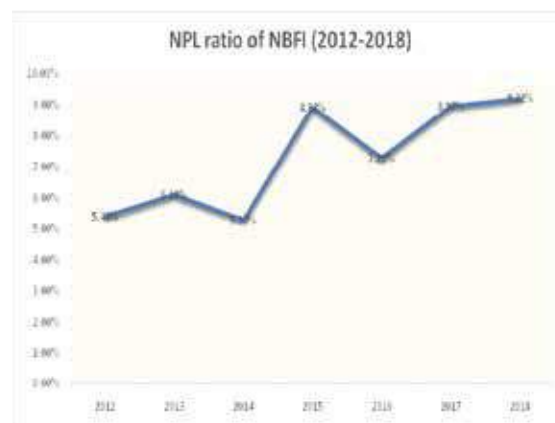
Special Asset Management Division (SAMD) started its activities from 2017 for better functional & continual process of up gradation and to robustly initiate the recovery activities of the Organization. The whole Division is restructured and recognized for ensuring a better recovery. The main job of the division is devoted to reduction and/or adjustment of NPLs and for better management of classified liabilities adopting advanced, specialized tools and mechanism including initiating legal procedures to arrest deterioration of assets and speed up recovery of writing-off investment. The division also processes all the related issues like negotiations for settlement outside of Court, Writing-off and Rescheduling for better result of reducing the classified investments.

Recovery of Classified and Written Off Loans

Industry Overview and Current Position of BIFFL

Effective flow of investment and savings culture is the precondition of the economic development of any country. As a developing country, Bangladesh faces several obstacles such as increasing trend of NPL as well as underdeveloped capital market which mostly depend on the mobilization of the savings and granting credit facilities to the investors by the commercial banks. It is known to all that NPL shrinks the profitability of NBFIs. NBFIs do not earn interest income from the classified loans. NPL decreases the loanable fund of the NBFIs and it stops the recycling of lending business. Every NBFI always tries to maintain good quality of the assets but in some cases, it is not possible. There are several reasons for the classification of loan.

Presently, there are 34 NBFIs operating in Bangladesh. Among these, 2 are fully government owned, 12 are joint ventures with foreign participation, and the rest 19 are locally private owned companies. At the end of June 2018, the NPL for NBFIs was 9.22%. In the total asset composition of all NBFIs, the concentration of loans, lease and advances was 74.34%.



BIFFL has only 0.03% of classified loan at the end of the FY 2018. Through the concerted effort of all the team members of BIFFL, no loan has been written off so far and BIFFL is working continuously for reduction of classified loans.

Goals regarding NPL Management in 2019

- Monitoring more cautiously for minimizing NPL.
- Improved supervision system for timely repayment and awareness of the clients.

Strategies and Policies in Action

The division successfully kept its NPL to 0.03% in 2018 and shows the level of efficiency in portfolio management and successful drive towards reduction and recovery of NPLs and total cash recovery against Classified investment to satisfactory level. The division is expected to achieve a better position through concerted efforts in reducing the classified investment in the year 2018. The major strategies and policies are:

- Arrangement of regular meetings with panel lawyers to speed up legal process.
- Running recovery campaign from time to time.



Strategic Outlook in 2019

- Take Initiatives for collecting fund from classified loans.
- Monitor closely of all active loan accounts properly.
- Emphasize to settle the accounts under litigation outside the court with the help of legal department.
- Engage of separate team for NPL Management.
- Emphasize on primary screening of probable borrowers.

“অসৎ পথে অর্থ মেলে
শান্তি পাওয়া যায় না
কেউ কখনও অসৎ লোকের
সঙ্গী হতে চায় না।”

- ছড়াকার ফেরদৌস চৌধুরী



STATEMENT ON CORPORATE GOVERNANCE

Corporate Governance is the system/practice by which a Company is directed, controlled and managed. This is done through a collection of procedures that are aligned with recognized standards that respond to the interests of shareholders and other stakeholders. It ensures fairness, transparency and accountability in the corporate sector and safeguards the interest of all stakeholders.

BIFFL is committed to establish its corporate governance framework by adopting, reviewing and complying with all the policies and practices to ensure a balanced corporate environment within the organization with maximum accountability and transparency. The approach to governance is predicated on the belief that there is a link between high-quality governance and the creation of long-term stakeholder value. In pursuing the corporate objectives, we have committed to the highest level of governance and strive to foster a culture that values and rewards exemplary ethical standards, personal and corporate integrity and mutual respect.

The Board is committed to reviewing and improving our systems to provide transparency and accountability and initiate transformational changes whenever necessary to ensure that the best practices are maintained and enhanced according to the principles of corporate governance.

We continually review our systems and procedures to provide transparency and accountability and update our corporate governance policies to keep in line with the stipulated guidelines.

BIFFL has incorporated in its governance framework the guidelines prescribed in the Code of Best Practice on Corporate Governance issued by the Bangladesh Securities and Exchange Commission (BSEC) and the Bangladesh Bank on Corporate Governance for Financial Institutions in Bangladesh. The extent of compliance by BIFFL for the year ended 31st December 2018 with the above rules and directive principles and best practices are given in:

Annexure-I

The Code of the best Practice on Corporate Governance issued by the Bangladesh Securities and Exchange Commission (BSEC) vide notification no. BSEC/CMRRCD/2006-158/207/Admin/80, dated 3 June 2018.

Annexure-II

BIFFL's level of compliance with the requirement of the Bangladesh Bank circular DFIM Circular No. 07, dated 25 September 2007.

Corporate Governance Framework

Good Corporate Governance practices are not just a matter for the Board but are at the heart of everything that we do within the Company. BIFFL operates within a comprehensive governance framework, which is outlined below:

- composition of the Board with 9 Directors including an ex-officio Executive Director & CEO. Among the Board members, eight members are senior government officials and the appointment of Independent Director is in the process;
- constitution of the Board Audit Committee and Board Executive Committee;
- formation of Risk Management Forum and Risk Analysis Unit;
- formation of different units to strengthen the process of business operation through segregation of duties;
- adoption of the Finance and Accounts Manual and Treasury Policy;
- adoption of the Human Resource Policy;
- revision of the Credit Policy;
- approval of Environmental and Social Monitoring Framework following guidelines of Bangladesh Bank;
- approval of ICT Policy;
- approval of ALM Policy;
- approval of Anti-Money Laundering Policy;

- approval of Green Banking Policy and Green Office Guide;
- approval of ICC Policy and ICC Systems Guidelines- Policy and Procedure;
- strengthening the process of identification, recording and disclosure of related party transactions; and
- expansion of geographical presence.

(i) Board and Board Committees

Board of Directors

The Board of Directors is the highest authority of BIFFL. The existing Board comprises of 8 non-executive directors and a full time Executive Director & CEO. The Board is collectively responsible for governance which includes setting out the Company's strategic aims, providing the necessary leadership to implement such aims, supervising the management and reporting to shareholders on their stewardship. The Board is also responsible to the shareholders for the overall management and performance of the Company.

In 2018, a total of 12 Board meetings were held with more than 80% attendance of the members.

Executive Committee (EC)

Matters related to ordinary business operations of the Company and those the Board authorizes from time to time are vested on the EC consisting of five members. The Committee ensures proper and timely implementation of policies and guidelines through the management.

In 2018, a total of 11 EC meetings were held with more than 90% attendance of the members.

Audit Committee (AC)

The AC consists of 3 members and is responsible to examine any matter relating to the financial affairs of the Company and to review all audit and inspection reports, internal control systems and procedures, accounting policies and adherence to compliance requirements, among others. The AC reviews the audited financial statements with management and the external auditors to ensure that the Company's financial statements are fairly presented in conformity with the relevant BFRSs and BASs in all material aspects, based on its review and discussions with management and the external auditors. The Committee also performs an annual assessment of the effectiveness of the Company's internal audit functions and ensures that internal audit has adequate resources to fulfill its mandate. It is also responsible for approving certain policies in accordance with regulatory requirements. The Committee also monitors Company's risk profile, including risk trends and concentrations.

In 2018, a total of 4 meetings of the AC were held with more than 90% presence of the members.

(ii) Management Committees

Management Committee (MANCOM)

The MANCOM is responsible for all aspects of day to day operations in line with the various policies and guidelines adopted by the Board. The committee is also responsible to implement all the decisions made by the Board. The MANCOM comprises:

Mr. S.M. Formanul Islam , Executive Director & CEO	Chairman
Mr. Md. Sagir Hossain Khan , Chief Operating Officer (COO)	Member
Mr. Mohammad Khan FCS, Company Secretary & Head of CCU	Member
Ms. Mashruna A. Chowdhury FCA, Chief Financial Officer (CFO)	Member
Mr. Tanvir Warsi , Unit Head, Financial Relations	Member
Mr. Md. Sheikh Anower Sadat , Head of Project Finance	Member
Mr. Md. Mizanur Rahman , Head of Credit Risk Management	Member
Mr. Md. Nisarul Kabir Siddiqui , Head of Treasury	Member
Mr. Mohabul Alam , Unit Head, IT & MIS	Member
Mr. Md. Abdul Aziz , Unit Head, Sustainable Finance	Member
Ms. Lamia Hossain , Unit Head, Green Construction Materials	Member Secretary

Generally, the Committee sits once each week to make decisions and supervise the regular functions and operations of the organization. In 2018, a total of 40 meetings were held with the presence of most of the members.

Credit Risk Management (CRM) Committee

The CRM Committee evaluates all projects/proposals of financing activities of the Company from the risk point of view. Headed by the CEO, the committee consists of the following members:

Mr. S.M. Formanul Islam , Executive Director & CEO	Chairman
Mr. Md. Sagir Hossain Khan , Chief Operating Officer (COO)	Member
Mr. Tanvir Warsi , Unit Head, Financial Relations	Member
Mr. Sheikh Anower Sadat , Head of Project Finance	Member
Mr. Mohabul Alam , Unit Head, IT & MIS	Member
Mr. Sujit Basak , Unit Head, ICC	Member
Ms. Rajia Sultana , Unit Head, WEDU	Member
Mr. Md. Abdul Aziz , Unit Head, Sustainable Finance	Member
Mr. Mokabbir Sarkar , Unit Head, Legal Affairs	Member
Mr. Md. Mizanur Rahman , Head of Credit Risk Management	Member Secretary

The functions of the CRM Committee are as under:

- responsible for the implementation of the credit risk policy/ strategy approved by the Board;
- monitor credit risk and ensure compliance with limits approved by the Board;
- recommend to the Board, for its approval, clear policies on standards for presentation of credit proposals, financial covenants, rating standards and benchmarks;
- take decisions in terms of capital allocation and defining limits in line with the risk strategy;
- decide delegation of credit approving powers, prudential limits on large credit exposures, standards for facility collateral, portfolio management, facility review mechanism, risk concentrations, risk monitoring and evaluation, pricing of facilities, provisioning, regulatory/legal compliance, etc.;
- lay down risk assessment systems, develop MIS,

monitor quality of facility/investment portfolio, identify problems, rectify deficiencies and undertake facility review/audit; and

- undertake portfolio evaluations and conduct comprehensive studies on the risk management environment.

Asset Liability Management Committee (ALCO)

In order to manage the balance sheet risk specially for mitigating liquidity and interest rate risks and to assist the MANCOM in decision-making process, BIFFL management formed an ALCO. The committee is also responsible for creating an optimal structure of the Company's balance sheet to provide the maximum profitability, limiting the possible risk level, monitoring the capital adequacy and risk diversification. The ALCO convenes periodical meeting and regularly reviews the decisions of the meeting. The members of the ALCO are:

Mr. S.M. Formanul Islam , Executive Director & CEO	Chairman
Mr. Md. Sagir Hossain Khan , Chief Operating Officer (COO)	Member
Ms. Mashruna A. Chowdhury FCA, Chief Financial Officer (CFO)	Member
Mr. Tanvir Warsi , Unit Head, Financial Relations	Member
Mr. Md. Sheikh Anower Sadat , Head of Project Finance	Member
Mr. Md. Mizanur Rahman , Head of Credit Risk management	Member
Mr. Md. Nisarul Kabir Siddiqui , Head of Treasury	Member
Mr. Md. Abdul Aziz , Unit Head, Sustainable Finance	Member
Ms. Rajia Sultana , Unit Head, WEDU	Member
Ms. Rabeya Rahman , Unit Head, Money Market Operation	Member Secretary

Risk Management Forum (RMF)

The RMF was formed in accordance with the Bangladesh Bank's DFIM Circular no. 01 dated April 07, 2013 to introduce proactive risk management procedures in line with the international best practices. The RMF:

- reviews management's plans for mitigation of the material risks faced by BIFFL, evaluating their potential impact and implementing appropriate strategies to manage those risks;
- promotes awareness of a risk-based culture and achievement of a balance between risk minimization and reward for mitigation of risks;
- reviews the sufficiency of personnel, systems, procedures and other risk management issues; and
- reviews and assess the integrity and adequacy of the risk management function, including process and organizational structure.

The forum consists of the following members:

Mr. Md. Sagir Hossain Khan , Chief Operating Officer (COO)	Convener
Mr. Mohammad Khan FCS, Company Secretary & Head of CCU	Member
Ms. Mashruna A. Chowdhury FCA, Chief Financial Officer (CFO)	Member
Mr. Md. Nisarul Kabir Siddiqui , Head of Treasury	Member
Mr. Mohabul Alam , Unit Head, IT & MIS	Member
Mr. Sujit Basak , Unit Head, ICC	Member Secretary

Risk Analysis Unit (RAU)

Concurrent with the formation of the RMF, the BIFFL's RAU was formed to act as the secretariat of the Risk Management Forum with the responsibility for identifying and analyzing various types of risks appropriately and in a timely manner. The RAU comprises:

Mr. Sheikh Anower Sadat , Head of Project Finance	Convener
Mr. Tanvir Warsi , Unit Head, Financial Relations	Member
Mr. Md. Abdul Aziz , Unit Head, Sustainable Finance	Member
Muhammed Shahjahan , Unit Head, HR & Administration	Member
Ms. Mehnaz Hossain , Unit Head, Reporting (CRM)	Member
Mr. Mokabbir Sarkar , Unit Head, Legal Affairs	Member
Mr. Md. Mizanur Rahman , Head of Credit Risk Management	Member Secretary

Central Compliance Unit (CCU)

Pursuant to the directions and guidelines of the "Guidance Notes on Prevention of Money Laundering and Terrorist Financing" issued by Bangladesh Financial Intelligence Unit, Bangladesh Bank, BIFFL formed the CCU. The unit is responsible to monitor, supervise and follow up the entire compliance issues of the organizations including the compliance with Anti-Money Laundering (AML) and Combating Financing of Terrorism (CFT) under the policy on AML, as approved by the Board. The CCU comprises:

Mr. Mohammad Khan FCS, Company Secretary	Head of CCU & CAMLCO
Mr. Md. Mizanur Rahman , Head of Credit Risk Management	Member
Mr. Mohabul Alam , Unit Head, IT & MIS	Member
Mr. Mokabbir Sarkar , Unit Head, Legal Affairs	Member
Mr. Sujit Basak , Unit Head, ICC	DCAMLCO & Member Secretary

Integrity and Ethics Committee

BIFFL formed Integrity and Ethics Committee as per the directions and guidelines of Bangladesh Bank to abide by the code of integrity and good governance in line with National Integrity Strategy of Bangladesh. The committee is responsible for development of the integrity and ethical standard among the employees of the organization. The committee comprises:

Mr. Md. Sagir Hossain Khan , Chief Operating Officer (COO)	Chairman
Mr. Mohammad Khan FCS, Company Secretary & Head of CCU	Focal Point
Ms. Mashruna A. Chowdhury FCA, Chief Financial Officer (CFO)	Member
Mr. Mohabul Alam , Unit Head, IT & MIS	Member
Muhammed Shahjahan , Unit Head, HR & Administration	Member
Mr. Sujit Basak , Unit Head, ICC	Member Secretary

Sustainable Finance Committee

Pursuant to the directions of SFD Circular no. 02, dated 01 December 2016 issued by Bangladesh Bank, BIFFL formed the Sustainable Finance Committee. The committee is responsible for supervising the activities of SFU of BIFFL. The committee formed as follows:

Mr. Md. Sagir Hossain Khan , Chief Operating Officer (COO)	Chairman
Mr. Mohammad Khan FCS, Company Secretary & Head of CCU	Member
Ms. Mashruna A. Chowdhury FCA, Chief Financial Officer (CFO)	Member
Mr. Sheikh Anower Sadat , Head of Project Finance	Member
Mr. Md. Mizanur Rahman , Head of Credit Risk Management	Member
Mr. Mohabul Alam , Unit Head, IT & MIS	Member
Mr. Sujit Basak , Unit Head, ICC	Member
Ms. Rajia Sultana , Unit Head, WEDU	Member
Mr. Md. Abdul Aziz , Unit Head, Sustainable Finance	Member Secretary

Annexure-I



CORPORATE GOVERNANCE COMPLIANCE REPORT ON BSEC'S NOTIFICATION

Status of compliance with the conditions imposed by the Securities and Exchange Commission's notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 3 June 2018 issued under section 2CC of the Securities and Exchange Ordinance 1969. The status report on compliance with those conditions is furnished below:

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1	Board of Directors			
1.1	Size of the Board of Directors:	✓		
1.2	Independent Directors:			Appointment of Independent Director is under process
1.2(a)	At least one fifth (1/5) of the total number of directors	-	-	"
1.2(b)(i)	Does not hold any share or holds less than 1% share of the total paid-up shares	-	-	"
1.2(b)(ii)	Not connected with any sponsor/director/shareholder who holds 1% or more shares of the total paid-up shares on the basis of family relationship	-	-	"
1.2(b)(iii)	Not been an executive of the company in immediately preceding 2 (two) financial years	-	-	"
1.2(b)(iv)	Does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary/associated companies	-	-	"
1.2(b)(iv)	Not a member, director or officer of any stock exchange	-	-	"
1.2(b)(vi)	Not a shareholder, director or officer of any member of stock exchange or an intermediary of the capital market	-	-	"
1.2(b)(vii)	Not a partner or an executive or was not a partner or an executive during the preceding 3 (three) years of any statutory audit firm	-	-	"
1.2(b)(viii)	Not be an independent director in more than 5 (five) listed companies	-	-	"
1.2(b)(ix)	Not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan to a bank or a NBFI	-	-	"
1.2(b)(x)	Not been convicted for a criminal offence involving moral turpitude	-	-	"
1.2(c)	Appointed by the Board and approved by the shareholders in the AGM	-	-	"
1.2(d)	Not remain vacant for more than 90 (ninety) days	-	-	"
1.2(e)	Tenure of office of an independent director shall be for a period of 3 (three) years, which may be extended for 1 (one) term only	-	-	"
1.3	Qualification of Independent Directors:			Not applicable yet
1.3(a)	Knowledge of Independent Directors	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.3(b)	Qualifications of Independent Director:			
1.3(b)(i)	Who is or was a promoter or Director of an unlisted company or any listed company or a member of any national or international chamber of commerce or business association	-	-	"
1.3(b)(ii)	Who is or was a top level executive not lower than CEO or MD or DMD or CFO or Head of F&A or CS or Head of IAC or Head of Legal of an unlisted company	-	-	"
1.3(b)(iii)	Former official of govt. or statutory or autonomous or regulatory body in the position not below 5 th Grade of national pay scale having at least educational background of bachelor degree in Economics or Commerce or Business or Law	-	-	"
1.3(b)(iv)	University teacher who has educational background in Economics or Commerce or Business Studies or Law	-	-	"
1.3(b)(v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a CA or a CMA or a CFA or a CCA or CPA or CMA or CS or equivalent qualification	-	-	"
1.3(c)	Shall have at least 10 (ten) years of experience in any field mentioned in clause (b)	-	-	"
1.3(d)	The qualifications or experiences in clause (b) may be relaxed subject to prior approval of the commission	-	-	"
1.4	Quality of Chairperson of the Board of Directors and Managing Director or CEO:			
1.4(a)	The position of Chairperson of the Board of Directors and the MD or CEO of the company shall be filled by different individuals	✓		
1.4(b)	The MD or CEO of a listed company shall not hold the same position in another listed company	✓		
1.4(c)	The Chairperson of the Board shall be elected from among non-executive directors of the company	✓		
1.4(d)	The roles and responsibilities of the Chairperson and MD or CEO shall be clearly defined by the Board	✓		
1.4(e)	In the absence of Chairman, the remaining members may select one of themselves from non-executive directors as Chairperson for the particular Board meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	✓		
1.5	The Directors Report to Shareholders:			
1.5(i)	Industry outlook and possible future developments in the industry	✓		
1.5(ii)	Segment-wise or product-wise performance	✓		
1.5(iii)	Risks and concerns	✓		
1.5(iv)	Discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin	-	-	Not applicable yet
1.5(v)	Discussion on continuity of any extra-ordinary gain or loss	✓		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.5(vi)	Discussion on related party transactions along with a statement	✓		
1.5(vii)	Utilization of proceeds from public issues, rights issues and/or through any others	-	-	Not applicable yet
1.5(viii)	Explanation if the financial results deteriorate after the company goes for IPO, RPO, Rights Offer, Direct Listing	-	-	Not applicable yet
1.5(ix)	Explanation on any significant variance occurs between Quarterly Financial performance and Annual Financial Statements	-	-	No such event occurred
1.5(x)	Remuneration to directors including independent directors	✓		
1.5(xi)	Fairness of Financial Statements	✓		
1.5(xii)	Proper books of accounts maintained	✓		
1.5(xiii)	Application of appropriate accounting policies and estimates	✓		
1.5(xiv)	Followed IAS/BAS/IFRS and BFRS in preparation financial statements	✓		
1.5(xv)	The system of internal control sound in design & effectively implemented & monitored	✓		
1.5(xvi)	Minority shareholders have been protected from abusive actions	✓		
1.5(xvii)	No significant doubt upon its ability to continue as a going concern	✓		
1.5(xviii)	Reporting of significant deviations from the last year's in operating results	✓		
1.5(xix)	Key operating and financial data of at least preceding 5 (five) years	✓		
1.5(xx)	Reasons of not declared dividend	✓		
1.5(xxi)	Statement that no bonus share or stock dividend declared as interim dividend	-	-	No such event occurred
1.5(xxii)	Total number of board meeting held & attendance reporting	✓		
1.5(xxiii)(a)	Parent/Subsidiary/Associated Companies and other related parties	-	-	No such relationship
1.5(xxiii)(b)	Directors, CEO, CS, CFO, HIA and their spouses and minor children	✓		
1.5(xxiii)(c)	Executives	✓		
1.5(xxiii)(d)	10% or more voting interest	-	-	Not applicable yet
1.5(xxiv)(a)	Brief resume of the Director	✓		
1.5(xxiv)(b)	His/her expertise in functional areas	✓		
1.5(xxiv)(c)	Companies in which the person holds the directorship and the membership of committees of the Board	✓		
1.5(xxv)	Management's discussion and analysis signed by CEO or MD on company's position and operations	✓		
1.5(xxv)(a)	Accounting policies and estimation	✓		
1.5(xxv)(b)	Changes in accounting policies and estimation, if any	✓		
1.5(xxv)(c)	Comparative analysis	✓		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.5(xxv)(d)	Compare financial performance and position with peer industry	✓		
1.5(xxv)(e)	Explain the financial and economic scenario	✓		
1.5(xxv)(f)	Risks and concern to the financial statement and the mitigation plan	✓		
1.5(xxv)(g)	Future plan or projection or forecast for company's operation, performance and financial position	✓		
1.5(xxvi)	Certification by the CEO and the CFO to the Board under condition no. 3(3)	✓		
1.5(xxvii)	The report and certificate for compliance of conditions of this Code as required under condition no. 9	✓		
1.6	Meeting of the Board of Directors: Conduct its Board meetings and records the minutes of the meetings	✓		
1.7	Code of Conduct for the Chairperson, other Board members and CEO:			
1.7(a)	Lay down a code of conduct, based on the recommendation of the NRC at condition no. 6	✓		BIFFL adopted code of conduct as circulated by BB
1.7(b)	The Code of Conduct shall be posted on the website	✓		
2	Governance of Board of Directors of Subsidiary Company			BIFFL has no subsidiary yet
2(a)	Composition of the Board of Directors	-	-	"
2(b)	At least 1 (one) independent director to the subsidiary company	-	-	"
2(c)	Submission of Minutes to the holding company	-	-	"
2(d)	Review of Minutes by the holding company	-	-	"
2(e)	Review of Financial Statement by the holding company	-	-	"
3	Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HOIC) and Company Secretary (CS)			
3.1	Appointment:			
3.1(a)	Board shall appointment MD or CEO, CS, CFO, and HIAC	✓		
3.1(b)	Position of MD or CEO, CS, CFO, and HIAC shall be filled by different individuals	✓		
3.1(c)	MD or CEO, CS, CFO, and HIAC shall not hold any executive position in any other company	✓		
3.1(d)	Board shall clearly define roles, responsibilities and duties of CS, CFO, and HIAC shall be filled by different individuals	✓		
3.1(e)	MD or CEO, CS, CFO, and HIAC shall not be removed from their position without approval of the Board	✓		
3.2	Requirement to attend Board of Director's Meetings: The MD or CEO, CS, CFO, and HIAC shall attend the meetings of the Board	✓		
3.3	Duties of Managing Director (MD) or Chief Executive Director (CEO) and Chief Financial Officer (CFO):			

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
3.3(a)	MD or CEO and CFO shall certify to the Board that they have reviewed financial statements	✓		
3.3(a)(i)	The statements do not contain any materially untrue statement that might be misleading	✓		
3.3(a)(ii)	The statement present a true and fair view of the company's affairs and compliance with existing standards and laws	✓		
3.3(b)	Certify that no transactions entered into which are fraudulent, illegal or violation of the code of conduct for the Company's Board	✓		
3.3(c)	The certification shall be disclosed in the annual report	✓		
4	Board of Director's Committee			
4(i)	Audit Committee (AC)	✓		
4(ii)	Nomination and Remuneration Committee (NRC)	-	-	Formation of NRC is under process
5	Audit Committee			
5.1	Responsibility to the Board of Directors:			
5.1(a)	Have an Audit Committee as a sub-committee of the Board	✓		
5.1(b)	Assist the Board in ensuring true and fair view of the state of affairs and monitoring system	✓		
5.1(c)	Audit Committee shall be responsible to the Board	✓		
5.2	Constitution of Audit Committee:	✓		
5.2(a)	At least 3 (three) members	✓		
5.2(b)	Appointment of members of the Audit Committee	✓		
5.2(c)	Qualification of Audit Committee members	✓		
5.2(d)	Term of service of Audit Committee members	✓		
5.2(e)	Secretary of the Audit Committee	✓		
5.2(f)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	✓		
5.3	Chairperson of the Audit Committee:			
5.3(a)	Board shall select the Chairperson of the AC, who shall be an Independent Director	-	-	No Independent Director yet
5.3(b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting for quorum as required under condition no. 5.4 (b) but the reason of absence of the regular chairperson shall be duly recorded in the minutes	✓		
5.3(c)	Chairperson of the Audit Committee shall remain present in the AGM	✓		
5.4	Meeting of the Audit Committee:			
5.4(a)	At least 4 (four) meeting in a financial year	✓		
5.4(b)	Quorum of the meeting of the AC	✓		
5.5	Role of Audit Committee:	✓		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
5.5(a)	Oversee the financial reporting process	✓		
5.5(b)	Monitor choice of accounting policies and principles	✓		
5.5(c)	Monitor Internal Audit and Compliance process	✓		
5.5(d)	Oversee hiring and performance of external auditors	✓		
5.5(e)	Hold meeting with the external or statutory auditors for review of the financial statements	✓		
5.5(f)	Review the annual financial statements before submission to the Board for approval	✓		
5.5(g)	Review the quarterly and half yearly financial statements before submission to the Board for approval	✓		
5.5(h)	Review the adequacy of internal audit function	✓		
5.5(i)	Review of Management's discussion and analysis	✓		
5.5(j)	Review statement of all related party transactions	✓		
5.5(k)	Review Management Letters/ Letter of Internal Control weakness issued by statutory auditors	✓		
5.5(l)	Oversee the determination of audit fees based on scope and magnitude	✓		
5.5(m)	Disclosure to the AC about the uses/applications of funds raised by IPO/RPO/Right issue	-	-	Not applicable yet
5.6	Reporting of the Audit Committee:			
5.6(a)	Reporting to the Board of Directors:			
5.6(a)(i)	Report on activities of Audit Committee to the Board	✓		
5.6(a)(ii)	Immediately report to the Board:			
5.6(a)(ii)(a)	Conflicts of interest	✓		
5.6(a)(ii)(b)	Material defect identified in the internal audit and compliance process	✓		
5.6(a)(ii)(c)	Infringement of laws, rules and regulations	✓		
5.6(a)(ii)(d)	Any other matter which deems necessary to be disclosed	✓		
5.6(b)	Reporting to the Authorities	✓		
5.7	Reporting to the Shareholders & General Investors:	✓		
6	Nomination and Remuneration Committee (NRC)			Appointment of Independent Director is under process
6.1	Responsibility to the Board of Directors:			
6.1(a)	Have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board	-	-	"
6.1(b)	The NRC shall assist the Board	-	-	"
6.1(c)	The ToR of the NRC in writing as stated at the condition no. 6 (5) (b)	-	-	"
6.2	Constitution of the NRC:			
6.2(a)	At least 3 (three) members	-	-	"
6.2(b)	All members are non-executive directors	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
6.2(c)	Members of the committee are nominated and appointed by the Board	-	-	"
6.2(d)	Board have the authority to remove and appoint any members	-	-	"
6.2(e)	Fill the vacancy for death, resignation, disqualification or removal	-	-	"
6.2(f)	Appoint or co-opt any external expert as advisor	-	-	"
6.2(g)	Secretary of the Committee	-	-	"
6.2(h)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	-	-	"
6.2(i)	No remuneration other than Director's fee	-	-	"
6.3	Chairperson of the NRC:			
6.3(a)	Board shall select the Chairperson of the committee, who shall be an Independent Director	-	-	"
6.3(b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	-	-	"
6.3(c)	Chairperson of the Audit Committee shall remain present in the AGM	-	-	"
6.4	Meeting of the NRC:			
6.4(a)	At least 1 (one) meeting in a financial year	-	-	"
6.4(b)	Convene emergency meeting	-	-	"
6.4(c)	Quorum of the meeting	-	-	"
6.4(d)	The proceedings of each meeting be recorded in the minutes	-	-	"
6.5	Role of the NRC:			
6.5(a)	Be independent and responsible to the Board	-	-	"
6.5(b)	Oversee and make report with recommendations	-	-	"
6.5(b)(i)	Formulating policy for remuneration of the Directors and top level executive	-	-	"
6.5(b)(i)(a)	The level and composition of remuneration	-	-	"
6.5(b)(i)(b)	The relationship of remuneration to performance	-	-	"
6.5(b)(i)(c)	Remuneration involves a balance between fixed and incentive pay	-	-	"
6.5(b)(ii)	Policy on Board's diversity	-	-	"
6.5(b)(iii)	Identifying process for qualification of Directors and top level executive	-	-	"
6.5(b)(iv)	Criteria for evaluation of performance of ID	-	-	"
6.5(b)(v)	Identifying the company's needs for employees and determine the employment process	-	-	"
6.5(b)(vi)	Developing, recommending and reviewing the company's human resource and training policies	-	-	"
6.5(c)	Disclose the nomination and remuneration policy and the activities of NRC in its annual report	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
7	External/Statutory Auditors			
7.1	Shall not engage external/statutory:			
7.1(i)	Appraisal or valuation services or fairness opinions	✓		
7.1(ii)	Financial information systems design and implementation	✓		
7.1(iii)	Book-keeping	✓		
7.1(iv)	Broker-dealer services	✓		
7.1(v)	Actuarial services	✓		
7.1(vi)	Internal audit services	✓		
7.1(vii)	Services that the Audit Committee determines	✓		
7.1(viii)	Audit services on compliance of corporate governance under condition no. 9(1)	✓		
7.1(ix)	Other services that creates conflict of interest	✓		
7.2	Audit firms shall not hold any share of the company they audit	✓		
7.3	Audit firm shall not certify on compliance of corporate governance	✓		
8	Maintaining a website by the Company			
8.1	Have an official website	✓		
8.2	Keep the website functional	✓		
8.3	Available the detailed disclosures on its website	✓		
9	Reporting and Compliance of Corporate Governance			
9.1	Obtain certificate regarding compliance of conditions of Corporate Governance Guidelines	-	-	Not applicable yet
9.2	The professional for the certificate appointed by the shareholders in the AGM	-	-	Not applicable yet
9.3	Annexure-C attached, in the directors' report whether the company has complied these conditions or not	✓		

Annexure-II



COMPLIANCE WITH THE REQUIREMENTS OF BANGLADESH BANK

Bangladesh Bank requires the Financial Institutions to comply with the guidelines on Corporate Governance as per the DFIM Circular no. 7 dated 25 September 2007 taken appropriate steps to comply with the guidelines and implemented the same. Status report on compliance with those guidelines is given below:

Condition no.	Particulars	Complied status (put ✓ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
01	Responsibilities and Authorities of Board of Directors The responsibilities of the Board of Directors are mainly related to and developing strategy. Those are as:			
	A. Work Planning and Strategic Management			
	i. The Board shall determine the vision/ mission of the Company. Board shall also determine the strategy and work plan for enhancement of institutional efficiency and other policy matters on annual basis. The Board shall make necessary amendments on the strategy on quarterly basis.	✓		
	ii. The Board shall have its analytical review to be incorporated in the Annual Report as regard to the success or failure in achieving the target as set out in the annual work plan and inform the same to the shareholders in the Annual General Meeting (AGM).	✓		
	iii. The Board shall determine the Key Performance Indicators for chief executive along with other top-level executives and re-assess on half yearly basis.	✓		
	B. Formation of Sub-committee			
	For making timely decision, Executive Committee and Audit Committee can be formed. No alternative director shall be included in this committee.	✓		
	C. Financial Management			
	i. Annual budget and statutory financial reports shall be authorized by the Board of Directors.	✓		
	ii. The Board shall review company's statement of income and expense, statement of loan/lease, liquidity requirement, capital adequacy of provision, action taken for legal cases and recovery of default loan.	✓		
	iii. The Board shall approve the procurement policy and shall accordingly approve the delegation of power for making such expenditure. The maximum delegation of power shall rest on the CEO and top management. However, decision relating to purchase of land, building, and vehicle shall remain with the Board.	✓		
	iv. Bank account of the Company shall be operated by a group constituted from amongst the Management which must be approved by the Board and having dual signatures (As amended through circular number 09, dated October 08, 2007).	✓		

Condition no.	Particulars	Complied status (put ✓ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
	i. The policies, strategies, procedures etc. in respect of loan appraisal of loan/ lease/investment proposal sanction, disbursement, recovery, rescheduling, and write-off shall be made with the Board's approval under the purview of the existing laws, rules and regulations. The Board shall specifically delegate the power of sanction of loan/lease/ investment and such delegate should desirably be made among the CEO and other top management of the company.	✓		
	ii. No Director shall interfere directly or indirectly in the process of loan approval.	✓		
	iii. Core Risk Management Guidelines shall be approved by the Board of Directors of the Company.	✓		
	E. Risk Management			
	Approval shall be taken from Board of Directors for syndicate loan/ lease/investment and large loan, lease or investment.	✓		
	F. Internal Control & Compliance			
	Audit Committee shall be formed for effective implementation of an integrated internal control system of the Company and for keeping loan/lease/investment quality at a desired level. Board Audit Committee shall review the report provided by the Internal Control & Compliance Department, the external auditor and the Bangladesh Bank shall make comments thereon.	✓		
	G. Human Resources Management (HRM)			
	Polices relating to recruitment, promotion, transfer disciplinary and punitive measures, HR development etc. and service rule shall be framed and approved by the Board. The Chairman or the Board shall no way involve themselves or influence over any administrative affairs including recruitment, promotion, transfer and disciplinary measures as executed under the service rules. No member of the Board shall be included in the selection committees for recruitment and promotion of different levels except the position MD, DMD and GM or equivalent.	✓		
	H. Appointment of Managing Director and Increase of Salaries & Allowances			
	Board of Director shall appoint a competent Managing Director with approval of the Bangladesh Bank. Board shall approve any increment of salaries and allowance of the Managing Director.	✓		
	I. Benefit to the Chairman			
	Chairman may be offered an office room, a personal secretary, a telephone at the office, a vehicle in the business-interest of the company subject to the approval of the Board.	✓		
02	Responsibilities and Duties of Chairman			
	i. Chairman shall not personally possess the jurisdiction to apply policy making or executive or operational and routine affairs of the Company.	✓		
	ii. The Minutes of the Board meetings shall be signed by the Chairman.	✓		
	iii. Chairman shall sign-off the personal for appointment of Managing Director and revision of his salaries & allowances.	✓		

Condition no.	Particulars	Complied status (put ✓ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
03	Responsibilities of Managing Director The Managing Director or Chief Executive officer of the company or whatsoever be called, shall work under the following area:			
	i. Managing Director shall discharge his responsibilities on matters relating to financial, business and administration vested by the Board upon him. He is also accountable for achievement of financial and other business targets by means of business plan, efficient implementation of administration and financial management.	✓		
	ii. Managing Director shall ensure compliance of Financial Institution Act 1993 and other relevant circulars of Bangladesh Bank and other regulatory authorities.	✓		
	iii. All recruitment /promotion /training, except recruitment/ promotion/ training of DMG & GM (as equivalent to EVP) shall be vested upon the Managing Director. He shall act such in accordance with the approve HR policy of the Company.	✓		
	iv. Managing Director may re-schedule job responsibilities of employees.	✓		
	v. Managing Director shall sign all the letters/statements/ relating to compliance of policies and guidelines. However, Departmental/ unit heads may sign daily letters/ statements as set out in DFIM circular no.2 dated 06 January 2009 if so authorized.	✓		



ETHICS AND COMPLIANCE

BIFFL pays close attention to the moral concerns in order to make the right ethical practice on a day-to-day basis over and above observing the law, as one of the basic professional requirements for the NBFIs. It is also committed to establishing and upholding the highest standards of ethics and compliance by its employees. This commitment is reflected in its Code of Conduct that covers, among other issues, the following areas:

- Their relationship with and responsibilities to BIFFL;
- Their relationship with and responsibilities to customers;
- Compliance with laws and regulations;
- Acting in a professional and ethical manner;
- Protection of business assets;
- Disclosure of conflicts of interest; and
- Prohibition of any conduct involving dishonesty, fraud, deceit or misrepresentation including insider trading.

“ আগে চাই নীতি, সাথে সম্প্রীতি
মূল্যবোধের ফ্রেম,
তবে তার মাঝে জেগে উঠবেই
স্বদেশের প্রতি প্রেম। ”

- ছড়াকার ফারুক হোসেন



AUDIT COMMITTEE REPORT

1. The Composition of the Committee

In accordance with the best practice and Corporate Governance Guidelines Bangladesh Securities and

Exchange Commission, Audit Committee of BIFFL comprising the following Directors of the Company:

Name & Designation	Position
Dr. Ahmad Kaikaus , Senior Secretary Power Division, Ministry of Power, Energy & Mineral Resources	Chairman
Mr. Abu Hena Md. Rahmatul Muneem , Secretary Energy & Mineral Resources Division, Ministry of Power, Energy & Mineral Resources	Member
Mr. Ekhlashur Rahman Additional Secretary, Finance Division, Ministry of Finance	Member
Mr. Mohammad Khan FCS Company Secretary	Member Secretary

The Committee is responsible and reports to the Board of Directors. The Board Secretary functions as the Secretary of the Committee.

2. The Terms of Reference of the Audit Committee

The Terms of Reference (ToR) of the Audit Committee clearly defines the roles and responsibilities of the Audit Committee. The Committee is responsible to the Board of Directors and reports on its activities regularly. The functions of the committee are geared to assist the Board in its general oversight on financial reporting, internal audit and control, external audit, financial management, risk management and regularity compliances.

Bangladesh Bank's DFIM Circular No. 13, dated; 26/10/2011, on formation of Audit Committee and its subsequent amendments and The Securities and Exchange Commission Notification no. BSEC/CMRRCD/2006-158/207/Admin/80, dated: 03/06/2018, on "Corporate Governance Code" for listed companies further regulate the compositions, roles and functions of the Audit Committee even though BIFFL is yet to be listed.

4. Roles and responsibilities of the Audit Committee

The roles and functions of the Committee are further regulated by the rules governing the Audit Committee as specified by the Guidelines of Bangladesh Bank on 'Corporate Governance for NBFIs in Bangladesh' and also 'Conditions on Corporate Governance Code' by the Securities and Exchange Commission.

The main objective of the Audit Committee is to assist the Board of Directors to effectively carry out its responsibilities relating to financial and other relevant affairs of BIFFL. The Committee is empowered to monitor, review and examine:

- The integrity of the financial statements of BIFFL;
- The Company's external auditors' qualifications and independence, the performance and effectiveness of the Company's internal and external audits, internal controls and the measurement of operational risk, and the compliance by the Company with legal and regulatory requirements;

- Examine financial and other important matters of the company;
- Monitor/review all internal and external audit matters and Bangladesh Bank's inspection reports;
- Review the efficiency of internal control systems and procedures, in place;
- Review the quality of Accounting Policies and their adherence to Statutory and Regulatory Compliances;
- Ensure that a well-managed sound financial reporting system is in place to provide timely and reliable information to the Board of Directors, Regulatory Authorities, Management and all other stakeholders of the Company; and
- Ensure that Company's policies are firmly committed to the highest standards of good corporate governance practices and operations conform to the highest ethical standards and in the best interests of all stakeholders.

5. Meetings

The Committee held four (4) meetings during the year under review. The Members of the senior management of the company were invited to participate at meetings as and when required. The proceedings of the Audit Committee meetings are regularly reported to the Board of Directors. The Committee continued guiding the management with the selection of new accounting policies and implementing the same.

6. Activities

The Committee carried out the following activities during the year 2018:

6.1 Financial Reporting

The Committee supports the Board of Directors to discharge their responsibility for the preparation of Financial Statements that reflect a true and fair view of the financial performance and financial position based on the Company's accounting records and in terms of the Bangladesh Financial Reporting Standards (BFRSs), by:

- Reviewing the systems and procedures to ensure that all transactions are completely and accurately recorded in the books of account;

- Reviewing the effectiveness of the financial reporting system in place to ensure the reliability of the information provided to the stakeholders;
- Reviewing the accounting policies and to determine the most appropriate accounting policies;
- Strict adherence to and compliance with the BFRSs and the best accounting practices; and
- Reviewing the annual report and accounts prepared for publication, prior to submission to the Board.

6.2 Regulatory Compliance

The Company's procedures in place to ensure compliance with mandatory Bangladesh Bank's instructions and statutory requirements were under close scrutiny. The Committee monitored the compliance of all requirements through various statements/reports submitted by different departments. The Committee also monitored the compliance with all relevant laws, regulations and timely meeting off the statutory requirements.

6.3 Internal Control

As part of internal control, the committee:

- Evaluated whether management is setting the appropriate compliance culture by communicating the importance of internal control and the management of risk and ensuring that all employees have understanding of their roles and responsibilities;
- Reviewed the arrangements made by the management for building a suitable Management Information System (MIS) and its applications;
- Considered whether internal control strategies recommended by internal and external auditors have been implemented by the management;
- Reviewed the existing risk management procedures for ensuring an effective internal check and control system; and
- Reviewed the corrective measures taken by the management as regards to the reports relating to non-compliance, deficiencies in internal control or other similar issues detected by internal and external auditors and inspectors of the regulatory authority and inform the board on a regular basis.

6.4 Internal Audit

The committee:

- Reviewed the activities and organizational structure of the internal audit function and ensured that no unjustified restrictions or limitations were made;
- Reviewed the efficiency and effectiveness of internal audit function;
- Reviewed that findings and recommendations made by the internal auditors for removing the irregularities detected and also running the affairs of the institution were duly considered by the management; and
- Recommended the Board in case of change of the accounting policies.

6.5 External Audit

The Committee:

- Reviewed the auditing works of the external auditors and their audit reports;
- Reviewed whether the external auditor's findings were addressed by the management through appropriate action;
- Reviewed the non-audit services provided by the Auditors to ensure that such services do not fall within the restricted services and provision

of such services does not impair the External Auditors independence and objectivity; and

- Made recommendations to the Board regarding the appointment of the external auditors.

6.6 Ethics and Good Governance

Highest standards in good corporate governance and strict adherence to the requirements of BIFFL's Code of Ethics are ensured through close monitoring. Through the Code of Ethics at all levels of staff have been educated and encouraged to resort to whistle blowing, when they suspect wrong doings or other improprieties. The Committee also ensures that appropriate procedures are in place to conduct independent investigations into all such incidents.

BIFFL's Audit Committee was sincere enough to take the internal control and compliance procedure and practice of the organization according to the guidelines of regulators and best practices in the industry to ensure good corporate governance . The Committee also takes care of continuous capacity enhancement and development of the internal audit team of BIFFL.

Sd/-

Chairman, Audit Committee



STATEMENT OF CEO AND CFO

We have reviewed the financial statements of BIFFL which contains balance sheet as on 31 December 2018, profit & loss statement, changes of equity statement, cash flow statement for the year ended 31 December 2018 and a summary of significant accounting policies and others explanatory notes.

These financial statements prepared and presented fairly in accordance with:

1. International Financial Reporting Standards (IFRSs) adopted by the Institute of Chartered Accountants of Bangladesh (ICAB);
2. Bangladesh Bank guidelines;
3. Companies Act 1994;
4. Income Tax Ordinance 1984;
5. Financial Institution Act 1993;
6. Bangladesh Securities and Exchange Rules 1987; and
7. Other applicable laws and regulations.

The company has taken proper and sufficient care in installing a system of internal control, which is reviewed, evaluated and updated on an ongoing basis. The internal control and compliance unit conducts periodic audits to provide reasonable assurance that the established policies and procedures of the company are consistently followed.

Based on the internal control system of the company and our review of these financial statements, we certify to the best of our knowledge and belief that:

- i) The statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
- ii) The statements together present a true and fair view of the company's affair and follow existing accounting standards and applicable laws;
- iii) No transaction entered by the company during the year which are fraudulent illegal or violation of the company's code of conduct;
- iv) Proper books of accounts as required by the law have been kept by the company;
- v) The expenditure incurred was for the company's business; and
- vi) Adequate provisions have been made for lease/loans and advances, investments and other assets which in our opinion are doubtful to be recovered.

Chief Financial Officer
Mashruna A. Chowdhury, FCA

Executive Director & CEO
S. M. Formanul Islam



ASSESSMENT REPORT ON GOING CONCERN

Going concern is a fundamental accounting concept that underlies the preparation of financial statements of the Companies. Under the going concern concept, it is assumed that a Company will continue its operation and that there is neither the intent nor the need to liquidate it or cease its operation. The purpose of this going concern statement is to bring together the requirements of Company laws, accounting standards and listing rules on going concern.

The management of BIFFL has made this assessment based on the accounting period ended on 31 December 2018. The management's assessment of whether the Company is a going concern involves making appropriate inquiries including review of budgets and future outcome of inherent risks involved in the business.

Considering the following major indicators, BIFFL's management has reached the conclusion that the financial statement for the year 2018 is prepared based on going concern assumption.

The following indicators underline the Company's ability to continue as a going concern:

1. Less dependence on bank borrowings

The Company has no significant dependence on bank borrowings. In a few occasions, it had to borrow from the money market on a short-term basis.

2. Favorable key financial ratios

The Company's financial ratios (please see the Key Operating & Financial Performance at Page 92) revealed the sound financial strength and prospect.

3. Consistent payment of dividend

BIFFL has been paying dividend consistently on a regular basis to the shareholders since 2015 which reflects the Company's long-term viability in operational existence.

4. Capability in settling obligation

The Company has strong credibility in terms of settlement of obligation to the creditors and relevant authorities. It has no default payment history for settlement of its obligations.

5. Growth in operating profit

In 2018, BIFFL achieved 21.41 % growth of operating profit compared to 2017 which reflects the growth in profitability from regular operations.

6. Growth in quality lending portfolio

In 2018, the quality performing portfolio of loans, leases and advances increased by 58.38% compared to 2017, whereas BIFFL has 0.03% classified loan. This represents the positive indication of sustainable business of the Company.

7. Employee satisfaction and working environment

BIFFL is one of the employee-friendly organizations in the financial sector. There exists a very good corporate environment in the Company. It pays a competitive compensation package with fringe benefits like provident fund, performance bonus, gratuity, group insurance, hospitalization insurance, rewards and recognition etc.

8. Maintenance of Capital Adequacy Ratio (CAR)

As per DFIM circular number 14, dated December 28, 2011 of Bangladesh Bank regarding Capital Adequacy and Market Discipline for FIs, each Financial Institution is required to maintain CAR at least 10.00% of the total risk weighted assets. As on 31 December 2018, CAR of BIFFL was 183%.

9. Strong equity base

BIFFL is one of the highest equity-based Companies among the FIs. As on 31 December

2018, total equity of the Company was BDT2,332.24 crore including paid up capital of BDT2,108 crore.

10. Ability to pay operational expenses

The company has not faced any difficulties in meeting its day to day operational expenses and has continued its reputation of paying vendors on time. The Company generates sufficient operating cash flow to meet its operational expenses.

11. Borrowing facilities from multilateral agencies

The solidity of financial position and the reputation allows the Company to negotiate or renew borrowing facilities at a favorable rates and flexible terms and conditions from different development partners i.e. JICA, ADB, the World Bank, KfW and others.

12. Off-balance sheet obligations

The Company has no exposure in off-balance sheet liabilities.

13. Changes in Government's policy

Board and management anticipate no significant changes in legislation or Government's policy which may materially affect the business of the Company.

Based on the review of the above indicators, the Board and the management is of the view that the preparation of the financial statements of the Company for the year ended 31 December 2018 on the basis of "going concern assumption" is appropriate.

“ Our Biggest Challenge in this new century is to take and
idea that seems abstract- sustainable development- and
turn it into a reality for all the world's people ”

- Kofi Anan



DISCLOSURE ON CAPITAL ADEQUACY AND MARKET DISCIPLINE

Background

This chapter discusses the disclosure of activities BIFFL had undertaken to manage its Risk Based Capital Adequacy and other requisites in 2018 under the purview of the Basel II regulations. These Market discipline disclosures under Basel II are made following the same guidelines in order to compliment the minimum capital requirements and the supervisory review process. Establishing a transparent and disciplined financial market through providing accurate and timely information related to liquidity, solvency, performance and risk profile of a FI is another important objective of this disclosure.

Consistency and Validation

The quantitative disclosures are made on the basis of audited financial statements of BIFFL for the year ended 31 December 2018. They are prepared under relevant International Financial Reporting Standards (IFRSs) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) and related circulars/instructions issued by Bangladesh Bank from time to time.

A. Scope of Application

Qualitative Disclosures

BIFFL maintains the two Pillars and the Liquidity Standards prescribed by Bangladesh Bank.

Pillar-1:

Credit Risk, Market Risk & Operational Risk are considered under this Pillar for maintenance of the level of capital. Among the three approaches available to measure the Credit Risk, BIFFL employs 'Standardized Approach'. The same approach has been used for Market Risk measurement. As for Operational Risk, Basic Indicator Approach is

followed for simplicity. BIFFL is also maintaining the non-risk based Leverage Ratio at a healthy level.

Pillar-2:

All other risks as well as the entire Risk Management framework from both the internal and external (Supervisory) perspective are covered under this Pillar. BIFFL has developed a comprehensive ICAAP (Internal Capital Adequacy Assessment Process) module to capture the risks minutely.

Liquidity Standards:

BIFFL has successfully adopted and is maintaining the Standards set for the two key Liquidity Ratios:- the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR).

Quantitative Disclosures

BIFFL has no subsidiaries.

B. Capital Structure

Qualitative Disclosures

(a) Summary information on the terms and conditions of the main features of all capital instruments, especially in case of capital instruments eligible for inclusion in Common Equity Tier-1 and Tier 2.

Regulatory capital base is quite different from accounting capital. As per Basel II guidelines, regulatory capital consists of Tier 1 (Common Equity Tier 1 and Additional Tier 1) and Tier 2 capital. Tier 1 Capital is known as going concern capital and Tier 2 Capital also known as gone concern capital.

- Common Equity Tier-1 capital of BIFFL consists of Fully Paid-up Capital, Statutory Reserves, General Reserve & Retained Earnings.
- Tier-2 capital of BIFFL consists of general provision.

Quantitative Disclosures	in BDT crore
Particulars	
Common Equity Tier-1 Capital	2,332.24
Regulatory adjustments	-
Total Common Equity Tier -1 Capital	2,332.24
Tier-2 Capital	18.31
Regulatory adjustments	-
Total Tier-2 Capital	18.31
Total Regulatory Capital	2,350.55

C. Capital Adequacy

Qualitative Disclosures

Assessing regulatory capital in relation to overall risk exposures of an NBFI is an integrated and comprehensive process. BIFFL follows the 'asset based' rather than 'capital based' approach in assessing the adequacy of capital to support current and projected business activities. The FI focuses on strengthening risk management control environment rather than increasing capital to cover up weak risk management and control practices. BIFFL has been generating most of its incremental capital from retained profit (stock dividend and statutory reserve transfer etc.)

BIFFL maintains adequate capital to absorb material risks foreseen. Therefore, BIFFL's Capital to Risk Weighted Assets Ratio (CRAR) remained consistently within the comfort zone during 2018. The surplus capital maintained by BIFFL will act as buffer to absorb all material risks and to support the future activities. To ensure the adequacy of capital to support the future activities, the FI assesses capital requirements periodically considering future business growth. Risk Management Division (RMD) under guidance of the Risk Management Committee, is taking active measures to identify, quantify, manage and monitor all risks to which the Bank is exposed to.

Quantitative Disclosures	in BDT crore
Particulars	
Capital requirement for Credit Risk	1,067.47
Capital requirement for Market Risk	-
Capital requirement for Operational Risk	260.05
Minimum capital requirement (MCR)	132.75
Total regulatory capital	2,350.56

Risk weighted assets	1,327.51
Capital to Risk Weighted Asset Ratio	
Common Equity Tier-1	
Capital Ratio	175.69
Tier-2 Capital Ratio	1.38
Capital Conservation Buffer (1.25% of RWA)	1,659.39

D. Credit Risk

Qualitative Disclosures

General Disclosure

Credit risk is defined as the probability of failure of counterparty to meet its obligation as per agreed terms. FIs are very much prone to credit risk due to its core activities i.e. lending to corporate, Consumer, SME, another bank/FI. The main objective of credit risk management is to minimize negative impact through adopting proper mitigants and to limit credit risk exposures within acceptable limit. Credit risk management has been independent of origination of business functions to establish better control and to reduce conflicts of interest. The Head of Credit Risk Management (HoCRM) has well defined responsibility for management of credit risk. Final authority and responsibility for all activities that expose the FI to credit risk rests with the Board of Directors (BoD). The Board however delegated authority to the Executive Director and CEO or other officers of the credit risk management division.

BoD sets forth credit policies and delegates authority to the management for setting procedures, which together has structured the credit risk management framework in the FI. The Credit Policy Manual contains the core principles for identifying, measuring, approving, and managing credit risk in the FI and is designed to meet the organizational requirements that exist today as well as to provide flexibility for future. These policies represent the minimum standards for credit extension by the bank, and are not a substitute of experience and good judgment

Definitions of past due and impaired credit:

To define past due and impairment through classification and provisioning, BIFFL follows Bangladesh Bank Circulars and Guidelines. The summary of some objective criteria for loan

classification and provisioning requirement is as below:

As per Bangladesh Bank's Prudential Guideline on Capital Adequacy and Market Discipline for FIs, the unsecured portion of any claim or exposure (other than claims secured by residential property) that is past due for 90 days or more, net of specific provisions (including partial write-off) will be risk weighted as per risk weights of respective Balance Sheet exposure. For the purpose of defining the net exposure of the past due loan, eligible financial collateral (if any) may be considered for Credit Risk mitigation.

To encounter and mitigate credit risk, the following control measures are taken place at BIFFL:

- Vigorous monitoring and follow up by fully dedicated recovery and collection team;
- Strong follow up of compliance of credit policies by appraiser and credit department ;
- Taking collateral, performing valuation and legal vetting on the proposed collateral by members of our own dedicated technical and legal department;
- Seeking legal opinion from external lawyers for any legal issues if required;
- Regular review of market situation and industry exposures;
- Insurance coverage for funded assets; and
- In addition to the best industry practices for assessing, identifying and measuring risks, BIFFL also considers Guideline for Managing Core Risks of Financial Institutions issued by Bangladesh Bank for management of risks.

Approved Credit Policy by the Board of Directors

The Board of Directors has approved the credit policy for the company where major policy guidelines, growth strategy, exposure limits and risk management strategies have been described/ stated. Credit policy is regularly updated to cope up with the changing global, environmental and domestic scenarios.

Separate Credit Risk Management (CRM) Department

An independent Credit Risk Management (CRM) Department is in place, at BIFFL, to scrutinize projects from a risk-weighted point of view and assist the management in creating a high quality credit portfolio and maximize returns from risk assets. CRM has been segregated from Credit Administration Department in line with Central Bank's Guidelines. CRM assess credit risks and suggest mitigations before recommendation of every credit proposal while Credit Administration confirms that adequate security documents are in place before disbursement.

Monitoring and Recovery Team

A strong recovery team monitors the performance of the loans and advances, identifies early sign of delinquencies in portfolio and takes corrective measures to mitigate risks, improve loan quality and to ensure recovery of loans in a timely manner including legal actions.

Independent Internal Control & Compliance Department

Appropriate internal control measures are in place at BIFFL. An Internal Control & Compliance Department has been established to ensure compliance with all internal guidelines, Bangladesh Bank guidelines, operational procedures and adequacy of internal control and documentation procedures.

Credit Evaluation

To mitigate credit risk, BIFFL search for credit reports from Credit Information Bureau (CIB) of Bangladesh Bank. The report is scrutinized by Credit Admin Department and Credit Risk Management Department to understand the liability condition and repayment behavior of the client. Depending on the reports, opinions are taken from the concerned related parties for better understanding about client's credit worthiness.

Credit Approval Process

To ensure both speedy service and mitigation of credit risk, the approval process is maintained

through a multilayer system. Depending on the size of the loan, a multilayer approval system is designed. As smaller loan are very frequent and comparatively less risky, lower sanctioning authority is set to improve processing time and associated risk. Bigger loans require more scrutiny as the associated risk is higher hence sanctioning authority is higher as well.

Early Warning System

Performance of loans is regularly monitored to trigger early warning system to address the loans and advances whose performance show any deteriorating trend. It helps the company to grow its credit portfolio with ultimate objective of protecting the interest of the stakeholders.

Methods used to measure Credit Risk

As per the directives of Bangladesh Bank, 'The Standardize Approach' is applied by the company to measure it's risk.

Quantitative Disclosures

Total gross credit risk exposures (by major types) of 31-12-18:		in BDT crore
Particulars	Amount	
Geographical distribution of exposures (31-12-18):		in BDT crore
Division	Total	
Dhaka Division	802.25	
Chittagong Division	331.96	
Sylhet Division	Nil	
Rajshahi Division	Nil	
Khulna Division	Nil	
Rangpur Division	Nil	
Barisal Division	Nil	
Mymensingh Division	Nil	
Total		
Sector wise exposure of total loan (31-12-18):		in BDT crore
Particulars	Amount	
Commercial and trading	Nil	
Construction	Nil	
Cement and ceramic industries	110.42	
Chemical and fertilizer	Nil	
Sugar and edible oil refinery	Nil	

Crops, fisheries and livestock	Nil
Food and allied industries	0.31
Electronics and electrical goods	18.65
Individuals	Nil
Pharmaceuticals industries	Nil
Readymade garments industry	143
Ship breaking industry	Nil
Metal and steel products	73.67
Transport and e-communication	568.34
Textile mills	1.45
Power and fuel	117.66
Rubber and plastic industries	0.51
Agri and micro credit through NGO	Nil
Other manufacturing or extractive industries	540.8
Others	122.67
Total	1,697.77

E. Equities: Disclosures for Banking Book Positions

Qualitative Disclosures

The general qualitative disclosure requirement with respect of equity risk, including :

- Difference between holding on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons
- Total equity shares holdings are for capital gain purpose.

Quantitative Disclosures

BIFFL is yet to make any Investment in Share Market.

F. Interest Rate Risk in the Banking Book

Qualitative Disclosures

Interest Rate Risk is the risk which affects the FI's financial condition due to changes of market interest rates. Changes in interest rates affect both the current earnings (earnings perspective) and also the net worth of FI (economic value perspective). FI assesses the interest rate risk both in earning and economic value perspective. The process of interest rate risk management by the bank involves determination of the business objectives,

expectation about future macroeconomic variables and understanding the money markets and debt market in which it operates. Interest rate risk management also includes quantifying the appetite for market risk to which FI is comfortable. The FI uses the following approach to manage interest rate risk inherent in the Balance sheet:

Simple Gap Analysis

Traditional Gap analysis of on-balance sheet Asset Liability Management (ALM) involves careful allocations of assets and liabilities according to re-pricing/maturity buckets. This approach quantifies the potential change in net interest income using a specified shift in interest rates, e.g. 100 or 200 basis points, or a simulated future path of interest rates.

Assumptions: For Gap analysis FIs considers the following:

- For fixed-rate contract, remaining maturity is considered;
- For contracts with provision of re-pricing, time remaining for next re-pricing is considered;
- The main assumption of gap analysis is that interest rate moves on a parallel fashion. In reality however, interest rate does not move upward;
- Contractual repayment schedule is met;
- Re-pricing of assets and liabilities takes place in the midpoint of time bucket;
- The expectation that loan payment will occur on schedule;
- No early encash is considered in term and recurring deposit;
- Non maturity deposit withdrawal is considered based on past withdrawal behavior;
- Interest paid on liabilities tends to move faster than interest rates earned on assets;
- Interest rate attached to bank assets and liabilities does not move at the same speed as market interest rates; and
- Point at which some assets and liabilities are re-priced is not easy to identify.

Funding Gap Analysis

Quantitative Disclosures

Funding Gap analysis attempts to determine the potential impact on net interest income (NII) due to changes in interest rate. Result of Funding Gap analysis as on December 31, 2018:

Particulars	3 months	6 months
For 1% increase/decrease in interest rate, impact on NII	7.53/7.53	1.12/1.12
For 2% increase/decrease in interest rate, impact on NII	2.24/-2.24	15.07/-15.07

Duration Gap Analysis

The focus of the Duration Analysis is to measure the level of a FI's exposure to interest rate risk in terms of sensitivity of Market Value of its Equity (MVE) to interest rate movements. Duration Gap can be used to evaluate the impact on the Market Value of Equity of the bank under different interest rate scenarios. ALCO monitors the Leveraged Liability Duration and duration gap of the total FI alance sheet on a quarterly basis to assess the impact of parallel shift of the assumed yield curve.

F. Market Risk

Qualitative Disclosures

Market Risk: Market Risk is defined as the possibility of loss due to changes in the market variables. It is the risk that the value of on/off balance sheet positions will be adversely affected by movements in equity price, interest rate and currency exchange rates. The objective of our market risk policies and processes is to obtain the best balance of risk and return whilst meeting customers' requirements. The primary categories of market risk for the bank are:

- **Interest rate risk:** Arising from changes in yield curves, credit spreads and implied volatilities on interest rate options.
- **Currency exchange rate risk:** Arising from changes in exchange rates and implied volatilities on foreign exchange options.
- **Equity price risk:** Arising from changes in the prices of equities, equity indices, equity baskets and implied volatilities on related options.

BIFFL has a comprehensive Treasury Trading Policy, Asset-Liability Management Policy, Investment Policy approved by the BoD to assess, monitor and manage all the above market risks. Various internal limits have been set to monitor market risk and capital requirement is assessed as per standardized approach of Basel II.

Methods used to measure Market Risk: Bank applies maturity method in measuring interest rate risk in respect of securities in trading book. The capital charge for entire market risk exposure is computed under the standardized approach using the maturity method and in accordance with the guideline issued by Bangladesh Bank.

Market Risk Management System: To manage the interest rate risk, regularly monitors various ratios and parameters. Of the ratios, the key ratios that ALCO regularly monitors are

- Liquidity Coverage Ratio (LCR)
- Net Stable Funding Ratio (NSFR)
- Maximum Cumulative Outflow (MCO)
- Liquid asset to total assets
- Volatile liability dependency ratio
- Snap liquidity ratio
- Short term borrowing to Liquid assets ratio.

ALCO also regularly monitors the interest rate sensitive gap and duration gap of total portfolio.

To manage equity risk, the Investment Committee of the bank takes prudent decisions complying sectorial preferences as per investment policy of the bank and capital market investment limit set by BB.

G. Operational Risk

Qualitative Disclosures

Operational Risk:

Operational risk is the risk of loss arising from fraud, unauthorized activities, error, omission, inefficiency, systems failure or external events. It is inherent in every business organization and covers a wide spectrum of issues. We seek to minimize exposure to operational risk, subject to cost benefit trade-offs. BIFFL captures some identified risk events associated with all functional departments of the bank through standard reporting format.

Views of Board on system to reduce Operational Risk

The policy for measuring and managing operational risks is approved by the Board in line with the relevant guidelines of Bangladesh Bank. Audit Committee of the Board directly oversee the activities of Internal Control and Compliance division to protect against all operational risk. As a part of continued surveillance, the management committee (MANCOM), Bank Risk Management Committee and Risk Management Division regularly review different aspects of operational risks and suggest formulating appropriate policies, tools & techniques for mitigation of operational risk.

Performance gap of executives and staffs

BIFFL is an equal opportunity employer. It recognizes the importance of having the right people at right positions to achieve organizational goals. Our recruitment and selection is governed by the philosophy of fairness, transparency and diversity. Understanding what is working well and what requires further improvement is essential to our performance management system. The performance management process aims to clarify what is expected from employees as well as how it is to be achieved. Our learning and development strategy puts special focus on continuous professional development to strengthen individuals' skill set by removing weaknesses to perform the assigned job with perfection. We have a wide range of internal and external training programs to enhance capabilities as well as minimize performance gap that will contribute more to bottom line. Peoples' performance is assessed on the bases of performance objectives and key performance indicators (KPI) set at the beginning of each year. Decisions related to rewards and recognitions for the employees are taken on the bases of how well the assigned KPIs are met.

Potential external events

The overall environment within which an NBFI operates creates certain externalities which could affect business performance directly such as:

Fraud Risk is the risk of incurring losses as a result of an intentional act or omission by a third party

involving dishonesty, for personal and/or business gain, to avoid personal and/or business loss, or to conceal improper or unauthorized activity. This includes facilitation, misrepresentation, money laundering, terrorist financing, theft, forgery and cyber-crime.

Business Continuity Risk is the risk of incurring losses resulting from the interruption of normal business activities, i.e. interruptions to our infrastructure as well as to the infrastructure that supports our businesses.

Information Security Risk is the risk of an event which could result in the compromise of organizational assets, including, but not limited to, unauthorized use, loss, damage, disclosure or modification of organization assets. It includes the risk of cyber threats on the organization.

Regulatory Compliance Risk is the risk of incurring regulatory sanctions (including restrictions on business activities, fines or enhanced reporting requirements), financial and/or reputational damage arising from our failure to comply with applicable laws, rules and regulations.

Vendor Risk arises from adverse events and risk concentrations due to failures in vendor selection, insufficient controls and oversight over a vendor and/or services provided by a vendor and other impacts to the vendor itself.

Policies and processes to mitigate operational risk

Operational Risk Management Unit is primarily responsible for risk identification, measurement,

monitoring, control, and reporting of operational risk. This unit identifies risk issues primarily through review of Departmental Control Function Check List (DCFCL) and reports to Head of ICCD (Internal Control and Compliance Division). DCFCL is a self-assessment process for detecting 'high' risk areas and finding mitigation of those risks. The committee titled 'Bank Risk Management Committee (BRMC)' also oversees the operational risk issues. BRMC analyzes 'high' and 'moderate' risk indicators and sets responsibility for specific people to resolve the issues.

Approach for calculating capital charge for operational risk

The FI applies 'Basic Indicator Approach'. Under this approach, banks have to calculate average annual gross income (GI) of last three years and multiply the result by 15% to determine required capital charge. Gross Income is the sum of 'Net Interest Income' and 'Net noninterest income' of a year or 'Total Operating Income' of the FI with some adjustments as noted below. GI shall:

- Be gross of any provision (e.g. for unpaid interest);
- Be gross of operating expenses, including fees paid to outsourcing service providers; and
- Include lost interest i.e. interest suspense on classified loans (SS, DF, BL).

Quantitative Disclosures	in BDT crore
Particulars	
Capital requirement for Operational Risk	260.05



NOTICE, REPORTS & FINANCIAL STATEMENTS

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Bangladesh Infrastructure Finance Fund Limited

BIFFL Office: Borak Unique Heights, 117 Kazi Nazrul Islam Avenue, Eskaton Garden Road, Dhaka-1217
e-mail: info@biffi.org.bd; **Website:** www.biffi.org.bd

Ref.: BIFFL/CS-2.2.1/2019

Date: 24 February 2019

NOTICE

The 8th Annual General Meeting

The 8th Annual General Meeting (AGM) of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year ended on 31 December 2018 will be held on Wednesday, 20 March 2019 at 7.00 p.m. at Borak Unique Heights (level-3), 117 Kazi Nazrul Islam Avenue, Eskaton Garden Road, Dhaka-1000.

AGENDA:

1. To approve the Auditors' Report along with Audited Financial Statements for the year ended on 31 December 2018 and the Directors Report;
2. To approve the Dividend for the FY2018;
3. To re-elect the Director(s); and
4. To re-appoint the Auditors for the FY2019 and fix the audit fees.

The Directors, Shareholders and Auditors are requested to attend the meeting.

By the order of the Board of Directors,

Mohammad Khan FCS

Secretary

Cell: 01841655302

email: mohammad.khan@biffi.org.bd



**Auditor's Report and
Audited Financial Statements
of
Bangladesh Infrastructure Finance Fund Limited
For the year ended 31 December 2018**

Independent Auditor's Report

To the Shareholders of Bangladesh Infrastructure Finance Fund Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the balance sheet as at 31 December 2018 and the profit and loss accounts, statement of changes in equity and cash flow statements for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2018, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note 2.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for *the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Bangladesh and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code & the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Head	Key Audit Matters	Our response to the risk
Investments	<u>Classification</u> The classification and measurement of these instruments require judgement and complex estimates. The recognition, measurement and disclosure for these instruments are stringently specified by various Bangladesh Bank Circulars which results in departures from IFRSs as explained in note 2.01.01. The Company's disclosures relating to Investments are disclosed in note 2.01.01, 2.07.02 & 6 of the financial statements.	We assessed the processes and controls put in place by the Company to identify and confirm the classification & existence of financial instruments. We obtained an understanding, evaluated the design and tested the operating effectiveness of the key controls over the financial instrument accounting procedures. Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
Loans & Advances	<u>Classification & Provisioning</u> The classification & provisioning of loans & advances are determined by specific Bangladesh Bank's circulars which have wide ranging effect on the financial position and performance of the FI, namely through provisioning requirements. The process for estimating the provision for loans and advances portfolio associated with the credit risk is significant & complex. At year end the Company reported total loans and advances of BDT16,977,708,408 (2017: BDT10,719,748,885) and provision for loans and advances of BDT433,617,842 (2017: BDT184,376,414). The calculation of RWA (Risk Weighted Assets) is, to some extent, dependent on the classification of loans and advances which ultimately impact the CAR (Capital Adequacy Ratio)- a significant indicator of FI's health under the BASEL II regime. Furthermore the recognition and measurement of these Loans & Advances are dictated by Bangladesh Bank's circulars namely FID circular No. 08 dated 03 August 2002, FID Circular No. 03 dated 03 May 2006, FID Circular No. 05 dated 18 July 2006, FID Circular No. 06 dated 20 August 2006, FID Circular No. 02 dated 05 May 2007 and DFIM Circular No. 04 dated 28 June 2007 respectively which limits the fair implementation of respective IFRSs. The Company's disclosures relating to loans & advances are included in note 2.01.02, 2.01.12, 2.07.03 & 07.	We tested the design and operating effectiveness of key controls focusing on the following: - the credit appraisal, loan disbursement procedures, monitoring and provisioning process; - Identification of loss events, including early warning and default warning indicators; - Reviewed quarterly Financial Institution Classification of Loans (CL) Statement; Furthermore we have assessed on test basis the loan application receipt, assessment, documentation and authorization process against Company's policy and Bangladesh Bank's requirements. Legal expert's views regarding securitization of the loans has also been considered. As part of our process we have reviewed the loan files, bank statements, and its provisioning requirements. Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: - Reviewed the adequacy of the companies general and specific provisions; - Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.

Borrowings from Banks, other Financial Institutions and Agents	<u>Valuation</u> Borrowings from banks, other financial institutions and agents by Bangladesh Infrastructure Finance Fund Limited (BIFFL) as at 31 December 2018 stood at Tk.2,461,178,639 against Tk.3,473,688 as at 31 December 2017. This reflects an increase of Tk.2,457,704,951 or 70,752 times as compared to last year. The material change in the balance of Borrowings from banks, other financial institutions and agents was due to the disbursement of loan from JICA (Japan International Cooperation Agency) under a sub-loan agreement with the Government of the People's Republic of Bangladesh & BIFFL which amounted to Tk.1,433,446,875. This represents 41,266% of the total change under this head. In addition, the balances of Secured Overdraft & Short Term Loan stood at Tk.811,320,935 which represents 23,356% of the total change under this head. Due to the substantial increase in these balances, loan from JICA and Secured Overdraft & Short Term Loan was considered significant to our audit. The Company's disclosures relating to Borrowings from Banks, other financial institutions and agents are disclosed in note 12 of the financial statements.	We assessed the system of internal control over Secured Overdraft & Short Term Loan and Borrowing from EECPPF JICA Loan. We have performed analytical procedures on average balances and interest expenses to assess the reasonableness of the recorded balances. We also considered receipt of Bangladesh Bank's Documents & subsequent disbursement of fund from Bangladesh Bank to confirm the balance of EECPPF JICA Loan. We substantially recalculated the interest expenses for Secured Overdraft & Short Term Loan and Borrowing from EECPPF JICA during the year. We determined whether Borrowings from banks, other financial institutions and agents are classified in accordance with regulations and relevant accounting principles.
IT systems and controls	Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed and the reliance on automated and IT dependent manual controls. The Company's disclosures relating to its IT systems and controls are included in note 2.17 of the financial statements.	Our firm's own IT Specialist tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights. We inspected requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application layer controls identified as key to our audit. Where deficiencies were identified, we tested compensating controls or performed alternate procedures. In addition, we understood where relevant, changes were made to the IT landscape during the audit period and tested those changes that had a significant impact on financial reporting.

Legal & Regulatory Matters	We focused on this area because the Company operates in a legal and regulatory environment that is exposed to significant litigation and similar risks arising from disputes and regulatory proceedings. Such matters are subject to many uncertainties and the outcome may be difficult to predict. Significant Legal & Regulatory matters pertaining to the Company were: • Compliance of rules & regulations, including submission of returns to various regulators; and • Litigation (cases) filed on behalf of or against the Company including any provisioning requirements. These uncertainties inherently affect the amount and timing of potential outflows with respect to the provisions which have been established and other contingent liabilities. Overall, the legal provision represents the Company's best estimate for existing legal matters that have a probable and estimable impact on the Company's financial position. The Company's disclosures relating to its legal & regulatory compliance are included in note 2.18 of the financial statements.	We obtained an understanding, evaluated the design and tested the operational effectiveness of the Company's key controls over the legal provision and contingency process. We enquired to those charged with governance to obtain their view on the status of all significant litigation and regulatory matters. We enquired of the Company's internal legal counsel for all significant litigation and regulatory matters and inspected internal notes and reports. We assessed the methodologies on which the provision amounts are based, recalculated the provisions, and tested the completeness and accuracy of the underlying information.
IPO	<u>Listing requirements</u> As per BSEC (Bangladesh Securities and Exchange Commission) notification no. SEC/CMRRCD/2006-159/36/Admin/03-44 dated 05 May 2010 and BIFFL's communication with BSEC vide their letter no. BIFFL/CEO/1.14.3/408 dated 08 November 2017, the Company intends to start the process of raising capital/ fund through initial public offerings (IPO) in 2018. As per the Notification, it is mandatory for BIFFL to commence its IPO application process which has wide ranging implications for the Company as a whole. Furthermore, there are stringent compliance and reporting requirements for companies seeking listing with the stock exchanges. Given the significance of the event and the compliance requirements, the listing requirements were considered significant to our audit. The Company's disclosures relating to its listing requirements are included in note 38 to the financial statements.	We have obtained an understanding of the IPO listing requirements as applicable for the Company. Furthermore we have reviewed the key correspondences between BIFFL and BSEC relating to IPO as well as management's plan for public listing. Finally, we have also carried out preliminary assessment of the disclosure requirements applicable for BIFFL pertaining to public listing.

Materiality

The scope of our audit was influenced by materiality point of view. We set certain quantitative thresholds for materiality. These together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole.

Based on our professional judgment, we determined materiality for the financial statements as a whole as follows:

Company's financial statements	
Overall materiality	Tk.255,890,204 (2017: Tk.238,090,4414)
How we determined it	1% of average total asset of the last 5 years
Rational for benchmark applied	Based on the benchmarks used, profit or loss before tax is a key measure used by the shareholders in assessing the performance of the company, and is a generally accepted auditing benchmark. Bangladesh Infrastructure Finance Fund Limited (BIFFL) was incorporated in 21 March 2011. However, it first disbursed its loans from 2014 onwards and is still in its development stage. Given the aforementioned limitation, profitability of the Company does not reflect its true operations. As such total assets of the Company have been taken as the base in determining the overall materiality for the Company.

Performance materiality is the application of materiality at the individual account or balance level. It is set at an amount to reduce to an appropriate low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality.

On the basis of our risk assessments together with our assessment of the Company's overall control environment, our judgement was that performance materiality was 75% (2017:75%) of our planning materiality namely Tk.191,917,653 (2017: Tk.178,567,810). We have set performance materiality at this percentage due to our previous experience as auditors of the Company from which we concluded that there is a lower expectation of material financial statement inaccuracies due to the Company's limited business nature and only minor audit differences resulting from our prior and current year work. Our approach is consistent with prior year.

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes

available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information obtained prior to the date of this audit report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls

Management is responsible for maintenance of the required books of accounts & records and preparation and fair presentation of the financial

statements of the Company in accordance with IFRSs as explained in note 2, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The Financial Institutions Act, 1993 & the Bangladesh Bank Regulations require the Management to ensure effective internal audit, internal control and risk management functions of the Company. The Management is also required to make a self-assessment on the effectiveness of anti-fraud internal controls and report to Bangladesh Bank on instances of fraud and forgeries.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosed in note 2.03.01, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements,

whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act, 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- (ii) to the extent noted during the course of our audit work performed on the basis stated under the Auditor's Responsibility section in forming the above opinion on the financial statements of the Company and considering the reports of the Management to Bangladesh Bank on anti-fraud internal controls & instances of fraud and forgeries as stated under the Management's Responsibility for the financial statements and internal controls:
 - a. internal audit, internal control & risk arrangements of the Company as disclosed in the financial statements appeared to be materially adequate; and
 - b. nothing has come to our attention regarding material instances of forgery

or irregularity or administrative error and exception or anything detrimental committed by the employees of the Company;

- (iii) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;
- (iv) the expenditures incurred were for the purpose of the Company's business for the year;
- (v) the financial statements of the Company have been drawn up in conformity with prevailing rules, regulations and accounting standards as well as related guidance issued by Bangladesh Bank;
- (vi) adequate provisions have been made for loans, advances, leases, investment and other assets which are, in our opinion, doubtful of recovery;
- (vii) we have reviewed over 80% of the risk weighted assets of the Company and we have spent around 1,848 person hours for the audit of the books and accounts of the Company;
- (viii) Capital Adequacy Ratio (CAR) as required by Bangladesh Bank has been maintained adequately during the year.



Dhaka,
21 February 2019

Syful Shamsul Alam & Co.
Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.

Balance Sheet

As at 31 December 2018

Particulars	Notes	Amount in Taka	
		31-Dec-18	31-Dec-17
PROPERTY AND ASSETS			
Cash	3	33,864,283	41,297,117
In hand (including foreign currencies)		118,796	100,566
Balance with Bangladesh Bank and its agents (including foreign currencies)		33,745,487	41,196,551
Balance with other banks and financial institutions	4	7,831,274,161	9,402,286,152
Inside Bangladesh		7,831,274,161	9,402,286,152
Outside Bangladesh		-	-
Money at call and short notice	5	-	60,000,000
Investments	6	1,563,443,964	2,497,603,687
Government		-	-
Others		1,563,443,964	2,497,603,687
Leases, loans and advances	7	16,977,708,408	10,719,748,885
Bills purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	306,645,408	266,993,173
Other assets	10	3,435,717,904	2,834,455,153
Non-financial institutional assets	11	-	-
TOTAL PROPERTY AND ASSETS		30,148,654,129	25,822,384,167
LIABILITIES AND SHAREHOLDER’S EQUITY			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	2,461,178,639	3,473,688
Deposits and other accounts	13	-	-
Current deposits and other accounts		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	4,365,037,689	3,174,767,054
Total Liabilities		6,826,216,327	3,178,240,742
Capital/Shareholders’ equity		23,322,437,802	22,644,143,424
Paid up capital	15	21,080,000,000	20,590,000,000
Statutory reserve	16	1,568,487,560	1,402,828,685
Other reserve	17	-	-
Retained earnings	18	673,950,242	651,314,740
TOTAL LIABILITIES AND SHAREHOLDER’S EQUITY		30,148,654,129	25,822,384,167

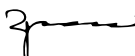
Particulars	Notes	Amount in Taka	
		31-Dec-18	31-Dec-17
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities		-	-
Acceptances and endorsements		-	-
Letter of guarantee		-	-
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
TOTAL OFF-BALANCE SHEET ITEMS INCLUDING CONTINGENT LIABILITIES		-	-

The annexed notes form an integral part of these financial statements.


Chief Financial Officer


Company Secretary


Executive Director & CEO


Director


Chairman

Signed in terms of our separate report of even date annexed.



Dated, Dhaka
21 February 2019


Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

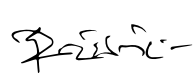
Profit and Loss Account

For the year ended 31 December 2018

Particulars	Notes	Amount in Taka	
		31-Dec-18	31-Dec-17
Operating Income			
Interest income from leases, loans and advances	20	1,132,242,764	748,241,004
Less: Interest expenses on deposits & borrowings etc	21	32,411,434	3,232,010
Net interest income		1,099,831,331	745,008,995
Investment income	22	88,050,697	175,222,608
Commission, exchange and brokerage		-	-
Other operating income	23	815,591,322	729,908,798
Total operating income		2,003,473,349	1,650,140,401
Operating Expenses			
Salary and allowances	24	47,539,659	39,034,424
Rent, taxes, insurance, electricity etc.	25	5,867,323	3,663,665
Legal expenses	26	1,330,400	728,641
Postage, stamp, telecommunication etc.	27	1,707,532	1,553,885
Stationery, printing, advertisement etc.	28	14,634,009	4,956,661
Managing Director's salary and allowances	29	10,252,610	9,555,876
Directors' fees	30	1,348,024	1,257,088
Auditors' fees	31	368,000	120,050
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	40,861,386	38,826,235
Other operating expenses	33	31,798,141	26,104,871
Total operating expenses		155,707,083	125,801,396
Profit before provision		1,847,766,266	1,524,339,005
Provision for investment, leases, loans and advances	34	249,241,429	80,858,449
Provision for diminution in value of investments		-	-
Other provision		-	-
Total provision		249,241,429	80,858,449
Total profit before income tax		1,598,524,837	1,443,480,556
Provision for income tax	35	770,230,459	639,373,258
Net profit after tax & provision		828,294,378	804,107,298
Appropriations			
Statutory reserve	16	165,658,876	160,821,460
Retained surplus		662,635,502	643,285,838
Earnings per share (Restated)	36	3.93	3.81


Chief Financial Officer


Company Secretary


Executive Director & CEO

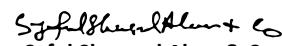

Director


Chairman

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
21 February 2019




Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Statement of Cash Flows

For the year ended 31 December 2018

Particulars	Amount in Taka	
	31-Dec-18	31-Dec-17
A. Cash flow from operating activities:		
Interest received	1,104,919,764	748,241,004
Interest paid	(28,740,123)	(3,230,562)
Dividend received	40,299,874	46,918,668
Interest received from commercial paper & bond	60,473,991	140,257,766
Cash paid to employees	(58,890,120)	(49,091,705)
Cash paid to suppliers	(22,196,851)	(12,015,796)
Income taxes paid	(619,980,669)	(397,143,090)
Received from other operating activities	800,001,741	748,123,755
Paid for other operating activities	(31,798,141)	(26,104,871)
Cash generated from operating activities	1,244,089,468	1,195,955,169
Increase/(decrease) in operating assets and liabilities, statutory deposits		
Loans and advances to other banks	-	-
Investment	-	-
Loans and advances to other customers	(6,230,636,523)	(2,929,383,749)
Other assets	21,028,241	(21,089,193)
Borrowings from banks, financial institutions and agents	2,457,704,951	(911,840)
Deposits from other banks/borrowings	-	-
Other liabilities	(966,129)	(3,375,000)
	(3,752,869,460)	(2,954,759,782)
Net cash used in operating activities	(2,508,779,993)	(1,758,804,613)
B. Cash flow from investing activities:		
Purchase of property, plant and equipment	(78,088,107)	(7,407,712)
Investment/Proceed from securities	948,423,275	7,941,102
Net cash from/(used in) investing activities	870,335,168	533,390
C. Cash flow from financing activities:		
Dividend paid	-	(150,000,000)
Issuance of shares	-	-
Net cash used in financing activities	-	(150,000,000)
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)	(1,638,444,824)	(1,908,271,223)
E. Effects of exchange rate changes on cash and cash equivalents	-	-
F. Cash and cash equivalents at beginning of the year	9,503,583,269	11,411,854,492
G. Cash and cash equivalents at end of the year (D+E+F)	7,865,138,445	9,503,583,269
Cash and cash equivalents		
Cash in hand	118,796	100,566
Balance with Bangladesh Bank and its agents bank(s)	33,745,487	41,196,551
Balance with other banks and financial institutions	7,831,274,161	9,402,286,152
Money at call and short notice	-	60,000,000
	7,865,138,445	9,503,583,269

The annexed notes form an integral part of these financial statements.


 Chief Financial Officer


 Company Secretary


 Executive Director & CEO


 Director


 Chairman


Bangladesh Infrastructure Finance Fund Limited

Statement of Changes in Equity

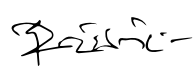
For the year ended 31 December 2018

Particulars	Amount in Taka			
	Paid-up Capital	Statutory Reserve	Retained Earnings	Total
Balance as on 1 January, 2017	20,100,000,000	1,242,007,225	648,028,901	21,990,036,126
Net profit for the year	-	-	804,107,298	804,107,298
Dividend (Cash)	-	-	(150,000,000)	(150,000,000)
Issue of bonus share capital	490,000,000	-	(490,000,000)	-
Appropriations made during the year	-	160,821,460	(160,821,460)	-
Balance as on 31 December 2017	20,590,000,000	1,402,828,685	651,314,739	22,644,143,424
Balance as on 1 January, 2018	20,590,000,000	1,402,828,685	651,314,740	22,644,143,424
Net profit for the year	-	-	828,294,378	828,294,378
Dividend (Cash)	-	-	(150,000,000)	(150,000,000)
Issue of bonus share capital	490,000,000	-	(490,000,000)	-
Appropriations made during the year	-	165,658,876	(165,658,876)	-
Balance as on 31 December 2018	21,080,000,000	1,568,487,560	673,950,242	23,322,437,802

NB: BIFFL doesn't maintain any other reserve except statutory reserve.


 Chief Financial Officer


 Company Secretary


 Executive Director & CEO


 Director


 Chairman


Bangladesh Infrastructure Finance Fund Ltd.

Liquidity Statement

Asset and Liability Maturity Analysis

As at 31 December 2018

Particulars	Amount in Taka				
	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years
Assets					
Cash in hand (including balance with Bangladesh Bank and its agents)	33,864,283	-	-	-	33,864,283
Balance with other banks and financial institutions	2,773,633,093	5,057,641,069	-	-	7,831,274,161
Money at call and short notice	-	-	-	-	-
Investments	-	65,373,825	192,350,090	1,030,895,659.72	274,824,389
Loans and advances	-	527,614,194	1,155,228,388	6,571,970,903	8,722,894,923
Fixed assets including land, building, furniture and fixtures	-	-	38,397,587	153,590,346.56	114,657,475
Other assets	30,350,739	74,558,204	8,682,229	3,322,126,733	-
Non-financial institutional assets	-	-	-	-	-
Total Assets- A	2,837,848,114	5,725,187,291	1,394,658,293	11,078,583,642	9,112,376,787
Liabilities					
Borrowing from banks, financial institutions and agents	811,573,018	959,837	3,635,759.85	128,829,261	1,516,180,763
Deposits	-	-	-	-	-
Other accounts	-	-	-	-	-
Provision and other liabilities	164,855,226	150,031,684	3,613,709	4,046,537,069	-
Total Liabilities- B	976,428,245	150,991,521	7,249,469	4,175,366,329	1,516,180,763
Net Liquidity (Gap)/Excess (A-B)	1,861,419,870	5,574,195,770	1,387,408,824	6,903,217,313	7,596,196,024
					23,322,437,801

[Signature]

Chief Financial Officer

[Signature]

Company Secretary

[Signature]

Executive Director & CEO

[Signature]

Director

[Signature]

Chairman



Bangladesh Infrastructure Finance Fund Ltd.

Notes to the Financial Statements

For the year ended 31 December 2018

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT100.00 (One hundred) billion divided into 1 (one) billion shares of BDT100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT21.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act 1993.

The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Senior Secretary, Bridges Division, MoRTB; Secretary, Power Division, MoPEMR; Secretary, Road Transport & Highways Division, MoRTB; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Prime Minister's Office; Secretary, Economics Relations Division, MoF and Additional Secretary, Finance Division, MoF.

Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an ex-officio member.

1.02 Nature of business of the Company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.



2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards (IASs)/International Financial Reporting Standards (IFRSs).

Statement of compliance

The financial statements of the company have been prepared in accordance with IFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated 23 December 2009 issued by the Department of Financial Institution and Markets of Bangladesh Bank.

The financial institution has departed from those contradictory requirements of IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

IFRS:

As per requirements of IAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the period-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the period end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

The company has no investment in marketable securities.

2.01.02 Provision on loans and advances

IFRS:

As per IAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments- presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IAS 39. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Cash and cash equivalents

IFRS:

Cash and cash equivalents items should be reported as cash item as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Cash and Cash Equivalents are shown as per DFM Circular No. 11, Dated 23 December 2009.



2.01.06 Non-financial institutional assets**IFRS:**

No indication of non-financial institutional assets is found in any IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-financial institutional asset.

2.01.07 Statement of cash flows**IFRS:**

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank**IFRS:**

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per IAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.01.09 Off balance sheet items**IFRS:**

There is no concept of off balance sheet items in any IFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated 23 December 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement of financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit**IFRS:**

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Other comprehensive income**IFRS:**

As per IAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.



2.01.12 Loans and advances net of provisions

IFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The financial statements of the company include the following components:

1. Statement of Financial Position (Balance Sheet) as at 31 December, 2018.
2. Statement of Comprehensive Income (Profit and Loss A/C) for the year ended 31 December, 2018.
3. Statement of Cash Flows for the year ended 31 December, 2018.
4. Statement of Changes in Equity for the ended 31 December, 2018.
5. Notes to the Financial Statements.

2.03 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment losses on loans and advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amounts and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowances made.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.04 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS 1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next.



2.05 Reporting period

These Financial Statements cover one year starting from 01 January 2018 to 31 December 2018.

2.06 Presentation and functional currencies

The figures of the Financial Statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.07 Assets and basis of their valuation**2.07.01 Cash and cash equivalents**

Cash and Cash Equivalents are shown as per DFIM Circular No. 11, Dated 23 December 2009.

2.07.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The company has no investment in marketable securities.

2.07.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.

a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the period. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as period-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	Rate
Standard (other than SME)	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of Financial Position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.



2.07.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure are capitalized only when it increases the future economic benefits from the assets. All other expenditure are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & Land Development	0%
Computer & IT Equipment	33.33%
Office Equipment	20%
Furniture & Fixtures	10%
Motor Vehicles	20%
Building	10%
Heating, Ventilation, and Air-conditioning (HVAC)	10%
Refrigerator	12.50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

2.07.05 Intangible assets

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Amortization is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Items of intangible Assets

Computer software

Estimate useful life

2 years

2.07.06 Other assets

Other assets include all other financial assets & fees, unrealised income receivable, advance for operating & capital expenditure, stocks of stationery, stamp etc. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.07.07 Non-financial institutional assets

Non-financial institutional assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.07.08 Impairment of assets

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.



2.08 Basis for valuation of liabilities and provisions

2.08.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.

b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with IAS 12 'Income Taxes'. Deferred tax is provided using the asset liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.08.02 Employees' benefit obligation

Defined contribution plan

There is a Provident Fund Scheme under defined contribution plan. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets. The Fund is given to eligible employees at the time of retirement/resignation as per approved rules of the Fund.

Defined benefit plan

The Company has a separate Board of Trustees for operating the staff gratuity fund as per gratuity policy. The amount of provision is transferred to the Board of Trustees of the Fund on a yearly basis.

2.09 Capital and shareholders' equity

2.09.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.09.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.09.03 Statutory reserve

As per the Financial Institute Regulations 1994 it is required for the company to transfer 20% of its current period's profit after tax to reserve until such reserve equals to its paid up capital.

2.09.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.



2.10 Earnings per share

Earnings per shares is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the period. BIFFL calculates EPS in accordance with International Accounting Standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 36.

2.11 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but discloses the existence of contingent liabilities and assets in the financial statements if there is any. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.12 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/ repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.13 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in note no. 44 as per IAS 10 'Events after the reporting period'.

2.14 Compliance Report on International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs)

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Applied
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Discloser of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Partially Applied*
14	IAS-1	Presentation of financial statements	Applied*
15	IAS-2	Inventories	Not Applicable



16	IAS-7	Cash flow statements	Applied*
17	IAS-8	Accounting policies, changes in accounting estimates and errors	Applied
18	IAS-10	Events after the balance sheet date	Applied
19	IAS-11	Construction contract	Not Applicable
20	IAS-12	Income taxes	Applied
21	IAS-14	Segment reporting	Not Applicable
22	IAS-16	Property, plant and equipment	Applied
23	IAS-17	Leases	Not Applicable
24	IAS-18	Revenue	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable
27	IAS-21	The effects of changes in foreign exchange rates	Not Applicable
28	IAS-23	Borrowing costs	Not Applicable
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Partially Applied
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied
39	IAS-38	Intangible assets	Applied
40	IAS-39	Financial instruments: recognition and measurement	Applied*
41	IAS-40	Investment property	Not Applicable
42	IAS-41	Agriculture	Not Applicable
*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements			

2.15 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar- 1: Minimum capital requirement

Credit risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FI's operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.16 Stress testing

Stress testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress testing alerts Financial Institutions' management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress testing supplements other risk management approaches and measures playing particularly important role in:

- ✓ Providing forward-looking assessment of risk;
- ✓ Overcoming limitations of models and historical data;
- ✓ Supporting external and internal communication;
- ✓ Feeding into capital and liquidity planning procedures;
- ✓ Informing the setting of an FI's risk tolerance; and
- ✓ Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.17 IT systems and controls

Information Technology forms an integral part of the NBFIs' Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT division is constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.18 Legal & regulatory compliance

The Company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.



3.00 Cash

	Amount in Taka	
	31-Dec-18	31-Dec-17
Cash in hand (3.1)	118,796	100,566
Balance with Bangladesh Bank and its agents bank(s) (3.2)	33,745,487	41,196,551
	33,864,283	41,297,117

3.1 Cash in hand

In local currency	118,796	100,566
In foreign currency	-	-
	118,796	100,566

3.2 Balance with Bangladesh Bank and its agents bank(s)

Balance with Bangladesh Bank	33,745,487	41,196,551
In foreign currency	-	-
	33,745,487	41,196,551

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note 3.4) and Statutory Liquidity Reserve (note 3.5) have been calculated and maintained in accordance with Financial Institute Regulation 1994 and FID Circular No. 06 dated 6th November, 2003 and FID Circular No. 02 dated 10 November, 2004.

3.4 Cash Reserve Requirement (CRR)

CRR is calculated at the rate of 2.5% on Total Term Deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003 and FID Circular No. 02 dated 10 November 2004. Total Term Deposits mean Term or Fixed Deposits, Security Deposit against Lease/Loan and other Term Deposits received from individuals and institutions (except Banks and Financial Institutions). BIFFL has no such Term Deposits. Therefore, required reserve of CRR is nil.

Required reserve	-	-
Actual reserve held	33,745,487	41,196,551
Surplus/(Deficit)	33,745,488	41,196,551

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 2.5% of total liabilities. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

Required reserve	144,962,114	1,875,431
Actual reserve held	7,865,138,445	9,443,482,703
Surplus/(Deficit)	7,720,176,331	9,441,607,272

4 Balance with other banks and financial institutions

Inside Bangladesh		
Current accounts (Note-4.1)	786,379	97,917
Short noticed deposit account (Note-4.2)	213,000,420	121,230,612
Fixed deposit accounts (Note-4.3)	7,617,487,363	9,280,957,623
	7,831,274,161	9,402,286,152
Outside Bangladesh	-	-
	7,831,274,161	9,402,286,152

The Company does not maintain any account outside Bangladesh.

4.1 Current account

One Bank Ltd.	32,791	33,941
Dutch Bangla Bank Ltd.	753,588	63,976
	786,379	97,917



4.2 Short noticed deposit account

	Amount in Taka	
	31-Dec-18	31-Dec-17
One Bank Ltd.	8,383,260	106,892,094
NRB Bank Ltd.	7,068,860	6,869,531
United Commercial Bank Ltd.	1,589,443	6,507,988
Shahjalal Islami Bank Ltd.	168,396,002	847,535
Sonali Bank Ltd.	116,912	113,463
Agrani Bank Ltd.	7,471,775	-
Uttara Bank Limited	19,974,166	-
	213,000,420	121,230,612

4.3 Fixed deposit accounts

AB Bank Ltd.	-	101,537,010
First Security Islami Bank Ltd.	40,000,001	161,588,125
NRB Commercial Bank Ltd.	90,720,000	80,000,001
NRB Bank Ltd.	53,875,084	50,000,000
One Bank Ltd.	32,366,995	31,450,064
Midland Bank Ltd.	-	50,000,000
Union Bank Ltd.	22,472,328	70,959,962
SBAC Bank Ltd.	163,697,916	42,548,302
IDLC Finance Ltd.	-	33,285,436
Premier Bank Ltd.	20,978,717	101,550,000
Modhumoti Bank Ltd.	-	50,000,000
Shahjalal Islami Bank Ltd.	31,671,998	80,947,375
City Bank Ltd.	-	100,000,000
Delta Brac Housing Corp. Ltd.	21,309,798	104,087,150
Eastern Bank Limited	60,000,000	-
EXIM Bank Ltd.	30,999,036	293,177,915
Lanka Bangla Finance Ltd.	-	200,000,000
NRB Global bank Ltd.	60,337,501	191,712,904
Farmers (Padma) Bank Ltd.	1,174,149,640	1,239,241,615
National Bank Ltd.	-	22,165,896
United Commercial Bank Ltd.	81,913,666	61,519,714
Bank Asia Ltd.	-	21,696,352
International Leasing and Financial Services Ltd.	726,925,625	711,770,550
ICB Islamic Bank Ltd.	463,150,871	582,351,943
IFIC Bank Ltd.	315,317,268	636,743,136
FAS Finance & Investment Ltd.	573,173,603	519,806,205
First Finance Ltd.	201,905,278	181,285,517
Premier Leasing & Finance Ltd.	273,037,500	150,000,000
Peoples Leasing & Financial Services Ltd.	572,267,941	560,253,865
NCC Bank Ltd.	-	135,673,450
BD Finance & Investment Ltd.	81,931,751	130,000,000
Social Islami Bank Ltd.	20,748,879	172,341,869
Mercantile Bank Ltd.	-	70,000,000
Bangladesh Commerce Bank Ltd.	120,956,250	152,038,335
Bay Leasing & Investment Ltd.	30,000,000	52,487,007
BIFC Ltd.	555,380,015	518,243,674
Brac Bank Ltd.	101,524,206	50,000,000
Fareast Finance & Investment Ltd.	350,000,000	350,000,000
Reliance Finance Ltd.	160,000,000	160,000,000
Islami Bank Bangladesh Ltd.	-	230,000,000
Meridian Finance & Investment Ltd.	402,225,000	50,000,000



	Amount in Taka	
	31-Dec-18	31-Dec-17
National Housing and Finance Ltd.	60,663,000	-
Prime Finance & Investment Ltd.	300,000,000	300,000,000
Standard Bank Ltd.	-	80,494,250
United Finance Ltd.	51,237,500	-
Union Capital Ltd.	362,550,000	400,000,000
IPDC Finance Ltd.	10,000,000	-
	7,617,487,363	9,280,957,623
4.4 Maturity grouping of balance with banks and other financial institutions		
On demand	786,379	97,917
Up to 1 month	2,559,846,294	1,456,754,967
Over 1 month but not more than 3 months	5,270,641,488	7,945,531,185
Over 3 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	7,831,274,161	9,402,384,070
5 Money at call and short notice		
Bangladesh Commerce Bank Ltd.	-	30,000,000
FAS Finance & Investment Ltd.	-	30,000,000
	-	60,000,000
6 Investments		
Investment classified as per nature:		
Government bond (Note-6.1)	-	-
Other investments (Note-6.2)	1,563,443,964	2,497,603,687
	1,563,443,964	2,497,603,687
6.1 Government bond		
Treasury bills	-	-
National investment bonds	-	-
Bangladesh Bank bills	-	-
Government notes/bonds	-	-
Others	-	-
	-	-
The Company has no investment in Government bond.		
6.2 Other investments		
Investment in preference share (6.2.1)	1,089,393,936	436,363,632
Investment in commercial paper (6.2.2)	250,000,000	1,750,000,000
Investment in bond (6.2.3)	224,050,028	311,240,055
	1,563,443,964	2,497,603,687
6.2.1 Investment in preference share		
Rajlanka Power Company Ltd.	339,393,936	436,363,632
Doreen Power House & Technologies Ltd.	400,000,000	-
Summit Ace Alliance Port Ltd.	350,000,000	-
	1,089,393,936	436,363,632
6.2.2 Investment in commercial paper		
MAX Infrastructure Ltd.	-	1,000,000,000
Computer Source Ltd.	250,000,000	250,000,000
LankaBangla Finance Ltd.	-	500,000,000
	250,000,000	1,750,000,000



6.2.3 Investment in bond

IDLC zero coupon bond

Amount in Taka	
31-Dec-18	31-Dec-17
224,050,028	311,240,055
224,050,028	311,240,055

7 Leases, loans and advances**a) Inside Bangladesh**

Leases (Note-7.1)

Loans

Cash credits

Overdrafts

Sub-total

b) Outside Bangladesh**Total**

-	-
16,977,708,408	10,719,748,885
-	-
-	-
16,977,708,408	10,719,748,885
-	-
16,977,708,408	10,719,748,885

7.1 Leases

-	-
---	---

7.2 Sector wise leases, loans and advances

Public sector

Co-operative sector

Private sector

5,396,582,235	4,140,207,975
-	-
11,581,126,173	6,579,540,910
16,977,708,408	10,719,748,885

7.3 Residual maturity grouping of leases, loans and advances

On demand

Up to 1 month

Over 1 month but not more than 3 months

Over 3 months but not more than 1 year

Over 1 year but not more than 5 years

Over 5 years

-	-
-	-
527,614,194	72,916,778
1,155,228,388	3,361,828,479
6,571,970,903	7,178,563,782
8,722,894,923	106,439,846
16,977,708,408	10,719,748,885

7.4 Leases, loans and advances on the basis of significant concentration

a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)

b. Leases, loans and advances to Chief Executive Officer and other senior executives

c. Leases, loans and advances to customer groups

d. Leases, loans and advances on sector basis:

i) Textiles

ii) Garments and accessories

iii) Transport (including Marin Transport)

iv) Chemicals and pharmaceuticals

v) Iron, steel and engineering

vi) Agricultural equipments and agro industries

vii) Power and energy

viii) Electronics and electrical

ix) Information technology (IT)

x) Paper printing and packaging

xi) Plastic

xii) Real estate and housing

xiii) Food and beverage

xiv) Glass and ceramics

xv) Services

xvi) Others

Sub-total

-	-
2,900,725	41,618
-	-
-	-
14,535,416	664,378,185
1,430,006,489	-
5,683,422,222	3,200,000,000
-	-
736,657,322	800,000,000
-	-
1,176,563,047	244,962,850
186,539,617	-
-	-
-	-
5,126,319	-
-	-
3,128,546	-
1,104,177,287	467,547,146
1,226,668,940	1,202,611,111
5,407,982,478	4,140,207,975
16,977,708,408	10,719,748,885



7.5 Leases, loans and advances on geographical basis**Inside Bangladesh:****Urban**

	31-Dec-18	31-Dec-17
Dhaka Division	4,455,000,000	4,703,595,002
Chattogram Division	223,947,929	1,000,000,000
Khulna Division	-	-
Rajshahi Division	-	-
Barishal Division	-	-
Sylhet Division	-	-
Sub-total	4,678,947,929	5,703,595,002

Rural

Dhaka Division	5,415,051,184	873,334,797
Chattogram Division	3,674,273,189	909,055,087
Khulna Division	3,128,546	-
Rajshahi Division	53,168,036	-
Barisal Division	-	-
Sylhet Division	3,153,139,524	3,233,763,999
Sub-total	12,298,760,479	5,016,153,883

Outside Bangladesh

	-	-
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Total	16,977,708,408	10,719,748,885
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7.6 Classification of Leases, loans and advances**Unclassified**

Standard	16,972,582,089	10,719,707,267
Special mention account	-	-
Sub-total	16,972,582,089	10,719,707,267

Classified

Sub-standard	5,126,319	-
Doubtful	-	-
Bad/Loss	-	-
Sub-total	5,126,319	-
Total	16,977,708,408	10,719,707,267

7.7 Particulars of loans, advances and leases

i) Loan considered good in respect of which the Bank/ FI is fully secured	5,398,477,341	4,143,470,771
ii) Loan considered good for which the Bank/FI holds no other security than the debtor's personal security.	2,928,818,570	1,081,864,953
iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	8,650,412,497	5,494,413,162
iv) Loan adversely classified; for which no provision is created.	-	-
Total	16,977,708,408	10,719,748,885

v) Loan due by directors or officers of the Bank/ FI or any of them either jointly or separately with any other persons.	2,900,725	41,618
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vi) Loan due by companies and firms in which the directors of the Bank/ FI have interests as directors, partners or managing agent or in case of private companies as members.	-	-
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vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the Bank/FI or any of them either severally or jointly with any other persons.	-	-
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	Amount in Taka	
	31-Dec-18	31-Dec-17
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the Bank/ FI have interests as directors, partners or managing agents or, in case of private companies as members.	-	-
ix) Due from other bank/ FI companies	-	-
x) Information in respect of classified loans and advances:	-	-
a) Classified loans for which interest/ profit not credited to income	5,126,319	-
b) Amount of provision kept against loans classified as bad/ loss as at the Balance Sheet date	-	-
c) Amount of interest credited to the interest suspense account	126,319	-
xi) Cumulative amount of written off loans:		
Opening balance	-	-
Amount written off during the period	-	-
Amount received from written off during the period	-	-
Balance of written off loans and advances yet to be recovered	-	-
The amount of written off loans for which law suits have been filed.		
8 Bills purchased and discounted		
Payable inside Bangladesh	-	-
Payable outside Bangladesh	-	-
The Company has no bills purchased and discounted-		
9 Fixed assets including premises, furniture and fixtures		
Cost:		
Opening balance	327,635,688	320,227,976
Addition during the period	70,088,107	7,407,712
	397,723,795	327,635,688
Disposal/Adjustment during the period	384,375	-
Closing balance (A)	397,339,420	327,635,688
Less: Accumulated depreciation:		
Opening balance	60,642,515	23,848,129
Charged during the period	38,397,587	36,794,386
	99,040,102	60,642,515
Adjustment for disposal during the period	346,090	-
Closing balance (B)	98,694,013	60,642,515
Written down value (A-B)	298,645,408	266,993,173
Details are in (Annexure-A)		
9.1 Capital work in process:		
Opening balance	-	-
Addition during the year:		
Intangible assets- Development of Core Financial Software	8,000,000	-
Closing balance	8,000,000	-



Amount in Taka		
	31-Dec-18	31-Dec-17
10 Other assets		
Advance income tax (Note-10.1)	3,282,369,129.46	2,662,388,461
Interest receivables on FDR	92,777,442.38	73,640,613
Interest receivables on STL	-	85,833
Security deposit	63,975.00	63,975
Advance to suppliers	936,206.00	22,542,483
Office rent receivables	25,754.19	1,932,271
Deferred tax assets (Note-10.2)	463,038.80	1,019,127
Advance to staff	264,326.00	78,888
Receivables against investment (Note-10.3)	58,425,434.41	71,148,602
Bill receivables	-	1,554,899
Advance payroll tax	392,598.00	-
	3,435,717,904	2,834,455,153
10.1 Advance income tax		
Opening balance	2,662,388,461	2,265,245,371
Income tax deducted at sources	89,980,669	84,176,834
Paid during the period	530,000,000	312,966,256
Less: Adjustment of AIT (Assessment Year 2015-16)	-	-
Closing balance	3,282,369,129	2,662,388,461
10.2 Deferred tax assets		
Opening balance	1,019,127	987,182
Deferred tax income /(expense) during the period	(556,089)	31,945
	463,039	1,019,127
Tax deductible temporary difference		
Gratuity payable	1,157,597	2,397,947
Applicable tax rate	40.00%	42.50%
Closing deferred tax assets	463,039	1,019,127
10.3 Receivables against investment		
Dividend receivable (Note-10.3.1)	18,102,439	11,029,037
Interest receivable on commercial paper (Note-10.3.2)	34,387,233	56,419,444
Interest receivable on zero coupon bond (Note-10.3.3)	5,935,763	3,700,121
	58,425,434	71,148,602
10.3.1 Receivable in preference share		
Rajlanka Power Company Ltd.	8,707,347	11,029,037
Doreen Power House & Technologies Ltd.	7,353,425	-
Summit Ace Alliance Port Ltd.	2,041,667	-
	18,102,439	11,029,037
10.3.2 Receivable in commercial paper		
MAX Infrastructure Ltd.	-	10,752,778
Computer Source Ltd.	34,387,233	20,250,000
LankaBangla Finance Ltd.	-	25,416,667
	34,387,233	56,419,444



		Amount in Taka	
		31-Dec-18	31-Dec-17
10.3.3 Receivable in bond			
IDLC zero coupon bond		5,935,763	3,700,121
		5,935,763	3,700,121
11 Non-financial institutional assets		-	-
12 Borrowings from banks, other financial institutions and agents			
Inside Bangladesh (Note-12.1)		1,027,731,764	3,473,688
Outside Bangladesh (Note-12.2)		1,433,446,875	-
		2,461,178,639	3,473,688
12.1 Inside Bangladesh			
Advance from BB Refinance Scheme		216,410,829	3,473,688
Secured overdraft and STL		811,320,935	-
		1,027,731,764	3,473,688
12.2 Outside Bangladesh			
Borrowing from EECFPF JICA Loan No-BD-P90		1,433,446,875	-
		1,433,446,875	-
13 Deposits and other accounts		-	-
14 Other liabilities			
Provision for income tax (Note-14.1)		3,721,360,000	2,952,882,026
Account payables (Note-14.2)		12,916,658	7,566,956
Advance commercial space rent		-	966,129
Provision for leases, loans, & advances (Note-14.5)		433,617,842	184,376,414
Deferred tax liabilities (Note-14.3)		6,920,674	5,724,277
Employee benefit liabilities (Note-14.4)		1,686,954	2,784,805
Audit fees payable		224,250	90,000
Security deposit payable		125,000	125,000
Account payable		-	-
Interest suspense account		34,513,552	20,250,000
Interest payable		3,672,758	1,447
Dividend payable		150,000,000	-
		4,365,037,689	3,174,767,054
14.1 Provision for income tax			
Opening balance		2,952,882,026	2,311,030,387
Add: Addition during this period		768,477,974	641,851,639
Less : Adjustment of AIT (Assessment Year 2015-16)		-	-
Closing balance		3,721,360,000	2,952,882,026
14.2 Account payables			
Withholding and payroll tax		976,073	466,708
Withholding VAT		2,268,583	1,066,871
Bill payable		9,672,003	6,033,377
		12,916,658	7,566,956
14.3 Deferred tax liabilities			
Opening balance		5,724,277	8,170,713
Deferred tax (income)/expense during the period		1,196,397	(2,446,436)
		6,920,674	5,724,277



	Amount in Taka	
	31-Dec-18	31-Dec-17
Taxable temporary difference		
Carrying amount of fixed assets as per accounting base	298,645,408	266,993,173
Carrying amount of fixed assets as per tax base	281,343,723	253,524,285
Taxable temporary difference on fixed assets	17,301,685	13,468,888
Applicable tax rate	40.00%	42.50%
Closing deferred tax liabilities	6,920,674	5,724,277
Deferred tax liabilities at the beginning of the period	5,724,277	8,170,713
Deferred tax expense/(income) during the period	1,196,397	(2,446,436)
14.4 Employee benefit liabilities		
Gratuity payable		
Opening balance	2,397,947	2,409,405
Addition during the period	2,659,410	2,397,947
Less: Amount transferred during the period	3,899,760	2,409,405
Closing balance (A)	1,157,597	2,397,947
Contributory Provident Fund (CPF) payable		
Opening balance	386,857	1,060,952
Addition during the period	4,357,829	3,502,400
Less: Amount transferred during the period	4,215,329	4,176,494
Closing balance (B)	529,357	386,858
Total (A+B)	1,686,954	2,784,805
14.5 Provision for Lease, loans, advances and investment		
General provision		
Lease Loans and Advances:		
Opening balance	111,391,391	77,833,993
Addition during the period	58,334,430	33,557,398
Closing balance (i)	169,725,821	111,391,391
Investment:		
Opening balance	22,985,023	25,683,972
Addition/(Deduction) during the period	(9,610,201)	(2,698,949)
Closing balance (ii)	13,374,821	22,985,023
Closing balance of total general provision- i+ii (A)	183,100,642	134,376,414
Specific provision		
Lease Loans and Advances:		
Opening balance	-	-
Addition during the period	517,200	-
Closing balance (i)	517,200	-
Investment:		
Opening balance	50,000,000	-
Addition during the period	200,000,000	50,000,000
Closing balance (ii)	250,000,000	50,000,000
Closing balance of total specific provision - i+ii (B)	250,517,200	50,000,000
Closing of balance of total provision maintained(A+B)	433,617,842	184,376,414
15.1 Authorized capital		
1,000,000,000 ordinary shares of Tk.100 each	100,000,000,000	100,000,000,000
15.2 Issued, subscribed & paid up capital		
21,080,000 Shares (2018) & 205,900,000 shares (2017) @Tk.100 each	21,080,000,000	20,590,000,000



Amount in Taka	
31-Dec-18	31-Dec-17

15.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guidelines of Bangladesh Bank, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core Capital)

Fully paid-up capital/ capital lien with BB
Statutory reserve
Non-repayable share premium account
General reserve
Retained earnings
Minority interest in subsidiaries
Non-cumulative irredeemable preference shares
Dividend equalization account
Others (if any item approved by Bangladesh Bank)

21,080,000,000	20,590,000,000
1,568,487,560	1,402,828,685
-	-
-	-
673,950,242	651,314,740
-	-
-	-
-	-
-	-
23,322,437,802	22,644,143,424

Sub-Total

Deductions from tier-1 (Core capital)

Book value of goodwill and any value of any contingent assets which are shown as assets
Shortfall in provisions required against classified assets
Shortfall in provisions required against investment in share
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities
Any investment exceeding the approved limit
Investments in subsidiaries which are not consolidated
Others (if any)

-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-

Sub-Total

Total eligible tier-1 capital

-	-
23,322,437,802	22,644,143,424

2. Tier-2 (Supplementary capital)

General provision (Unclassified up to special limit+SMA+ off balance sheet exposure)
Assets revaluation reserves upto 50%
Revaluation reserve for securities upto 50%
All other preference shares
Others (if any item approved by Bangladesh Bank)

183,100,642	134,376,414
-	-
-	-
-	-
-	-

Sub-Total

Deductions, if any

Total eligible tier-2 capital

183,100,642	134,376,414
-	-
183,100,642	134,376,414

Total capital

23,505,538,444	22,778,519,837
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Total risk weighted asset

13,275,234,723	15,216,900,000
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Required capital

1,327,523,472	1,521,690,000
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Surplus/(Deficit)

22,178,014,972	21,256,829,837
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Capital Adequacy Ratio (CAR)

177%	149.69%
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On core capital (Tier-1)

176%	148.81%
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On supplementary capital (Tier-2)

1.38%	0.88%
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16 Statutory reserve

Amount in Taka	
31-Dec-18	31-Dec-17
Opening balance	1,402,828,685
Add: Transferred during the period	165,658,876
Closing balance	1,568,487,560

According to the Rule 6 of The Financial Institute Regulation 1994, the company transfers 20% of its net profits for the respective period to statutory reserve.

17 Other reserve

-	-
---	---

The company doesn't maintain any other reserve.

18 Retained earnings

Opening balance	651,314,740	648,028,901
Add: Net profit for the period	828,294,378	804,107,298
	1,479,609,118	1,452,136,199
Less: Transferred to statutory reserve for the period	165,658,876	160,821,460
Less: Stock dividend	490,000,000	490,000,000
Less: Cash dividend	150,000,000	150,000,000
Closing balance	673,950,242	651,314,740

19 Income statement**19.1 Income**

Interest, discount and similar income	-	-
Interest income on leases, loans and advances (Note-20)	1,132,242,764	748,241,004
Investment income (Note-22)	88,050,697	175,222,608
Other operating income (Note-23)	815,591,322	729,908,798
	2,035,884,783	1,653,372,411

19.2 Expenses

Interest expenses on deposits, borrowings etc. (Notes-21)	32,411,434	3,232,010
Salary and allowances (Note-24)	47,539,659	39,034,424
Rent, taxes, insurance, electricity etc. (Note-25)	5,867,323	3,663,665
Legal expenses (Note-26)	1,330,400	728,641
Postage, stamp, telecommunication etc. (Note-27)	1,707,532	1,553,885
Stationery, printing, advertisement etc. (Note-28)	14,634,009	4,956,661
Managing Director's salary and allowances (Note-29)	10,252,610	9,555,876
Directors' fees (Note-30)	1,348,024	1,257,088
Auditors' fees (Note-31)	368,000	120,050
Charges on loan losses	-	-
Depreciation and repairs of company's assets (Note-32)	40,861,386	38,826,235
Other operating expenses (Note-33)	31,798,141	26,104,871
	188,118,517	129,033,405

20 Interest income on leases, loans and advances

Interest income from term loan (Note-20.1)	1,132,242,764	748,241,004
	1,132,242,764	748,241,004



Amount in Taka		
	31-Dec-18	31-Dec-17
20.1 Interest Income from Loans to Large Infrastructure Projects	1,000,167,997	672,635,343.62
Interest Income from Loans to Sustainable and Eco-Friendly Projects	130,730,055	75,605,660.69
Interest Income from Women Entrepreneur Development Financing	1,343,988	-
Interest Income from Staff Loan	725	-
	1,132,242,764	748,241,004.31
21 Interest expenses on deposits, borrowings etc.		
Interest expese on BB Refinance Scheme	4,052,010	565,921
Interest expenses on borrowing in the form of SOD and STL	12,412,549	2,666,088
Interest expenses on borrowing from JICA	15,946,875	-
	32,411,434	3,232,010
22 Investment income		
Interest income from commercial paper (Note-22.1)	25,631,806	117,144,444
Interest Income from bond (Note-22.2)	15,045,614	8,113,337
Dividend Income from preference share (Note-22.3)	47,373,277	49,964,827
	88,050,697	175,222,608
22.1 Interest income from Commercial Paper		
LankaBangla Finance Ltd.	2,708,333	25,416,667
Computer Source Ltd.	200,000	5,625,000
Max Infrastructure Ltd.	22,723,473	50,602,778
Energy Pac Engineering Ltd.	-	11,666,667
Durable Plastics Ltd.	-	23,833,333
	25,631,806	117,144,444
22.2 Interest Income from Bond		
IDLC zero coupon bond	15,045,614	8,113,337
	15,045,614	8,113,337
22.3 Dividend Income from Preference Share		
Summit Narayanganj Power Unit-II Ltd.	-	8,049,276
Summit Barisal Power Ltd.	-	10,064,597
Doreen Power House & Technologies Ltd.	7,353,425	-
Rajlanka Power Company Ltd.	37,978,185	31,850,954
Summit Ace Alliance Ltd.	2,041,667	-
	47,373,277	49,964,827
23 Other operating income		
Interest revenue (FDR)	800,160,292	706,605,190
Interest on Short Term Loan (STL)	2,900,117	200,556
Interest on SND	5,194,834	5,497,210
Revenue from fees (Note-23.1)	4,765,139	11,774,450
Rental income	2,570,940	5,831,392
	815,591,322	729,908,798
23.1 Revenue from fees		
Due diligence fees	1,361,739	990,363
Loan application fees	383,400	880,000
Participation fees	3,020,000	9,904,087
	4,765,139	11,774,450



Amount in Taka		
	31-Dec-18	31-Dec-17
24 Salary and allowances		
Salary and allowances	40,778,856	33,438,705
Bonus	4,576,393	3,625,927
Gratuity expenses	2,184,410	1,969,792
	47,539,659	39,034,424
25 Rent, taxes, insurance, electricity etc.		
Rent and taxes	2,276,533	1,784,298
Electricity and WASA bill	2,427,380	1,093,718
Health insurance premium	589,597	484,419
Vehicle insurance premium	573,813	301,230
	5,867,323	3,663,665
26 Legal expenses		
Legal expense	586,333	362,721
Renewal & registration	726,373	355,260
Stamp cost	17,694	10,660
	1,330,400	728,641
27 Postage, stamp, telecommunication etc.		
Postage and courier	6,864	15,016
Telephone, fax, internet and mobile	569,354	450,985
Internet & networking expense	531,314	487,884
Internet bandwidth charge (Broadband)	600,000	600,000
	1,707,532	1,553,885
28 Stationery, printing, advertisement etc.		
Printing and stationery	2,090,158	849,756
Advertisement and publicity	9,505,374	2,715,260
Books & periodicals	2,440	5,375
Business development expenses	1,359,201	324,120
Gift expenses	1,676,836	1,062,150
	14,634,009	4,956,661
29 Managing Director's salary and allowances		
Remuneration	8,740,490	7,694,676
Bonus	1,037,120	1,346,400
Gratuity expenses	475,000	514,800
	10,252,610	9,555,876
30 Directors' fees		
Directors' fees	1,348,024	1,257,088
	1,348,024	1,257,088
31 Auditors' fees	368,000	120,050
32 Depreciation and repairs of company's assets		
Repairs & maintenances	2,425,514	2,031,849
Depreciation on company's fixed assets (Annexure-A)	38,397,587	36,794,386
Loss on disposal of assets	38,285	-
	40,861,386	38,826,235



33 Other operating expenses

Amount in Taka		
	31-Dec-18	31-Dec-17
Office maintenance	6,890,926	3,418,399
Training expenditure	2,552,130	1,233,216
Bank charge & commission	3,977,127	3,964,407
Entertainment expenses	2,062,918	1,801,972
Promotional expenditure	2,288,738	6,295,580
Consultancy and professional fees	735,400	255,606
AGM expenditure	1,207,899	1,184,000
Project site supervision expenses, travelling and conveyances	4,482,131	2,393,560
Board meeting expenses	416,909	1,400,826
Tax consultant fees	258,750	368,000
Recruitment expenses	906,570	357,000
Membership expenses	239,583	203,450
CIB charges	649,098	618,922
CSR expenses	2,462,178	1,846,742
IT maintenance	2,370,336	763,191
Prevention of anti money laundering, implementation of ethics and integrity	297,449	-
	31,798,141	26,104,871

34 Provision for investment, leases, loans and advances

General provision	48,724,229	30,858,449
Specific provision	200,517,200	50,000,000
	249,241,429	80,858,449

35 Provision for income tax

Current tax (Note-35.1)	768,477,974	641,851,639
Deferred tax (income)/expense during the period	1,752,485	(2,478,381)
	770,230,459	639,373,258

35.1 Current tax expense

Income tax expense during the period	768,477,974	641,851,639
Previous year shortage of tax provision	-	-
	768,477,974	641,851,639

36 Earning per Share

Earning per Share (EPS) is calculated in accordance with IAS 33. Earning per Share has been calculated as follows:

Net profit after tax	828,294,378	804,107,298
Number of ordinary shares outstanding	210,800,000	210,800,000
Earning per Share (restated)	3.93	3.81

The EPS for the period ended 31 December 2017 is being restated as 4,900,000 no. of stock dividend was issued for the year ended 31 December 2017.



Amount in Taka	
31-Dec-18	31-Dec-17

37 Related party disclosures

The company doesn't have any transaction with related party.

38 Listing Requirments

The Management understands that it is applicable for BIFFL to commence its IPO application process as per Bangladesh Securities and Exchange Commission (BSEC) notification no. SEC/CMRRCD/2006-159/36/Admin/03-44 dated 05 May 2010; which has wide ranging implications for the Company as a whole.

In this regard, the Company has made communication with BSEC vide letter no. BIFFL/CEO/1.14.3/408 dated 08 November 2017. BIFFL has made a Five-year startegic plan for the Organisation with the investment projection and probable sources of fund where it plans to start the process of raising capital/fund through Initial Public Offerings (IPO). The Board of Directors of BIFFL, headed by the Secretary, Finanace Division, Ministry of Finance, in its 55th meeting held on 31-07-2017, accorded its consent to start working for IPO.

39 Unacknowledged debt

The company had no claim against it which has not been acknowledged as debt at the balance sheet date.

40 Receivable from directors

No amount is due from any of the Directors of the Company.

41 Disclosure regarding branch

As at December 2018, the Company has no branch in or outside Bangladesh.

42 Disclosure of Executive Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the period 2018.

43 Rounding off

Monetary figures in the Financial Statements have been rounded off to the nearest Taka.

44 Authorization for issue

The Board of Directors at its 73rd meeting of the board held on 21 February 2019 recommended to the shareholders a cash dividend BDT20 crore. This will be considered for approval by the shareholders at the 8th Annual General Meeting (AGM) to be held on 20 March 2019.

45 Events after the reporting period

There are no events after reporting period.



Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2018

Particulars	Cost			Depreciation				Written down value		Amount in Taka	
	Balance as at 01.01.18	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.18	Rate	Balance as at 01.01.18	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.18		As at 31.12.18
Computer & IT Equipment											
Scanner & printer	554,832.00	167,140	-	721,972.00	33.33%	320,164	140,097.53	-	460,261.39	261,711	234,668
Desktop & laptop	4,061,036.00	1,791,000	384,375	5,467,661.50	33.33%	2,319,849	1,265,061.27	346,089	3,238,820.52	2,228,841	1,741,187
IT Pannel & PFI llant & PABX & others	817,082.00	8,294,606	-	9,111,688.00	33.33%	584,405	1,823,864.34	-	2,408,269.62	6,703,418	232,677
Multimedia projector	319,200.00	222,000	-	541,200.00	33.33%	161,143	78,521.01	-	239,663.93	301,536	158,057
Projector screen	20,000.00	-	-	20,000.00	33.33%	19,999	-	-	19,999.00	1	1
Wifi system	432,000.00	-	-	432,000.00	33.33%	221,304	143,985.60	-	365,289.89	66,710	210,696
Office Equipment											
Office equipment	3,243,403.00	6,115,231.90	-	9,358,634.90	20%	1,076,518	909,067.59	-	1,985,585.99	7,373,049	2,166,885
HVAC	-	9,296,359.50	-	9,296,359.50	10%	-	140,082.13	-	140,082.13	9,156,277	-
Refrigerator	-	187,880.70	-	187,880.70	12.5%	-	3,538.85	-	3,538.85	184,342	-
Electric meter	9,400.00	-	-	9,400.00	10%	4,700	940.00	-	5,640.00	3,760	4,700
Wasa meter	5,980.00	-	-	5,980.00	10%	3,587	598.00	-	4,185.00	1,795	2,393
Civil construction	1,536,612.00	-	-	1,536,612.00	50%	1,536,611	-	-	1,536,611.38	1	1
Building	291,527,555.00	-	-	291,527,555.00	10%	39,914,468	29,152,755.50	-	69,067,223.14	222,460,332	251,613,087
Furnitures & fittings	2,612,026.00	30,929,721	-	33,541,747.30	10%	573,217	738,407.82	-	1,311,625.13	32,230,122	2,038,809
Vehicle	22,211,202.00	13,084,168	-	35,295,370.00	20%	13,621,189	4,000,666.95	-	17,621,856.42	17,673,513.58	8,590,013
Sub total	327,350,328.00	70,088,107	384,375	397,054,060.90		60,357,155	38,397,586.60	346,089	98,408,652.38	298,645,409	266,993,173
Intangible Assets											
Website	172,500.00	-	-	172,500.00	50%	172,500	-	-	172,500.00	-	-
Accounting software	112,860.00	-	-	112,860.00	50%	112,860	-	-	112,860.00	-	-
Sub total	285,360.00	-	-	285,360.00		285,360	-	-	285,360.00	-	-
Total	327,635,688.00	70,088,107	384,375	397,339,420.90		60,642,515	38,397,586.60	346,089	98,694,012.38	298,645,409	266,993,173





VOTE OF THANKS

It is a pleasure for the Management of Bangladesh Infrastructure Finance Fund Limited (BIFFL) to organize the 8th Annual General Meeting (AGM) and prepare the Annual Report. The Report contains the material information, financial outcomes as well as the Governance and Compliance Status of the organization during the FY2018.

On behalf of the Management, I would like to express gratitude to the honorable Chairman and Members of the Board of Directors, Executive Director & CEO for their immense support and guidelines. I would like to thank all the employees & staffs of BIFFL particularly in the department of HR & Administration, Finance & Accounts and Credit & Investment for their great efforts and sincerity to complete the Annual Report and organize the AGM.

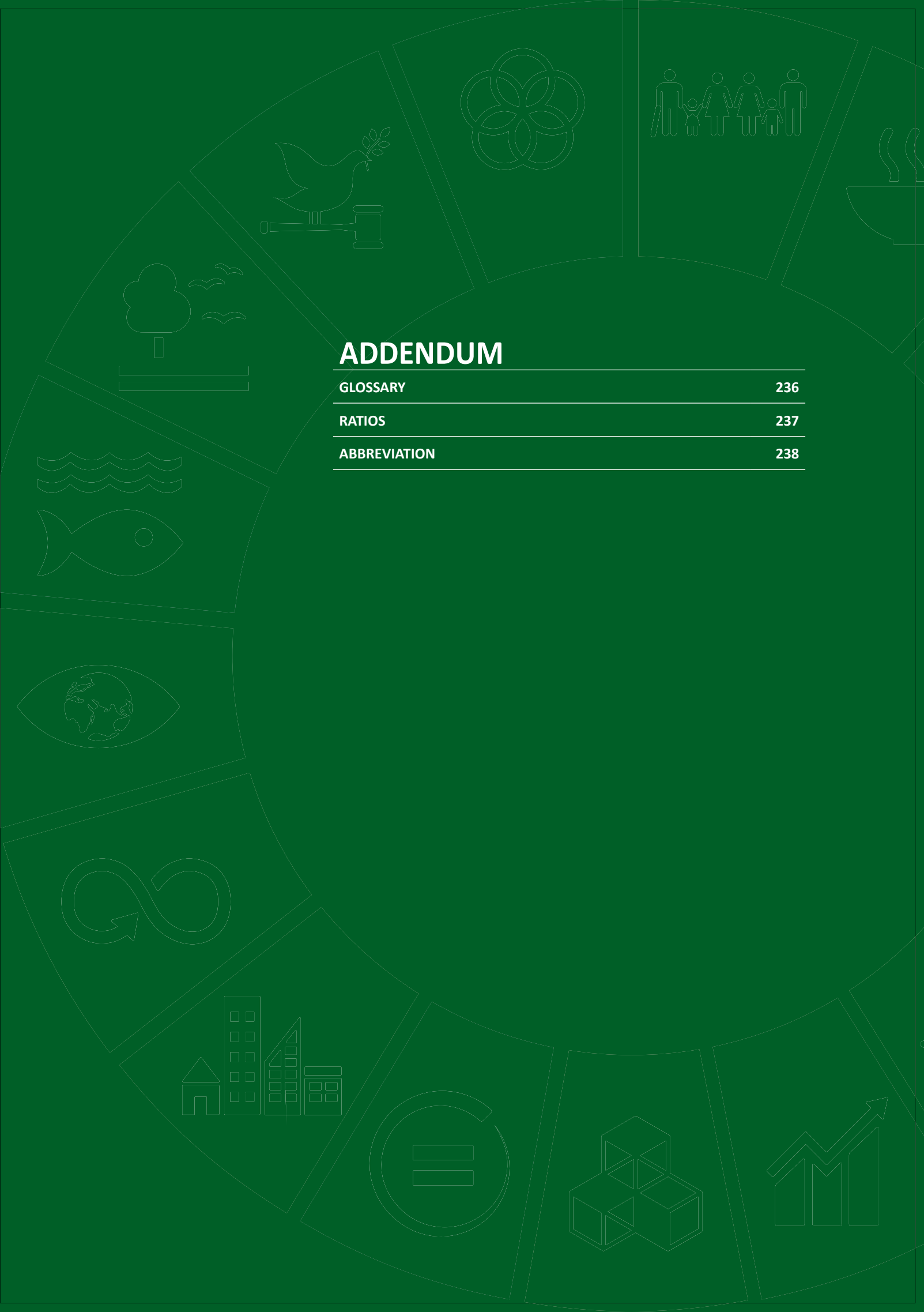
I would like to convey our gratitude to the Finance Division of the Ministry of Finance, Regulatory Bodies, Auditors, Clients, Bankers as well as all Stakeholders of the organization.

Please accept our sincere apology for any inadvertent mistake that may have occurred in the Annual Report.

Best Regards.

Yours Sincerely,

Mohammad Khan FCS
Secretary



ADDENDUM

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GLOSSARY

Terms	Meaning
Accrual Basis	Recognizing the effects of transactions and events when they occur, without waiting for receipt or payment of cash or cash equivalent.
Amortization	Amortization is the systematic allocation of the depreciable amount of an intangible asset over its useful life.
Cash Basis	Recognizing the effects of transactions and events when receipt or payment of cash or cash equivalent occurs.
Cash Equivalents	Short-term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk in change in value.
Depreciation	Depreciation is the allocation of the depreciable amount of an asset over its estimated useful life. Depreciation for the accounting period is charged to net profit or loss for the period either directly or indirectly.
Dividend	The proportion of profit distributed to shareholders inclusive of tax withheld.
Gross Portfolio	Leases, Loans & Advances and investments granted to clients under loan and quasi equity facilities.
Net Portfolio	Leases, Loans & Advances granted to clients under loan facilities.
Intangible Asset	An intangible asset is an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.
Interest Expenses	The sum of monies accrued and payable to the sources of borrowed working capital.
Paid up Capital	All amounts received by the Company or due and payable to the Company in respect of the issue of shares
Provision	Amounts set aside against possible losses on net receivable of facilities granted to clients, as a result of them becoming partly or wholly uncollectible.
Related Parties	Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.
Related Party Transactions	A transfer of resources or obligations between related parties, regardless of whether a price is charged.
Shareholders' Equity	Total of issued and fully paid ordinary share capital and reserves.
Value Addition	Value of wealth created by providing leases, loans & advances and other related services considering the cost of providing such services.



RATIOS

Ratio	Method of computation	Indication
Cost to Income Ratio	Operating expenses excluding provision for bad and doubtful debts as a percentage of total income.	Efficiency of cost management in generating operating income, net of interest cost.
Earnings per Share (EPS)	Profit attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.	Share of current year's earnings attributable to an ordinary share in issue.
Net Asset Value per Share	Ordinary shareholders' funds divided by the number of ordinary shares in issue.	Book value of ordinary shares.
Return on Assets (ROA)	Net profits expressed as a percentage of average total assets.	Overall effectiveness in generating profits with available assets; earning power of invested total capital.
Return on Equity (ROE)	Net profit, less preference shares dividends if any, expressed as a percentage of average ordinary investment (equity).	Earning power on shareholders' book value of shareholders' funds.



ABBREVIATIONS

AC	Audit Committee
ADB	Asian Development Bank
AFD	Agence Française de Développement (French Development Agency)
AGM	Annual General Meeting
AIT	Asian Institute of Technology
ALCO	Asset Liability Management Committee
ALM	Asset Liability Management
ANSI	American National Standards Institute
AoA	Articles of Association
ASHRAE	American Society of Heating, Refrigerating and Air-Conditioning Engineers
ASTM	American Society for Testing and Materials
BACS	Budget and Accounting Classification System
BAPA	Bangladesh Agro Processors Association
BASs	Bangladesh Accounting Standards
BAU	Bangladesh Agriculture University
BB	Bangladesh Bank
BB ESRM	Bangladesh Bank Environment and Social Risk Management
BBS	Bangladesh Bureau of Statistics
BCBL	Bangladesh Commerce Bank Limited
BDBL	Bangladesh Development Bank Limited
BDT	Bangladesh Taka
BFRSs	Bangladesh Financial Reporting Standards
BGMEA	Bangladesh Garments Manufacturers and Exporters Association
BICC	Bangabandhu International Convention Centre
BIFFL	Bangladesh Infrastructure Finance Fund Limited
BIID	Bangladesh Industrial Innovation and Development
BKMEA	Bangladesh Knitwear Manufacturers and Exporters Association
BLFCA	Bangladesh Leasing and Finance Companies Association
BoD	Board of Directors
BPATC	Bangladesh Public Administration Training Centre
BRISMA	Bangladesh Auto Re-rolling and Steel Mills Association
BRTA	Bangladesh Road Transport Authority
BSc	Bachelor of Science
BSEC	Bangladesh Securities and Exchange Commission
BSS	Bachelor of Social Sciences

BSSF	Bangladesh Shooting Sport Foundation
BTMA	Bangladesh Textile Mills Association
CAGR	Cumulative Average Growth Rate
CAMLCO	Chief Anti-Money Laundering Compliance Officer
CAR	Capital Adequacy Ratio
CCCI	Chittagong Chamber of Commerce and Industry
CCU	Central Compliance Unit
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CFS	Core Financial Solutions
CFT	Combating the Financing of Terrorism
CGC	Corporate Governance Code
CIDA	Canadian International Development Agency
COO	Chief Operating Officer
CRAB	Credit Rating Agency of Bangladesh Ltd.
CRISL	Credit Rating Information & Services Limited
CS	Company Secretary
CSF	Critical Success Factor
CSR	Corporate Social Responsibility
DAC	Development Assistance Committee
DFIM	Department of Financial Institutions and Markets
DGIS	Directorate-General for International Cooperation
DNCC	Dhaka North City Corporation
DSCC	Dhaka South City Corporation
E&S	Environmental & Social
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortization
EBRD	European Bank for Reconstruction and Development
EC	Executive Committee
EE	Energy Efficiency
EE&C	Energy Efficiency & Conservation
EECM	Energy Efficient Construction Material
EECPFP	Energy Efficiency & Conservation Promotion Financing Project
EFT	Electronic Fund Transfer
EIHP	Energy Institute Hrvoje Pozar
EIU	Economic Intelligence Unit
EPA	Environmental Protection Agency
EPACT	Energy Policy ACT
EPC	Engineering Procurement and Construction
EPRC	Energy and Power Research Council
EPS	Earnings per Share

EPZ	Export Processing Zone
ESMF	Environmental and Social Management Framework
ETP	Effluent Treatment Plant
FCS	Fellow Chartered Secretary
FEEM	Fiscal Economics and Economic Management
FI	Financial Institution
FIMA	Financial Management Academy
FMO	Netherlands Development Finance Company/ Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden
FPP	Financial Programming and Policies
FRC	Financial Reporting Council
FX	Foreign Exchange
FY	Financial Year
FZOEU	Environmental Protection and Energy Efficiency Fund/Fond za zaštitu okoliša i energetske učinkovitost (Croatia)
GCM	Green Construction Materials
GCMU	Green Construction Materials Unit
GDP	Gross Domestic Product
GNI	Gross National Income
GPEDC	Global Partnership for Effective Development Cooperation
GrACe	Green Architecture Cell
GRI	Global Reporting Initiative
HRD	Human Resource Development
IAS	International Accounting Standards
IATI	International Aid Transparency Initiative
IBA	Institute of Business Administration
ICAB	Institute of Chartered Accountants of Bangladesh
ICC	Internal Control and Compliance
ICSB	Institute of Chartered Secretaries of Bangladesh
ICT	Information and Communication Technology
IESNA	Illuminating Engineering Society of North America
IFRSs	International Financial Reporting Standards
IGCC	International Green Construction Code
IIRC	International Integrated Reporting Council
ILO	International Labor Organization
IPFF	Investment Promotion and Financing Facility
IPO	Initial Public Offering
IPoA	Istanbul Program of Action
ISS	Institute of Social Studies
IT	Information Technology
JDI	Japan Development Institute

JICA	Japan International Cooperation Agency
KfW	Kreditanstalt für Wiederaufbau
LCR	Liquidity Coverage Ratio
LDC	Least Developed Country
LED	Light Emitting Diode
LEED	Leadership in Energy and Environmental Design
LL. B	Master of Laws
LL.M	Bachelor of Laws
LPD	Lighting Power Density
MANCOM	Management Committee
MCCI	Metropolitan Chamber of Commerce and Industry
MDGs	Millennium Development Goals
MIS	Management Information System
MoA	Memorandum of Association
MoF	Ministry of Finance
MoU	Memorandum of Understanding
MSc	Master of Science
MSM	Maastricht School of Management
MSS	Master of Social Sciences
MTBF	Medium Term Budget Framework
NBFI	Non-Bank Financial Institution
NBR	National Board of Revenue
NII	Net Interest Income
NOC	No Objection Certificate
NSFR	Net Stable Funding Ratio
OECD	Organization for Economic Co-operation and Development
p.a.	per annum
PBIG	Post-Busan Interim Group
PET	Polyethylene Terephthalate
PFI	Participating Financial Institution
PFM	Public Financial Management
PPP	Public Private Partnership
RE	Renewable Energy
RJSC	Registrar of Joint Stock Companies
RJSC&F	Registrar of Joint Stock Companies and Firms
RMF	Risk Management Forum
ROA	Return on Assets
ROE	Return on Equity
ROI	Return on Investment
SAARC	South Asian Association for Regional Cooperation

SAFA	South Asian Federation of Accountants
SCAQMD	South Coast Air Quality Management District
SDF	SAARC Development Fund
SDGs	Sustainable Development Goals
SFU	Sustainable Finance Unit
SLR	Statutory Liquidity Ratio
SME	Small and Medium-Sized Enterprise
SREDA	Sustainable and Renewable Energy Development Authority
SWOT	Strengths Weaknesses Opportunities Threats
TA	Technical Assistance
TAT	Turnaround Time
UNDP	United Nations Development Program
UNFPA	United Nations Population Fund
UNO	Upazila Nirbahi Officer
USD	United States Dollar
USGBC	United States Green Building Council
VAT	Value Added Tax
VGF	Variability Gap Funding
VOC	Volatile Organic Compounds
VRF	Variable Refrigerant Flow
WB	World Bank
WEDU	Women Entrepreneurs Development Unit
WESP	World Economic Situation and Prospects
WTP	Waste Treatment Plant
YC	Young Consultants
Y--Y	Year-to-year

Stopping by Woods on a Snowy Evening

“ Whose woods these are I think I know.
His house is in the village though;
He will not see me stopping here
To watch his woods fill up with snow.

My little horse must think it queer
To stop without a farmhouse near
Between the woods and frozen lake
The darkest evening of the year.

He gives his harness bells a shake
To ask if there is some mistake.
The only other sound's the sweep
Of easy wind and downy flake.

The woods are lovely, dark and deep,
But I have promises to keep,
And miles to go before I sleep,
And miles to go before I sleep. ”

- Robert Frost

[illegible]



Bangladesh Infrastructure Finance Fund Limited (BIFFL)
(A Company Owned by the Ministry of Finance, GoB)

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